

Timken India Ltd. (TIMKEN)

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Mandar Vasmatkar

Company Secretary & Chief - Compliance

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1 December, 2022

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza,

Plot no. C/1, G Block,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051.

NSE Symbol : TIMKEN The Secretary

Bombay Stock Exchange Ltd.

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001.

Scrip Code: 522113

Dear Sir /Madam ,

Sub: Update regarding Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015 , we attach herewith transcript of Conference Call held on 24 November , 2022 .

A copy of same is also available at the website of the Company at below link:

<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>

Thanking you,

Yours faithfully,

For TIMKEN INDIA LIMITED

Mandar Vasmatkar

Company Secretary

& Chief - Compliance

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"Timken India Limited

Conference Call "

November 24, 2022

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED

MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER AND WHOLE TIME DIRECTOR – TIMKEN
INDIA LIMITED

MODERATOR : MR. MUKESH SARAF – SPARK CAPITAL ADVISORS

INDIA

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Moderator: Ladies and gentlemen, good day and welcome to the Conference Call of Timken India Limited hosted by Spark Capital Advisors India Private Limited. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Spark Capital Advisors India Private Limited. Thank you, and over to you, sir.

Mukesh Saraf: Thank you, Rutuja. Good evening, Mukesh here from Spark Capital. Appreciate everybody logging in. I'm very pleased to be hosting Mr. Sanjay Koul, Chairman and Managing Director of Timken India, and Mr. Avishrant Keshava, CFO and Whole-Time Director of Timken India. We'll start with a very brief opening remarks from Mr. Koul and follow it up with Q&A. Sir, over to you for some very brief opening remarks.

Sanjay Koul: Okay. Thanks, Mukesh. Thanks for arranging this. So I think the long-awaited and we've been discussing it over the years, long-awaited news from Timken India Limited is that we have ultimately decided to invest into spherical and cylindrical roller bearings into India, which has, obviously, you know, India is a growing, maturing market. And slowly, it is investing a lot in mining, power gen, pulp, paper, metal, wind, and obviously, there are applications in freight, passenger, etc., which are CRB, SRBs, wind, metal, gear, port cranes. So all these are the markets where we are selling but imported or we are not pushing this product line too much. And there was obviously, I have been always saying that when the time will be right, we would start investing as we are a careful investor in the manufacturing arena. So we have made the first step by announcing that and almost 600 crores rupee investment for the time being going into manufacturing of CRBs and SRBs up to 400 millimeter range. So with that, we can get into the questions and answer accordingly.

Moderator: The first question is from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: I have three questions. One, on your margins. And when I look at your Q2 numbers, we've seen this sharp fall especially at the gross margin levels in the quarter just gone by. So, if you could just help me understand what's driving that fall? Where do you believe margins stabilize? That's one.

Second, on your exports, obviously, we all know about the global slowdown. We also heard from some vendors who supply into the bearings in the US and in EU markets of a sharp deceleration which is happening and would love to hear your thoughts given we also have the sizable export sales from our Indian entities? So that's number two.

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And number three, sir, on the rail side also, I remember you spoke about large orders, for bearing that is given the fact that we have these large wagon orders, the Vande Bharat Trains, etc. So, if you could touch upon how are we seeing the ordering on the rail side?

Sanjay Koul: Yes. Thanks, Ankur. So, margin first. So, I think that would answer that might be an answer question from many others as well. So, margins have shrunk almost, I think, roughly INR 35 - odd crores quarter-on-quarter. And the largely they are still the steel price increases. So, it's a huge pipeline of steel, which remains in the system for some months, so steel price increase, which means the equal passing it on that equation. So, steel price has been one major impact. Currency has been another. As you know, we import and also sell in India.

And then when we were exporting so there is a mix impact on that export as well. And then also domestic margin, there is a mix impact as

well. So, these put together and sometimes we get great mix, sometimes we get a little bit of mix which is not great. So, put together, that was the major impact on the margins.

And then on the export, obviously, this is certainly a concern around the world, and Europe market is, everybody is aware, Europe market is down. It certainly is facing HLA because of the war and then the energy cost and all that stuff is happening. China has its own problem. Today, they reported 30,000 people getting into -- they have been just a positive and all that stuff. But at the same time, the domestic market is pretty much okay, and North American margin too is also stating there might be a chance that it might come down. And all companies have, post this Corona, has worked on their inventory levels.

So, while we speak, our order book on export is - Europe side is not good, but rest our order book is not bad actually as we speak today. Our order book is not bad. But who knows about tomorrow. If there is going to be a recession, which everybody is saying that looking at US that they might have the first six months of the calendar year might not be great and then it will come back. And Europe, unless and until, they cannot sort out the issue or the war is not over. So they are under tremendous pressure. So, there are those tomorrow ifs around the corner of export. But as I speak today, our export order book is pretty decent, I would say.

And then on the rail side, out of our mix, rail if you see last year, total for the whole year, rail was 17% of our total sale value. This quarter, it was roughly 16%. So it was a little bit lower. And that is how it is. And we have a nice order book for rail. So we have won orders and rail is where the supplies would continue. Inventory pressures, and we have to see all that in totality payments in time and all that, but the order book is nice, berries are flowing on that. So on the rail side, I don't think we have a worry for next year.

As you rightly said, export, who knows what will happen tomorrow and America might get into a recession, and Europe is bad. But then the work and any day and Europe might get the supplies of energy and everything would come back quickly there and America if they rebound after six months or do not go into a recession per se has to be seen. But as we speak, our order book on November 24, 2022

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export is pretty decent. And we are actually, our Jamshedpur plant is working six days, three shifts. So is our Baruch plant working six days, three shifts as we speak.

Certainly, August, September, there was, certainly, it was down. We closed down the plant, Jamshedpur plant. We closed down for roughly some days there. Eight or ten days due to Puja time and also to correct our own inventory system and things like that. So that is what it is as of now.

Moderator: The next question is from the line of Sandeep Tulsian from JM Financial.

Sandeep Tulsian: First question is pertaining to the new investment that you're making on CRB, SRB, of course, we highlighted a few new growth areas. So one definitely has been addressed out of those. If you could give us some more color in terms of how the asset turns for this business will be traditional businesses to understanding 1.3x, 1.4x will be better, similar in terms of asset turns, how will the margins be because the customer profile will be slightly different? And, also in terms of the domestic and exports, what will be the mix ideally targeted from this plant? If you can just give some more color on that?

Sanjay Koul: Yes. Surely, Sandeep. This is what I explained to the Board. So, I can, again, first of all we primarily in India are making tapered roller bearings, but we are selling all sort of bearings in India, though some of our competitors are certainly making the, our same peer group be making spherical and cylindrical in India. This market

if you see the spherical roller bearing market in

India is roughly INR 1,700 crores market and growing at a decent CAGR and cylindrical roller bearing market something like INR 2,000 crores market.

So SRBs are used in mining, power gen, pulp, paper, metals, as I said, wind, so they are being extensively used in applications, especially spherical roller bearing are known to be self-aligning bearing. So wherever the application are harsh. So these run pretty nicely. And we were making them in different parts of the world, America, Europe and China. But now as the Indian market is graduating towards the more like stationary equipment, more infra push is coming in and our mining Act might get that together and that picks up metal as it goes on.

So these spherical roller bearings, we are selling in India in limited quantities. We were importing them and selling them in India. Though the fundamentally spherical roller bearings are same. You forge them, you turn them, you heat-treat them, you grind them, you assemble them, and we obviously have the technology available for doing spherical roller bearings and also cylindrical roller bearings.

So, similarly on cylindrical roller bearings, these are again used in the similar field of metal, wind, gear drives, port cranes. So generally, we were known to be in India known to be pretty much a leadership upstream in tapers. On cylindrical, spherical, we were selling, on critical application, but because of high cost of import and sometimes they're putting out of America selling in India is not easy and things like that. So, this market size both put together is INR 4,000 crores market, and we have almost a running rate supply chain available in India up to November 24, 2022

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certain size ranges technology is available with Timken for decades on these bearings and then our knowledge on these applications, obviously, we can put in more new technologies in terms of bearing profiles and bearing designs etc.

So that goes into it. And this is obviously, we have to work in the market. It is a decent gross margin business. And obviously, we will invest on even the, for every INR 1 invested, the sale has to be more than INR 2. So we will, between INR 2 to INR 3. And obviously, initially, you invest and then you capitalize and then you ramp up and then you do the PPAPs with the customers and it all and ramping up PPAP training all takes time. And then once you stabilize then you get the numbers.

And then obviously, when you produce more, then you can, obviously, your cost of manufacturing comes down and then your margins go up. So it's a process. We will start the project. It is already working on the paper and hopefully, by the end of '24, so I'm taking 24 months to start supplying the bearings, built to finish building these days seven, eight months, asset-lead time is going to be obviously, and we will be using state-of-art assets. So these won't be low technology, low grade. These will be the modern automation, industry 4.0 and things like that. So these will be state-of-art assets, and these will be the assets for tomorrow, not today. So robotics all that would be in a less manpower.

And then this would be the start. These are all size range dependent. So, first step or first foray is with that. So I think INR 4,000 crores market, we don't sell much in India. We do sell certainly, but not a huge number. So with our knowledge on supply chain, manufacturing, global knowledge on these assets. So I am pretty much, and knowing the price points of India market, we are still making money by importing. So we understand this market pretty well. Customers are same, for example, if you can say Tata steel that the use of the papers, we do sell them spherical, etc, but not the in huge number. So the same customer's steel industry, same wind industry. So we know the industry pretty well. And in fact, a lot of

questions from the industry

that when can you start making them in India so that we can use based on our performance etcetera.

So this is going to be certainly a growth market for TIL and for every INR 1 invested, our sale has to be more than INR 2, between INR 2 and a little bit more than that as well. But it is going to be a journey where the maturity will take time from the time of producing the first lot of PPAP to the time of making a bulk where my capacity utilization is 85%. So that journey obviously will take some time.

Sandeep Tulsiyan: That's very detailed. Thank you so much for explaining this. And I'm assuming a lot of this will also replace your existing that 18%, 20% of distribution business which, or sorry, process industry, which is about 12%, 13% of sales which we were importing and selling will become locally manufactured and will be different...

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Sanjay Koul: There are part numbers where we were not able to maybe compete very well. We don't want to kill our margins by buying the business. We have been always careful about that. So there's a lot of growth also attached to it. And when we say for example, like on a gearbox, we are already supplying a taper, when you start supplying them taper CRB, SRB together. So it becomes a complete value package, so it is going to be obviously complementing our current and taking that to the next level. So for example, we are weak in taper because of the fact that taper does not use, doesn't use paper but not a whole lot of taper. Sugar industry uses a whole lot of SRBs etc.

Railways, all these coaches, you've seen Bombay running, they use SRB 22326, 22328 these are the two part numbers, I can remember from my youth. So, these are the areas where we know the market very well, and I think we are pretty much decent and expert in manufacturing. So this is going to be a nice ride once we start producing in bulk.

Sandeep Tulsiyan: Great. That the company is doing this investment in the listed entity. Also, Sanjay, as a part of book-keeping, can you help us with the revenue breakup with for either 2Q or first half whichever you would like to share?

Sanjay Koul: April to September, which is 16% was rail, mobile was 20%, distribution was 17%. The process industry was 16% and exports was 32%. That is April to September. And last quarter was again, rail 16%, mobile 20%, distribution 17%, process 16% and export almost same.

Sandeep Tulsiyan: Sorry, processing, how much?

Sanjay Koul: Process was 16%. Distribution was 17%. So between distribution and process, that is 17% + 16%.

Sandeep Tulsiyan: Last question from my side is on one of the other growth drivers that you were mentioning during the last interaction is on defense and aerospace, you said the market locally is definitely not big for is to localize those bearings and venture into that side, definitely, you would want to absorb the CRB SRB part. But any thoughts on that you would like to give us maybe in the next two years or five years, when can you see those bearings getting utilized in that market becoming made in India?

Sanjay Koul: So certainly, the defense industry in India is sunrise industry. There are no two thoughts about

it, both in terms of defense aviation and civil aviation. Civil aviation is slowly catching up when I say, civil aviation does not necessarily mean building the civil aircraft. The repair and refurbishment of the engines and landing gear has not really started in a big way in India. But now with the amount of passenger traffic, which Indian aviation is doing on the civil aviation, commercial aviation is huge. The numbers are huge.

So they cannot afford to send now engines to Singapore and Colombo and other areas and Malaysia for refurbishment, though Indian, obviously, engineering is pretty sound. So as that takes on which we will take off every it is on the radar of everybody to

start doing the landing

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gear refurbishment and engine rebuild or remanufacturing or testing, in India in full ways and not in a small way. So that consumes MRO and obviously, these are high-end bearings where the failure rate has to be zero. So this is coming up.

And on the defense side, whether it is helicopters, light helicopters, and now India has started peddling or trying to sell these to the outside world as well. So this industry is going to come up definitely. This industry will have a nice home in India. And they use spherical, they use extended tapers, they use high-end ball bearing, they use cylindrical, spherical. So all of that, currently, we are certainly importing them wherever there is the sale to be happening.

Just to share with you every landing, every time a Boeing aircraft lands anywhere in the world, it is on Timken bearings. So they are made in the US currently. But as the critical mass grows and Boeing starts doing more stuff in India, so we not only have the technology, we have also the intimate knowledge of the aviation industry and the different industry. So this is after we do SRB, CRBs, the new Sunrise market in India is certainly different. And another one, which is also slowly growing is food and beverage. This food and beverage obviously, as we start becoming more westernized in our food habits, as you start eating more Kurkures and more of the chips and more of the process food and those who eat processed meats and all that.

They use plenty of machines, which we need plenty of bearings and then obviously, the MRO companies like Buhler etc. who are into rice, they produce special machine for rice and other. So that is another big 1.3 billion people and who are slowly going towards eating more and more of processed food and processed food is, again, highly dependent on factories, which produce that food. So defense, food and beverage, all these are sunrise and we are connected and as it becomes more and also another area is export on medical equipment out of India. Mode of CAT scans, those CT scan machines and things like that as they start exporting them out of India would be another industry.

So we are watching them, and we are not shy of investing but we want to make sure that there is a right critical mass, and we guarantee a return of the investment and also the shareholder's value. So we are watching each segment pretty closely. We work with these industries very closely. And definitely, a matter of time, as I was saying, for Timken India Limited, SRB, CRB matter of time, right time and that time has come. It is same for the defense industry. I'm saying defense both from the Army procurement to naval procurement to aviation; naval also is a big consumption of bearings if you start making naval crafts in India more and more.

They require gearboxes, they require a lot of bearings. Aviation, we spoke about it. Similarly, as we start making more tanks in India and more high-end heavy-duty army vehicles, arm or carriages and things like there all quite a lot of good bearings. They cannot use bearings, which will break down while we are at war with somebody. So all this is coming and coming at a faster pace. And if the political stability remains and the focus remains as it is today, so it is not far.

Moderator: Sorry to interrupt. May I request Mr. Sandeep Tulsian to please rejoin the queue.

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Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management.

Vimal Gohil: Thank you for the opportunity and congratulations on announcing much acquired and much awaited capacity expansion. So my first question was a bookkeeping one. Could you help us with the capacity utilization of ABC bearings? And could you just clarify that whether most of it is using or is being used for exports?

Sanjay Koul: So the cap

acity utilization -- so we are making both currently both the Timken® at our Bharuch plant and the ABC. So capacity utilization, as we speak, is around 70% and we make some small CRBs there under the ABC brand and we make largely the -- so currently, we are out of the whole produce 30% - 35% is taken Timken® and rest is still producing ABC and as the Indian off-highway recently had a good traction, so they are consuming some of these ABC.

So around 70 -ish is the capacity utilization , while Jamshedpur , barring these last two months, we were almost at 90% utilization, 85% -90%. And now this month we are back in 90%. And Bharuch is 30% -35% given depending on the month, he is making Timken ®. So we are exporting. We have started exporting. Unfortunately, the Europe one would have been quite helpful, but still the North American markets and other areas we are exporting, and we are also selling domestically Timken ® out of that plant and which is now from -- we have converted some of the application to through hardened . And we are still making ABC out of that plant. Vimal Gohil: Sir, any -- would you be able to share the -- what is our revenue contribution coming from the ABC plants? .

Sanjay Koul: Let me check with the CFO . Yes,so we are not giving the breakup.

Vimal Gohil: sir. No problem. Sir, my second question was on your -- roughly on your broader strategy. Just going through the transcripts by the parent entity in the US. They have been talking about adding incremental capacity addition in low -cost geographies and also focusing on acquisitions, how much of that strategy, which you have spoken about will seep into the Indian entity? If you can just highlight some points there ?

Sanjay Koul So obviously, Timken Company globally is doing the merger and M&As continuously. And recently, they took over another bearing company called GGB, which is glacier bearings, the old glacier bearing. So they are continuously augmenting that and those technologies are also available for us to -- at some point of time , to be used. Obviously, we globally are growing around the bearing, so in the powertrain.

So it is belts, it is chains, it is pulleys , it is plain bearings. GGB does plain bearing. Plain bearing are used now in the wind industry quite nicely, and they go into some of the applications in mining as well. So while that strategy is down in India also, we are always on the lookout of good M&A, but unfortunately, the Indian M&As are always very tricky and costly. So that M&A
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of the Timken Global strategy hopefully helps Timken India Limited also to grow as we can at some point of time see if there is a synergy to connect the dots on belts , pulleys, chains etc. etc. So that is on one side and their capacity augmentation in other areas, which they have done, certainly, Mexico is one which they want to do for their own local market there. But those strategies are in place and our strategy, they're complementing each other . They are in synchronization. And ADI is the best cost. I don't know to use the low cost. We are the best cost, cost call delivery given the dynamics of China and China plus 1 and how India is panning out. I think India will remain a strong player for many, many years. Based on as our logistics also improve , the logistics cost in India is high, 12%, 14% and the government wants to bring it to at least 8%. And that is a great, great move . Just imagine that if four, five percent gets added to the bottom line, government of India gets the act together, which we see happening. So, Indian cost or Indian skill or Indian mechanical engineering has a lot to offer. And I'm not saying only about Timken in general for all the industry.

So India is destined to become the workshop of the world. It is the decade of India. And any company who are doing their expansion, they will

always expand in India as well. And

obviously, they all strategize, they look at it deeply. And India is the shining star . This decade belongs to India. So if there are capacity expansions in other low -cost, best -cost countries, it will not hurt India. will make the corporation more stronger whichever company it is.

Vimal Gohil: Sir, just one clarification. Would it be fair to expect our margins to revert back to that historical you operated at 25 - plus percent levels? So would it be fair to say that you will probably go back to those levels going forward? But assuming that raw materials and cost like freight come down incrementally going forward in each...

Sanjay Koul I cannot speak about the future, anything future margin, which can impact the stock exchange and all that, we do not speak about it. But in general, you know the steel industry, how it is happening, the logistic problems, which we are there, how they are sorting out. And our endeavor obviously always is to grow profitably and deliver the profitable numbers. But to make peanut butter spread guess for future margins not -- we cannot speak about that.

But the endeavor certainly is, and you know the industry better than me, how is steel happening. And now the steel all of a sudden, they are going to export. Now what is the impact of that going to be on the steel pricing , coming months will tell, but our endeavor obviously, is always to make sure that we use the best cost of supply chain and make our mix more healthy. And the idea is that the margins keep on remaining intact. But currently, it is pretty, this steel impact has to be seen how that pans out in coming weeks and months.

Fortunately, maybe Europe is down, so which is bad because a lot of Indian companies export to Europe. The good thing is that Europe is down and the steel cannot be consumed. So the steel pricing might not get impacted. So let us see what happens in the next two, three weeks' time.

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...recently were together. Let us see what they talked about. They were together recently in some major international forum. So let us see how it behaves.

Moderator: The next question is from the line of Neelesh Dhamnaskar from Invesco Mutual Fund.

Neelesh Dhamnaskar : I have two questions. So first is just some clarification. You mentioned the plant -wise capacity utilization at a broader level, what's the capacity utilization of all your plants combined? If you could give some...

Sanjay Koul : August, September, our utilization definitely was down. And as we speak, both the plants are running six days, three shifts. So currently, we are running pretty much all six days, all three shifts. So which means that the capacity utilization should be around 85% , we kind of plan like that. And then December is always a month where some days has to be taken off for inventory purposes -- year-end inventory . So that has an impact on utilization generally 2, 2.5 days that does -- and the last quarter of the year looks pretty healthy. So it should be running pretty much at capacity -- full capacity utilization, both in domestic for us, domestic and export together should be running pretty okay.

Neelesh Dhamnaskar : So then would you -- so from a '24 perspective, would you have capacity to take care of the growth which will come in FY '24 in the various revenue streams which you generally have?

Sanjay Koul : So pretty good question, an d important question that as we start in April next year running towards that fiscal year, and we are expecting it to be the last year of the cu rrent government investments should get a little bit more push and hopefully, the heav y truck market behaves nicely and all that stuff. So we -- as we speak, we are looking at -- we have assets available globally, which are not running. We can always utilize them, bring them here. We have space available. So we are looking

at these closely, and we do have some plans to see

if the demand sust ains to do a little bit of more capacity extension, not a huge lot, but a little bit, but still too early to predict about it. We'll see how the demand looks but we can use the asset s.

And then obviously, we can always import from our other plants and sell in India.

Neelesh Dhamnaskar : Right. And for this shifting, the lead time can be how low to these assets, which you're talking about i f at all.]

Sanjay Koul : We can always make the sale depending on how fa r the market picks up from our -- we can start -- we buy from our other p lants of Timken globally. So they have capacity available. As you know, there are plants where we have the capacity globally available. So we can use that capacity and start selling and then see how much incremental push we need to do. We have been last 2 -3 years continuously investing in our roller expansion and things like that. And our suppliers also -- they have been continuously ramping up and we are making sure that the back end is also available. So if the market jumps out 10% , 15%, 20%, I don't see a problem not being able to supply it.

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Neelesh Dhamnaskar : Yes, this was helpful. And the second question was again, on this -- these large capex, which you have announced. So you said, I think in the opening remarks, you mentioned that this INR 600 crores to start off -- to start with. So is it that there are -- you guys are thinking about some new capex, which is in the pipeline? And in -- and any time line to it? I mean, can you throw some light on this?

Sanjay Koul : So we went to the Board with our INR 600 crore expansion plan on SRB, CRB and the SRB CRB market and bearing market is size-dependent. So first, we will do that. And if there is a business case tomorrow, to do further size ranges, then we'll go to the Board and look at that. And we are always looking at that. We're always -- that is our -- part of our job to look at the markets and see that.

And like when we started our J amshedpur plant, we started with 3 lines. And then every year the expansion a little bit here and there , it's a huge complex now. And similarly, we took over Bharuch and we started putting in new furnaces, et c . So once you start on a product line, it does not stop with that in general, but will it be another double, triple time will say, firs t we need to complete it and start making money on it by '24 ends.

Neelesh Dhamnaskar: So it may get upsized marginally as time progresses. Fair enough. And last question is you -- I think you gave some sense on the size of opportunity for the SRB and CRB in India. But -- so can you give us what the ideal market for you would be to start off with from an export perspective? So the plans for the new plant I am talking about . So, will that exports will simultaneously start or that will come later?

Sanjay Koul: So on size range, so if I take a step back, while Timken invented the tapered roller bearing, Timken started supplying spherical and cylindrical only after taking over ; The Timken company taking over a company like a company called T orrington. I don't remember the year, but we are

into the... Torrington is a very old company making SRB CRBs, and they were market leaders, actually out of America.

And our market share, globally for the Timken company and for us here in India, SRB CRB is small and globally also it is small. And knowing this market outside - market in ASIAN, market in Australia, market in META, where there are the steel industries, where there is lot of port and crane and things like that, a lot of grades available. So export and domestic would go hand-in-hand. So as soon as we start making, we'll start making it for both domestic and export together.

Now actually we'll see as for the demand and how do we -- Timken established player in other parts of the

world, so we don't need to establish ourselves, but we'll see how the demand trends.

But to your question, direct answers that we'll do both exports and domestic together. So there's nothing like domestic first and export later.

Moderator: The next question is from the line of Priya Ranjan from HDFC Asset Management.
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Priya Ranjan Just 2 questions. One is on -- so when we look at your localization and your taper is very, very, pretty high. So when we start the CRB and SRB, so are we thinking a similar line of localization and to begin with how it will gradually happen over a period of time when we ramp up and then will do more localization? So what is the way forward in that?

Sanjay Koul: Very good! So, you're speaking like our global CEO. So obviously, supply chain is critical, always for A, speed to the market, and B, for cost and obviously related things, which is margins and things like that. So supply chain is our forte. Timken started manufacturing in India in 1990 and our other peer group were manufacturing long before that. But still the supply chain were not that robust and Timken, I should say that should take the credit of creating a global cage manufacturing in India.

It was started by Timken or both the listed companies, whether it is cage or rings, Timken has started the manufacturing, nurture them, and obviously, we are serving the market completely. So, our focus would be obviously localization from the word go. And we have a big team already working on it with our supplier base, existing and new. And the idea is to create best cost the supply chain back end. So the back end is not only for tapers actually. So it is rings, so steel forging rings, turning, heat treat, area is same, shape is different. So, to answer your question, yes, our success will lie in also creating a very nice domestic vibrant supply chain.

Priya Ranjan: And so just to summarize what you have said initially in terms of the production will start probably by the end of 2024. So any revenue benefit, etc, should start reflecting in FY '26, which will be...

Sanjay Koul: December 24 is the time which I am looking at that our product will start coming out. You are right. So that FY you start looking at the revenues.

Priya Ranjan: And sir, now we have addressed this -- the other bearing part. So the two, three aspects which are yet to be addressed is basically one is like lubrication and all these businesses plus the chain, etc. So do you see the market is ripe or I mean the market in India has become such a scale that we also need to start investing or thinking of investing in that -- those domains at list?

Sanjay Koul: So lubrication, yes, it is a market which is quite nicely maturing in India and is also a high-margin business. And this can also, if you create a base in India, can become also a very good export model. Same thing goes for coupling, which is used by the industries similar to where we use bearing the most probably they will use it. They will use a similar coupling as well. So this market obviously is augmenting each other and coupling, lubrication these are pretty, industrial belt also in India, there is high-end industrial belt manufacturing is still not that much in India, though we got nice Indian companies doing a good job.

So all this is on our table for thinking, strategizing, looking at it and obviously, time will tell when the Timken India will foray into that. But our principals are certainly manufacturing it. We are also sourcing a little bit in small buckets from India and other places. Time will say. But
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definitely, these M&As of the corporation should get connected to best cost countries at some point of time. But currently, we have no immediate plans to invest.

Priya Ranjan: And sir, just coming back to your defense because you have highlighted that this is

a sunrise

industry. So in terms of the LCA, I mean, the advanced light helicopter and all this, so are we already supplying or are we already supplying through imports, etc? Or what is our status out there?

Sanjay Koul: So LCA Timken is the major supplier actually. And also not only bearings, the rotor application up there. So Timken is the major supplier. We've been supplying that for some years. And also on some other applications as well, which HAL is doing similarly to ISRO as well. So we are already present on that.

Sanjay Koul : Timken has been doing globally, Apache helicopter since it has been designed or Bell Helicopter. So Timken has a very strong history of Navy through Philadelphia Gear and also aviation through Timken aerospace. So a lot of knowledge in that area.

Moderator: The next question is from the line of Pranav from Invesco Mutual Fund.

Pranav: As regards dealing with Timken entities or group entities, both on purchase and sales, do you have any policy as regards how raw material pass-through happens or how the currency pass-through happens? Is it invoice specific? Or it's every quarterly, there is a reset. Could you help understand that?

Avishrant Keshava : You were talking about transfer pricing?

Pranav: Yes. So as regards both the pass-through of the currency as well as the raw material?

Avishrant Keshava : I'm not getting you like -- a pass-through of currency. The currency is...

Pranav: So suppose technically, if say, today, the rupee and USD say 82, you get a contract from a US entity. I mean is 82 fixed? Are the contracts for specific bearing on exports is 82 fixed for a full year or every quarter you will get that currency and then how does it happen? Similar with RM, is RM up to arrange pass-through, not pass through both when you purchase as well as sell that?

Avishrant Keshava : I got your point, especially for the intercompany you were talking about?

Pranav: Yes, intercompany, especially when you're dealing with the group entities.

Avishrant Keshava : So, when we are dealing with the group entities, so whatever is the cost is an uplift factor. So that uplift factor changes every quarter. And when we deal intercompany, every transaction, everything in the USD, nothing is in INR.

Pranav: Okay. So within a quarter, the currency variation is more than the uplift factor, then it is a pass-through. Is it?

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Avishrant Keshava : So today, if this currency is say INR 50 and we have got selling something that with that uplift factor at INR 100 . So it will go at \$2. Tomorrow, this will change. Suppose INR 100 becomes \$3, then it will become...

Sanjay Koul : So the short answer is that it is passed on. So it is an arm's length transfer pricing passed on everything.

Pranav: And this happens quarterly?

Avishrant Keshava: Yes

Sanjay Koul: That is right.

Pranav: Okay. The other aspect is when you get into SRB and CRBs, do you have to pay any additional technicality or royalty to the parent entity?

Avishrant Keshava : If we get the technology then we will pay .

Sanjay Koul : Yes, if we have to get the technology from them obviously it won't come free. So there would be some fee, but there won't be any major changes to the current norm. So it will be in the same....

Pranav: Range as such.

Avishrant Keshava: Yes.

Pranav: And you mentioned one of your facilities were shut during this quarter. So for 7 to 10 days, if I understood you correctly.

Sanjay Koul : I don't remember. Some days we had closed. I think during the puja time we were closed. I don't know in the four or five days we get close because of Puja and also to kind of do the denting, painting and all that stuff.

Pranav: Okay. So there is no one-off in the current quarter to regard to towards expenditure or anything? Just wanted to confirm that?

Sanjay Koul: No, one-offs.

Moderator: The

next question is from the line of Soniya from Dalal & Broacha.

Soniya: My first question is on the capex. We have announced INR 600 crores capex. So how much of that will be there in the current quarter? And how much will be doing it in FY '24? And second question is on the revenue growth. Now like after seeing degrowth in FY '20 and '21, company has delivered strong revenue growth in FY '22 and it has continued in the first half also. So talking of the overall demand scenario, you expect this momentum to continue going ahead?

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Sanjay Koul: Yes, so you know, I might have lost some of your questions, but you know, investment FY '23 INR 300 crores, FY '24 INR 300 crores, so that is how the current, so that is how it is planned

out. And you know, the market in India is pretty much okay, as we see. Our order book is pretty much okay. So we will be continuously producing and selling. As I spoke earlier also, we are currently running all our , both the factories at six days, three shifts. So that is pretty much okay. Order book looks okay.

Unless there is a major obstacle, the Indian domestic market looks okay. Export to Europe, if the war all of a sudden closes down, it started suddenly, it might close down suddenly. And then again , the Europe obviously will need bearings and that particular country which is destroyed will need plenty of bearings.

So we'll see that but barring that the growth Indian GDP has to, will be above five, may not touch seven but five, five and a half, six is going to happen and we always make sure that we outgrow the market and that has been our strategy our CAGR of last five years can tell you the story. So we would make sure that we carry that momentum both in terms of the top line and the bottom line that is the endeavor and what was your ma'am , the third question?

Soniya: And the third question I'm about to ask. It's mainly on the operating margins of SRB and CRB and basically, since earlier, we used to import that and sell and now we'll be manufacturing it.

So will there be a substantial increase in margins once the commercialization starts?

Sanjay Koul: So there will be certainly a substantial reduction of cost. So cost will certainly come down. The Indian cost of manufacturing is lower. Logistics costs would not be used. We'll use the local steel. We are already in the process of developing suppliers . And there are already some which are already developed. So the cost would come down significantly. And hopefully, the market and the market remains at those price points, and obviously, the margins are going to be better. But in case the price points of the market fall down, then we will have to see.

Moderator: The next question is from the line of Mukesh Saraf from Spark Capital.

Mukesh Saraf: Yes, I just had a couple of questions. Firstly, with regards to the INR 600 crore capex, if you could give a sense of what the discussion between say India and countries for Timken as a group. And then Timken India kind of was chosen or was it like given that India will be doing this capex, because as you mentioned, globally also Timken is not very strong in SRB and CRB, so would India -- has India always been the choice there?

Sanjay Koul: Just to make sure that we have the clarity, I said that our penetration globally on SRB, CRB is not the number one position. So there is space for Timken to grow globally in that space. As in SRB and CRB, through Torrington we are very old, but in the new form it is only three decades or so. So there is room for us to grow in that market and every year it is a growing line of business for Timken globally. And in India, forget Timken, I think India globally is becoming obviously a destination of choice.

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And the reason certainly is that the China plus one will pan out slowly. It has to pan out, so that is very much there. India

Indian GDP is growing, you know, we are 3.6 trillion market . By 2030 you will be 5 trillion market , out of that 5 trillion market currently we are 15% in manufacturing tomorrow if that becomes 25% you can understand that you know how strong we would be you know, then you're Make in India is happening , Clean India is happening . Clean India - by the way - also uses bearing, skill India to you know fund our growth of manufacturing in India saying not per Timken only.

So all this is going to be pretty much , you know steel policy, mineral policy, all this is happening. India is becoming a better industry destination. As I earlier said, food production is, we are pretty strong in food production globally. As you know, all the global retail market in India, we are a strong player. So as the national master plan, rail master plan, vehicle scrap policy, energy policy, just to tell you the number India per capita I think we do 3,000 watt consumption per head in India and US is 10 times more.

So I think that this 5 trillion economy and manufacturing there means a boost for all companies, which has the depth and has the intent and has the governance to do it will certainly ride the wave. So I'm seeing this is a per se manufacturing in India is going to remain strong and people will grow. Indian economy is growing, so nobody can say it is not growing. 2014 we had 2 trillion, we have now 3.6 trillion. And then 5 trillion will happen if the stability certainly remains there.

Defense is growing, naval is growing, food production is growing. All these are the parameters which are very evident. You can see it happening. If you take a picture of landing in a Tier 2 city. So for example Mukesh you go to Indore, if you have taken a picture of Indore from the airport 10 years back, you see the skyline, Google it and see the skyline today, this is Tier 2 city. And you can see the massive change. So this change is reflecting what is happening in India. And for us making SRBs and CRBs in India has been on the annual for a long time in the sense, strategy wise because this is one area where our knowledge will help and then Indian cost quality delivery will further help.

And then being part of a global group, this utilizing it for further growth is very much there. Timken Company is strong globally. After Timken Company did away with steel, they were \$2.56 billion, they are back to \$4 billion company growing at a nice growth. Very profitable company as you guys know more than me. In the peer group, they are also very profitable. Our footprints in Timken Company globally is pretty strong. And India, we have still a way to go. Indian economy is growing. Indian consumption is growing. And there is chance to invest more and more.

And India is generally speaking, and then I'll come to Timken. Any company, I am the chairman for the Karnataka American Chamber and also the Vice Chairman for the American Chamber in India. So I sit on many committees and every company, be it Boeing, Lockheed Martin, all these companies, and we hear them, they respect India a lot.

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Obviously, our political stability has to remain firm, logistics have to become better, ease of doing business is becoming better, it has to become a lot, lot more better in coming years. So all that put together, long story short is that nobody can deny India its space and for Timken also India is important. We do a lot of manufacturing in India. We have a lot of engineering, which is not part of TIL, but our other TERI entity, they have a lot of engineering is done, global engineering is done out of India.

So India is valued and that helps and we have built the trust over the years and delivered it both for our retail shareholders, for the market, for FIs, and for the, they are also our largest stakeholders. So all put together India has a very nice place within the Timken Group, which will help au

gment further growth in coming years.

Mukesh Saraf: And just a couple of very quick ones. There was some commentary from one of your peers that the wind end market is kind of slowing down. Obviously, indirect exports as well over there. So what's your view there? Are you seeing temporary slowdown there on the range?

Sanjay Koul: China wind market is booming. Certainly, there are some -- obviously, Europe has a challenge and there are some -- within those Flanders, ZFs and all those guys who make the gearboxes, they are moving their production between the countries. So that is happening. Wind, if you say the Indian wind market, it was obviously always slow. It is growing slightly but making gearboxes out of India and exporting it around the globe, if that was the commentary and it is always gearboxes that size range etc.

So I would say the previous size range are shrinking. So if that commentary was made in the context of a particular size range, 2 megawatt, yes. Answer is they are slowing. But then the new platforms of four megawatt, five megawatt, six megawatt, for which everybody is not producing bearings in India will be imported, is picking up.

So wind is a complicated market. It is not an easy market which goes slow and steady like the Indian railway. It can go up, zoom up, drop like a rock, so it is a little bit of a volatile market. But I was seeing China was pretty much, you know, China windmill market is not slowing down, actually. and they are consuming gearboxes from other parts of the world as well. And now you have Nanjing High Speed making gearboxes in Chennai, so there is a Chinese company making gearboxes in India for other consumption.

Mukesh Saraf: Great, and you kind of commented on railways, so Indian railways is looking to procure 90,000 wagons like you mentioned last time as well. So will our market share kind of remain the same at this higher quantity, very broadly say over the next three years?

Sanjay Koul: So the railway 90,000 that those orders are out and those orders are running, and we are producing and we have secured bulk of these orders. So yes, we should be okay. But then wagon industry still should have the money, they should be continuously be able to get the money from the end user, all that chain has to remain flawless. Currently, it is okay. Tomorrow, we cannot predict. But as we speak it is pretty much okay.

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Mukesh Saraf: I think we have kind of out of time.

Sanjay Koul: Yes, the time is over. I think great questions. We always learn and we get the insight from experts. You talked about the variety of -- so you have the right questions, which help us also. And thank you very much for this call.

Mukesh Saraf: Thank you, sir. Thank you for your time and patiently answering the questions.

Sanjay Koul: Thanks a lot. Bye -bye. Good night.

Mukesh Saraf: Thank you. Bye -bye.

Moderator: Thank you. On behalf of Spark Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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Mandar Vasmatkar

Company Secretary & Chief - Compliance

mandar.vasmatkar@timken.com

24 May, 2023

The Secretary

National Stock Exchange of India Ltd.

Exchange Plaza,

Plot no. C/1, G Block,

Bandra Kurla Complex, Bandra (East),

Mumbai – 400 051.

NSE Symbol: TIMKEN The Secretary

Bombay Stock Exchange Ltd.

Phiroze Jeejeebhoy Towers,

Dalal Street,

Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,

Sub: Update regarding Conference Call

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, we attach herewith transcript of Analyst and Investor Meet - Q4 FY 2022-23 held on 19 May, 2023. A copy of same is also available at the website of the Company at below link:

<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>

Thanking you,

Yours faithfully,

For TIMKEN INDIA LIMITED

Mandar Vasmatkar

Company Secretary

& Chief - Compliance

"Timken India Q4 FY23 Earnings Conference
Call"

May 19, 2023

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN & MANAGING
DIRECTOR, TIMKEN INDIA
MR. AVISHRANT KESHAHA – CHIEF FINANCIAL
OFFICER & WHOLE-TIME DIRECTOR, TIMKEN INDIA
MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

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May 19, 2023

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Moderator: Ladies and gentlemen, good day and welcome to Timken India Q4 FY23 Results Conference Call.

This conference may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participants lines will remain in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touch tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you and over to you sir.

Mukesh Saraf: Thank you, Sylvan and good evening, I am Mukesh Saraf here from Avendus Spark. Appreciate everybody logging in.

I'm very pleased to be hosting Mr. Sanjay Koul – Chairman and Managing Director of Timken India and Mr. Avishrant Keshava – CFO and Whole-time Director of Timken India.

We'll start with a “Brief Opening Remark from Mr. Koul and then follow it up with the Q&A.

Over to you, sir.

Sanjay Koul: Thank you, Mukesh. Thank you everybody for joining the call.

And as you can see that there has been a little bit positive changes and the market is still okay domestically, though, outside India there are ups and downs, but overall, nothing which is extraordinary, worrisome.

And with that, I would answer the questions directly, which would cover most of the points anyways. So, we can go to question number one first please.

Moderator: Thank you very much! We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and one on their touchtone phone. If you wish to remove yourself from the question queue, you may press star and two. Participants are requested to use headsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Firstly, on the mix. So, if you could just help us with the mix for FY23 in terms of railways, auto, distribution, exports and process?

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Sanjay Koul: Yes, sure. So, the mix for the whole year YTD '22-23, the rail was at 17% and mobile as we call mobile we classify anything which is having a wheel and that was 22%, distribution was 17%, process was 16% and export was 28%. So that was the distribution between our segments for the 2802 CR.

Vimal Gohil: Sir, my next question is on margins, just wanted to clarify. We have done much better EBITDA margin. I understand we are coming from transitioning from very, very high raw material cost period to now slightly normalized versions. But just wanted to understand, in light of the fact that we have done much better margins, how do we see that going forward and also your outlook on the mix for traded goods, how will that play out?

Sanjay Koul: So, if you see the margins have become better than compared to the pre-COVID levels and obviously our endeavor is that it's a profitable growth. Between pre-COVID and post-COVID steel prices obviously did bear a bitter piece of that. Steel hopefully we all expected to soften, soften a bit, but then there's still a rumbling that it might go up again. But as you can see in last three, four, five years, we have been relentlessly working on many things, localization, domestication, whether it is raw material or it is MRO and things like that. So, the whole idea is to keep on driving - cost, quality and delivery. So those are the basic metrics on which we are running it. Simple metrics we have to keep on driving th

e cost. We have to obviously, the more

we produce better would be the cost and make sure that the deliveries get a premium when you are able to deliver fast. So that is the endeavor that we remain focused on cost, quality, delivery. Now steel is always something which is little bit becoming unpredictable, but overall, the industry trends you know better than me on the alloy steel. And then, energy costs are also pretty much up if we compare to pre-COVID levels, but then we make sure that our productivity levels are also in pace with that. And as long as the market holds well, volume leverages are important in this game. But overall, we are pretty much satisfied on the targets which we are setting for ourselves.

Vimal Gohil: Sir, what would be our content of localization, what portion of our costs are currently localized or rather sorry -

Sanjay Koul: Almost all localized. Very special applications sometimes we are now using steel from abroad, but we have localized most of the steel grades. Not only localized, we have invested a lot of time, energy and knowledge in steel companies in India. Many people get benefited by that. And then as you know that we are importing finished bearings into India which we don't produce here and selling, but at the same time we are exporting as well. So, if we are importing against the currency, we are exporting for the currency. So that is a great hedge. And you see always our distribution, our exports, if you see the trends our exports have been always more than the distribution. So, we have always gained on the overall game of currency, which was part of your earlier question.

Vimal Gohil: One last question - within exports, what would be your exposure to your Class-A trucks because there seems to be some uncertainty there and I believe -

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Sanjay Koul: Certainly, there is uncertainty, but for us, Europe, America, MENA, China even, so we are exporting everywhere as long as our cost, quality, delivery is good. These ups and downs obviously hits us, it is not that we are not prone to it, but we still get a decent cheque. But generally, in export generally it is 50-50, rail vs TS is roughly 50-50.

Moderator: The next question is from the line of Sandeep Tulsian from JM Financial. Please go ahead, sir.

Sandeep Tulsian: First question is pertaining to railways. If you could give us an overview of the entire opportunity. One part is on the 90,000 wagon orders where you said even if you get half of it, it will be a big growth driver over the next two to three years. And second part is on this entire Vande Bharat opportunity. Many companies have been talking that we will be supplying to Vande Bharat. So, if you could highlight what is the opportunity that could come to Timken and how should we look at the competition in that space?

Sanjay Koul: Sandeep, as you know on the rail side, I was always saying that the growth will be slow and steady. Now, this pace of growth is becoming faster and faster now as compared to earlier times. More wagons are either getting produced or the thoughts of putting more rolling stock onto the place and then we already used the number of Vande Bharat they want to introduce and then the mass rapid transportation which is the metro system everywhere, they want to build them, and then India is becoming pretty big for electric locomotives, electrification of the tracks is gathering huge momentum and diesel locomotives will slowly vanish and electrical will run the roost, so more electric locomotives will be built by Alstom and later on by Indian Railways. So, I would say that we are well entrenched. We have very nice, depreciated assets. We have very, very nice supply chains dedicated to Timken. And we are producing all varieties of rail bearings in India and supplying to global railways, not only to Indian railways. So, I am very much very much excited that Timken would remain

a very strong player in the rail. And if you see, if I take

the COVID of 2020 and 2021 out, we did Rs.300 crores, before that, we did Rs.350 crores, this year, close to Rs.480-plus crores. So, rail will remain positive for Timken. It will be tough for anybody to really, really come to this level where we have invested a lot in automation, robotics, plan for each part, our rail is being produced in world-class facility to take. Everybody can do it, but it will take a lot of time and a lot of effort to do that. We have developed railway supply chains within 20 miles of our plant, cost of ring transportation is down and obviously we are also concerned about environment. So, these are milk run, no packaging and things like that. So, I'm pretty excited rail will remain good for Timken in India and also out of Timken India facility to export as well. And the rail market is gathering a pretty decent focus now. Obviously, next year there are elections. Those are out of you and mine control or there could be new government, new change. But if things remain in the same way, I think Indian Railways is going to become a lot better and better and better. The old model of coaches would vanish. More LHB everywhere and more mass rapid transportation now. Where I'm sitting in Electronic City, I also sit on the board of the Electronic City, which is a private municipality, one of its kind in India, and we are looking at many, many metros within the Electronic City and that is going to happen like you see the light metro in Gurgaon. So apart from the mass metro, you will see these light metros also happening because of the amount of people we have to transport and the focus on

not burning too much diesel, these are all electrified. So, I am remaining very positive now about Timken India
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railways and given the depth what we have created in supply chain seed to flower, now and next two, three years is time to leverage that to hilt.

Sandeep Tulsian: Second question, Sanjay, is on the margins. We see that of course margins in the past pre-ABC acquisition was around 15% to 17%. We bumped it up to between 22% to 24% post amalgamating their factories. But this year, you see margins coming down significantly in second half at EBITDA level ; we are at 17% to 19% again. And you see your exports share has also come down significantly from first half to second half. So, going forward, if you could share some thoughts on how this mix will evolve, how you're seeing the demand in US driving growth as well as where do you think these margins should go back, should we go back to that 22% to 24% range or these are the new normalized level of margins with our inflation, your thoughts on that please?

Sanjay Koul: So obviously the margins are related to mix and some areas are high margin, some areas are low margin and whenever the mix changes, it impacts the margin. And exports certainly, as you have seen, exports are little bit slow, because of the fact that some of the global markets are down, and if the US market really goes down in the second half, it certainly would have some impact on us. But, at the same time, we are pushing hard for the other markets, not only Europe, but Africa as well, wherever there is a chance to push more. So, whether the US margin really go down or not, or whether it is only the retail market or US which will go down and engineering will not go down, you guys have a better sense than me, but certainly the current demand going down is not the end user demand, is more like safety stocks going down, people react, especially the Americans react very quickly to any time they are immediate. So currently for exports end customer demand is not going down, but people are cutting down in inventory and safety stocks and things like that. So, while I'm not negative about it, I think we'll find ways to harness the better price markets which is our endeavor and then in I

India also the markets where we get better

margins, we are pretty much on it. I can't predict the margin, but you will have to see this game not quarter-by-quarter, you will have to see this in a block of three years. Look at three years before COVID, look at three years after COVID. That would give you more regression rather than a quarter-to-quarter movement.

Sandeep Tulsian: Just your thoughts on future investments, in the past you highlighted different scenario space is an area where post your spherical roller bearing plant you may want to step up investments on that front. If you could give us a road map, how should we look at it over a three year period, five year period, seven year period, how that should end up in getting indigenized ? And if you can also share some near-term growth guidance for '24 that would help?

Sanjay Koul: We recently announced our investment for the Spherical and CRB. So that is a significant investment and the endeavor is always to look at how do we keep on growing, bearings all cannot be localized in one country, but if there is huge wind market exploding in India and obviously the customers want shorter supply chains, etc., then that time we would be forced to make investments, or we might be ahead of the game. The other piece really is that Timken company globally has a lot of M&As which are in the area of belts chain, coupling, etc., and those are exciting areas which we continuously look at how do we create supply chain out of India. We

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want to make sure that any investment has the necessary return on investment. So, I would say while I can't predict what we are going to have to invest tomorrow, we are looking at everything. The good thing is that we are looking at everything and that is because of the fact that there is chance to do more and more out of India, especially when The Timken Company has a major investor in TIL, has a lot of technological companies, especially in grease system. Rollon is a fantastic technology company. They have robotics, they got Lovejoy, Diamond, etc., and these are the companies which would be needed more and more to get better global supply chain, best cost countries plus the Indian market certainly would need going forward a world-class product for example in defense, you need linear motion now a lot more and more and more as compared to the previous generation. So, I think the good news is that we are looking at continuously looking at many, many things. And as you know, over the past we have been careful to invest at the right time so that we can get the better return on investment. We are looking at many things and we are working to see what are the best investment, but we are not making any current decisions, but as usual we are always looking at it. And India is a place where growth will come, nothing to do with Timken, in general engineering growth are bound to come. So, any company which has the technology and also who are in the game of investing more and more will keep

on doing that.

Moderator: The next question is from the line of Hardik Doshi from White Whale Partners. Please go ahead sir.

Hardik Doshi: Continuing on the export side. I think a few years ago Timken parent had commented that they were looking to maybe reach 50% of revenues from India to be coming from export. So, do you want to give maybe an update on like how we are looking at it, is there any opportunity for a lot of supply chains shifting from China to India and then are there any investment plans around that as well?

Sanjay Koul: Obviously, for the parent company, India is among the best cost manufacturing sources and the intent is to procure material from countries which are best cost. Now comparing India and China for Timken is little bit tricky ; in China they make large bore bearings, they make bearings which are one meter SRB, CRBs, in India, we are mostly rail in zero to 8

inch. Now, with the investment

which is coming in the CRB and SRB, that has a very nice potential for export. So, you will see that exports out of that going, that plant which we are putting hopefully will be exporting stuff and also pitching their material to India, and if we have the critical mass, more can be done hopefully on that area depending on how do we carry that momentum. So intent is to source more and more out of India, that intent is clear. We have to increase our product basket which with SRB, CRB, you'll see more exports going, and who knows tomorrow we do something else, then again that would be the case. What we produce in India will be for Indian market and global market both. So that option is an important, and we've been exporting for a long, long time and we will continue doing that and we'll make sure that the Indian customers are also taken care. And if the critical mass goes up and that demands more investments, so would be the case, which would be judged at that point of time. But directionally, certainly out of India, we would keep on exporting to the mother fan and in that kitty we are a great source.

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Hardik Doshi: We've announced the CAPEX plan for a new facility on the cylindrical, roller bearing. How are we in terms of capacity utilization with regards to the taper roller bearing and if there is a demand, what will expect to pick up on export, do we have enough capacity to kind of cater to that in India?

Sanjay Koul: See, currently our Jamshedpur plant and Bharuch plant both are running full. Jamshedpur, some months we are exporting 50%, some months 30% and in totality we keep on looking in long range forecast and we keep on looking at the demands. If the demands are more and our capacity is less, then obviously we will correct that and use the capacity, at the same time the parent company would look at the global capacities also to leverage that. But, currently our both the plants are running pretty much full and our rail is running pretty much full and the SRB, CRB plant, as we look at the demand and as we look at everything, would be also off to a very nice start.

Hardik Doshi: Just a follow up on that, if our plans for taper roller bearing is running pretty much full, why are we focusing our CAPEX on SRB, CRB in the new markets, should be kind of expanding this capacity given railways potential etc.,?

Sanjay Koul: So, SRB, CRB is not a new market, we are importing and selling in India. And now we manufacture in India and sell in India and also export given the fact that India will offer a great supply chain, a great cost advantage and also top quality. And then obviously we want to risk mitigate if we just concentrate on 1, 0 to 8 inch, the truck market goes down or off-highway goes down, then you are down and out. So, we want to make sure that we cater to the fragmented markets, we want to cater to rail, we want to cater to the trucks, to the tractors, off-highway, we want to cater to the stationary machinery and also there are some markets which are more commoditized, there are some markets where we can get more value and that is why we want to concentrate on CRB, SRB. And at the same time, currently, we don't see the need to expand zero to 8 inch. If we feel the need to expand it, and there's a business case 100%, we'll do that.

Hardik Doshi: In terms of the new CAPEX and the new plan, are we on track, when will the capacity come on board for us?

Sanjay Koul: As we speak, we have already done the foundation-laying ceremony. We have the approvals from the local government to start the construction. Almost all the equipment are coming from very developed state-of-the-art countries on machine tools, so they are all placed, money is flowing to them. So, we are on track and hopefully we remain on track. Just building the four walls is just one part of it - one important part, but getting all the a

ssets at the right time, running

them off and creating the back-end supply chain. So, we have got teams working on it concurrently - all teams sitting here and in Bharuch, so they are all working on that. So, we should be hopeful to deliver the inauguration in time and hopefully, we invite you guys as well

for the inauguration.

Hardik Doshi: When would that be?

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Sanjay Koul: So that would be somewhere close to end of next year. Who wants to go to Bharuch in May! We have to choose a colder month.

Moderator: The next question is from the line of Shirom Kapoor from Prabhudas Liladhar. Please go ahead.

Shirom Kapoor: I just wanted to understand, you mentioned that you are almost completely localized in your steel raw material procurement. But in terms of the various bearing components like your cages and seals and those various bearing components, what is your localization level there and what's your outlook on that?

Sanjay Koul: So, the raw material which is steel for the inner and outer for Jamshedpur and Bharuch, that is all localized in India. Rail application, almost all the steel localized in India. And there are certain alloy grades which we are continuously working to localize, and then we continuously work on material sciences, so we work with IITs and work with these companies to start on this, whether it is green steel or better steel, so that is one part of it, but they are all localized. So, coming to your question on cages, we are on the zero to 8 inch, and rail we are almost localized, there would be some high-speed rail. where we are importing but the effort is already on to localize. Harsha is one of the major gauge guys for the industry in India, and so cages are localized. Rollers, some of you did go to Jamshedpur recently and they had the chance to look at our roller localization. So, we are by and large localized on most of the components which was not the case some years back.

Shirom Kapoor: A lot of the bearing companies globally including Timken make a lot of the components in-house, right, bearings. But what would be your level of outsourcing that and focusing purely on the value addition and bearings, if you could quantify that for us?

Sanjay Koul: Same as the bearing industry, steel is always outsourced, forging is outsourced, green turning is outsourced, heat treat is a combination. Timken has been one of the pioneering companies which was the first to develop the local cages in India which others followed later, and we were one of the first companies which started state-of-the-art sourcing of heat treatment, etc. So, the application in your product technology, intricate grinding and those aspects of assembly design remains always in-house but steel making, forging, turning and wherever we have the combination of heat treat, we have those in place. And we are a little bit ahead of this game in supply chain than rest of the gang in India. And what is core to us remains inside and rest most of it is outsourced and generally we have greater relationship, for example, cages, as I said we were the pioneers to start with this particular company. And then obviously on forging, etc., technologies have changed, robotics have stepped in, all our suppliers are using those technologies and they are also one step ahead in the game in terms of using solar farms to bring their costs down and things like that. So, we are pretty much balanced and risk-mitigated on the supply chain.

Shirom Kapoor: Just a couple of book-keeping questions. Could you provide the split in revenues for region wise, across India, USA and the rest of the world as you typically do in the annual report?

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Sanjay Koul: No, we don't do break it up like that, but the exports which we call intercompany, this year was Rs.798 crores, process was Rs.445 crores, distribution was Rs.470 crores, mobile was Rs.608

crores and rail was Rs.482 crores. So that is the general breakup. But we don't give the breakup region wise, we have not been doing that.

Shirom Kapoor: The previous breakup you gave was for FY23, right not Q4?

Sanjay Koul: Right, '22-23.

Moderator: The next question is from the line of Alok Ranjan from 361 AMC. Please go ahead.

Alok Ranjan: How is our portfolio positioned towards wind segment? As there are expectations of increased bidding scenario on the wind side by renewal energy implementation agency. That's what we have seen that around 10 GW of bidding will be there. I understand that the market has not done well post the peak that was there in 2008-09. But now since we are hearing in terms of the increased intensity, how is our portfolio position on that side, and how is the offering different in onshore versus offshore, if you can comment on that?

Sanjay Koul: So, a little bit of voice break, but if I could understand your question is about more windmills being installed in India. And whether it is offshore or onshore, windmill does not change. What changes is that whether it is a gearbox-driven windmill or it is a direct drive. So that is the general difference. So direct drive will have a master bearing on the direct shaft, which will be pretty big and if it is gearbox-driven then it will have multiple bearings because it will be stage one stage two, stage three like that. So India per se, if you see in the Indian market of wind was

always sub megawatt, we had 250, 500 KW kind of. Now India is waking up to the fact that we might use more offshore because the wind tunnel onshore is not pretty strong. So offshore wind especially in the Bay of Bengal side it is very, very strong and also if you got a lot of windmills outside, it is great for security of the nation as well at times etc., So, that is there, but currently the wind market for bearing companies in India is actually the gearboxes which are getting exported out. So, that is more important currently. And as India starts installing more and more windmills in India, that would be obviously an added advantage. So, Timken company globally and including TIL does not make wind bearings, but we have another company in India called, TERI which makes wind bearings in Chennai which we sell to Timken India and they in turn sell it to the customers and we are selling it globally and we import wind bearings also from our other locations in Romania and also that is TIL imports from Romania and China and sells to the wind customers who make the gearboxes. So, if you ask me next couple of years, it would be more gearboxes made in India getting exported which is going to be more important for the bearing companies and I would say that in next two to three years' time, India would start installing more offshore and we have heard the news and seen this. But it needs lot of background work to do. I would say two to three years, it would start putting more offshore, Onshore, there will be some, but it won't be much. It would be more offshore because it is augmenting. if you see the Kutch, Gujarat belt, if they put more offshore, it will help a lot of national security as well. So that is being seen in combination. I would say that give it two, three years it would gather momentum. Though we see lot is being in the discussion, but I would still say two to three

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years, but at the same time gearboxes for windmills made in India by many multinationals is going to increase a lot, which is China plus one and cost and delivery out of these plants in India. And it's a tough game, cost is important. so people will do strong design because warranty costs are very, very high. You cannot afford warranty cost. Timken is lucky to have the right design for the gearboxes and also for the direct drive and we have been doing very well in the wind in last two, three years and intend to keep on going with.

So, I would say the market is growing, it is becoming an important market in India, and it will only grow - both in terms of export of gearboxes out of India, and as India gets its act together and starts doing the installation offshore. Onshore, to my experience or my knowledge would be slow. It will be offshore, which will be a game changer.

Moderator: The next question is from the line of Devang Shah from Asit C Mehta Investment Intermediates Limited. Please go ahead.

Devang Shah: My first question is that will you be able to share us your current order book? Railways or you are saying value-wise?

Sanjay Koul: You have to see our sales in the past year. So current data if I give you would be bad for business. So, I can only say that we are running pretty, pretty full and the order book is pretty full. I won't be able to give you the breakup of the order book.

Devang Shah: In the last con call also you have mentioned. The same way you are saying you will be able to maintain the same run rate as far your revenue growth is concerned in the coming two, three years, that can I understand from your current order book?

Sanjay Koul: Currently, the demand forecast is pretty healthy. So, when I thought that, that is for next couple of quarters. Now you are saying that next two, three years, then you will have to look at India, you will have to look at GDP and then you will have to see Timken India Limited as a company, are we outgrowing the market and then you can take the call. But personally, I would say that India's GDP between six and seven would remain there for next two, three years. We have delivered double digit CAGR and we intend to do that and keep on doing more than the market growth. So, if that helps your analysis cause that is what I would say.

Devang Shah: You may have orders as you are saying, but in your order book you have a price escalation clause also sir? Because volatility, raw material price, how the business works in this particular area that I wanted to understand due to just protect yourself from a raw material price any kind of escalation?

Sanjay Koul: There are different kinds of businesses. When you are dealing with OE, we have metal escalation clauses. So that is very much in place. In distribution, we always work on by increasing the prices as the commodity prices or other prices go up. But there are some businesses which are tender-based. So on tender-based businesses, you can get clauses on currency, but you cannot get clauses much on the material changes. So as a business, we will have to kind of predict and forecast and quote. But largely in last two, three years because of the volatility of the metal

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market, so those clauses are more or less in place. So steel guys have those clauses with say the OE truck builders and truck builders generally have it with their suppliers and now still after having the clauses, India is always better to get it all in place, that's where the clauses. But yes, generally we have clauses with almost all the companies.

Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management Private Limited. Please go ahead.

Vimal Gohil: Just wanted to know what are your CAPEX plans in absolute terms for FY24, how much would be Greenfield and what is going for the new plants or the CRB new plants, if you could just give us a split?

Sanjay Koul: So, for the greenfield which is the CRB, SRB plant, we had announced the CAPEX of...Avishrant, what was the exact amount?

Avishrant: Rs.600 crores over a period of next two years.

Sanjay Koul: So, you can take that Rs.300 crores each year or maybe 400, 200, so 600 is for the greenfield CRB, SRB. Other than that, the normal enhancement in our current plant in Jamshedpur, which we keep on doing, which is not a great sum. So that keeps on doing 5%, 10% generally that is happening. But this 600 crores over two

years is the major CAPEX for us this year and next year.

Vimal Gohil: You mentioned that existing plants are running at full capacity. Sir, would that be some sort of hindrance in terms of targeting a double digit growth that we are talking about especially when you are looking at very good opportunities within something like railways, metros is also doing well, so do you see capacity as some sort of a hindrance or you will be able to manage?

Sanjay Koul: No, like the plant which we purchased in Bharuch, the old ABC plant, there's lot of technology investments which we are doing continuously in that so that the productivity comes up. We are doing a lot of process automation. So it is becoming a different plant by the day. And then there is lot of insource, outsource, combination work and things like that. So I don't see an immediate need to kind of... it won't be a deterrent and if we see this is a deterrent to grow, then it makes a great case to invest. So, we are still not at that point. We want to leverage each asset and each investment to the hilt and only post that... To the direct question, no hindrance.

Vimal Gohil: So, sir, do you add more shifts to the production or how exactly will growth come when you are running at full capacity, do you add more shifts or -?

Sanjay Koul: At the end of the day, you need to produce more number of pieces and there are many ways to do that. It will take a lot of time to explain that. There are many ways to do in the existing capacity. You yourself said using more shifts, using more skills, then also there are many things which can be done say for example, if you have to say grind 500 microns, how do you grind the first 300 on a side etc., and then on the main asset 200. So there are many ways to increase and

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we continuously keep on doing that. And when that flex point comes for new inner spends or augmenting more lines, then we do that. And certainly, in this era when there is lot of automation happening, that itself is helping the cause of productivity.

Moderator: The next question is from the line of Sandeep from JM Financial. Please go ahead.

Sandeep: I had a couple of follow-up questions. First thing is in the market. The commentary that we have been hearing from some other players due to the entire Russia-Ukraine crisis and some sanctions, there is a big dip in the number of wind gearbox supplies, which is kind of impacting the demand for all the bearing companies here in India. So, if you could give some more clarity exactly what are these sanctions and how are impacting the demand?

Sanjay Koul: Sorry, you know if you could repeat, you said that because of the Russia-Ukraine war there was less utilization of gearboxes?

Sandeep: Yes, the demand is down and some part of it is also pertaining to the sanctions on some of the companies. So we are seeing your peer group companies reporting a big decline in the wind energy bearing supplies what they are doing to the companies overall. So how is that placed for Timken?

Sanjay Koul: For example, if there is a European company in Europe which has to produce gearboxes in Europe and his steel was coming out of Belarus or Ukraine, then obviously they are impacted.

But for Timken India Limited and our peer group looking at the Indian market, Ukraine war obviously there would be some impact. But to the gearbox market out of India, I personally have not seen that. Now Ukraine was not a big market for wind market or gear boxes. Definitely steel was coming out of Ukraine, steel was coming out of Belarus, Greece, steel was coming out of Russia, but alternate steel supply chains have been energized. So, there may be some companies might be feeling the impact differently. Timken company even globally have great supply chain which have risk mitigated, they have gone to the primary to secondary supply chain. For Timken India Limited now I don't see the imp

act.

Sandeep: Second question was on this for ABC bearings in Bharuch plant that we had acquired. You have done a lot of rejig at this plant over the years. The past you mentioned some and agri-related portfolio are shifted here. It was qualified for Timken circle as exports had jumped up or was start getting built up at this plant. So could you walk us through where we are in that entire capacity buildup stage, it was 160, 170 crores top line company when you had acquired. How you have scaled up, how the product profile has changed, and what is the export-domestic mix for this plant now, if you just give you a brief walk through that would be really helpful.

Sanjay Koul: When we acquired the plant in August 2018, it was only producing one that was ABC design and then it took us more than a year to invest, more than a year actually to get it to Timken Circle-R level, then we had to obviously introduce a new design because ABC fundamentally design was inferior to the grand scheme of things, it was a Japanese design. So, we have currently implemented all the changes and we are currently in the process of further enhancing those
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capabilities and we are producing in Timken Circle-R out of that plant and it is getting exported, it is getting exported to America and to Europe as well. And at the same time, the old ABC brand we are still making, and we are giving it to the customers who were buying it before. But we are not enhancing that much, we are enhancing more Timken Circle-R. Currently, we are 50-50, some months 40:60, some months 45:55, so 50-50 is Circle-R and that Circle-R which is being produced is exported and used also to our customers in India and 50% is being produced as ABC, and that goes also to the old customers of ABC. So, we are roughly at 50:50-ish.

Sandeep: Last question is on some of the indigenization that you have spoken about in the past regarding some of the child parts that you are outsourcing or buying out, but you had enhanced the capacity to do some of the child parts internally which will bring about cost efficiency. So, if you could just elaborate a bit more on that?

Sanjay Koul: As I said earlier that cages are indigenized a lot into India, whether it is rail cages or double axel cone or TSO, that is done. The child parts majorly which are the rollers we have mostly localized it. It can't be 100% because of the volumes and the cost, but majorly those expansions have been done and some of you guys had the chance to go to Jamshedpur earlier, they would have seen those expansions there. So, we are more or less expanded on those child parts and on cages, forging, stubbing we have now very nice 25, 30-year old supply chain in place.

Moderator: The next question is from the line of Devang Shah from Asit C Mehta Investment Intermediates Limited. Please go ahead.

Devang Shah: Sir, one thing is that we are seeing that there is a rise in other income in this particular financial year if we compare with a normal practice you have. So, can you just say what it is related to and is it something for this year only?

Sanjay Koul: Yes, this other income is one-off. This is the investment which we had done in Jamshedpur. So, this was the government incentive, that is the other income majorly. But I will ask Mr. Avishrant, our CFO, to add more light to it.

Avishrant Keshava: Exactly, you are right. And if you see in our September quarter, we had also given a note on our results in the financials that this other income is pertaining to the government incentive which we have received this year.

Devang Shah: So, this is related to this year and this is the -

Avishrant Keshava: That's around Rs.7-7.5 crores was the amount. So, if you remove that, then it will be almost at par with the previous years. Only with the volume of export and other things increasing, the other income pertaining to the exports also goes up.

Devan

g Shah: That is related to currency?

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Avishrant Keshava: No, no, no. See, the other income is basically my DBK and ROD DP. So, if my export volume goes up, those will also go. So, everything is normal for us. But if you see from the MIS of 3% what we were getting, it has come down to 1%. So now it is going exactly the same way for last almost 17, 18 months. But other than that, everything is normal except Jharkhand incentive which was Rs.7.5 crores, this was additional in the current year.

Devang Shah: Generally, we have seen that you have a certain portion of the investment that I believe that you are investing from your cash. So, I am asking what is the practice of the company generally -- don't want to keep a cash and certain portion is generally you are investing, how it is going to be a forward also?

Sanjay Koul: So general strategic direction is that we want to leverage the cash for more growth and if you see some investments of the cash is always short term. The major focus is this cash is going to be utilized for more growth. So, the intent is not to earn interest, interest is to invest in. So, these

are always in short term, three month kind of stuff that whenever we need anything for investment and as you know we are debt-free and we generate cash and we invest and that is the general direction. So the treasury would always like to, if the cash is there, they would like to invest in short term way. But the whole idea is the money should be invested for growth.

Avishrant Keshava: Whatever we are investing, we are investing because all this money will be required for the CAPEX in the current year as well as next year. So additional money whatever we are having, we are investing in the short term mostly in the liquid funds and just to split our risk we are also putting it in the FDs with the bank. So, we are not looking for the returns, rather we are looking more for the safety and security of those investments.

Moderator: The last question is from the line of Mukesh Saraf. Please go ahead Sir.

Mukesh Saraf: I just had a couple of questions. Sir, firstly, on the market shares in the domestic business, railways, CVs, etc., could you give some sense starting with railways because there we do keep hearing about a lot of competition, so any directional sense or numbers you can give on the market shares in FY23?

Sanjay Koul: Competition is not only in rail, we have competition everywhere. So, there is nothing unique in competition. In our truck business, we have competition, in our distribution we have competition, in process we have competition, competition is not new. So, our whole strategy is to keep on winning. To keep winning, you need elements of cost, you need elements of design, and you need elements of speed to the market, and you need others. So, competition is not only in rail, they are everywhere. So, this is going to be like that globally and in India the intent is keep on winning in the marketplace.

Mukesh Saraf: Any sense on market share you can give sir say on railways or CVs where we'll stand right now, probably how it was say a couple of years back and how it's now?

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Sanjay Koul: In railways we are the market leaders on Tapers and others are market leaders for SRB, CRB and when you start producing here. On commercial vehicles, differential & pinion. certainly Timken is market leader on Tapers, on wheel we are not the market leader. But if you want the exact percentage, I don't have it off my mind, I can give you later.

Mukesh Saraf: Sir. in terms of the revenues that we've done this quarter of Rs.800-odd crores, should we assume that most of the raw material impact, any of the contracts, all of them that had to be kind of pass-through, renewals, etc., all that have been done now and this is like a stable kind of revenues?

Sanjay Koul: So, what I would sa

y is that on passing the cost, India has to become like Europe and America.

It would be now a regular affair to pass on any cost so that our margins don't get eroded. The industry is tilting towards that, not only alloy, energy cost etc. plugged into it. So this endeavor will be on. While we have got price pass on because of cost escalation, but this game will be now not a one-time game, it will be a continuous game and the industry also understands it and that is why you see also the end consumer prices also going up. As I said, the order book for next couple of quarter looks pretty healthy and we are pretty much well entrenched on all sides currently.

Mukesh Saraf: So basically, there's nothing pending in terms of pass-throughs, they have all come through is what you are saying?

Sanjay Koul: Nothing major. So, thank you everybody. As usual, we learn a lot from these questions. So, thanks a lot. Thanks, Mukesh for setting it up for us. Thank you very much!

Moderator: On behalf of Avendus Spark, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2023

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30 June, 2023

The Secretary
National Stock Exchange of India Ltd.
Exchange Plaza,
Plot no. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051.
NSE Symbol: TIMKEN The Secretary
Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,
Sub: Update regarding Conference Call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 26 June, 2023. A copy of same is also available at the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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“Timken India Limited
Analyst/Investor Conference Call”
June 26, 2023

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER AND WHOLETIME DIRECTOR – TIMKEN
INDIA LIMITED

MODERATOR : MR. ANGAD KATDARE – MONARCH NETWORK
CAPITAL

Timken India Limited
June 26, 2023

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Moderator: Ladies and gentlemen, good day and welcome to the Timken India Limited Conference Call, hosted by Monarch Network Capital. As a reminder, all participant lines will be in the listen-

only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Angad Katdare from Monarch Network Capital. Thank you and over to you, sir.

Angad Katdare: Thank you, Ryan. Good afternoon, everyone. We are pleased to host the Senior Management of Timken India, represented by Mr. Sanjay Koul, Chairman and Managing Director of Timken India, and Mr. Avishrant Keshava, who is the Chief Financial Officer and Whole-Time Director of Timken India. Let us start the call with the small brief from the management and then we'll move on to the Q&A.

Thank you and over to you, sir.

Sanjay Koul: Thank you, Angad. Thank you very much. Thanks, everybody. Good afternoon from joining the call. The main agenda for my call is I owe at least a communication that our principals recently, which obviously everybody must have known in the marketplace, sold off 10% stake, and which brings the Timken Singapore stake from 68% down to 58%. And obviously, we started with a stake of 80%, then went down to 75% as the law of the land mandated, and then we did a no cash share swap deal when we took over ABC.

We came to roughly 68% and now the principal for strategic reasons have used the stake and we are at 58% now. And with that, I wanted to communicate that the strategic direction of the company, that is Timken India Limited, remains the same because Timken still remains a majority, anything above 50 remains majority stakeholders.

And in terms of technology, in terms of related things, everything remains the same. And we will continue serving the market for both exports, which is our major segment, and then followed by the domestic market, which is rail, industrial aftermarket, RE is becoming more important. So we will remain focused as we were, and as I have communicated before also, we don't play these commodity markets of two-wheeler, three-wheeler, small car. So, we will remain focused on rail, on RE, that is becoming bigger and better in India, metals, passenger, freight, etc., food and beverages becoming another new important market. So we remain focused on that.

As I have been telling before as well, the Indian bearing market is less than US\$2 billion, while the Chinese bearing market, for example, is US\$20 billion. So there is a huge growth coming into India as India becomes better-and-better on industrialization. We are at \$3.7 trillion going on to \$5 trillion, manufacturing slowly becoming 20% to 25% of that. So this pie is going to become bigger and better. Our focus on, our -- building our new plant in Bharuch is the same. We are building that at a very high speed, and hopefully by the end of next year, we will have the protos rolling out.

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Timken remain focused on creating value, which is our business model, creating value and using all our engineering might to go after the harsh application. Megatrends in India remain pretty good. Urbanization and smart cities - they are coming up, which is important for infrastructure. Electrification is happening, which is also good in the sense that railways are getting electrified. Though the auto OE side, we don't get impacted much currently. Energy transformation is very important. I think, everybody knows that on the wind -- offshore wind energy, there is a new focus from the government of India, which is very, very important. Population growth, which is helping

food and beverage market to grow. And then the AI and digitalization is helping manufacturing a lot.

So with that, I will stop here for a minute and see if there are any questions. The main idea of today's call was to communicate that Timken remains focused on the Indian market. It is a home market. TIL remains same, focused. And as you know, our peer group ownership is also in the 50s, so it is nothing new or strange. But we will keep on growing in India and TIL will remain a strong Timken arm in India in terms of gear value-add and we remain focused on creating more value for our shareholders.

I will stop here and take if there are any questions.

Moderator: Thank you. We will now begin the question-and-answer-session. Our first question comes from the line of Vipul Shah with Sumangal Investment. Please go ahead.

Vipul Shah: Hi, sir. What type of turnover we can expect once this expansion program of INR600 crores is completed within two years?

Sanjay Koul: So the turnover over a period of time, you know, for every dollar invested or every rupee invested 2x to 3x the asset turn going to be, obviously, the ramp-up and all that taking place will take two years to three years to reach that, but that is what we aim for.

Vipul Shah: So the final asset turn will be \$3 per \$1 of capex, is that understanding correct?

Sanjay Koul: Between \$2 to \$3.

Vipul Shah: Okay, sir. Thank you.

Sanjay Koul: Thank you.

Moderator: Thank you. Our next question comes from the line of Mahesh Bendre with LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Hi, sir. Thank you so much for the opportunity. Sir, I just wanted to know, I would like to hear from you regarding the near-term business outlook on -- both in domestic and export. Although, we had reported a very good growth last quarter, but if you look at the peers' numbers, they were not very encouraging. So I'm just trying to understand for industry as a whole, where do you see a near-term outlook?

Avishrant Keshava: So you know, I'm not going to give TIL outlook for future. I'm not going to tell what is our forecast for this, but in general, India is doing okay. So in general, India as a country is doing

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pretty much okay. Though, there are dips here and there, so we don't see the real slowing down, don't see the infrastructure slowing down, though obviously, you know, monsoon and you know, it is cyclical in nature. So those things are out there to play, but overall domestic remains pretty much okay.

Exports, on our side, we export to the world, but in general, we see that American market, there is a huge sentiment there, which is suggesting that there is going to be a recession. My personal take is that it is going to be softening of the US market, not completely falling by the rock. So that is what is in general, and as we speak, we are seeing pretty much okay traction on our class.

Mahesh Bendre: Okay, sure. Thank you so much, sir.

Moderator: Thank you. Our next question comes from the line of Abhishek Ghosh with DSP. Please go ahead.

Abhishek Ghosh: Yes, sir. Thank you so much for the opportunity, sir. So just a couple of questions in terms of the stake sale that has been done by the promoter entity. If you can just help us understand, is there a need of cash at the parent level, or how should one look at it? While you have mentioned that the commitment remains the same, but just from understanding because the last two dilutions, which we had seen were largely on account of one was to bring down the overall stake below 75%, and second was because of the Indian acquisition. So if you can just help us understand, it will be helpful, sir. Thanks.

Sanjay Koul: You know, it is a Promoter's call, so I'm not privy to that call. But in general, as we understand, Timken is a pretty much a stable company, is one of the most profitable bearing companies. So I'm sure th

is is for strategic reasons, not for any reason which is urgent or immediate or catastrophic in nature. So this certainly must be for strategic reasons. But at Timken India Limited, tactical level, functioning level, we are galloping and we are working towards our targets. So there is no change on that.

As far as how that cash will be used, I'm sure that they will announce it in time to come, they will reflect in their own earnings. But these are certainly for strategic reasons and not for any catastrophic reasons.

Abhishek Ghosh: Okay. That's helpful, sir. Sir, other thing is, if you just walk through your margin profile over the last few quarters, they have been fairly volatile. And if you look at it, in last two or three quarters, the margin profile has been softer because of I think the product mix. So how should one expect in terms of margin profile? Is it only going to come up with better exports now that raw material prices are beginning to come down? Just some color there will be helpful, sir.

Sanjay Koul: You know, the color I can give you, looking at say, the last five years, the revenue for Timken India Limited in last five years, if I take '18 as a base, have doubled. Our EBITDA margin have been around 20%, 20-plus percentage. Even FY '22, we were at 23%, then we came down because obviously of the alloy steel pricing etc, our EPS, last five years have been a CAGR of 31%. So now looking at, quarter-by-quarter, obviously, there are those volatilities. There was two years back, logistic was a big challenge, steel became a big challenge.

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So all these challenges were very much there. Now the steel prices are coming down. And then the battle still remains with the OEs that energy cost has gone up, manpower cost has gone up, so you know, those cannot be passed on. So these are continued, there is the Indian market in these terms are a little bit volatile, but I think, generally, if you see our last three, four years, we've been at the range of, EBITDA has been at the range of 20-plus. So that has been our

history so far.

Abhishek Ghosh: Great. So just one last question. Railways, which is almost about 16%, 17% of your overall top line of FY '23, that seems to be seeing a lot of inflection and there seems to be a lot of growth which is coming in. So how should one look at that segment over the next two to three years given the overall investments that one is seeing in terms of wagon manufacturing, the new Vande Bharat trains, just a thought there, what can it look like in next two to three years?

Sanjay Koul: So, you know, I think rail will always grow in India, because the base of the rail in India is pretty much weak. So this has to keep on growing, though, this pace could be very fast, but it will be pretty decent growth in next 10 years, there has to be, more freight corridors has to be built, the old Shaladian will have to go away. If you -- we had -- the Indian Railways had a serious accident in Odisha. But if you see the coaches did not crumple this time, because freight LHB coaches were used. Though, there was obviously a high speed disaster there. But generally, if the Shaladian would have been they would have all collapsed, death rate, God forbid, would have been very, very high.

So, all this Vande Bharat is just that is coming out of the latest platform out of railways. So this growth will remain there, but this growth has to go, India has to carry more freight, more dedicated freight corridors, more ex-load, more passenger. Now that passenger wants more comfort, so obviously Vande Bharat and elite trains just now they announced Vande Bharat with sleeper. So all this will mean that more and more build has to take place.

And also, I see a lot of traction from Railway Ministry now on safety, which means that only technological companies which have really technical strength will be able

to deliver those

products which now the railway is asking for. So I think, it is going to remain solid for good companies in bearing and allied areas. And we are well entrenched in this market, very well entrenched and we will for sure contribute to the growth.

Abhishek Ghosh: Thank you so much for answering my questions and wish you all the best, sir. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Bharat Sheth with Quest Investment Advisors. Please go ahead.

Bharat Sheth: Hi, good afternoon sir and thanks for the opportunity. Sir, in your opening remark, you say, also mentioned that RE is a major focus. So far I mean, wind power was not very significantly happening in India. And with now, all I mean, whatever issue has been resolved by the government and we are understanding there is a huge traction in the RE wind side. So if you can give some color what are current level and how do we see that business? And you also alluded Timken India Limited

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on the export US, so where do we like to see our export? Say in coming five years, the way you said, in five years, we double so on this base, how do we see five years?

Sanjay Koul: So on the RE side, if you see India is pretty much burning coal to generate power. Still our majority of the electricity is coming from coal-based plants and it is only last four, five years now solar is contributing. India is blessed with a long shoreline, though the wind tunnel inland is weak but our offshore capability is huge. So India per se, today is making gear boxes which are getting exported out of India.

The Chinese plants are full, the gear box, the good companies, their capacities are full. So even for export of the gear boxes, there is a good chance for India to ride the wave. Obviously, every company sees it a little bit differently. I don't know how our peer group is looking at it. But how we look at it currently, ourselves is that the RE has become, even within our portfolio of Timken India Limited, it has almost, it is double digit of our portfolio.

And this offshore as they install the 8 megawatts, 6 megawatts, I was calculating, they said 140 watts and divided by 6 megawatts, 20,000 gear boxes and allied equipment would be required if Government of India hits the plan of their wind energy. So, wind energy has a big scope because India generally is producing very few, out of wind. Shoreline is great, especially the shores inside of Kutch, etcetera, where we cannot use it much for maritime navigation, so that can be used pretty nicely.

So, that coming times on wind, both for domestic and I hope for exports also remain vibrant as Flender, ZF etc. will start exporting more and more out of India because the European wind market is going to compete. The European in Europe will be competing with the Chinese wind market. So best cost countries will remain very important.

So, I think wind is going to be growing in India and for the bearing guys, if it is direct drive or if it is gear box driven, a lot of bearings will get consumed. The size range, we have to see, what kind of size ranges will be required for that. So as far as exports are concerned, Timken India is committed to have well diversified market sector mix and export is part of that. We have been consistently exporting, if you see, last more than a decade, it has remained a good share and it

will remain as a good share, our export out of our Jamshedpur plant and Bharuch plant and then future the new plant which we are building at Bharuch.

We all are focusing for critical markets, strategic markets within India, but at the same time, export is going to remain important because of the fact that, large bearing out of India going to ASEAN, going to Australia is lot more convenient than any other place extra. So we will remain very focused on exports. It remains important for the principle as well

I to utilize India as its best

cost country source and obviously, China Plus One is playing its role as well.

So all put together, I see exports will remain firm. Now obviously, every market will not remain always growing around the world. There will be dips and ups and downs, so that has to be seen over a period of time, but generally for us, exports will keep on growing. And as we have proved in the last five years, we have doubled. Obviously, we want to keep on growing our share of business in India, growing our exports out of India and Indian market is growing at 7-8%. So, Timken India Limited

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7-8% plus, if I outgrow the market a little bit, so that can tell you the story on, how do we want to grow in Indian market.

Bharat Sheth: Adding to this, RE aside, when we are talking of offshore wind, where the bearing requirement will be much larger, so are we having a strategy to whenever opportunity comes to manufacture in India or will it be imported?

Sanjay Koul: So, in order to obviously, we have to see, how it grows as depending on what size it is going to be, 6 megawatts or is it going to be 14 megawatts? So it is still unknown, but as it unravels, large size bearings in India are still not produced. The supply chains are still evolving in that, steel for large bore is still not available, but everybody is watching as I am connected to the industry. So everybody is watching, how it is going, what kind of investments are required, both in terms of steel making or forging and things like that. So all that is going to evolve and initially, we will certainly use our global facilities and import into India and as the critical mass grows, definitely these are large bearings. They should be made closer to the customer rather than away from the customer.

Bharat Sheth: Thank you and all the best, sir.

Moderator: Thank you. Our next question comes from the line of Mukesh Saraf with Avendus Spark. Please go ahead.

Mukesh Saraf: Good evening, sir. Thank you for the opportunity. Just a question from my side, again from the parent's strategic perspective. Is there any change in the way the parents are looking at the other entity in India, Timken Engineering? Could you give some color on that? So will there be any change in the way we deal with them, the parent which is better today? Anything on that side will be helpful, sir.

Sanjay Koul: Mukesh, sorry, your voice was breaking but if I could get the question, is it that, how the principal would look at the other entity in India?

Mukesh Saraf: Yes, absolutely, sir.

Sanjay Koul: No change in that, absolutely no change in that. Timken India Limited would be the growth engine for Timken in India, both in terms of investment and sales in India and that focus remains.

I don't think that is changing anyway. It is going to remain focused as TIL as the growth engine and obviously, for good governance globally, we want to make sure that, we follow the good governance rule and that is how, Timken works globally. So let us see, what happens in the future but TIL remains the focus.

Mukesh Saraf: And just in continuation to that, sir, once our plant in Gujarat starts, will there be any difference in the way, we deal with Timken Engineering in terms of some of the traded goods there? Will you want to be manufacturing more of those at the Gujarat facility?

Sanjay Koul: No, same, if again, your voice is not clear, so whatever we manufacture in Bharuch, those sizes will only be made in TIL in Bharuch. Engineering will be free flowing and we follow the same royalty pattern.

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Mukesh Saraf: Right, all right, sir. That is what I wanted to ask. Thank you so much.

Moderator: Thank you. Our next question comes from the line of Achala Kanitkar with Aditya Birla Capital. Please go ahead.

Chanchal: Hi, thank

s for the call. Chanchal here, Achala's colleague. Just most of our questions are answered. Just one thing, globally, you have diversified to industrial motion, which is almost 30% of the business. India bearing is the bigger component. So any thought on diversification of India business and becoming a big industrial player?

Sanjay Koul: So that is absolutely a great question. And globally, obviously, Timken Company \$1.4 billion worth of revenue, out of the \$4.5 billion is coming out of the companies like Rollon Drive, GGB, Beka, Diamond, Cone, Spinea, etcetera. So all these are basically, if you see, these are the companies which Timken Company has taken over and they have taken them over with a certain strategic intent. If you see, in a power train, industrial motion, engineering bearing, they are adjacent products. They are all close to each other.

If you see a powertrain in any industry, you will see bearings, motors, split bearings, gear boxes, couplings, brakes, chain, belt, mounting bearing, lubrication system, clutch. So all this is part of the drivetrain. And if you go to any company, this is how, the drivetrain will look like. Generally, we are giving them the bearing, somebody was giving the coupling, somebody was giving the clutch. And Timken has taken over these companies, which I just mentioned. Lovejoy, for example, is a coupling company, Diamond is a chain company, Rollon is a linear motion company, etcetera.

So now, you look at it holistically, all these companies, which Timken Company, parents have taken over, they are generally either based out of America or they are based out of Europe. Now North America, Europe are not today among the best cost countries in the world. All these bearings need the same kind of engineering extra, which is they need steel, they need forging, they need machining, they need heat treat, they need related kind of things.

So, I think we still do not have any firm plan to start sourcing, but it is a matter of time that these dots have to get connected. And they are important because Indian market itself, lubrication market, chain market, coupling market, they are very nice markets and for sure they need technology product. And Timken has the technology now through Rollon, through BEKA, through GGB, through Philadelphia Gear, etcetera. We got those technologies available. So it is a matter of time, these dots get connected and we can serve the customer complete package solutions. So that is what it will eventually lead to. But if you say, am I going tomorrow? No, tomorrow is not happening.

Though we are doing some sales currently by importing. For example, Pune Metro has our lubrication system, which we imported and assembled here in India and we installed that, it is running great. So, but this is natural, India is best cost country, China Plus One, all that put together and these companies are in North America and Europe, they are not best cost country.

Chanchal: Today, less than 5% of the sales will be coming from this industrial motion in India...

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Sanjay Koul: For us in India, it is minuscule, yes, minuscule.

Chanchal: Understood. Sir, globally, because of your acquisition, your debt is almost \$1.7 billion. So, I can assume that, the money raised through Timken was to reduce this debt and globally, you want to diversify further and that will benefit India over longer term.

Sanjay Koul: Obviously, if I was a global CEO, I would be...

Chanchal: That is not one plus one, the debt level is so high globally. So that could have been reason for your diversification plan globally which you are trying to play it out?

Sanjay Koul: You know, you are answering, you are raising your question and answering yourself. So I can't say anything. Only I can say that, these are for strategic reasons and I am not privy to how they want to solve that debt but 1

00%, this is for strategic reasons. We are focused on TIL. TIL remains on a growth path.

Chanchal: Sure Sanjay, thanks. Wish you all the best.

Moderator: Thank you. Our next question comes from the line of Sabyasachi Mukerji with Bajaj FinServ. Please go ahead.

Sabyasachi Mukerji: Okay, yes.

Sanjay Koul: Okay. This should be the last question as it is 4.15. Yes, Sabyasachi. Hello Sabyasachi.

Sabyasachi Mukerji: Hi, sir. Thank you for the opportunity. So, my question is on the railways, what is the kind of market opportunity that we are seeing? Any thumb rule for the bearing requirement for freight wagons and something like passenger coaches that goes into Vande Bharat?

Sanjay Koul: So, freight wagons are all on the tapered roller bearings. So, currently they are using what we call as a Class E and we just migrated the railways to a high capacity Class E for the dedicated freight corridor bearings. They use a higher extra load, which is known as Class K. Globally, Class G is used. So, all this, we will follow as we did on the Vande Bharat. Obviously, when the first 12 rake of freight LHB came to India, they were on Timken bearings, Timken CTRBs and Vande Bharat will keep on using the tapered roller bearings. So this opportunity is going to get better and bigger as the time comes.

Sabyasachi Mukerji: Any value terms, the opportunity size?

Sanjay Koul: These are growing at a decent CAGR of 7%, 8%, 9%, so Indian railways is budget allocation, it is through finance ministry, so a lot of things are there. So, it is following a pattern and will get better with every year.

Sabyasachi Mukerji: Okay and the CRB and SRB, that you are planning to manufacture, what is the end application and what is the market size, in India, at currently?

Sanjay Koul: For SRBs and CRBs are used for, we supply tapers to the metal market, though we supply SRB, CRB but in little quantities, so it goes to almost all stationary equipment used. It is great in sugar

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industry, it is used in paper industry, it is used in cement industry a lot, it is used in material handling, so it is used in railways also. We did not supply that so far, it is used in, on some of the motor MU220 is the part number things like that. So, it has a wide application, generally SRBs are used for self-aligning, so there are a lot of such equipment and the market is a INR1,000 crores market so and it is a stage, India per capita consumption of steel is still very less compared to other countries.

So more and more steel will get produced in India, consumed in India, more and more cement gets produced and consumed in India, so obviously all this will mean that, this market will keep on growing. India still is an immature market, if you see 65% is mobile, which means two-wheeler, three-wheeler, four-wheeler, washing machine, refrigerator but if you see a mature market, generally the stationary equipment will be at least 50%. So this market is bound to grow.

Sabyasachi Mukerji: Got it, sir. Last question if I can speak. Sir, out of this INR2,800 odd crores of revenue in FY '23, what would be the portion that, we have manufactured and what would be traded?

Sanjay Koul: 70% is locally manufactured.

Sabyasachi Mukerji: Sorry, I missed your number.

Sanjay Koul: Yes, it is generally, 65% to 70% is locally manufactured, 35% odd is traded into India and we are exporting also roughly, the same, so that is the ratio currently.

Sabyasachi Mukerji: 65% to 70% is locally manufactured, that is the number, yes?

Sanjay Koul: Yes, that is right. And depending on quarter to quarter but that is roughly, the overall number.

Sabyasachi Mukerji: Thank you, that's all from my side.

Sanjay Koul: Thank you, I think with that, we can say thank you everybody, thanks a lot. I hope I have been able to answer some of your questions and good day and God bless you.

Modera

tor: Thank you. On behalf of Monarch Network Capital that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2023

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25 August, 2023

The Secretary
National Stock Exchange of India Ltd.
Exchange Plaza,
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Mumbai – 400 051.
NSE Symbol: TIMKEN The Secretary
Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 22 August, 2023.
A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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“Timken India Limited
Q1 FY 23-24 Earnings Conference Call”
22 August, 2023

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER AND WHOLE-TIME DIRECTOR – TIMKEN
INDIA LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY '24 Earnings Conference Call of Timken India Limited. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you and over to you, Mr. Saraf.

Mukesh Saraf: Thank you, Michelle. Good afternoon. Mukesh Saraf here from Avendus Spark. Appreciate everybody logging in. I'm very pleased to be hosting Mr. Sanjay Koul, Chairman and Managing Director of Timken India; and Mr. Avishrant Keshava, CFO and Whole-Time Director of Timken India.

We'll start with brief opening remarks from Mr. Koul and follow it up with a Q&A. Over to you, sir.

Sanjay Koul: Okay. Thank you, Mukesh. I hope I'm clear. Generally, we jump into the question-and-answers quickly, but this time around, so that same questions can be answered with my opening remark. Obviously, this first quarter was one of our better quarters. If you see the seasonality, the first quarter generally is subdued, Y-o-Y it was 3% better. The last quarter of the previous fiscal year was also one of our best and we had a de-growth of 10% top line, but no de-growth on EBITDA or PBT, in fact they were slightly better.

So, I would start with telling the percentage of the pie that is how our sale pie was in Q1 '23 and '24. Rail was 20% of that, mobile, others was 26%, distribution was 16% and process was 17%, intercompany was 21%. So this was the spread of Q1 '23-'24. If you look at Q1 '22-'23, the distribution that time; rail was contributing 15%, mobile, others was 21%, distribution was 16%, process was 15% and intercompany was 33%.

So over the two quarters, Q1 '22-'23 to Q1 '23-'24; we grew in rail, we grew in mobile, we grew in distribution, we grew in process; we had a de-growth of intercompany which is the exports. But if you see with respect to the previous quarter, which was one of our best quarters if you look at the history, we had an overall de-growth of sales of almost 10%. But our, as I earlier said, PBT and EBITDA both were okay. We are holding on it. Our contribution in this quarter was 41% and the previous was only 38% and EBITDA was 19.96%, compared to 19.72% of the three months which ended in March, which was the last quarter.

So basically if you see, obviously the first quarter results were lower, top line was lower than the previous quarter and bottom line was lower if you see to the quarter which was in the previous year. But if you look at it and you slice it properly, you see the revenue expanded across most

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of the front-end units. The pace was slow, but we grew in most of the front-end units compared to the previous year.

We concluded actually the best-ever first quarter numbers 3% favorable to the Y-o-Y. And as I earlier said, our Q4 was among the best in the history of the Timken India Limited so that was that. Exports revenue experienced a year-on-year decline in the midst of we know that America is -- actually end user is not slowing down that much, but the overall economic de-acceleration and those influx inventory adjustment and the safety stocks were going down, which would lead to the question that why did we shut down.

So if you see, cert

ainly exports were down. Our last quarter of previous fiscal year was among the best. The first quarter if you see the cyclicity, Y-o-Y it grew 3%. But overall, certainly there is a global slowdown, China is down. So China is down and if we are exporting bearings - China is down, it is consuming less say, for example coal from Australia and if Australia is buying bearings from India, it has an impact. So these are complicated global supply chains.

So with that, I would pause here and start and wait for the questions.

Moderator: Thank you very much, sir. We will take the first question from the line of Hardik Doshi from White Whale Partners. Please go ahead.

Hardik Doshi: Can you give a breakup of your fourth quarter sales by channel and maybe for 1Q of '24 and 1Q '23 and maybe for 4Q as well?

Sanjay Koul: Sorry, your voice broke up a little bit. You want the Q1 '22-'23 and Q4 '22-'23?

Hardik Doshi: Q4 '22-'23.

Sanjay Koul: Okay. You want the breakup. So Q4 breakup was: rail was 23%, mobile others was 25%, distribution was 16%, process 17%, intercompany was 19%. That was the Q4 '22-'23 pie.

Hardik Doshi: Okay. So just looking at the intercompany which I assume is all the exports, that's down almost 30% year-on-year. So is that a dip in demand in the end markets or the end customers or is there a shift in production away from India and maybe Timken China or other economy is kind of doing more production and supplying to the parent?

Sanjay Koul: So you're right. So the intercompany with respect to say, Q1 '22-'23 was down by 34%. So this is primarily if you see, obviously China is not in the equation at all because of the fact that the Chinese taper landed in America draws more than 70%, 80% of import duty. So that apprehension can be put on one side. So the major, you know, as we were in March there was this discussion certainly on the heavy truck stuff and all that.

While the end user demand is not that down as you look at the quarterly results of the Timken Company also. The end user demand is not that down; but the apprehension about the de-acceleration of the economy, softening of the economy is making sure that all our customers and then intercompany Timken Company is also lowering the safety stocks. And at times global companies, global customers do some knee jerk reaction and they want to cut down inventories

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quickly, want to generate more working capital and also look at the possibility of reducing the safety stock. So, this is nothing to do of moving production.

So production remains intact, customer base remains intact, but certainly is that the softening is very much there. Now the softening is at this stage -- it can change in three months' time. At this stage, the softening looks to be more of correction of inventory safety stock rather than the end user demand going drastically down. It is slightly down, but not drastic down. So there is this issue. China definitely is softening down. So if Indonesia was buying coal from China and Indonesia mining required bearing so obviously that is going down or Australian coal was going to China or Australian coal prices are down as we talked, etcetera.

Those integrate global supply chains have their effect. But to answer your question, our shifting of production is not happening. Obviously Timken India Limited has among the best cost and quality and delivery metrics in place, but it is to be the impact of the various geopolitical and market economics, etcetera. Now is it going to be two quarter down, six quarter down in America, etcetera; that is a question of debate. So that is where it stands currently.

Hardik Doshi: Okay. So I was just wanting to understand what is the break-up of our intercompany sales by geography like how much is US, Europe, Asia, Australia?

Sanjay Koul: Generally 50% of our exports, 50%, 60% are to North America and res

t are scattered in ASEAN,

Europe, Australia, etcetera; but the bulk goes to US.

Hardik Doshi: Got it. We announced a factory shutdown. That was also because of this weakness in export or has there been weakness in other segments as well in the current quarter?

Sanjay Koul: So obviously this question most of our colleagues will have. So, I will give a little bit of a long answer. So shut down, obviously as a very transparent company, we did not mix words saying that we are in maintenance or we are underground. We said that we are doing a week shutdown. And some of us might have questions regarding my previous investor call during which we did mention our plants are operating at good capacity and we implemented this shutdown, etcetera. It is important to understand that the plant utilization for a specific facility does not have a direct linear correlation with the company. Obviously we are importing and we have domestic production. So our revenue is a component of domestic manufactured goods which are made in Jamshedpur and also made in Bharuch; and then we are exporting, we are trading, we are importing into India.

So our statement generally are reflective of the current prevailing situation. So economic growth or slowdown, as we say, is the contingent and it is getting complicated by the day. So many factors, geopolitics, dynamics, captive infra, etcetera. So all these intricate connections on one side, we generally will always, our declared shutdown primarily are aimed to enhance the efficiency. If I have to produce 7 lakh rings a month, should I do it in 30 days and announce no shutdown or should I do it in 21 days so that I can further enhance efficiency, undertake some preventative maintenance and obviously push the profitability by cutting cost. Say for example, seven days, six days, if we shut down the plants, we don't have -- our plants are air conditioned

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in Jamshedpur as we make rail and we make differential pieces so they have temperature controlled so we shut them off, then we don't have the cost of canteen etcetera.

So these are not mega savings, but definitely saving and in this game every rupee saved is good.

So the principal of shut down, if you see last 10 - 15 years, we have been doing shutdowns off and on and they are generally yielding favorable results rather than deteriorating results for our cost. Our historical performance can easily say, we don't generally obviously forecast the future. But when we see that our current demand can be compressed and looking at the future demand, we can optimize production, we will make sure that how the cost can be managed.

So certainly this shutdown is because of lack of exports to the normal median. We saw that we can produce required quantities in this number of days, shut down this number of days and save on electricity, save on leaves. For example we ask our associates to take leave, go on holidays so that it gets consumed and we optimize our manufacturing cost.

Hardik Doshi: Okay. Just one last question. How is the outlook on the railway? There has been a lot of news flow on capex in railway and a lot of wagon order, etcetera. So how are you seeing demand on railway over the next 12 months?

Sanjay Koul: I think that railway is pretty much going okay. So rail is pretty much going okay. Heavy truck, you guys know better than me. Tractor, off-highway is going okay. Steel production is also going okay. Cement is also going okay. So I think the GDP growth of 6%, 6.5% and wherever possibility of getting more penetration. So generally, except heavy truck, more or less okay and export is down. That is the general. Now export, this time -- I've been watching this for a long time. So this time the American market end user demand and the reaction of the customers does not have an equal correlation. The demand there is not falling to the level; th

e safety stocks and

the inventories have been taken out.

Hardik Doshi: Okay. Got it. Thank you.

Moderator: Thank you. We'll take the next question from the line of Rajesh Kothari from Alfaccurate Advisors. Please go ahead.

Rajesh Kothari: My first question is when you look at from the business over the next two - three years perspective, do you see any significant change compared to what we have been talking in last 12 months or so, in terms of the capex, in terms of the potential of the opportunity into the various regions and also the significant improvement in domestic market particularly from the new growth drivers like new product launches and the new segments? If you can give little bit colour on that, that would be useful.

Sanjay Koul: Yes. So, for sure I think that if you see globally, last four - five years were a good run for the bearing companies globally. So as we look for next two to three years, India certainly is going to be a nice market to be in. Our overall GDP is growing and manufacturing pie is growing in that. We are looking at --, India is looking at putting more offshore wind mills into place. The solar system, harvesting solar power is getting more mechanized. It has started.

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Rather than putting fixed panels, they want to put now rotatory panels. So India is pretty much -- as I look at the global markets for next 24 months, I see India pretty much doing well.

Indonesian market going up, Korean market certainly going up strongly, Vietnam going up, America next couple of quarters will tell the real story there which is a big market, China we know is going down. For Timken India Limited, that is not a bad news.

So overall India certainly is going to be a shining star in the global game, more manufacturing is going to happen. The sustainable cost-quality-delivery out of Indian engineering companies is going to be helpful and obviously the political stability is important. Nobody can predict that. And if I assume that the political stability is there and this pace is continued so the way the infra is coming up, the way the Northeast and J&K infra they want to push it up, the way now the focus is on more wind, more green, etcetera. So this is good news.

As we speak, we are investing and building this new factory in Bharuch at very high speed. Though, we have said the production will be end of next year, but we want to do everything possible to save on days and weeks and produce quickly because that product is meant for steel, is meant for cement, energy etcetera.

So I'm not worried about the future at all. And obviously for the Indian market, it is like those two words on the Sai Baba Temple, Shraddha and Saburi. So you need patience and trust with the Indian market and this market is definitely bound to only shine and shine, not only for next 2, 3 years. If this pace remains same and stability remains same, next decade is going to be a great decade.

Obviously, there will be cyclicity, there will be bad monsoon, there will be good monsoon, there will be flood. So for example who knew Manipur would burn and then when Manipur burned,

what happened in that region, there is a good auto aftermarket consumption on differential and pinion. Now all of a sudden everything stopped there. So nobody can predict those things. So barring keeping those things as high, I think India is going to remain pretty solid and growing. Rajesh Kothari: I see. And one line on overall profitability, any specifics in terms of raw material, of course prices are coming down. Do you see from 1Q level, there is a scope to improve the profitability? Sanjay Koul: So steel certainly is coming down and should hopefully come down further. But at the same time, the other costs are going up. Energy is going up definitely. You have transportation cost involved, labour cost involved though the change of labour cos

t is still I would say stable compared to other nations of the world. But there are inflation pressures other than the steel, other than the raw material. So there are those pressures so obviously, say Jamshedpur, we are continuously working that from the melt of the steel to the finished bearing. The number of kilometres travelled is reduced and reduced and reduced. Obviously this is easier said than done. But still we have steel plant in Jamshedpur where we buy steel not the whole lot, but a portion of it. So within 20 miles, we produce melt to finish. So we are working on those, one was indigenous 5 years back localization of steel. Now it is minimization of these supply chains so that the kilometres travelled by every ring is minimized
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and minimized and minimized and then obviously it also helps on our overall ESG targets of reducing number of grams of CO2 for each bearing produced and then obviously those applications. So on profitability, I would say that definitely alloy prices are coming down, that will have its own bearing. But at the same time, the other costs are going up. So our endeavour is to certainly better the profitability of the company, which is if you see compared to last quarter, though my sales came down compared to the first quarter by 10%, the profitability went little bit up actually. So that can give you an indication our work on the cost piece of it. Rajesh Kothari: Okay. And just last question on my side. On the railway side, can you give little bit insight and little bit more details about how do you see the railway segment growing and over next 3-5 years, do you think there is a scope for significant improvement in railway as a component of your total revenue mix? Sanjay Koul: So I think that certainly rail is a really strong piece of Timken India Limited and we have made these supply chains which are 30 years old. We are also improving on the product side of it. What was used on those bearings on freight say for example 10 years back is now changed. Different technology in sealing, different technology in grease and hopefully in future, this technology will also be more tuned to condition monitoring and things like that. So rail is a stronghold of ours and we are working over time and obviously competition will be always there and it is there. It is not that the competition was not there and suddenly it's coming up. So everybody will fight with their own localization trends and improvement trends. But we at Timken India see rail remaining strong. Obviously the game is about better supply chains and better product technology. The Indian Railways deserves better product in order to become a global standard rail. And on the railway side, we obviously see that the need of mass rapid transportation is only growing so which means that we all see more metros in coming years. We have the Agra Metro, we have Indore Metro, we have all these metros are building up and more and more metros will be built up because you can only make that much road within the city. The freight modernization plan obviously is working well so that is on. And then with the electrification, diesel locos are going to produce less, more electrical locos are being produced more. We were not much present in the electrical locomotives, but the good news is that we have recently got approval from RDSO, so we'll be producing bearings and we'll be penetrating the electrical loco market. So overall Indian railways if you see is going to grow for next 10-15 years. Now the pace of the growth is a challenge. Can they grow double-digit CAGR say for example for our bearing every year or it will be a slow and steady growth? So this growth is bound to happen. India is a large country, large population, you have a huge population which will use trains and there is a need of dedicated freight corridors across criss-

crossing India. So all this is going to come. So barring the political will, I would say that rail is going to remain a strong development market for India and Timken globally is pretty much a leader in rails. And
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in India we have one of the best manufacturing setups and great supply chain. So it will remain interesting and important for us for the coming years.

Moderator: We'll take the next question from the line of Deepesh Agarwal from UTI AMC.

Deepesh Agarwal: Can you update on the CRB and SRB capex? Is there any change in those plants given the way export market is currently?

Sanjay Koul: So the change is that we want to build it faster, so that is a positive change. Bharuch SRB/CRB project is actually progressing smoothly and is going to be better than the timelines. We want to produce it fast and complete it fast. Major equipments are ordered, civil work is currently on track. Though there was heavy monsoon in Bharuch for some time, but now currently as we talk binding is happening. We are also working with the local government, local stakeholders for hiring. So everything is moving at a pretty fast pace.

We have put up a special team which is focusing on the smooth execution of this plan. Most of the equipment is going to be coming from the best developed machine tool countries of the world, so work is on progress there. A group of operators, which are currently getting interviewed, will be sent for advanced training to different parts of the world. So this plant definitely is going to be a special world-class plant.

We are speeding it up. Though, as you said which is right, the global market has slowed down, Indian market definitely is very much there. We import and sell SRB/CRB, but not to a large extent. So given our knowledge on supply chain and manufacturing and selling tapers majorly to those customers of steel, energy, cement, etcetera. So we are very excited, we are not slowing down at all.

And hopefully in some quarters, there is -- like Indonesian market is not slowing down, Korean market is not slowing down, Australia is largely slowing down because of exports to China. So we are, actually to answer your question, speeding up the building of this new plant. Our orders have been placed for civil, that work is going on. PEB orders are in place, the floor execution is as we talked. In the other room, our supply chain folks are negotiating for the 66KV line. So work is in full swing.

Deepesh Agarwal: So expected timeline continues to be fourth quarter of FY '24, right?

Sanjay Koul: So as I said, that is our official line, all focused to speed it up.

Deepesh Agarwal: Understood. Sir, another question is on the gross margin. If I see there is a gross margin improvement in this quarter to around 41%. But if we look at the trend of Timken over last 3, 4 years, you are still at least 300 - 400 basis points lower on the gross margin. So do you think can we go back to that 44%, 45% gross margin as now the commodity inflation has actually moderated?

Sanjay Koul: Yes. So if you see our 3 months, which ended on '22 June; on 30-06-'22, our contribution was say 46%. We were at 38% on March '23 and now we are at 41%. So obviously the alloys are softening and they would soften further. But at the same time, the coal prices are going down in Timken India Limited

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Australia as I said. But at the same time, certainly we all know that we got challenges of inflation on energy cost.

There are energy cost increases happening. There are other inflation costs on say for example oils and things like that, but they are not to the tune of what one gets hit by the raw materials. So raw materials getting positive, others going a little bit up. And as I said earlier, the endeavour is to create supply chains of excellence. For example when you

see Hyundai putting up a car plant, they bring the supply chain and they are all around them.

So Jamshedpur is a similar model for us if you see. We have Tata Steel pouring steel there, rolling the bars and we do lot of forging, turning, heat treat, finishing and then moving this stuff from there to Tata Motor Jamshedpur or to Indian Railways or to Calcutta. So we are trying to do that in order to compress and negate the cost. Alloys are becoming soft, but there are other inflation challenges which we cannot negate. For example, state electricity board or JUSCO power price goes up, we have to pay. There is no way out.

Deepesh Agarwal: Last question before I join the queue. Parent has a sizable industrial motion business, which is currently not there in India. As and when there is a market for this business in India, would it come through Timken India and what would be the role of Timken in those businesses?

Sanjay Koul: So the direction is very clear. Whatever we will sell in India will be always through Timken India Limited. So that is the statement which I can meet with confidence. So industrial motion, we have already started selling little bit say for example on Pune Metro the lubrication system, which Timken India Limited sold. It was a small sales, but came from Germany and came from industrial motion part. So if you see that the industrial motion is couplings, chains, belts,

lubrication system; all of this have a nice market in India.

The Timken Company parent has a very good hold on the technology including Rollon, which is doing linear motion. Currently as we speak, we have developed supplier base for a machine for certain of these iron companies, which are getting exported. So it is a matter of time that with best cost sourcing out of India and then the Indian market would happen. When it will happen, I cannot say that. But certainly, whenever it happens, it will be sold through Timken India Limited.

Moderator: We'll take the next question from the line of Pramod Amthe from Incred Capital.

Pramod Amthe: So, this is with regard to the exports and especially U.S. which seems to be forming 15%, 17% of your top line. So the slowdown you see is more coming from Class 8 or you feel the non-Class 8 exports are the ones which are disappointing?

Sanjay Koul: Yes. So basically certainly the exports out of North America is definitely softening and it is across the board as we see our major customers in Ag or in off-highway are bringing down their safety stocks, they are bringing down their inventories. Even in the rail, we see everybody killing their inventory. And then the intercompany itself, the bearing companies itself also looking at better cash flow, they are also looking at minimizing the safety stock and inventory.

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And then obviously when it comes back, then the bumper piece happens. But currently it is not only heavy trucks. It is across the board, people are cutting down their inventories, cutting down their safety stock including our parent.

Pramod Amthe: Looking at, considering also the intercompany one, what's the visibility for exports outlook for this year? Because last year was pretty lumpy for you? So would it be -- what type of a decline to build in for exports for full financial year FY '24?

Sanjay Koul: So if you see Q1 '22-'23, export was 33% of our pie. Now this first quarter '23-'24 it is 21%. And compared to the last quarter, which was the last quarter of last fiscal year, it is flat. So I would say that this range of 21% of the pie is the worst-case scenario and any further movement should take the graph up.

Pramod Amthe: Okay. And related to that is again the plant maintenance shutdown which you have taken. So are the capacities fungible or you feel exports can be a few more quarter phenomenon and hence you would like to reallocate your capacity for higher growth areas?

Is that a possibility in the short term to do that?

Sanjay Koul: So all these capacities which we term are in Jamshedpur for example; we make 0-inch to 8-inch taper roller bearing, we make the rail bearings and we make some small amount of special bearings there. So all these are fungible. Assets remain same, the tooling get changed. For example you want to make 32213, where the board is 65 millimeters, it goes on the same line as 33019, which is a larger bearing board is closer to 100 millimeters, the tooling would change. So these capacities are fungible and can do in this range of 0-inch to 8-inch, which is 200 millimeters, they can do across the board. So these are fungible. Similarly on rail lines, this world consumes bearings for freight, which are known as Class B, Class C, Class D, Class E, G and GG. And similarly on the passenger, they use SP-130, UIC-130 etcetera, etcetera on the taper side.

So these are all fungible. What changes is actually the tooling on those machines and then obviously the raw material which comes into it, the forging - those sizes would change. So the from melt to finish, it is fungible. That's why we call our manufacturing flexible manufacturing.

Moderator: We'll take the next question from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: Coming on to this Bharuch plant, as you said, this is largely for domestic business. Is that correct understanding? And if that will be replacing our import or it will be in addition what we are importing?

Sanjay Koul: So basically India uses thousands of different sizes. Currently we are going to make SRBs and CRBs, which we term as 0 to 400 millimeter size range, 400 millimeter means 16-inch dia size range. So these will be made both for Indian domestic market while currently we are importing a little bit. We are not -- obviously we don't have a large like tapers. We have a large share on SRB/CRB.

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We don't have a large share in the market. So we will be competing in the domestic market on these and it will replace also some of the imports we do, which will obviously be helpful on the

profitability and speed to the market. But still India consumes other bearings, which are 400 millimeter to say 800-millimeter cement mills and things like bigger sizes. So that would still be imported. And then at some point of time when we see that it is now the mass is tracking and we can expand the size range would be a logical expansion of these capacities.

So it would be for domestic, it would certainly get exported to the ASEAN and Australian market if not all the way to America, maybe to America also, but largely in the APU belt, these would get exported and certainly domestic market. So we are certainly going to go after domestic market. We will export because if you see our Timken penetration in Malaysia and Indonesia in palm oil is not very big. Our competitors have a large size of that. And once the Indian plant sizes, it would be a great opportunity for Timken in that region use bearing out of Bharuch to compete in the palm oil market just as an example.

Bharat Sheth: And sir, recently our parent company has announced closure of one of its plants in Carolina. So do we see that we can get benefit of exporting from India?

Sanjay Koul: So Timken has a plant in North Carolina, South Carolina. So you have heard about which plant closure?

Bharat Sheth: South Carolina?

Sanjay Koul: So generally whenever a plant in North America is closed, obviously the market is intact, market is growing. The production would move to the best cost country. Now Carolina makes taper roller bearings 0 inch to 8 inch. China cannot export to America without this big hit on the tariff. So, obviously there would be benefits. But at the same time Timken does have a new plant in Mexico, a new plant in Mexico across the Trump

wall. So, I cannot comment yet on who will get benefited, but these are tapers, the best cost country will always win.

Bharat Sheth: Sir, and coming to this rail freight side. Now this dedicated freight corridor will start bidding out for their -- and which is very high speed and where I believe it's a K Class bearing is required.

If my understanding is correct or not, then you please correct it. Sir, how big the opportunity will be for us?

Sanjay Koul: So, basically currently the freight is moved through Class E and Class E is the traditional bearing used on the Indian tracks, which is not a high axle. The dedicated freight corridor can carry more load and hopefully in future can carry even further axle load because the developed world, say North America, is using Class G and GGs, which means they go up to 40 ton axle load also.

So, still the main capacity utilization of the freight is through high cap Class E, that means the improved version of Class E which Timken introduced and others followed also, and that is still the main consumption. Class K is, if I can say slowly. So, it is coming up slowly, it is not coming up very fast and eventually it has to come up very fast because say for example when you saw the accident in Orissa.

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All of a sudden, the Indian Railways further understood that having freight and passenger and then on passenger using Schlieren and all that as you saw how those bogies got smashed and compressed and things like that. So Class K, dedicated freight corridor East to West or North to South, Central all the way; it all has to come. That is why the growth of the India Railways will come.

But it obviously needs land, it needs.... Making bearings and making dabbas, I would say, if Indian railway has the money, is the easiest part. Getting that basic land and the tracks in place is the tough part. So it is happening. We are making Class K. This is going to eventually replace Class Es, but it is going to take a lot of time. Currently Class E is what we produce the maximum and that is what is getting sold the maximum for rail consumption in India.

Bharat Sheth: And how big is the opportunity in this Vande Bharat?

Sanjay Koul: Vande Bharat is a pretty decent opportunity. The more the -- every dabba on Vande Bharat uses 8 bearings. So, the more the boxes, the more the dabbas they make, more bearings get sold. And obviously compared to a traditional bearing, this is high value, high price bearing. So, this is the recent announcement of more Vande Bharat cars is good news.

Traditionally, India was on what you see in Bombay in good old days on the harbour line or central line what was those EMUs, DMUs were on a bearing call 22326, 22328 was a Schlieren. So, slowly all of these Schlieren bogies will vanish and you will get similar like Fiat LHB, Vande Bharat is the Indian version of the high speed track.

So, this opportunity is only going to get bigger, bigger and bigger. Now Indian Railways has almost 300,000 freight wagons on the tracks. Lot of them needs to be modernized and be scrapped and new wagons to come and then to carry more freight, more wagons need to come. And if you see on the passenger side, if all goes well, they have to make between 30,000 to 40,000 cars. Now that would take some time to make per year. So, it will truly go towards that, that's why I say that Indian railways for next decade, will keep on growing.

Moderator: Mr. Sheth, I am sorry to interrupt sir I would request to kindly rejoin the queue as there are several participants who are waiting for their turn. Thank you. We'll take the next question from the line of Sonal Gupta from HSBC Mutual Fund. Please go ahead.

Sonal Gupta: Just a couple of questions. One is could you give us a sense of the CRB/SRB market size in India and what sort of share do we have currently?

Sanjay Koul: So, basically SRB/C

RB market is a large market and obviously the size range is from 0. When I say 0, obviously it is more than 0 -- from 0 to 800 millimeter, 900 millimeter.

Sonal Gupta: No, sorry, I meant by value.

Sanjay Koul: Are you only interested in value then I'll just give you the value.

Sonal Gupta: Okay sorry please go ahead.

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Sanjay Koul: So what I'm trying to say is that I'm trying to say that the spherical roller bearing and cylindrical roller bearing have application across rail, across the off-highway excavators, it has certainly in materially handmade system, it has in metal making non-ferrous/ferrous, in energy. So why I'm saying you these applications because this market itself is now growing. So, this market is in itself growing at a nice pace.

So, what is INR1,200 crores to INR1,500 crores today is also growing at a nice CAGR because of the fact that infra is coming up, more factories are coming up, supporting material handling system is coming up. So, this CAGR is going up.

But I would say that our penetration in SRB/CRB market is very, very small in India and obviously the reason of investment is to utilize our 100 years of knowledge on metal making, grinding, heat treatment and our supply chain strength and obviously our customers have been continuously following that when you make in India CRB/SRB.

So, there is a good chance of penetrating this market. We are currently importing and selling to some extent, but it is not a large amount, I think INR50-odd crores. So, this market of INR1,500 odd crores is growing at a nice pace in India. And then obviously there is a nice market in ASEAN as well if you have the right cost-quality-delivery system in place.

Sonal Gupta: Got it, sir great and this is very helpful. And just the other question on railways was like on the DFC, when do you expect the rolling stock ordering I mean benefits for you in terms of these newer bearings, etcetera, on the freight side coming in? I mean over what time frame do you see that happening?

Sanjay Koul: So, as we talk, DFC bearings are being purchased and rolling stock is being made, but it is not at a very, very high speed. The traditional boxn1 or traditional freight wagons are being made.

So, this is happening, but not at a super fast pace. So that means Indian railways has not stopped buying the Class Es, which is the traditional and we were converting to all Class Ks as Mr. Shah was earlier saying.

So this is happening, but it will happen at a certain pace. In the meantime, they are pumping in more normal freight wagons. Though, there is a high cap as we say, a little bit of more capacity loading on that.

Sonal Gupta: So, just to clarify, the 80,000-odd freight wagons, which railways ordered doesn't include these or it does include?

Sanjay Koul: Yes. It is Class E purely, high cap Class E and then they come out with these small tenders for Class Ks.

Sonal Gupta: Got it sir. Okay, sir great. Thank you so much.

Sanjay Koul: Thank you.

Moderator: Thank you. We'll take the next question from the line of Saif Sohrab Gujar from ICICI Prudential Mutual Fund. Please go ahead.

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Saif Sohrab Gujar: Thank you for the opportunity. So, my first question would be in continuation on the CRB and SRB stuff. So, you gave a INR50 crores amount. So to be precise, what would be the total revenue contribution for us from CRB and SRB and compared to Timken Company globally, what proportion they would have?

Sanjay Koul: So, basically we have announced an investment of INR600 crores currently and that INR600 crores would include building and machinery on a size range of 0 to 400. And generally for every dollar invested, we would be more than 2.5-ish on revenues. And obviously when you install, then you debug, then you do the MOCs and the

n you do the PPAPs and then you start the regular supplies.

So, globally again I think SRB, CRB is double digit, but tapers is our largest SOB. In fact, if you see our global after I take the industrial motion piece out where robotics is our number one, our wind energy tapers is the biggest front-end unit. So, globally SRB/CRB, we started with 0. Obviously we were a late entrant in this market globally. We took over a company called Torrington in 2001 if my memory serves me right and from 0 we went to double digits over the period of time.

Now obviously these bearings are sought after especially in the core sectors and in India also, our penetration is low. Obviously competing in India, importing from U.S. or Europe is not easy, unless it is a very special application. So, this is a growing market for us and we have done actually very well. I can tell you an example that in certain industry where there was a huge complaint from OE because of SRB supplied by another premium supplier.

So, Timken designed a new SRB and since then their problems vanished. So, the engineering concepts are same. The construction of the drawing is different, but the concept of material, concept of material sciences, concept of profiles, application engineering fundamentally have the same principles. So, we are excited about this.

Saif Sohrab Gujar: Okay. So for the parent company, it would be in double digit as compared to contribution to revenue, but for us it would be INR50 crores on a quarterly basis. So less than 10% of the total revenue, right?

Sanjay Koul: Yes. And then obviously there is a huge size range in this. So, if we want to go further up so further investment might be mandated for going the whole hog on the size ranges. So one step at a time.

Saif Sohrab Gujar: Sir, second question would be on other than bearing products like whatever acquisitions Timken Company has made so be it Diamond, Drives or other products? So when we are talking about selling to India so do these entities, because these are also acquisitions which the parent has made, also have entities in India like Diamond, RollOn, all those?

Sanjay Koul: So all these M&As which has happened unfortunately has no manufacturing setup in India. So, that is statement number one. So, none of them, they have many in China, many in Europe, some in America, but nothing in India. So, Diamond globally was taken over by Timken. In India there is one Diamond, which was a handshake deal between Murugappa Group and the original Diamond and they are using that TI Diamond brand here.

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But most of these guys has no manufacturing presence in India and whenever we start selling and we have started selling a little bit, would be through Timken India limited. There's no manufacturing base. There is a nice market in India, lubrication market, for example, is more than 100 million in the market, coupling is a strong market.

So, now how do we integrate this, use the already existing base in India for this, all that is going to be thought, debated, and used in future. But unfortunately, none of these have a plant in India otherwise we would have kind of used that base pretty well.

Saif Sohrab Gujar: Okay. Sir, one last question would be on the wind part. So, what segment we are serving within wind? Is it the Indian wind market or is it the Indian gearboxes and turbine makers who are catering to the major markets like Europe, all those?

Sanjay Koul: So, actually India local consumption is almost minuscule. It is going to come up now. Given the fact that India has mostly some megawatt means 250 kilowatt-type windmills which had a small gearbox. So, Indian wind market is going to come up now, which means that the announcement which was done some months back that we would be using offshore for harnessing the wind.

So, that is going to come, which is great news. C

Currently most of the gearboxes which are made in India are generally exported and they are exported pretty well. For example, ZF, Siemens, Gamesa, etcetera, etcetera are exporting to the European markets, even to China some of them. Managing high speed is making in Chennai exporting not only to Europe, but also back to China. So, we are currently serving those gearbox guys and looking forward as the Indian local wind consumption comes up. And if it is going to be offshore so there will be 4-megawatts, 6-megawatt, 8-megawatt, not small. So, that would be pretty good.

Saif Sohrab Gujar: Okay. Thanks and all the best.

Sanjay Koul: Yes. We can take the last question. We are nearing the 3 o'clock.

Moderator: Ladies and gentlemen, this will be the last question for today, which is from the line of Vipulkumar Shah from Sumangal Investment. Please go ahead.

Vipulkumar Shah: So, this is a question regarding this expansion at Bharuch plant. So, basically there will be manufacturing bearings, which are today imported or it will be the same production means we are just expanding the capacity. So, clarification will be...

Sanjay Koul: These are going to be bearings which we don't make in India. So, this is a new product line as

far as Indian manufacturing of Timken India Limited is concerned. First time we'll be making SRBs and CRBs for Timken India Limited in India. Currently we do import and sell. That is Timken India Limited imports and sells SRBs and CRBs in a limited manner in India. And this as we start producing by the end of next year or before, God willing, they will be used domestically and also exported. So, that is the target.

Vipulkumar Shah: Okay. Thank you sir.

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Sanjay Koul: Thank you very much. Thanks a lot. Mr. Saraf, you want to say anything. We are close to 3. If anybody has any other question, he can send it to you and we can send him a reply through you.

Mukesh Saraf: Sure. I'll take it up if I get any questions. Thanks a lot for your time, sir. I think we more or less covered all the questions.

Sanjay Koul: Thank you. Thank you, everybody. Thanks a lot.

Moderator: Thank you very much, sir. Thank you, members of the management. Ladies and gentlemen, on behalf of Timken India Limited, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2023

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22 November, 2023

The Secretary
National Stock Exchange of India Ltd.
Exchange Plaza,
Plot no. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051.
NSE Symbol: TIMKEN The Secretary
Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 17 November, 2023. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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"Timken India Limited
Q2 FY '24 Earnings Conference Call"
November 17, 2023

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER AND WHOLE-TIME DIRECTOR – TIMKEN
INDIA LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Timken India Limited
November 17, 2023

Moderator: Ladies and gentlemen, good day, and welcome to Timken India Limited Q2 FY'24 Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from B&K Securities. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Nirav. Welcome all the participants to Timken India Limited 2Q FY'24 post result Conference Call. From Timken India Limited management, we have with us today, Mr. Sanjay Koul, Chairman and Managing Director; and then Mr. Avishrant Keshava, Whole-Time Director and Chief Financial Officer.

I'll now hand over the call to the management for their opening remarks. It will be followed by question-and-answer session. Over to you, sir.

Sanjay Koul: Okay. Thank you very much. Thanks a lot, and good morning, everybody. I'll just give you a little bit of a summary of the -- our second quarter '23-'24 performance highlights. And then after that, we can go into any Q&A.

So our Q2 revenue was down 5% over the last quarter, that was Q1 of the current year, and impacted by seasonality factors and also our export markets under a challenge there. And then we had some nice price realization, which -- and also steel prices softening. So you can see that our profit before tax improved by 100 basis points to 18% compared to the last quarter.

So that way, with lower volume cost control helped in a better leverage, improved PBT by 30 basis points, excluding onetime gain, which was there. Ease in inflation, obviously, is there. We know the steel price is softening. Though currently, again, the steel companies are coming back and asking for an increase.

So overall, we had maintained a robust balance sheet with a reduced -- almost nil debt levels. So that is ensuring financial stability and obviously, strategic flexibility. Our greenfield project is almost as per schedule, if we take the Diwali week out and our filing work extra is all complete there.

So with that, I would be ready for questions and open it for general questions and Q&A.

Moderator: The first question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Good morning, sir. Thanks for your time and appreciate you taking out time for these calls now more regularly. So a few questions. One was starting with exports. If you could just help us, what was the decline on a Y-o-Y basis on the export side? And more importantly, how are you seeing some of these end markets, both in the U.S. and Europe, kind of evolve? When do you think we see a bottom? When do we start or expect a recovery kind of starting off around?

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Sanjay Koul: Yes. Okay. Thanks for the question. So if I say generally, export used to be -- if you take last year YTD figures and break it up, 32% was our export intercompany, whichever way you want to call it. And this year at YTD, we are at 23% in our sales total pie. So obviously, there is almost a 9% decline in the pie itself on export.

So if you look at the markets generally, generally, we see that the China market is down, though we don't sell a lot of stuff from India to China. But the Chinese market, especially their wind energy is down, that market itself is down. Australian market is flattish. ASEAN is down. Europe is flattish, and North America certainly is down.

Now we see that while the North American market, obviously, decline was quick, we also see that the recovery might be also

pretty quick as well. Like if you see in North American market,

rail is pretty much okay there currently, though their zero to eight inch the product line, which we are exporting from here to that market, which goes into heavy truck and also goes into their other agriculture tractors and things like that, there, definitely, those companies have made sure that their inventories are down, their safety stocks are down.

But at the same time, when we look at our forward-looking demand, it has started already improving. When I look at the January, February, March quarter, as I look towards that, I see those demands are all showing green shoots. So whether that is sustainable, whether those safety stocks and inventories have bottomed out there and they want to slowly come back, we definitely see the green shoots there. But overall, the market is not like an Indian market where you can predict easily that it's a robust market. It is growing. That cannot be said either for China or America at this moment or for the ASEAN as well.

Ankur Sharma: Right. But at least on a Q-on-Q basis, would exports start looking at -- looking out, I'm sorry, in the next one, two quarters. That's a fair assumption, right, based on the green shoots we're seeing?

Sanjay Koul: So far, they didn't see -- like I said, that if you see this quarter, this quarter out of my total pie of sales, 25% was export, and YTD is 23%. Last year, YTD was at 32% for the first six months.

And I think this is on a growing trend. This is on a growing trend. So generally, our pie has between 30% to 35% is generally the percentage breakup of exports for us. So it is inching towards that.

Ankur Sharma: I understand. Okay. Sir, also on the domestic market, especially on rail. If you could talk about how has the growth been? Are you starting to at least see any slowdown there? I know the elections coming up, that's the general elections. So is there any slowdown? Also any increased competition with any new player because both SKF and Schaeffler also are trying to make inroads into the rail side in a bigger way. So one was on the demand and growth. Second was on competition?

Sanjay Koul: So rail, definitely in this quarter for which we are talking about, the rail for us has shrunk, not because of the orders, but mostly because of the buying. And I see that remaining slow during October, November, December as well. And come January, that is again going to go up. There

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is enough orders in the system, both with the railways, wagon builders, and then with the major bearing players. And we are obviously ahead of the pack there.

So currently, the slowdown in rail in India, definitely, unlike for North America is pretty stable, for example. In India, there is the slowdown on making the wagons or terming that out, which we see going to happen in next quarter. We got a major elections in a way. And come January, I think they should be picking up.

And if you see -- if I see my own regression analysis of last seven, eight national election, generally, before the national election, the buying improves. So if the elections are in, say, June, July, January, February, March, April generally are very, very good. So I am already seeing that happening for domestical rail as well as far as Timken is concerned.

Now coming to your other question that there is competition. So competition is always -- has been always there and will always be there. It is not only about same players play the same application in different parts of the world as well.

So Timken has been in this -- in India for railway right from the time, we are the first company which indigenized all the components for Indian rail 30 years back here in India. And we have continued doing that. And obviously, we have introduced high-capacity class-E bearing for the freight car, which RDSO approved. And now every

body has to work to that spec. So we are always working on the technology aspect of it so that the Indian railways and the end customer get better bearing, which have a longer life and are modern in terms of technology.

So while the competition will be there, which is good for the customer, which is good for technology, I do not see us kind of in a zone where we kind of -- we compete with the names you said in other industry every day and we win. And on railway in particular, I think the kind of supply chain we have created. For -- say, for example, melting of steel, till grinding I do within 20 kilometres in Jamshedpur. I don't think anybody can pay their supply chain overnight. So all that put together, we are on a very strong ground. On railways, we have the technology, we have the assets in place. We do all kind of railway stuff out of our plant in Jamshedpur. We have created world-class supply chains in India. And I don't -- I am not -- anybody can go and crash their prices and burn their company. If they don't do that, I think we are in a good wicket.

Ankur Sharma: Sure. And just one last one, if I may. If you could give us the breakup of your sales by segment and percentage of? As you said, exports was 25% this quarter. If you could just help us with rail, CV, process and distribution?

Sanjay Koul: So rail -- this gone quarter, rail was 15% of the pie. And mobile other, which is heavy truck and agriculture all put together was 21%. Distribution was 20% of our pie. Process which includes heavy equipment, stationary was 19%, and our exports were at 25%.

Ankur Sharma: Perfect. Got it. Very good and thank you so much. All the best.

Sanjay Koul: Thank you.

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Moderator: Next question is from the line of Mahesh from LIC Mutual Fund.

Mahesh: Hi, sir. Thank you so much for opportunity. Most of my questions have been answered. I have

only one question. Sir, last two quarters, we have been growing in -- either in double digit and last quarter, we were in negative in terms of growth. So do you think this is -- I mean, worst is behind us, at least from next quarter onwards, we will be able to see some kind of growth?

Sanjay Koul: I would say that if you had to go back to the same growth, another one more quarter to kind of start hitting that holistic growth. But overall, I think that when we close the year, I think we'll certainly do better than the last year. So that would be the -- when we close this financial, it will be certainly better than the last financial.

But if you see Q-over-Q, maybe one more quarter is going to be because of -- in India, you got these elections, which is currently, it might look surprising even to get a truck go to, say, a customer in Indore is not easy. So a lot of those challenges are there. People are not available. A lot of production is going down because of guys who are on the shop floor going to their villages for voting and all that.

So I would say this quarter again should be similar nature. And from January onwards, I think it would be back to the old -- this. I see the green shoots, again, in the North America where people have cleared their inventory, cleared their safety stock. Now they are also getting ready, so we see some green shoots there as well.

Mahesh: Sir, slowdown on export side, was we surprised by the slowdown...

Sanjay Koul: I think slowdown was not a surprise, but the speed of slowdown was a little bit of a surprise.

Mahesh: Sure. Thank you so much, sir.

Sanjay Koul: So this bottoming -- quick bottom up, bottoming out was a little bit of a surprise. I would have personally thought that it would have been a little bit more gradual. And the good thing about quick bottom out is that then the rise also quick. So that is the general trend of last 25 years.

Mahesh: Sure, sir. Thank you.

Moderator: Thank you. Next question is from the line of Deepesh Aga

rwal from UTI Asset Management.

Please go ahead.

Deepesh Agarwal: Yes. Good morning, sir.

Sanjay Koul: Good morning.

Deepesh Agarwal: Sir, my first question is if I look at the extent of decline in your exports versus what parent has reported, there is a significant difference. So the parent numbers are not that bad as our exports.

So is it fair to say the much of the decline is led by inventory correction or there is an impact on our SKUs, which we export?

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Sanjay Koul: The general answer, holistic answer is that everybody has, for their cash flows, not only Timken, any other American company, everybody has concentrated on lowering their safety stocks and then also converting their inventory into cash. So same is for Timken also. You got inventory on the waters, sailing time from here to North America, three to four months. And then you got -- obviously, you have to take care of the coefficient of variation.

So you got finished goods in the warehouses, and then you got the safety stocks in the warehouses. And when people are looking, there is the possibility of the market tacking out. So they will start, whatever is on the water is going to come to them anyway. But then -- so that no future thing comes in so that you can correct your inventories that safety stocks and turn them down. So the source gets hit first, and so that is the reason for us as well.

Deepesh Agarwal: Sure. What was the split of exports in terms of railway and the MHCVs?

Sanjay Koul: 50 generally. Our -- began our TS that is taper-bearing and railway, 45-55, 50-50, given them, so it is generally half-half. So North American rail is actually pretty okay now, and the order book for us is also pretty okay. So that part is going to help a lot in coming months and quarters.

Deepesh Agarwal: Sure. Sure. Sir, coming to the domestic market. So in the upcoming wagon tenders, I guess, there is a tender for 10,000 wagons, which are higher capacity. Would it be using Class K? And if so, what would be the timeline?

Sanjay Koul: So these are high-capacity bearings, but not Class K. So this 10,000 bearing, which will need 10,000 wagons will need 80,000 bearings, CTRB Class E, higher capacity, high cap bearings, which obviously we have introduced to the railways. So that is going to be -- obviously, those orders would come. The previous order, which was there three years back, those wagons are also still -- that order book is still there.

They have not completed those 30,000 wagons in three. So that is also in the pipeline on top of this new wagon order is there. And then the railways workshops are also using some bearing. So the -- as far as order book from railway wagon industry, it's pretty robust. Only thing is that the execution, because of domestic factors like elections and things like that, has obviously not helped the cause a lot. But as I said, from January onwards, things should start ramping down for railways in general holistically.

Deepesh Agarwal: Sure. And sir, lastly, if you can update us on the SRB, CRB timelines and any plans on TRB

expansion, what is current utilization on TRB?

Sanjay Koul: So on the SRB plant and the CRB plant, so our foundations are laid out, foundations have been done. We have placed orders for all our assets. Currently, the PEB guys, which is the erection guys are working. So our timeline generally is that last quarter of next year, we'll be doing our machine runoff, PPAPs and things like that. And from January '25 onwards, we should be really ramping up the plant.

So things are on time, working well. Though during monsoon, our Bharuch area got heavy rains. So we lost some 10 days there because of heavy rains. And then, Gujarat also celebrates more Diwali than rest of the nation. So a couple of weeks, other than that everything is as per plan.

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Deepesh Agarwal: Okay. And sir, TRB utilization currently and plans for expansion also?

Sanjay Koul: Yes. So TRB utilization for our Bharuch plant, we are running three shifts six days. For Jamshedpur, we have -- obviously, to control costs, we have closed down five days here, five days there continuously so that we can save on cost, save on electricity and produce more, productivity remains intact.

So as I see the month of December is running almost -- rail is running in November three shifts, six days. December will be similar. And January, February onwards, we might have to hit seven days. On TS, November is still, I would say, in that 65%, 70%. December looks something like 80%-ish. And January onwards, it looks to be a lot better.

Moderator: Thank you. Next question is from the line of Abhishek Ghosh from DSP Mutual Fund. Please go ahead.

Abhishek Ghosh: Sir, just on the exports part of it, did you mention that the railway part of it is something that you expect to recover faster? Is that you called out for just to reconfirm?

Sanjay Koul: That's right. That's right. The railway exports are already -- is pretty much back to normal as we speak to you. So -- and that, as we see the North American market is pretty okay. And if you see from our global this as well, you will get the same feel. The North American rail market is a lot better than before. So it has already picked up.

Abhishek Ghosh: Okay. And sir, what about Class A trucks as well. You also supply to that, right? So how has been the trend there?

Sanjay Koul: Yes, we do supply to the excel builders in North America, all of them out of Jamshedpur through -- which goes through inter company. And then we also do to the agriculture and those. There, we have seen -- obviously, we have seen last three-four months have been pretty much tight because of -- I don't think it might be because of -- if you look at the sales there, they might be not that bad, though last month would have been a little bit different.

But we see that, that area will take some more time to pick-up, maybe two-three months. But I see green shoots as I look at my January demand forecast for exports on TS in general, which covers both ag and Class H as well. So there we look that the reversal is -- we can see that reversal happening.

Abhishek Ghosh: Okay. Sir, would it be fair to assume that second half of FY '25, before your India plant comes up, your exports should go back to that 30%-plus? Would that be a fair estimate to make, sir?

Sanjay Koul: Should be, should be, yes.

Abhishek Ghosh: Okay. That's helpful. Sir, the other thing is what we have also seen with lower proportion of exports, your gross margins have also gotten impacted. So should also -- so gross margin should also trajectory improve from here on as exports pick-up? How should we look at it, sir?

Sanjay Koul: So generally, I would say that flattish or a little bit uppish. That is how you should look at it. So more export cannot, take it as a hockey stick. It will be flattish, a little bit more sales. Obviously,

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you leverage the plant more. So that gives you an edge on the cost, but it won't be something which will kind of suddenly take it to the next level quickly.

Abhishek Ghosh: Got it. That's very helpful. So operating leverage, which should overall help. Gross margins will be some improvement. That's the way we should look at it?

Sanjay Koul: Correct. Every time you produce more out of the same assets, you get the leverage. But then it is not a leverage which will move the needle like a hockey stick, so yes, you're right.

Abhishek Ghosh: Got that. That is helpful. Sir, the other segment where you're also fairly dominant is the steel part of this thing, and that's something that we are seeing a lot of capacity addition there. So any thoughts on that part of -- o

r segment of the bearing business?

Sanjay Koul: Yes. So obviously, Timken Company is globally well entrenched in the steel business for decades. And obviously, we keep on working with the mill builders, whether it is SMS, Danieli, Mitsubishi and etcetera. So that business in India, obviously, is going to become better-and-better.

I don't have to tell you guys our per capita consumption of steel needs to get more, and it is getting more and more melt is taking place. And India will have, at some point of time, also produce ultra clean steel apart from the CRM, what we are doing or hot-rolled stuff we are doing. So all that is going in the right direction. We are the only bearing company, only bearing company, and we have invested time, energy, money, effort, technology, and we are maintaining today 26 sites inside the steel companies, where we do mill tech services, where we mount, demount bearings, grind, de-choke, choke.

So the whole idea is that not only we are going to give the customer the product which they need and steel mills are faster now, we are well-entrenched maintaining those bearings. No other bearing company can have that chip on their shoulder what we do in India. And we want to make sure that the customer not only gets the product which they want, whatever mill they have because we work with mill builders, whether the mill is coming from Europe. So our Europe, the parent company is working with them in Europe, and our parent is also working at technology aspect of it in headquarters to develop bearings, which will suit the modern mills.

So, we remain dominant player in the steel market, whether it is at the project stage or it is an MRO stage. And MRO, we are the only company which has people on the ground running their shop 24*7. Steel companies don't stop. So, our people are there 24*7, maintaining, running. And we see this as a nice, growing market, both the melting services, though the top line-wise is not great, but for bearings sales, it's great is there.

Abhishek Ghosh: Okay. So sir, basically, for railways and steel, your dominant market shares will continue. You don't see any heightened competitive intensity. Would that be a fair assumption, sir?

Sanjay Koul: The intensity of competition obviously will remain there. But in order to run those bearing under such harsh conditions in the steel mills and Indian steel mills -- running Indian steel mills in India, running European mills in India versus European mills in Europe or Japanese mills in Timken India Limited

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Japan, running in India is a little bit of a different animal, which we have mastered. So I don't see on the steel side that we can get out of the position we are in.

Similarly on the railways, we are continuously working on technology to provide better bearings. So like Class E high cap is a great example, which people are following. And we'll continue to sell. So we'll work hard and hard and hard to maintain that position in these dominant segments. And similarly, the other, say, for example, Mr. X is a dominant player in the paper industry or the sugar industry, so they try to maintain it. there. Or Z is in cement so they try to maintain. And the Indian pie is growing. So that is -- yes.

Abhishek Ghosh: Sir, would it be possible to just give a broad range in terms of your total domestic revenues of broadly 70% now -- 70% to 75%, what would be steel contribution in that?

Sanjay Koul: Steel is -- basically, if you see steel comes off our distribution, that is largely -- it is divided into distribution, which is MRO. So distribution totally is 20%, but specifically to see how much is there, I'll have to look at the numbers. And then the process equipment, which we sell, which is 19% of us, it has wind also in it, that goes into -- a portion of that goes into the steel new mills. Though we don't have the figures right off here on -- h

ow much revenue we generate selling bearings to the steel, but we can dig it for you if you want.

Abhishek Ghosh: Sure. That is helpful, sir. Sir, just you briefly mentioned about wind. How has that market been doing in your presence and competitive scenario there, would be helpful, sir.

Sanjay Koul: So wind is very interesting. China wind is tanking. So that is definitely hanging. That is their domestic need is significantly down. So India does not have really a great domestic market yet. It is only now that Adani are accelerating the wind in India. Wind installed in India. So they are looking at the design. They are looking at wind farms and their concept is generation to consumption.

So -- and then obviously, Government of India wants to put it both onshore and offshore, especially Kutch and all that area. So that market is going to get unleashed in times to come. And we see the first solid steps being taken by Adani's wind business.

Other than that, domestic market was always a very small market. It was some wind farms in Neyveli, Tirunelveli, et cetera, which was largely sub-megawatt. Now we are talking like Adani is looking at 3-megawatt and also looking at a little bit bigger as well, but 3-megawatt is quick to install. So we are looking at 3 and beyond that.

But as far as ZF and Flender and others are coming, who are making gear-box exports -- exporting them, last year was a great year. This year, there is definitely a downturn there.

Obviously, you can see the Chinese market also down and then the European also pretty much very buoyant. But these markets of wind are cyclical in nature. They go up, they come down, they go up, and many times it is connected to many local issues and connections.

So this market is going to remain -- for India, it is going to be remaining -- this year compared to last year was down. Next year, might be a little bit better than this year. But in '25, '26, '27, as

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the Indian domestic market takes up, this would be a hot thing. But overall, this segment, RE, renewable energy, is only growing with Timken in India and the parent company also, it is growing. It is almost a #1 segment for them as well. So this particularly, India is going to be a sunrise market. Give it a couple of years and you will be talking a lot more wind like we are talking a little bit more rail today, we'll be talking more wind into your site.

Abhishek Ghosh: Got that. Sir, just one last question in terms of the new plant, which should come up by January 2025 is what you called out. How should one see the ramp-up trajectory of that over first, second, third year? How should one look at it? Any thoughts?

Sanjay Koul: Yes. So obviously, it is after installation, after PPAP. We are currently -- say, if you take the Indian market, so we are already selling to the material-handling companies. We are selling to the American companies who are in that business in India. And then we are selling to the Indian MRO, cement and also steel. So we are connected to these customers who are buying a lot of tapers from us and certainly a lot of CRBs and SRBs from us as well.

And there are a lot of markets in India, which we are not yet touching. So long story short, as we start ramping up the plant, we definitely need to do the process of PPAP, approvals as the plant changes, all the steel companies, all the steel companies, cement companies, they are very finicky about the source. They want it certify. So MOC, management of change, PPAP, all that, I would say that in order to really reach to a 90% utilization, I don't see an issue on the business side of it. But ramp up, MOC, PPAPs, all that approvals in place and everything, it will take 36 months to really reach our capacity utilization.

Moderator: Thank you very much. The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead

Mukesh Saraf: My first question is on your domestic mobile segment, CV and tractors. Could you give us some sense on how you are looking at it, how is the next, say, six to nine months in the portfolio?

Moderator: Mukesh, sorry to interrupt you, but can you maybe speak through the handset. Your voice is coming very muffled.

Mukesh Saraf: Yes. Is it better now?

Moderator: Yes.

Sanjay Koul: Yes. But I could get the question. With Mukesh, we have an old association. I got the essence of Mukesh's question. So on mobile others, Mukesh, obviously, heavy truck is a major part of it, and then tractor is the other half of it, and then you got the backhoes and excavators of -- part of it.

So heavy truck and tractors, I think you guys have to tell me rather than I tell you. So you know it. You know the story better than me. And Mukesh, you need to advise us how is the tractor market going to look like January to March and then April to May, June, July. So as I see today, heavy truck market definitely has to come back to the levels where it deserves to be.

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And there are -- I am hoping that there would be post May of '24 a lot of further changes and then further investments, which the government continues to do it. And I hope the private sector continues to do that. Tractor has not been bad this year, and next year could get better. But overall, I think heavy truck is not currently, if I say it is buoyant? It is not. But you guys know it better than me how heavy truck is going to behave in India in coming months.

Mukesh Saraf: If I look at the mix of heavy trucks, we're seeing a lot of trailers and say, tippers getting sold. So should that kind of be better for you in terms of, say, the bearing content in terms of value that you are supplying for truck?

Sanjay Koul: The more the tippers more better for us. More heavy haulage, better for us. So, on heavy haulage differential pinion, definitely, we love it. So as India as tipper sales get better, it is better for us.

If it is going to be more sales of 2 ton, 5 ton, 10 ton, 12 ton, it will be -- it has become a little bit commoditized, 100% commoditized on the wheel end. But if it is tippers, heavy haul and more trailers, definitely good news for us.

Mukesh Saraf: Right. Right. And my second question is in relation to the new plant for TRB -- for SRB and

CRB. So obviously, like you mentioned, production starts only January '25. But to kind of start feeding the market and to kind of develop some of these products that you're not already supplying, would you initially have to start importing and kind of start supplying those products and then slowly localize them? So would we start seeing more of traded products before your plant comes into operations?

Sanjay Koul: Absolutely right. So that is the route we have already taken. We are already importing not in a huge -- just to kind of ramp that. We are importing. And yesterday's figure that we imported components for 1,000 bearings and assembled and shipped it. So we are already doing this side-by-side in our existing plant there. So we are kind of trying to see if we can do something a little bit more ahead of the curve. So that is the idea.

But the real stuff is that whenever machines start producing because PPAP is -- one is the business aspect of it. The other is the technical aspect of. So the PPAP has to come from that plant and get certified. But we are doing that. For the business aspect, relationship aspect, we are already importing and assembling and shipping and selling, but small walk -- just to kind of get engaged.

Mukesh Saraf: Okay. So the reason I asked the question is, I mean, more traded goods might have...

Sanjay Koul: As I said that from '25, it will really take us three years to tell you that we are running six days, three shifts flat out.

Mukesh Saraf: All right. And just lastly, when

I look at this quarter's margins, I mean, they have improved a bit from, say, the first quarter also, while your export mix hasn't really gone up too much. So -- and what could have kind of benefited margins? Because our understanding is that exports is probably your best margin segment. So I mean...

Sanjay Koul: Steel and pricing.

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Mukesh Saraf: Sorry, sir, I couldn't hear you.

Sanjay Koul: Steel and pricing.

Mukesh Saraf: Okay. So you've seen some benefit from steel and generally, your pricing has been better?

Sanjay Koul: Yes, that's right.

Moderator: Thank you. Next question is from the line of Bharat Sheth from Quest Investment Advisors. Please go ahead.

Bharat Sheth: My question is related to parent as an engineered bearing as well as other lot of transmission product, which is a very large segment also for them, one of the larger. So do we have any relevant product for India? And any plan to bring those products to India?

Sanjay Koul: So yes, it is definitely a very good question, very strategic for us as well. So parent out of their \$4.5 billion, almost \$1.4 billion, \$1.5 billion is coming out of the non-bearing products, which is largely couplings, chains, linear motion and belts, pulleys and couplings, et cetera. So these are the applications which are already used in India, and these are the applications which are currently being -- a lot of our competitors are also in the game of selling that.

Now in India, definitely, market is very much there. All these companies which have been -- M&As have been largely done in North America and Europe. So which means that the Timken Company has the design capability now in this. They have the intellectual property in this, and they have an established global market in this. And India is also a nice market.

But knowing the Indian price points, importing a belt out of Carlisle in US and selling in India, I don't think is possible, but it can be a regular business. So the only way it can be done is to have a supply chain model in India or a plant in India to augment both exports to the parent and sales in India. So we continuously are looking at the possibility. We are looking at what is available in the market. Company-wise, we are looking at how do we trade that. And this is definitely a segment which at some point of time, the parent and then from Timken India Limited side also, we would like to explore definitely.

And as I say, we are already importing and has traded goods, a little bit of stuff. Say, for example, we have installed the lubrication system on the Pune metro. Obviously, bearings are from TIL. We imported from our parent and assembled in India and gave it.

Similarly, we are doing a small work on an area called Cone Drive, which does the gearboxes for the solar panels. And definitely, it is a market available in India. India has a great potential on cost and quality as well. So we have to kind of make sure we have the right model at the right time to go for it. Definitely, in coming times, you will hear more about it. And parent is aggressively developing this market. They have done some great mergers and acquisitions. They have some great technology. And technology is available for us. Market is here. So at some point of time, these dots would get connected.

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Bharat Sheth: And sir, second question, is that my correct understanding that you said in the opening remarks that from H2 CY '25, what -- we will be hitting again export of 30% plus kind? Or maybe timeline is a different?

Sanjay Koul: As you see the green shoots coming back, rail is getting better in North America. It's already good in North America. And then we see some green shoots coming back in the zero to 8-inch, which we export. So what we said is that as these six months ar

e not great on that and if the

market has kind of bottomed quickly for us, in FY '25, definitely towards that side, it is going to be a lot better, inching towards the 30%, which is part of our pie for sales in terms of export.

Bharat Sheth: Okay. Sir, last question on distribution side. What are steps we are taking to increase the distribution pie?

Sanjay Koul: So the distribution side, obviously, Timken has the brand. Timken has the technology. The first thing, which is augmenting the reach. So we need to make sure that we have more distributors.

As the market is no more in the major cities. It is in towns A, B, C, D in the hinterlands. So we are continuously developing more distributors.

And obviously, we don't take distributors who are commodity guys. We make distributors who are already into the value selling game, where they make sure that they can do fair work for technology items. So we are continuously enhancing our channel in India, and this channel management, both in terms of digitizing it, empowering it technologically and adding more distributors.

So that is there. And then we do the -- make sure that the trainings are in place, product availability is in place. We got the inventory here in a centralized warehouse, and then we have right inventory with the distributors so that the opportunity sales are not lost. So all those channel management work is continuously being done.

Bharat Sheth: And is it fair understanding that distribution margin is a little better than the company level?

Sanjay Koul: Always, for everybody. Thank you very much. I think we have utilized our 45 minutes. Thank you very much for today. Thanks a lot. And if there are any specific questions, we can also see how do we cover them in the next session. Thank you very much. All the best. God bless you.

Jai Hind.

Moderator: Thank you very much. On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

Call: Feb 2024

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27 February, 2024

The Secretary
National Stock Exchange of India Ltd.
Exchange Plaza,
Plot no. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051.
NSE Symbol: TIMKEN The Secretary
Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 21 February, 2024. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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"Timken India Limited Q3 FY24 Earnings Conference
Call"

February 21, 2024

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN & MANAGING
DIRECTOR, TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER & WHOLETIME DIRECTOR, TIMKEN INDIA
LIMITED
MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

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Moderator: Ladies and gentlemen, good day and welcome to Timken India Q3 FY24 Earnings Conference Call hosted by Avendus Spark.

This conference call may contain forward-looking statements about the company which are based on belief, opinion and expectation of the company as on the date of this call. These statements are not guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Sharaf from Avendus Spark. Thank you and over to you, sir.

Mukesh Saraf: Thank you, Yusuf. Good afternoon. Mukesh Saraf here from Avendus Spark. Appreciate everybody logging in. I am pleased to host Mr. Sanjay Koul - Chairman and Managing Director of Timken India and Mr. Avishrant Keshava - CFO and Wholtime Director of Timken India.

We will start with some brief opening remarks from Mr. Koul and then follow it up with the Q&A. Over to you, sir.

Sanjay Koul: Okay. Thanks, Mukesh. So, I will give a little bit of commentary which might help with the questions itself.

Our Financial Performance for Q3 '23-24 versus Q2 '23-24, the immediate previous quarter and our sales was around Rs. 612 crores, which was almost down by 10% compared to the previous quarter. And this is only the operational sales. It does not have any other gains in it. So, intercompany sales actually intercompany is what we do the exports etc., that contracted by 6.6% compared to the previous quarter and this was the external market conditions, global economic factors etc. Domestic sales, though rail went up, but overall, there was a decline, which was in other FEUs like trucks and in off-highways etc.

The other margin compared to the previous quarter was down by 3%, almost 3.2%, major reason was obviously unfavorable product mix and then we could not leverage the volume. So, the cost versus the volume leverage, so we lost almost 2.2% on that. And EBITDA was at 18.5 compared to immediate previous quarter down 2.8% and this is in line with the same unfavorable mix and not leveraging the volume.

And if you come to Q3'2022-23, sales was Rs. 609 crores whereas in Q3'2023-24, sales was Rs. 612 crores, up by almost 45 basis points. However, the intercompany was the contraction during compared to the same quarter last year by 12% and that is the global economical factor and domestic sales compared to that quarter last year were up by 13%. PBT was at 14.9%, which

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was down by 70 basis points to the quarter last year. EBITDA was at 18.5 down by 90 basis points compared to the same time and last year compared to that quarter, we had some currency gains other income, so that was not in this quarter.

And then if you see 9 months performance 23-24 versus 22-23, our sales are up slightly. We are at Rs. 2,011 crores, which is up by 38 basis points. However, the exports are down in this period of 9 months by 10%. So, you can see that exports were down by 10% and our domestic sales in this 9 to 9 months was up by 10%. PBT margin is at 16.8 down 2.5%. Last year, we got a currency gain and one time Jharkhand incentive which was not there and then there was this little bit of unfavorable product mix and EBITDA stood 9 months to 9 months, 20% versus 22%. So, that is in general the summation of these quarter comparisons and I am now okay to take the questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. We have our first question from the line of Mr. Mukesh Saraf from Avendus Spa

rk. Please proceed.

Mukesh Saraf: As the question queue builds, I will just start off with some of the I think more hygiene question.

So, obviously exports is one important area and I think last quarter also you had commented that things are weak, but I think the expectation was that things would start kind of showing some signs of improvement. But seems like again sequential decline. So, could you give us some more color how much is more of an inventory correction, how much is an actual end market demand weakness and how should we look at exports going forward given that we have a lot of the parent as such is obviously continue to look at Timken India as very favorably, so could you kind of give more sense there?

Sanjay Koul: In general, because of this Red Sea issue, there is a little bit of lower demand because now more inventory will be on water. So, there will be more demand for some time which is a short-term kind of corrective demand, but overall in US the markets are especially the areas where we are working in export is the heavy truck market and the other is rail. The rail market is pretty much okay. The rail market, if you see today, Brazil is booming, really booming and North America is also not that bad. Indian market is booming, the Indonesia rail, etc., companies like that are also not bad. So, on one side, as you know that 50% of our exports is rail and 50% is the smaller bearing. The rail is pretty much robust condition. The demand in Brazil is very good, and America is also pretty much okay. But on the heavy truck, the market is not really up and running, so there is this discussion that H2 in US might look better and there is also a camp saying that it might revive in '25, so that we cannot do, but what I see currently is that the rail order books for exports, the markets are pretty much okay. India is also pretty much, domestic side is pretty much okay. If not exactly the heavy truck market, the rest of the stuff including rail is okay. The wind market in China is down. So, that is a piece which also kind of connects to the global stuff. China is down, so it has an impact on global supply chain. It is not directly to us, but if there be, there are impacts etc., so all said and done, I would say that export from rail pretty much okay, heavy truck still hazy. Hopefully it comes back in second-half of this year, first half doesn't look to be okay and Indian market is, I would say, pretty much okay.

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Moderator: Thank you. Next question is from the line of Mr. Chintan Chheda from Quest Investment Advisors Private Limited. Please proceed.

Chintan Chheda: Sir, I have got one question basically from this China Plus One kind of opportunity, right? So, in the North American Railroad segment, what is the opportunity from a strategic point of view over the next three to five years are we seeing?

Sanjay Koul: One thing I can tell you, I lived in China for 5-odd years and we have the sister company, The Timken Company has footprints in China and we are a North American-owned majority stake company, so all said and done, Americans are looking at China Plus One seriously. So, risk mitigation of global supply chains are heavily involved, but these supply chains are very much dependent on China and this is a huge work. It is not an overnight thing, but we can already see that the impacts are slowly coming and now coming back to Timken, as you know that the Timken has good footprints in China, and they are seriously looking at the strategic direction of risk mitigation of supply chains and that is obviously not an overnight thing. We are putting the SRB plant which I call the phase one after we complete the phase one and then we will discuss and see what will happen to phase two. So, the work in progress is happening on not only for Timken, but most of the companies which I see also as part of the American Chamber of Co

mmerce. China Plus One is seriously taking shape. Now, the Chinese companies are also not sitting idle. Chinese companies are seeing that China Plus One is happening. So, you see the Chinese companies are investing in ASEAN, they are investing in India. They are though India might not be major takers, but still they are trying hard to like, I will say that Nanjing High Speed, the largest gear wind gear making company is setting up shop in India in Chennai, then there is SANY. So, Chinese companies are also going out and setting up shop in backyard of North America as well. So, while China Plus One is happening, China itself is risk mitigating themselves by putting investments outside China and their plants these days are not loaded. So, they are doing their best to put plants in Indonesia, in Vietnam. They are trying their best to risk mitigate themselves by spreading out their investments outside China. So, this is an interesting juncture. But what I can say is that India is sitting on a very nice point of time because of the fact that, a, India investment is going to happen the infra build up is happening, the rail has to go a long way and similarly the infrastructure connected to the marine, connected to airports, all this will keep on coming and then India is destined to take a nice pie, a piece on this China Plus One. Obviously, Government of India will have to do their best that we become very tax friendly and all those things continue the way it has been happening in last 10 years. I think India will see next 10 years as the best period, nobody can stop that, unless something catastrophic happens other way. So, Timken is also on the China Plus One. I can say that we have a heavy investment on China. We are committed to China that is The Timken Company. It is the local market; has a huge installed base, but at the same time, given the global supply chain risk mitigation, so

Timken company is also working on that.

Moderator: Thank you. Next question is from the line of Abhishek from DSP. Please go ahead.

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Abhishek: Sir, just in terms of the revenue mix for the quarter, would you be able to give some light or maybe on YTD basis in terms of railways, process, exports, mobile and distribution, any thoughts?

Sanjay Koul: So, if you see the breakup of our last quarter, which was Q3 '23-24 out of the total pie, 18% was rail and mobile, as we call it, which covers both off highway and heavy truck of 22%, distribution is 17% and process industry is 21% and our export was 20%. So, that was the percentage breakup.

Abhishek: So, sir, two key segments, if I look at both exports and distribution, which inherently should be higher gross margins segment for you, both are down on a Q-on-Q basis, is that the reason for lower profitability in the current quarter, any thought, sir?

Sanjay Koul: If I compare the PBT margin of Q3 versus Q2 say in financial year, 1% was attributed to the product mix and export that was certainly 1% down there and another 2% went to where you cannot leverage your fixed cost and the plants are not loaded well and in India, you can't flex the labor, you can't lay them off. So, that 2% loss is due to the suboptimal leverage in cost for significant volume reduction.

Abhishek: Sir, just in terms of these five segments, railways, you spoke about that there is a strong demand which is kind of coming through both in India as well as overseas, so how should one look at this piece? Is it like a more like team's growth that one should expect in the domestic railway business, given the overall outlay that we are seeing and there is so much of new trends which are coming up, any thoughts sir on that?

Sanjay Koul: Yes, rail demand issue, divide the rail demand domestic is freight, obviously freight is growing. The passenger is also growing which is the Vande Bharat or these fast trains and then the metros are also gr

owing. Metro is a very small portion of it. So, it is growing. Not that many locomotives, but the major chunk of Indian Railway domestic is freight, followed by the passengers. So, that is certainly growing. So, the consumption is growing there. Though, it is not at a very high CAGR, but it is growing, every month, every year is better than the previous year, if you would like it that way. On the export side, the freight in Brazil is booming currently as I said earlier. So, obviously they need freight bearings as well. So that gives a good capacity utilization for rail assets for us here in Jamshedpur which means that you can leverage volume further and as you guys know that bearings are very CAPEX intensive, fixed cost is there, we have put new lines, depreciation is there and if you can leverage these capacities well, they certainly help us greatly on the cost. And then the backend of the supply chain also if you are sourcing more and more of the same part numbers obviously that helps a little bit more on the cost side, so more consumption of the rail lines gives you a cost advantage, and similarly when you don't leverage them, like on our truck side, if you don't leverage them, same thing works the other way around is that you have assets which are dependent on volume and you can't get the gain as the volume might be low and that also impact the previous supply chain because forging is a heavy duty equipment making process where the setups are larger and if you run smaller

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batch sizes, the rates for a 5000 piece run and a 50,000 piece run is almost similar for the backend of the supply chain has those impacts.

Abhishek: Sir, just in terms of exports, did mention briefly, but would it be fair to assume 50% is trucks and 50% would be railways for the exports?

Sanjay Koul: Roughly, that has been, but some time 45-55, but overall, 50-50 and currently rail markets are attracting more. We have installed one more double cup line which is the outer line so that we can produce a little bit more. So, we are working, as we speak, 6 days, 3 shifts and also installing one more line on that.

Abhishek: So, 50% of the export market is growing for you, it is the rest 50%, which has seen a sharp decline and the overall export pie has come down from a 35% to 20%. That is the way to look at it?

Sanjay Koul: That is absolutely right. And of the truck market, this is a big camp saying that the H2 this year that is American H2 that is calendar year should start picking up. So, let us hope if it picks up. In the meantime, Indian truck market as you guys know better than me, so we will have to see how the Indian truck market also picks up or not picks up as we come closer to the election time.

Abhishek: Sir, whenever this overseas CV, it will be largely classic trucks which will drive growth for the export?

Sanjay Koul: Yes.

Abhishek: So, your expectation is whenever it comes back, it should come back pretty sharp because the decline has been also sharp?

Sanjay Koul: That is the beauty of the demand. It falls like a rock and come back like a Gujarati kite; kite means Patang not the animal kite.

Abhishek: Sir, the other aspect is also on the process part of it. Now what I understand is you are little more on the heavier on the steel side of the business and that is a piece which we see lot of capacity addition happening. So, how should one look at this process part of the industry and any thoughts on that, Sir?

Sanjay Koul: So, largely process is connected to core sectors, so steel which is metal making, cement and power generation. Now if you talk to steel, so steel is becoming more attractive. Last year also, obviously when the capacity is announced, it is a 2–3-year term to get the installed base coming, the mills getting installed. So, this is happening as we talk pretty nicely. More steel installed means more bearings and which me

ans more steel getting produced and furthermore consumption of bearing taking place and we have a product offering in the metal industry which is second to none. So, obviously that helps the cause as most of the application on papers have been designed generally around Timken Technology. So, we are looking pretty much bullish on Timken India Limited
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the metal side and we are the only company in India which are running 25 shops inside these steel companies. You name the steel maker in India, we are inside the shops and what we do is that we ourselves mount the bearings, we choke, dechoke and maintain those so that the customers also get the better yield on the life of the bearing. So, we know the trends, we know the mills and we are deeply entrenched through the service model as well. So, steel is pretty good. On the energy side, as we are also part of pulverizer business, but as the solar business is picking up in India and now you see that in India especially Tata Solar and FTH, now they are coming up with these solar panels which will rotate. So, Timken India has already started working on it through our company in US called Cone Drive, which also owns the company called H-Fang in China. So, we have started producing some slew drives ourselves in Bharuch, still at a very nascent stage. These are small components, but these are effectively helping the solar panels to move around as per the direction of the sun. And wind as the Government of India is very bullish on putting up wind mills, the target they have set for themselves is pretty heavy and we see that local wind market, currently the wind market in India was more gearboxes getting exported out of ZF, Siemens, etc. and now there is a very nice chance driven by Government of India and Adani Green and all these guys are putting up and in the process of putting up windmills in Saurashtra, in Kuchh area etc.. So you know wind also looks pretty good, the metal looks also good and then on the cement side, we do have the product offering, but they are all imported. So, as soon as we complete our Baruch plants by the end of this year, then we will start producing SRB of certain range. It won't be the whole of our CRB of the range, which will start catering into the cement business or paper business or the sugar business as well. So, we are looking very happy with the steel market currently with the investments coming up and with our knowledge of steel, should help us on the solar, which is a new thing. Only Timken in the bearing companies have this product offering. So, we started doing that. It is small but it can become big as China Plus One issue of tariffs. So, importing those cylinders out of China into US versus importing them out of the India is another sunrise market. We will see as it comes into being. Can't predict what will happen, but the direction is being set towards that area and then in the local wind market of three megawatts, 5 megawatts, Adani Power and companies like that starts getting pretty good on that. So, that would be another sunrise in coming months and years.

Abhishek: So, just one question on the solar part of it. You are developing the product for rotating solar panels towards the sun and maybe those bearings and other things will be required. Does your peer already have a product, or it is a new product innovation that will happen in the future?

Sanjay Koul: Parent has the product for last 30 years.

Abhishek: Okay, so peer has the product, you have to develop it.

Sanjay Koul: So, let me clarify this statement. our Parent has taken over a company called Cone Drive, which has this product for the last 30 years.

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Abhishek: Sir, just lastly on the distribution part of the business, how are you focusing on that? Because that's again a very lucrative business in our understanding. How should one look at tha

t aspect?

Sanjay Koul: Now let us divide distribution into two pieces. One is the industrial distribution, and the other is the auto distribution. The auto distribution is the heavy truck bearing change, which is mostly, largely wheel end. Wheel end bearing gets changed; differential, pinion generally does not get changed. So, that is one piece of distribution which has this growth, but we see that our premium competitors are leveraging their brand, and they are using in the auto aftermarket, they are getting into windshield wipers, oils and things like that. So, that is one part of distribution which we are limiting to bearings and grease. We have been selling grease in India under our chemistry for last 20 years. So, we are limiting that to our bearings and to grease and adding a related party to that, but not going to the extreme of producing windshield cleaners and things like that. But on the industrial side, we've been growing CAGR double digit. Obviously, steel is an important piece of that, which is a strong MRO requirement. But beyond steel, we are now getting into MRO of the general industry, where we were lacking A, product offering, and B, the reach. So, we are augmenting our reach and the product offering as well importing from other companies of Timken and enhancing our reach into towns and areas where they are getting consumed. So, general industry is a sunrise area for us and we are investing heavily into our distribution channels to get into those areas.

Moderator: Thank you. Next question is from the line of Kunal Vora from White Whale Partners. Please proceed.

Kunal Vora: I wanted to get some color on the railway side of the business. You see a lot of the wagon manufacturers as well as some of the competitors have reported very robust kind of growth numbers here. So, can you just give us some color on how you're seeing our business grow and whether we are losing any market share to them?

Sanjay Koul: So, on the rail side, so on the freight side, we are the leading player in the Indian rail freight market. And when we say freight, this freight over the years has changed itself a little bit. One is that once upon a time, Railway Board used to buy it all themselves and then what they used to call it as a free supply given to the wagon builders. So, they have changed it. Now they are asking the wagon builders who quote for the wagon to buy everything themselves. So, this is wagon builder now on one side and they have heavy warranty guarantee commitments to back to the Indian Railways. So, that is one piece of it. And second is that these wagons, when purchased by the Indian Railways go into circulation, then every four years they go through what we call the POH etc. That means that all the bearings will get stripped and then they will have to be, if they're old, discarded (), So there are two kinds of buying on freight. One is the buy from the Indian workshops which is done by the Railways Board after consolidation. And then there is also now the buy by the wagon builders. So, wagon builders have to rely very well on really established players because of the fact that if they have one derailment, government of India and Indian railways will really wipe their pockets away because of the heavy warranty clauses they have. So, Timken is an established player. We do all our mountings on these wagons ourselves. We ensure high quality, we ensure mounting is done well, and we have a relationship

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with the leading wagon builders like Titagarh, Texmaco, Jupiter, Braithwaite, etc. for a number of decades. Our team was their interest Timken has the right capacity in place, and we have developed the supply chains over the years, and we are bringing in new technology in terms of sealing solutions etc. And then government of India on the freight side is also slowly working on dedicated freight corridors, class K, which i

s a little bit of heavier bearing than the normal freight bearing. So, we are well entrenched in this game, we are the leading suppliers, and we had, the competition was always there. It is not that the competition was not there. It was there always and we remain always there. And we are using technology to make sure that we remain ahead of the game. We are also using special maintenance practices, which ensure that the Indian railways get bit of time on these bearings. And then we are also doing the refurbishment of bearings, which means that when they strip the bearing off, we do the refurbishment, and we are also looking at getting more nearer to the workshop. We already have a heavy footprint in Jamshedpur and we are building in other cities in India as well. So, freight, we have a strong position, and we intend to keep that position pretty well using technology, using service, using our brand equities with these wagon builders and the relationship as well. So, that is where the freight is and freight is obviously, you know, government of India, India Railways has 300,000 wagons on circulation. There are the rolling stock needs to get changed and at some point of time they need to put more wagons on dedicated freight corridor, which is class K. And this market as India produces more and more so you can understand that with our roads being congested, rail freight business should be better, though the roads are coming up very well as well. So, I think freight business is going to remain nice and long. We are nowhere close to what China used to consume or still is consuming. The biggest market of rail freight is America, followed by China, Russia, India is the fourth largest market of rail freight business. So, if we

have to, if our economy becomes 10 trillion, so obviously you can understand that 10 trillion and out of which 25% is manufacturing, so 2.5 trillion worth of goods to be transported. So, you know, a lot of bearings will get consumed on the freight side.

Kunal Vora: What would be our market share railway side?

Sanjay Koul: More than 50% currently.

Kunal Vora: Is it fair to say that we're not losing any market share?

Sanjay Koul: No, we are gaining market share.

Kunal Vora: So, is there lag higher now than it was before in terms of, you know, when the wagon manufacturers kind of win the order?

Sanjay Koul: So, we were a miniscule market share. In the last 20 years from a miniscule market share, when we started Tata Timken, the first thing we started assembling was rail bearing, we had zero market share in 1990 at Indian Railways. Today, more than 50% and the pie is growing, obviously, the wagon's build is going up. And this item gets consumed.

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Kunal Vora: But like you mentioned that the ordering is now done through the wagon manufacturers as well. So, is the lag higher in terms of when they win the orders versus when you deliver to them versus what it was earlier when you would deliver directly to the railways?

Sanjay Koul: I would say earlier the process was that the Railway Board will buy the bearings, they will tender the wagons to different guys, and then the free supply will go through CMMBI to them. That was a highly complicated and complex procedure. So, you know, by the time we got the order from Railway Board and then allocation from CMMBI supplies to wagon builder, from builder, we will get the GRN and put it FMCO at CO6, CO7 and get the payment. It was highly complicated, though we had mastered the art. Currently, it is a direct relation. They have the forecast. Once they win the tender, they make their production plans. They have the forecast in place. And it is pretty much now more into a kind of a symmetrical. As soon as they get the order, they start. You say somebody got 20,000 wagon order or 10,000. So, he plans it out and then gives us the order and the forecast. So, now it is more sea

mless as compared to before.

Kunal Vora: So, do you have strong visibility than of the order book as to how you see the railway side of business?

Sanjay Koul: We do have visibility of the order book at least for 6 months to 9 months currently.

Kunal Vora: And sir how do u expect this part of the business to grow?

Sanjay Koul: Yes, things are moving, things are in motion, more tender are coming out and things are shaping up well.

Kunal Vora: When tender is won by the Wagon manufacturer, after how long do you actually supply the bearings?

Sanjay Koul: So, basically, what happens is every year there is a wagon order, every year they are winning tenders and they take time to complete that. So, if I call today, every month the supplies are on. So, they might themselves get delayed because of other reasons to complete a tender within a time span of 12 months, they might go into 14 months or 15 months, complete the complete order by the time they have the new order. So, for us now it's a running machine. Three years back there were the slow, the start bumps and all that. Now it is a complete running machine. So, every wagon builder has a, if I say today has a slight backlog. So, they need components, not only bearings, they need other components - bogies, castings, things like that.

Kunal Vora: And when they have to deliver the wagons, do the bearings go on there last in terms of when you're actually supplying the bearings?

Sanjay Koul: Bearing has to go first because first the wheel came, so the wheel is the first. Wheel gets mounted on the journal and then the bearing gets on bogie and then the fabrication is done.

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Kunal Vora: The other question was on wheel set localization and what sort of opportunity that would mean for us?

Sanjay Koul: So, very good question. So, there are two kinds of wheel sets which are used in India. One is the cast wheel, which is like old technology and other is the forged wheel sets. Now, forged wheel set as you make more wagons and you do not import them, we use, wheel and axle factory here in Bangalore was the largest supplier once upon a time. And we used to import, when I say we, Indian Railways, we used to import from China, from Spain, etc. So, localization of wheel is on a very high priority of government of India, Indian Railways, obviously because of the fact that they want more wagons and make in India is part of it. So, as you know, we have now, Ramakrishna has already started that, and a couple of other guys are also there. And I can't discuss it now, but it is a good thing where there is some further technology and further changes

can happen as we localize more wheels, and they can come as an assembly and things like that. So, that localization is a good move, and will help us certainly in bringing more value to the railways through the wagon builders.

Kunal Vora: How far are we from actually supplying?

Sanjay Koul: I cannot give you any further details on this yet, please.

Kunal Vora: But is it like a year away? Is it two years away?

Sanjay Koul: I can't tell you anything on this.

Kunal Vora: Last question was regarding the Bharuch plant. And can you just give us some colors to what we can expect from that going forward?

Sanjay Koul: So, Bharuch plant, as we speak, the pillars and columns are coming up. So, we should be able to hit the timeline, which is by the end of this year. All the machines are already at the port. We are getting machines from different parts of the world. Obviously, these are going to be state of art robotics, and things like that. So, machines are already either on the ship, some of them are on our Nhava Sheva. So, we should have both of the assets inside our buildings in Bharuch. We got a separate storage buildings available. So, they should be there from already some of them are in, you know, transit towards Baruch. So, betwe

en now and the next two or three months all

the assets will be there. The building should be completed by July. That means that when I say completed means that we can move the assets in position. And hopefully by end of this year, we should be starting to move the PPAP. So, as soon as we are ready by the end of this year, the markets which we'll go after is connected to spherical roller bearings and cylindrical roller bearings and we'll start producing for the domestic market, which is material handling market, for example, and then also the cement industry. And there's a very nice area of export in the ASEAN region where people use a lot of spherical bearings in the palm oil business etc. So, hopefully next year by this time we will be supplying to the Indian customers out of that plant, supplying to experts as well out of this plant. So, that is how the timelines are. We are pretty much pleased and hopefully next year when we inaugurate the plant, we will have the chance to

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get some of you to see the state of the plant. It will be one of the best in this part of the world.

And we are pleased with the performance currently. We are going all hands on the deck building the plant.

Moderator: Thank you. Next question is from the line of Mayank Bhandari from Asian Market Securities. Please go ahead.

Mayank Bhandari: My first question is on total revenue has been flattish in nine months. Can you break it down in terms of volume, degrowth or growth and then pricing?

Sanjay Koul: So, if you see our nine month performance, 23-24 versus 22-23, the intercompany which is exports is down by 10%. We had a sale of Rs. 2,011 crore which was slightly up. And if you see, if you want the, a little bit deeper color, our rail was, nine months to nine months, was up by 3%. Mobile & others were up by 1.6%. Distribution was up by 1.1%. Process was up by 5%. Inter-company as I said was down by 10%. So, against Rs. 1,989 crore rupees say in 2022-23, we are at 2007 roughly. So, the breakup as I said. Rail up, mobile up, distribution up, process up, obviously, rail was three and processor was five up again, but intercompany was down by 10%.

Mayank Bhandari: I am checking on the organic growth I mean the volume part volume growth. So, you are talking this, always volume growth?

Sanjay Koul: I am saying organic only.

Mayank Bhandari: Okay, because you see in the parents, Timken parent's, recent calls they have highlighted that this year of CY 24 is going to be a decline, organic decline of 4% to 5% because they are expected very bad.

Sanjay Koul: I cannot comment on the parent. Obviously, we are looking at the globe. And in globe there is China and China everybody knows is big time down. So, obviously that is connected to that. I did not hear the call, but I read it. So, you must have seen the India piece from our global CEO there. So, India organic export is declined, but organic is pretty much okay. And for global, China is definitely down, definitely down for all the companies. So, you know, that is a big piece and China was obviously a big piece and in China really was a big piece. So, that is why it is coming.

Mayank Bhandari: I think their expectation of first half decline of 40% in China, I mean I think definitely it impacts our business also as what I understand. So, first two quarters, next two quarters, how do you see the export?

Sanjay Koul: I cannot comment on the global things, and I am not authorized to speak about that, but for India as I said the domestic organic growth is there very much and our exports are down, which are connected to that global piece.

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Mayank Bhandari: Secondly, the company, the parent company has done almost six acquisitions last year. Just wanted to understand, does any of the acquisition impact our business anyway in India?

Sanjay Koul:

None of these acquisitions have, these M&A's, they don't have any factory per se in India. There is a company called GGB which has some sales in India, I think around Rs. 50 crore sales in India, And then there's another company called DesCase, which is again a North American company. They have a sale in India, less than a million. So, these takeovers, Rollon for example, they have taken over Nadella. Nadella has a sale in India.

This is part of, you know, obviously global technology, global take-offs and things like that. For us, it has certainly a long-term strategy. You know, had there been a factory in India and we could have kind of, you know, then thought about it differently. But certainly, if you see globally, India is one of, one is China Plus One, the other is obviously the importance of India's cost-quality-delivery piece of it. So, you know, as forgetting that any big company in the engineering space as they take over companies, wherever they take them in the world and they have footprints in India. It is matter of time those supply chain models will start from India. For example, Indians can make chains, Indians can make belts, Indians can make filters. And then if there is technology available, at some point of time those gaps will get bridged and will become nicer business case. So, to your original question, none of these six companies which they took over globally, they don't have any manufacturing footprints in India etc. They do have in China, they do have in North America, and certainly Europe. But then India has a sweet spot for future of becoming part of these global supply chains. So, if they have the technology, the manufacturing base can be created in India, which is again a nice work in progress for the Timken India Limited. How do we leverage these technologies, how do we create these operations, obviously, you know, investments would be required or M&As would be required. So, we are always continuously evaluating them. Even last week, I was around India visiting different companies, looking at possibilities, things like that, but nothing concrete yet, work in progress.

Mayank Bhandari: Okay, and also we understand that globally there is a lot of consolidation, headcount reductions in some of the facilities being consolidation. So, is that kind of limited to global or not impacting Indian business?

Sanjay Koul: Not impacting India. So, there are two pieces of it. One is obviously the cost control the global companies do when there is a chance of a recession. In India, we are currently running both our plants pretty well and we are investing heavily in our distribution channels and things like that. So, we are not looking at any contraction per se, but cost has to be, efficiency is always required in a manufacturing company. So, more robotics and more process automation which can make things better than this, you do more jobs with less people. So, that fight keeps on evolving in manufacturing companies, but per se that reduction we are not looking at in India at all.

Mayank Bhandari: Okay, and sir, just on this railways part, you highlighted North America railways is doing good and Brazil particularly is doing good. So, within export, how much it is would have been grown in nine months within exports?

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Sanjay Koul: For us, exports and rail and this both together, so, they are down. As I said, they are down 9 months by 10%. And now as I speak, to the previous question, currently the rail market in North America and the Americas is going up. So, that should impact our future manufacturing and inter- export sales. So, these are not nine months, in last nine months it was not at that level. Now past nine months those exports of rail compared to the forward looking, the forward looking is a lot better than the regression.

Mayank Bhandari: Just last question, Sir, just wanted to understand how

much in last year Indian bearings industry

would have grown in your view, last nine months or last year's?

Sanjay Koul: So, Indian bearing industry is still at \$2 billion industry. So, it is not a very big industry compared to say China used to be \$20 billion and out of this \$2 billion industry, which is a bearing industry, half of it is ball bearing and half is industrial. So, industrial is going at a double digit CAGR and will keep on growing because 2 billion is too small. And out of that, 2 billion, half is ball bearing which goes into two-wheelers, three-wheelers, and all small passenger car as such. As we become more mature as an economy, generally the bearing distribution should be 50% mobile, 50% stationary equipment. In India, it's still 65% is mobile and 35% is stationary. So, the 35% has to become 50, and it is growing, the industrial piece I'm saying is growing double digit. Now, the ball bearings we don't track, so I cannot comment on that piece. But it's a small market which has to grow a lot on the industrial side.

Moderator: Thank you. We'll take the last question from the line of Vipulkumar Shah from Sumangal Investment. Please proceed.

Vipulkumar Shah: Sir, within rail, what is the freight contribution and so that figure I missed. So, can you repeat it please?

Sanjay Koul: Yes, roughly 60% is freight.

Vipulkumar Shah: And lastly, what additional turnover we can expect from our Bharuch plant in the next financial year, 2024-25 or it will be in 25-26 only?

Sanjay Koul: So, I would say that, this financial year it will be small, I think it is to be fair to the whole thing.

2025-26 will be really the volumes and will be there. There will be a small one but, you know, it might be Rs. 20 crores - Rs. 30 crores or Rs. 50 crores. We want to do faster, obviously. But its real game would be 25-26.

Moderator: Ladies and gentlemen, on behalf of Avendus Spark that concludes this conference, thank you all for joining us and you may now disconnect your lines.

Call: May 2024

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16 May, 2024

The Secretary
National Stock Exchange of India Ltd.
Exchange Plaza,
Plot no. C/1, G Block,
Bandra Kurla Complex, Bandra (East),
Mumbai – 400 051.
NSE Symbol: TIMKEN The Secretary
Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 10 May, 2024. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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"Timken India Limited
Q4 FY '24 Earnings Conference Call"
10 May, 2024

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAHA – CHIEF FINANCIAL
OFFICER – TIMKEN INDIA LIMITED

MODERATOR : MR. RAM SESHAN – AVENDUS SPARK

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May 10, 2024

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Moderator: Ladies and gentlemen, good day and welcome to Timken India Limited Q4 FY '24 Earnings Conference Call hosted by Avendus Spark. This conference call may contain forward-looking

statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ram Seshan from Avendus Spark. Thank you and over to you, sir.

Ram Seshan: Hi, guys. Good evening. This is Ram from Spark Capital. Appreciate everybody logging in. Very pleased to be hosting Mr. Sanjay Koul, Chairman and Managing Director of Timken India, along with Mr. Avishrant Keshava, CFO to discuss the 4Q results. We'll start with brief opening remarks from Mr. Koul, followed by a Q&A session.

Mr. Koul, all yours.

Sanjay Koul: Thank you, Ram. Thanks a lot. So my opening remarks, I would be limiting so that we can directly go to the Q&A. However the highlight of the Q4 '23-'24 performance were that we had a record quarterly revenue of INR898 crores, which were up double digits from last year same time, mostly rail and domestic sector.

Unfortunately, the exports were down. And we still see that export markets are not going to be buoyant in short to medium term. And obviously, we are also having the elections here, so that is also full of challenges. Otherwise, the performance remain solid. And also currently, we are working very hard on our new plant, which is coming up as per plan. Other than that, I would go to the Q&A and add more value to that. Over to you.

Ram Seshan: Start the Q&A, please, Muskan.

Moderator: The first question is from the line of Krupashankar from Avendus Spark.

Krupashankar: Just first up question is on exports side of things. Just wanted to pick your brain on sequentially how you are seeing things improving on the exports piece. And if you can throw some colour on the Class 8 demand as well and how you are seeing that shaping up?

Sanjay Koul: So on the export side, as you all know that we export to both the global rail markets out of Timken India Limited. And also, we export for the heavy truck to the different markets around the globe. On the rail side, South America is pretty robust. So they are doing pretty well, that market is doing pretty well on the rail side.

However, on the heavy truck side, it is not where it should be and it is soft. And the soft landing is not expected in the H2. It looks to be in the short and medium term, it will remain soft.

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However, the rail markets are doing well in South America for a change and North America is okay. But the heavy truck market is, for sure not doing well. So that is looming large, and then the U.S. market have their own elections in November, so there is little bit of an uncertainty there.

Other than that, the local markets, especially the rail in the domestic market is doing pretty well. Australia is flattish; ASEAN, flat to low; China, especially for wind, is pretty much down. So globally there are some pockets of bright spots like South America. Other than that, India, obviously holding on, and no other major India-style that kind of GDP growth is not happening in the near term.

Krupashankar: Got it, sir. Sir, also a bookkeeping question, if you can share the revenue breakup for the quarter as well as for the full financ

ial year that would be really helpful?

Sanjay Koul: Yes. For the Q4, our revenue breakup was, rail was 34% in the quarter. And mobile, others was 17% and distribution was 19% and process industry was 17% and the exports were 14%. So that was for the Q4.

And then for the full year, the rail stood at 23%, the mobile, which is the heavy truck, off-highway, was 20% of the pie and distribution was 18%, process was 19% and export was 20%.

And if you see that was the whole year '23-'24.

And if you compare this with '22-'23, rail was 17%, and this year -- we completed the pie was 23%. And mobile, others remained flattish 20%-20%, distribution same, 18%-18% and process was 16% in '22-'23 went up to 19%. And the exports came down from 28% in the pie to 20%.

Moderator: The next question is from the line of Abhishek, DSP.

Abhishek: Sir, just coming back to the current quarter, we have seen very strong growth as far as railways is concerned. Any thoughts? Is it led by more wagon manufacturing kind of happening, and that's resulting in more bearing requirement? Is it Vande Bharat? Or is it just a one-off? Any some indication on the rail sustainability part as far as growth is concerned, sir?

Sanjay Koul: Rail, obviously, the rail market is pretty much buoyant in India currently both from the fact that

more wagons are getting built and then also Vande Bharat and then with a little bit of metro and also locomotive. So rail certainly is going to remain, as I always say, that this rail will always be better than the previous years for many, many years to come.

India has to do lot more in railway, and the intent of the Rail Mantralaya is very much there. So that is on. That is why we see Vande Bharat, we see speeds getting over, going up, we see electrification happening. And we see double tracks being laid wherever there was single tracks, which means that they want to put more trains on the tracks and then dedicated freight corridor slowly, steadily picking up.

As they get more land, definitely, they want to move freight out of the normal lines and keep passengers as lean as possible so that more passenger traffic can be taken, so clearly, on your question, it is a sustainable model. And that, obviously, quarter-to-quarter might be little bit of

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aberration here and there. But year-on-year, there will be always growth for the next many, many years for rail in India. So that would be my answer for that.

Abhishek: Okay. That's very helpful. Sir, would you still be maintaining 50% market share? Or would your market shares have moved up in railways?

Sanjay Koul: So as you know that we've been in railways from our parent company also in this game for many, many years. And then we have created the optimum supply chains for railways. Our center of excellence of railways is in Jamshedpur. And then also on technology front, which we get from our parent, we are continuously upgrading those and whether it is sealing technology, whether it is greasing technology, whether it is the material finds of it etc., so that there will be a life of these bearings go up and uptime of the rail in itself goes up. So that would remain to the core of it.

Abhishek: Okay. Sir, but just in terms of the railway part of it, you think you have enough capacity or at some point, will you also have to add capacity? Any thoughts on the same?

Sanjay Koul: Yes, good question. Certainly, I think the rail capacity as it goes today and we are also exporting it in some markets at times are being like South America is doing pretty well, And we are looking at these capacities very closely. And so that we don't want to be saddled with fixed cost, but at the same time we don't want to be saddled with non-capacity. So yes this is a very good point for evaluation and we are evaluating and seeing how do we increase the output and also the base capacities. We h

ave not taken any decision yet as we speak, but it is on our active consideration list.

Abhishek: Okay. Sir, the other segment which has done well for you is the process part of it which has seen -- which has been seeing healthy improvement. Sir, any thoughts because that's a segment which caters to the steel, cement and the power part of it. And we are seeing a lot of steel capacities coming, cement capacities increasing, a lot of solar panels are being put up. So any thought on the growth trajectory of this segment which is process industry?

Sanjay Koul: Yes. So, both in terms of putting the new steel capacities in which means that the more mills would come in and then also continuous running of the steel mills so that the output is harnessed.

So steel industry certainly will remain pretty healthy in India and it should be.

Our per capita consumption of steel is low if you see countries like China and others. So our per capita consumption is pretty low and we need to produce more steel, sustainable steel, green steel. But they are all form of steel will need bearings and Timken obviously for ages around the globe are well versed in the technology of the rolling mills and how do you produce those bearings.

And as we speak, our Bharuch plant will also help us in this area whether it is cement or it is power or it is steel. And we must be the only company in India which run more than 26, 27 roll shop inside the steel companies. You name the steel company we are inside, we are 24*7 – de-choking, choking, mounting, demounting and things like that.

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So this market will remain pretty nice as we need more steel for building the infra in India. And we -- from the Timken India side will remain close to the customer and we will make sure that we ride the wave as it comes. And it is -- obviously, we all know that a lot of steel companies are investing, enhancing capacities and also producing more and more.

The shape might change. People might go start putting more electric arc furnaces which means that they would like to reuse the scrap steel etc, but they have to do rolling. They have to do rolling and things like that. So, we see a nice growth in this market.

Abhishek: Great, sir. Sir, one last question. In terms of the new capacity, we see a fair amount of capex being done, almost about INR260 crores kind of operating cash flow has kind of got invested or capex has been done. Any thoughts on the timeline, sir? Are we on time to get it up and running by fourth quarter of FY '25? When can one see the traction?

Sanjay Koul: Yes. So just to give a flavour, main shop floor still work has been completed. And our pre-engineering building is all up and roofing is in progress. Our major high-tension wire cabling, etc, roofing and all that substation, switchgear work is in progress. I'm glad that our system -- ERP system is already in place and is live currently for the new plant.

And likely, production start is same as per plan. So we should be able to -- the machines are either on the seas or landing in Bombay from different parts of the world as this is going to be a high-tech plant with a lot of robotics and IoT and things like that. So things are moving. And the direct short reply to the question is that we are on time and should be PPAPing by the end of this year and commercial production thereafter.

Abhishek: Great sir. I have few more questions I will come back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Just going back to the export piece. And if I heard you right I think you said the quarter gone by, exports were at 14% which possibly is one of the lowest we've seen in a very long time. So are we -- I mean, obviously, there would have been both a Y-o-Y and a sequential decline there. But are

we like near or at the bottom and therefore at least going into the next few quarters we start seeing an improvement or is that also a little difficult to call out?

Sanjay Koul: So I would say that, yes, this quarter was amongst the lowest definitely. You're absolutely right bang on this was amongst the lowest. While the next quarter might be a little bit better but the idea of soft landing which was earlier thought that by H2 U.S. market would be up and running with full speed, that is not seen by us both by our principal and we from here looking at that window. It is going to remain a little bit soft for sure.

And short term, medium term, maybe the last quarter was among the lowest. I think it has bottomed out and next quarter might be slightly better and thereby, but kind of going up like a hockey stick is not happening this year. But definitely next quarter might be better than the previous quarter and thereby makes slightly better. But overall, short term, medium term, export

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markets would remain soft which means that if you look at the calendar year January to December would be kind of soft with January to March among the softest.

Ankur Sharma: Right. And I'm just wondering because is it primarily driven by the weakness you expect in the heavy truck, the Class 8 market in the U.S.? Because I thought you said the rail markets are doing okay? So it's more to do with the decline in the U.S. market?

Sanjay Koul: Yes. So rail market in South America is doing well. Rail market in North America are okay-okay-ish and heavy truck market is not doing well. And then we are also exporting, Australia is also flattish. ASEAN is definitely low. And so overall it is for the heavy truck -- and even in India the heavy truck is also flattish. So it is kind of a global phenomenon.

Ankur Sharma: And are we -- is the parent also exploring options for maybe sourcing more from us in India? Is that an offset or a leveller that we may have as well?

Sanjay Koul: So the global supply chain folks are always looking at options of sourcing, resourcing. But as you know that resourcing, changing source it is like steering a very big ship, cannot be done overnight and things like that. So the evaluation of sourcing, resourcing, all that will always be there but the plants in -- we have a plant in Mexico, we have obviously plants in different parts of U.S. and we have, parent has a plant in China, etc. So sourcing from India will remain attractive. But overall, the markets have not -- not really doing so well so including the off-highway market in America, even that is not doing that well.

Ankur Sharma: Fair. Okay. And just on the distribution piece which is the aftermarket and I'm assuming a more stable and also more profitable business for you. Fair to assume that keeps on growing in that 10%, 12% kind of a range in line with maybe nominal GDP? Is that a fair assumption? And also what is driving that growth there?

Sanjay Koul: So when you talk about aftermarket there are two kinds of aftermarket. One is the MRO business for the industry, say for example, a steel company needs to produce steel, cement needs to produce cement; energy needs to produce energy. So obviously, they have their life cycle for the bearings. So that market will keep on growing and your GDP itself and any good company wants to outgrow the market, so if you're GDP is growing 6% to 7%, and you want to outgrow let's say at 50%, so you grow double digits. Like MRO market is bound to grow and grow.

The other market is the auto aftermarket. So when I mean new trucks are not built and auto aftermarket is obviously using more trips or ferrying more payload and is obviously consuming

more bearing but auto aftermarket in India is always going after -- especially believe in going after cheap bearings and differential-pinion doesn't get replaced so fast.
So, on the

one side of industrial distribution, where we focus more is going to remain pretty solid. And the auto aftermarket is going to be commoditized to a large extent, which is happening in the market.

Ankur Sharma: Right. And just one last one on our utilization levels, both in Jamshedpur and in Bharuch. Fair to assume while exports are a little weak, the strong growth in rail and the other industrial aftermarkets should kind of keep us fairly busy and...

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Sanjay Koul: Jamshedpur is running 6 days full 3 shifts. Bharuch is also running more or less full. We don't see that going down. And Jamshedpur is running flat out. I would say our Bharuch plant might be a little bit 5-odd-percent less loaded. But overall, both plants are running -- currently as we speak, are running full.

Ankur Sharma: And if you could also just give me the comparable -- the sales breakup for Q4 '23. I think you gave the number for '24. If you could just share the same for the last year.

Sanjay Koul: So Q4 -- if you want Q4 of '22 and '23, the rail was 23%, mobile other was 20% and 19% was distribution, 18% was process, export was 19%.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Sir, first on the margin side. If we look at it on a Y-o-Y basis, our margins have improved by 300 basis points. While operating leverage would have played its part, but at least in terms of mix, if you look at it, railway has done better and export has not -- has declined, which in terms of mix is inferior. So what explains the margin expansion? And do you think these margins are sustainable?

Sanjay Koul: So, the margin performance largely is driven by volume and product mix. So utilization was better. So that helped the cause. When you can overleverage capacities, so that has an impact on the margins. And the second is that post-COVID, everybody in the industry has been relentlessly leveraging cost or cutting waste or making sure that the waste is out of the system.

And now because of the push on ESG, especially sustainability, so everybody is trying to see and make sure that supply chains are circular, they are shorter, smarter. So I would say that an answer to your question, strong margin performance in the quarter largely was driven by favorable volume and product mix and the better cost leverage we have been trying to do in the area of supply chain.

And on top of that, despite the fact that steel prices have come down. Labor, obviously, keeps on going up. So, we have been working very hard on price realization. And that has remained pretty much our continued effort on price realization despite softening of the metal prices. So we are generally, the OEs would only look at steel.

Now we are trying to discuss and bring their focus on the other aspects of the pricing, not only steel pricing. And when you are a natural supplier, how much productivity increase can be done over a period of time and we're already supplying for 40 years. So that will also be a go-to-strategy, especially when the application is where you can harness value. I hope that answers your question.

Moderator: The next question is from the line of Rajesh Kothari from Alfa Advisors Private Limited.

Rajesh Kothari: Just a few questions from my side. The first question is on the railway side. Can you please share in terms of this growth? Because generally, the railway CapEx is yet to happen in a big way. So over next 2 to 3 years, do you expect this segment to continue to grow at 25% to 30%? And if

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yes, how much you think is primarily driven by, say, Vande Bharat and metros compared to the freight-related railway segment?

Sanjay Koul: So I can't tell you whether it will grow 25% to 30%. But as I have been telling over the years that rail in India will always

grow. The growth might not be like a huge hockey stick, but it is

bound to grow year-on-year, year-on-year, it has to grow for the simple fact that we don't have enough track kilometers.

When you lay more tracks, you need more trains, you need more stuff and as you produce more steel, as you produce more cement, then you need those wagons to transport it, then we have an aging wagon population as well, despite the fact last 5, 6 years, we've been pushing these

wagons, but still 300,000 population of these BOXN wagons need to be overhauled especially, replaced especially because of the fact that Dedicated Freight Corridor is slow and we cannot afford to have a bad wagon or a hot axle on a track where the passenger is coming every 2, 3 minutes.

So long story short on this is that Indian Railways will grow Y-o-Y, Y-o-Y, Y-o-Y, it will keep on growing. Some years it will be better, some years it will a little bit less better, but it will keep on growing. The other question is that India on the mass rapid transportation is bound to invest more. Every state, every city needs metro because of the fact that the roads within the city are limited. So your metro population will keep on growing. But the metros don't use mass amount of cars and bearings. So -- but it is still a segment which will keep on growing.

On Vande Bharat and related area is that now the good old Schlieren passenger car, which was the workhorse of Indian Railways, needs to be replaced all over India because of the fact that it has a limitation on safety, et cetera.

So the modern coaches of Vande Bharat and speed enhancement, etc., etc., will keep on happening. And as we see in Europe, as we see in China, the speeds are much, much higher. We still have to catch on the average speed of say, 175 kilometers and then maybe beyond that. So this segment will also keep on growing. So whether it is 25% or 30% or 10%, but every year will be better than the previous year.

And the CapEx obviously has to happen. Now some years we might be able to buy like last mega tender of 90,000 wagons and then there was a little bit less, then again, they are working on a master plan. So the master plan on infrastructure certainly has a major play for Railways and electrification of 1,000 locos a year and all that stuff. So this sector in India will grow for many, many years. Now whether it will grow 20% or it will grow 5% but it will keep on growing.

Rajesh Kothari: So while I clearly understand the macro tailwind, what we are witnessing, but in terms of the visibility, so typically, how it works, you get a visibility for next 12 to 18 months because, say, companies like Texmaco or Jupiter, they might be -- you might be supplying to them. So they give advance orders to you, which is to be executed over 12 to 18 months? Or is it like every month, you get the orders and you have to supply to them?

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Sanjay Koul: Yes. Railways generally tend to be long-term orders. So then you win a bigger order, and then you keep on supplying. So it is not -- even in -- let's say, even in OE making truck, they will do an annual contract and then pick up based on his demand. And same goes for the wagon builders.

They will do a large -- say for example, so x building wagon gets a 20,000-wagon order and which means that his capacity, if he do 3,000 wagons a month and he has to complete these 20,000 wagons. So obviously, he needs 3,000 into 8 bearings every month, which is 24,000. He will be able to using take five, six months of order. And generally, rail -- because of the fact that they need to -- they need the wheelset, they need to mount the carriage and turn it out. So they want to push it out, so that they get their money back quickly. So it is generally -- I would say it is an order for which lasts 24 months, but certainly between six months to 12 months, the order would last

Rajesh Kothari: So basically it means that in terms of you would have certain visibility for the current year as well...

Sanjay Koul: Yes, we have -- yes, definitely, we have the visibility for this full year as we speak.

Rajesh Kothari: And that looks reasonably robust as you see the order book as on now in terms of -- that looks reasonably...

Sanjay Koul: Yes. It looks pretty robust touch wood. And then as we get into October, then our visibility will go into '25 mid till that time.

Rajesh Kothari: I see. So they would it be -- I'm not too sure, but is it possible for you to share some numbers in terms of the, say, order intake or something like that? Because macro tailwind, of course, is there for the next 10 years for India, correct? Amrit Kaal is going on. But that growth of 10, 20, 30, 40, there's a big difference between the two numbers, correct? And to that extent, of course, the profit variance is also very, very high. So would it be -- might be -- you might use in a different terminology or high-teens, low-teens, high-20s, low-20s. But some indicators definitely will be useful for us.

Sanjay Koul: Yes. So I can tell you that it is robust. We have order book, which is very strong. Beyond that, obviously, I don't want to share. But as we speak, the next 15 month are pretty robust.

Rajesh Kothari: Super. Sir, my second question is with reference to the automobile segment. Typically, the commercial vehicle segment is a very bulky segment for you. And CV industry is right now going through the, what I would say, consolidation or maybe a little bit downward kind of a trend. But despite that, our margins have improved because normally, this is considered with a little bit higher-margin segment. So how we should read that? And despite CV kind of a little

bit slowing kind of a growth, you have still reported reasonably good number in the mobile segment. So how we should read this?

Sanjay Koul: So obviously, now we have reported margins as a whole, and not in mobile. We have obviously given the whole quarter consolidated margin. That is how it is. Now if you want to say that for the CVs were flattish and rest was whatever percentage. As I said earlier, I think Ankush was
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asking the question that, margin performance in the quarter is obviously product and mix and leveraging the capacity always plays a role. And then our consistent work in the area of supply chain, steel optimization etcetera that plays a role.

So our endeavor obviously, always is to have a better margin. But sometimes, the mix is to your disadvantage and sometime, it is to your advantage. So, depending on the forecast and the buyers and things like that. So, this quarter, the margin performance is if I have to kind of say that three major points is volume-product mix, cost leverage which was there and then Timken India Limited, we are relentlessly working with our customers on price realization. And we've been kind of market leaders in asking for better pricing in the fraternity.

Rajesh Kothari: And inherently, the railways margins would be, compare to say company average margins, if you basically put this, which will be the highest in that order, say, between railway and mobile and process and exports. How do you basically rank this?

Sanjay Koul: No, I would not like to rank.

Rajesh Kothari: Okay. But at least railways will be higher than the company average? Would that be a safe assumption?

Sanjay Koul: No, I cannot give you my core competence since that, the point is generally, I would say that the aftermarket is always around the globe -- any segment aftermarket is always the most profitable.

Rajesh Kothari: Sure. And last question from my side. In terms of the competition, how do you see the competitive landscape, particularly on both railways as well as in the process side? Because the competitors are also entering into a

few segments, where Timken has a traditionally very stronghold. So would you like to comment on that?

Sanjay Koul: Yes, competitors always were very, the competitors and competition has been there and will remain there. And obviously, there are in this segment still today, there are only few companies which have the technology, there might be companies who have money to say buy a foreign nice, great grinding line. But then there is a lot of application engineering, customary engineering, product technology, manufacturing, which only a few companies have.

And I'm not saying that the competition will not have everybody in this market over the years. But and this is again where, the mobile we had in 1998, the mobile handset we have today, you can understand what is the technology change happening. The car which I drove first time when I joined Tata Timken back in 1990, the Premier Padmini, I used to carry all the spark plugs, panna, petrol bottle, everything.

Now, I don't need to keep it there. So, all that put together, I would say that, the parent is relentlessly innovating. And obviously, other few companies are relentlessly innovating and this market needs innovation. And then, new segments, sunrise segments are coming. For example, I'll give an example that the solar used to be fixed panel. Even in India, till last year, it was generally fixed panel.

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And then all of a sudden, people understood that, hey, you have to leverage solar to the maximum. And the sun direction to the panel is changing. Now, rotating panels, which means small gearboxes, bearings, etc. So, that is one new segment. And not everybody will have the technology to cater to that. Food and beverage, food and beverage is another segment. Very few people will have the technology to have that kind of bearings or solutions for these new industries which are coming up. And then, obviously, wind, very few companies will have the reliability to cater to, today it is in India 3 to 5 mega, but globally, even 15 megawatt windmills are installed. So, you need highly reliable, highly technologically advanced bearings. So, we will relentlessly work on innovation. We are working on innovation, optimizing supply chains and things like that. So, competition is welcome. And we will compete and everybody will compete. And winning is important.

Rajesh Kothari: What is your capex for FY '25 and FY '26?

Sanjay Koul: Okay. I think I am not sure. I am just asking Avishrant, our CFO, to check that.

Avishrant Keshava: Plus INR400 crores.

Sanjay Koul: More than INR400 crores.
 Rajesh Kothari: So combined? You mean both combined?
 Sanjay Koul: Both combined meaning?
 Rajesh Kothari: Sorry, is it each year? Or is it '25 and '26 combined?
 Sanjay Koul: '24-'25, INR400-plus crores.
 Avishrant Keshava: That includes Bharuch
 Sanjay Koul: '24-'25.
 Rajesh Kothari: Yes. You mean...
 Sanjay Koul: These too in March 31st of '25
 Rajesh Kothari: Okay. It means by 31 March '25, you will spend INR400 crores, correct?
 Sanjay Koul: Yes.
 Rajesh Kothari: Okay. And for '26?
 Sanjay Koul: '26, I don't have the figures yet. But so this financial year will be INR400 plus spending -- INR400 crores.
 Moderator: The next question is from the line of Rishabh from Premji.
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Rishabh: So my question is regarding the new capacity for the CRB and SRB. What would be the domestic versus export mix that we are planning?

Sanjay Koul: So the CRB and the SRB mix is going to be -- there are certain applications in the segment, which are both available in -- whereas consumption is in India and whereas consumption is outside. And these bearings largely in this size range is the market largely is India and also there is a nice market in ASEAN and a little bit in Australia as well. And obviously, it has a market

in

Europe and other places. But our focus on export would be little bit less, and it will be more domestic.

And we are open to exporting more and more, but our first go-to-market strategy on this definitely is domestic market. While we are already supplying tapers and we are well entrenched here with these customers, both whether it's metal handling or it is cement or is it power etc. So domestic is the priority. And there are markets in ASEAN and nearby countries, which will also be catered. I can't give you the exact percentage. Focus is domestic, for sure.

Rishabh: Okay. Sir, just a follow-up here. So if we were to sort of consider, let's say, 60-40 or anything more than 50 for India, our market share in SRB and CRB would grow a bit closer to double-digit versus low-single-digit, if I'm not wrong from recollecting from one of your con calls. So if we were to sort of grow such a market share, what sort of competitive challenges that we might see any margin pressure that might come?

Sanjay Koul: So currently, we are selling SRB/CRB in India, and we are importing them from different parts of the world. So obviously, when we are domestically producing your structure of the cost would be different than when you are importing. So that is one fundamental. You can't produce everything in one country. But whenever you are importing, obviously, the cost challenges are more than compared to domestic production.

And definitely, our penetration in CRB/SRB is less, you're absolutely right, and it got better in tapers. And the idea is that we grow into a double-digit penetration in this area in India. And that is the intent and that is the path we are taking. And we have already started testing certain part numbers, etc. So, so far so good, looks pretty okay. And now we have to obviously complete the plant and start PPAPing and start selling. But the general direction is that we want to take the penetration single-digit to double-digit with this margin in India.

Rishabh: So you're confident that the margins won't be impacted despite of growth?

Sanjay Koul: If every thing remain same, it should have a nice impact positive.

Rishabh: Okay. Thank you sir.

Moderator: The next question is from the line of Abhishek from DSP. Please go ahead.

Abhishek: Hi, sir, thanks for the opportunity again. Two questions. First is, the parent has got into lot of M&A in terms of new products, which is coupling, chains, belts, pulleys. Any thoughts of actually starting the distribution of the same in this -- in the domestic market? Any thoughts to progress there?

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Sanjay Koul: So yes. So, the whole concept, if you see is that we want to be on the powertrain, which is right from motor upto to end. And then we have coupling shafts, chains, pulleys, lubrication system. And Timken globally has acquired company, which would serve this dynamic powertrain and

pretty much high-tech technological company like the Rollon is there, for example, one such company and Groeneveld-BEKA in lubrication and Lovejoy in couplings and Diamond in chain. And definitely, India is a growing market and India is a great place to manufacture,, great place to export, etc, etc. So currently, this is an area where there is a chance for us to grow definitely. And it is not only importing and selling in India. It is like can we as a company create a supply chain model out of this place? And serve the Indian market, serve the globe. Saying is easy, doing is tough. And we are looking at it, we are working on it. Say for example, on one of the metros, we installed a lubrication system first time and running very successfully already. So we are looking at opportunities and seeing what is the best way to serve this market. And definitely, this is a market which we should cater in India. This is a combined nice market. The parent has the technology, and that tec

hnology is available to us. And now how to optimize the supply chain to cater to the domestic market and at the same time, see if we can also be part of the parent's global supply chain model.

Abhishek: Sir, but any thoughts on the time line?

Sanjay Koul: I cannot comment on the timeline as this creating supply chain is tricky in the sense that you have to either go and buy a company or build a company or have such capable companies in India, which can become your source partner. So we are working on it. We have a small team working on it currently. But no timeline, which I could provide. Though my intent is the time line should be faster and faster, but currently we do not have any such time lines in front of me.

Abhishek: Got it. Sir, the other question is on exports, which has seen - at one point in time, exports used to contribute to more than 30%-35% of your overall top line. In the current quarter, it has gone down to as much as 14%. And your - if you look at your overall EBITDA margin, still continues to be very robust.

So sir, in the next couple of years, given the overall thing which is happening around the globe in terms of wind and other things and China-PLUS-One strategy, do you believe on a sustainable basis, given the way your domestic market is also growing, exports should be more like 25%-30% of your overall top-line contribution? Is that the way one should look at it? Any thoughts, sir?

Sanjay Koul: Yes. I will give you a short answer. Yes. 25%-30%, that is the correct range. But the long answer, definitely, Indian market is growing. And then there is definitely China-PLUS-One, which is going to and is benefitting India. Lot of manufacturing shift to India. And, then at some point of time, China-PLUS-One competing against Indian cost, quality, delivery also will be a challenge for other countries. So, 25-30 is a safe range and a safe bet out of our total pie to be exporting, and we want to keep on serving our strategic domestic customers. So, we don't want to kind of drop any domestic customer for exports. Obviously, we want to serve all. And you know as the market moves, so shall our capacities.

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Abhishek: Got that. Thank you so much sir, and wish you all the best. Thanks.

Management: Thank you very much. And I think we are really close. I just want to also share before I take the last question that you already might be knowing that our CEO, Rich Kyle, which he has shepherded the company very well. He is one of the longest tenured CEOs in his peer group for the parent. Worked professionally for almost 35 years and 18 years with The Timken company. he led Timken, the parent to a remarkable strategic journey and has transferred the company into a very nice, high-performing diverse industry leader. And he has made up - I was about to say unfortunately, Rich made a very personal decision several months ago to retire and the company has already selected a successor. The board has selected the successor. And the on-boarding process is on.

And I'm happy to share Mr. Tarak Mehta is going to be parent's next CEO. And he comes from a very highly acclaimed company, ABB. And from September he would be taking over. And Mr. Kyle would work as advisor to him for some months. And that would be one more thing. And Mr. Mehta has been working in the industrial motion, which just now the question was asked about his expertise and more than \$10 billion worth of business he has been driving at ABB in the industrial motion segment, which is same kind of you know, beyond bearings you know the powertrain piece of it. .So that is another information. And with that, I can go to the last question.

Moderator: Thank you. The last question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Hi, Sir, congratulation and bouncing back, I mean, strongly. Sir, my only que

stion is that within

railway, the way it has grown. So can you give some color which segment is growing faster than

- I mean we are supplying to everywhere. And within that, also a margin profile, which is, I mean, give you better for margin?

Sanjay Koul: So currently, if you see the last quarter, rail is the best-performing sector. And the - and if I can say the not-so-good or same is the heavy truck market. Heavy truck market has been flattish, sluggish, has not reached the peak of 2018. But Rail has been our star for the quarter. And I said previously also that rail will keep on doing well over the years. So though it might not be a hockey stick, but we will keep on doing well.

Now we have - we are waiting for a government change and - which might change policies or steady policy definitely. Heavy truck scrap policy might be a move which the industry might need as the new government steps in. And if that happens, all of a sudden heavy truck in India would be a hockey stick.

But currently, as I see the two areas, which are performing well and will perform pretty well this year is rail, distribution and process, these three industries. And if the new government comes later in the year and decides to scrap the 15 year plus vehicles then the demand for the heavy truck will be certainly go really up.

On the margin, I've been telling that you know continuously that we'll not obviously segment-wise give you any indication on the margin. But as a company, our strong margin has been this

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quarter, because of the product mix and a nice leverage on the cost. And obviously, price realization has been strong despite challenges of the softening of the metal pricing.

Bharat Sheth: So, is it a fair assumption that the railway is highest base, so better product means rail generate a little better the margin than a company level? And within rail, if you can give some color, which is growing faster and which you expect to pass out like Vande Bharat wagon and other freight?

Sanjay Koul: So in rail, actually, obviously, we have to see the base. Freight has the largest base. So freight is growing. Metro has a very small base. It is growing but obviously, when you see the base is small even if it grows by 100%, the base is pretty small. Wagon base is big there even if 5%-10% growth is pretty significant in terms of dollars or INR.

And certainly, electrification is pushing the locomotives and Vande Bharat and the passenger after wagon that has the second largest base, Vande Bharat is following. So, wagon consumption. I'm saying if you see the whole pot, wagon has the number one for the build side, I am not saying margin side, for the build side followed by passengers and then metro and locomotive. So that is how it's going to play out. And on margins, I am not authorized to tell you the margins in segment-wise. But our endeavor is to obviously is to kill the waste and work hard to make sure that we optimize cost wherever it's possible.

Bharat Sheth: Sir, do we believe the Q4 margin is sustainable for the full year FY '25 or maybe some softness?

Sanjay Koul: As I said that it is a volume and mix driven. So, some quarters go up, some quarters come down. So that up and down remains for every company. If your product mix that quarter was bad, so it can come down. But what is sustainable is how your supply chains are behaving. And if you have good demand, then how do you leverage that volume, which is very, very important in our industry. So, the endeavor is obviously a profitable growth and quarter-to-quarter mix and play, so.

Bharat Sheth: Okay. Thank you very much. And all the best

Sanjay Koul: Thank you so much, thank you very much. With that, thanks a lot for all the questions. I always learn more from the question. I hope you got the answers. And thanks a lot for Spark for coordinating. Thank you and Jaihind.

M

oderator: Thank you. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: Transcript may contain transcription errors. Please refer audio recording for accurate details. Audio recording is available on website of the Company .

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MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAHA – CHIEF FINANCIAL
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MODERATOR : MR. RAM SESHAN – AVENDUS SPARK

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Moderator : Ladies and gentlemen, good day and welcome to Timken India Limited Q4 FY '24 Earnings Conference Call hosted by Avendus Spark. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Ram Seshan from Avendus Spark. Thank you and over to you, sir.

Ram Seshan: Hi, guys. Good evening. This is Ram from Spark Capital. Appreciate everybody logging in. Very pleased to be hosting Mr. Sanjay Koul, Chairman and Managing Director of Timken India, along with Mr. Avishrant Keshava, CFO to discuss the 4Q results. We'll start with brief opening remarks from Mr. Koul, followed by a Q&A session.

Mr. Koul, all yours.

Sanjay Koul: Thank you, Ram. Thanks a lot. So my opening remarks, I would be limiting so that we can directly go to the Q&A. However the highlight of the Q4 '23 -'24 performance were that we had a record quarterly revenue of INR898 crores, which were up double digits from last year same time, mostly rail and domestic sector.

Unfortunately, the exports were down. And we still see that export markets are not going to be buoyant in short to medium term. And obviously, we are also having the elections here, so that is also full of challenges. Otherwise, the performance remain solid. And also currently, we are working very hard on our new plant, which is coming up as per plan. Other than that, I would go to the Q&A and add more value to that. Over to you.

Ram Seshan: Start the Q&A, please, Muskan.

Moderator: The first question is from the line of Krupashankar from Avendus Spark.

Krupashankar : Just first up question is on exports side of things. Just wanted to pick your brain on sequentially how you are seeing things improving on the exports piece. And if you can throw some colour on the Class 8 demand as well and how you are seeing that shaping up?

Sanjay Koul: So on the export side, as you all know that we export to both the global rail markets out of Timken India Limited. And also, we export for the heavy truck to the different markets around the globe. On the rail side, South America is pretty robust. So they are doing pretty well, that market is doing pretty well on the rail side.

However, on the heavy truck side, it is not where it should be and it is soft. And the soft landing is not expected in the H2. It looks to be in the short and medium term, it will remain soft.

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However, the rail markets are doing well in South America for a change and North America is okay. But the heavy truck market is, for sure not doing well. So that is looming large, and then

the U.S. market have their own elections in November, so there is little bit of an uncertainty there.

Other than that, the local markets, especially the rail in the domestic market is doing pretty well. Australia is flattish; ASEAN, flat to low; China, especially for wind, is pretty much down. So globally there are some pockets of bright spots like South America. Other than that, India, obviously holding on, and no other major India-style that kind of GDP growth is not happening in the near term.

Krupashankar: Got it, sir. Sir, also a bookkeeping question, if you can share the revenue breakup for the quarter

as well as for the full financial year that would be really helpful?

Sanjay Koul: Yes. For the Q4, our revenue breakup was, rail was 34% in the quarter. And mobile, others was 17% and distribution was 19% and process industry was 17% and the exports were 14%. So that was for the Q4.

And then for the full year, the rail stood at 23%, the mobile, which is the heavy truck, off-highway, was 20% of the pie and distribution was 18%, process was 19% and export was 20%.

And if you see that was the whole year '23-'24.

And if you compare this with '22-'23, rail was 17%, and this year -- we completed the pie was 23%. And mobile, others remained flattish 20% -20%, distribution same, 18% -18% and process was 16% in '22-'23 went up to 19%. And the exports came down from 28% in the pie to 20%.

Moderator: The next question is from the line of Abhishek, DSP.

Abhishek: Sir, just coming back to the current quarter, we have seen very strong growth as far as railways is concerned. Any thoughts? Is it led by more wagon manufacturing kind of happening, and that's resulting in more bearing requirement? Is it Vande Bharat? Or is it just a one-off? Any some indication on the rail sustainability part as far as growth is concerned, sir?

Sanjay Koul: Rail, obviously, the rail market is pretty much buoyant in India currently both from the fact that more wagons are getting built and then also Vande Bharat and then with a little bit of metro and also locomotive. So rail certainly is going to remain, as I always say, that this rail will always be better than the previous years for many, many years to come.

India has to do lot more in railway, and the intent of the Rail Mantralaya is very much there. So that is on. That is why we see Vande Bharat, we see speeds getting over, going up, we see electrification happening. And we see double tracks being laid wherever there was single tracks, which means that they want to put more trains on the tracks and then dedicated freight corridor slowly, steadily picking up.

As they get more land, definitely, they want to move freight out of the normal lines and keep passengers as lean as possible so that more passenger traffic can be taken, so clearly, on your question, it is a sustainable model. And that, obviously, quarter-to-quarter might be little bit of Timken India Limited

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aberration here and there. But year-on-year, there will be always growth for the next many, many years for rail in India. So that would be my answer for that.

Abhishek: Okay. That's very helpful. Sir, would you still be maintaining 50% market share? Or would your market shares have moved up in railways?

Sanjay Koul: So as you know that we've been in railways from our parent company also in this game for many, many years. And then we have created the optimum supply chains for railways. Our center of excellence of railways is in Jamshedpur. And then also on technology front, which we get from our parent, we are continuously upgrading those and whether it is sealing technology, whether it is greasing technology, whether it is the material finds of it etc., so that there will be a life of these bearings go up and uptime of the rail in itself goes up. So that would remain to the core of it.

Abhishek: Okay. Sir, but just in terms of the railway part of it, you think you have enough capacity or at some point, will you also have to add capacity? Any thoughts on the same?

Sanjay Koul: Yes, good question. Certainly, I think the rail capacity as it goes today and we are also exporting it in some markets at times are being like South America is doing pretty well, And we are looking at these capacities very closely. And so that we don't want to be saddled with fixed cost, but at the same time we don't want to be saddled with non-capacity. So yes this is a very good point for evaluation and

we are evaluating and seeing how do we increase the output and also the base capacities. We have not taken any decision yet as we speak, but it is on our active consideration list.

Abhishek: Okay. Sir, the other segment which has done well for you is the process part of it which has seen -- which has been seeing healthy improvement. Sir, any thoughts because that's a segment which caters to the steel, cement and the power part of it. And we are seeing a lot of steel capacities

coming, cement capacities increasing, a lot of solar panels are being put up. So any thought on the growth trajectory of this segment which is process industry?

Sanjay Koul: Yes. So, both in terms of putting the new steel capacities in which means that the more mills would come in and then also continuous running of the steel mills so that the output is harnessed. So steel industry certainly will remain pretty healthy in India and it should be.

Our per capita consumption of steel is low if you see countries like China and others. So our per capita consumption is pretty low and we need to produce more steel, sustainable steel, green steel. But they are all form of steel will need bearings and Timken obviously for ages around the globe are well versed in the technology of the rolling mills and how do you produce those bearings.

And as we speak, our Bharuch plant will also help us in this area whether it is cement or it is power or it is steel. And we must be the only company in India which run more than 26, 27 roll shop inside the steel companies. You name the steel company we are inside, we are 24 *7 – de-choking, choking, mounting, demounting and things like that.

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So this market will remain pretty nice as we need more steel for building the infra in India. And we -- from the Timken India side will remain close to the customer and we will make sure that we ride the wave as it comes. And it is -- obviously, we all know that a lot of steel companies are investing, enhancing capacities and also producing more and more.

The shape might change. People might go start putting more electric arc furnaces which means that they would like to reuse the scrap steel etc, but they have to do rolling. They have to do rolling and things like that. So, we see a nice growth in this market.

Abhishek: Great, sir. Sir, one last question. In terms of the new capacity, we see a fair amount of capex being done, almost about INR260 crores kind of operating cash flow has kind of got invested or capex has been done. Any thoughts on the timeline, sir? Are we on time to get it up and running by fourth quarter of FY '25? When can one see the traction?

Sanjay Koul: Yes. So just to give a flavour, main shop floor still work has been completed. And our pre-engineering building is all up and roofing is in progress. Our major high-tension wire cabling, etc, roofing and all that substation, switchgear work is in progress. I'm glad that our system -- ERP system is already in place and is live currently for the new plant.

And likely, production start is same as per plan. So we should be able to -- the machines are either on the seas or landing in Bombay from different parts of the world as this is going to be a high-tech plant with a lot of robotics and IoT and things like that. So things are moving. And the direct short reply to the question is that we are on time and should be PPAPing by the end of this year and commercial production thereafter.

Abhishek: Great sir. I have few more questions I will come back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Just going back to the export piece. And if I heard you right I think you said the quarter gone by, exports were at 14% which possibly is one of the lowest we've seen

in a very long time. So are

we -- I mean, obviously, there would have been both a Y-o-Y and a sequential decline there. But are we like near or at the bottom and therefore at least going into the next few quarters we start seeing an improvement or is that also a little difficult to call out?

Sanjay Koul: So I would say that, yes, this quarter was amongst the lowest definitely. You're absolutely right bang on this was amongst the lowest. While the next quarter might be a little bit better but the idea of soft landing which was earlier thought that by H2 U.S. market would be up and running with full speed, that is not seen by us both by our principal and we from here looking at that window. It is going to remain a little bit soft for sure.

And short term, medium term, maybe the last quarter was among the lowest. I think it has bottomed out and next quarter might be slightly better and thereby, but kind of going up like a hockey stick is not happening this year. But definitely next quarter might be better than the previous quarter and thereby makes slightly better. But overall, short term, medium term, export

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markets would remain soft which means that if you look at the calendar year January to December would be kind of soft with January to March among the softest.

Ankur Sharma: Right. And I'm just wondering because is it primarily driven by the weakness you expect in the heavy truck, the Class 8 market in the U.S.? Because I thought you said the rail markets are

doing okay? So it's more to do with the decline in the U.S. market?

Sanjay Koul: Yes. So rail market in South America is doing well. Rail market in North America are okay - okay -ish and heavy truck market is not doing well. And then we are also exporting, Australia is also flattish. ASEAN is definitely low. And so overall it is for the heavy truck – and even in India the heavy truck is also flattish. So it is kind of a global phenomenon.

Ankur Sharma: And are we -- is the parent also exploring options for maybe sourcing more from us in India? Is that an offset or a leveller that we may have as well?

Sanjay Koul: So the global supply chain folks are always looking at options of sourcing, resourcing. But as you know that resourcing, changing source it is like steering a very big ship, cannot be done overnight and things like that. So the evaluation of sourcing, resourcing, all that will always be there but the plants in -- we have a plant in Mexico, we have obviously plants in different parts of U.S. and we have , parent has a plant in China, etc. So sourcing from India will remain attractive. But overall, the markets have not -- not really doing so well so including the off - highway market in America, even that is not doing that well.

Ankur Sharma: Fair. Okay . And just on the distribution piece which is the aftermarket and I'm assuming a more stable and also more profitable business for you. Fair to assume that keeps on growing in that 10%, 12% kind of a range in line with maybe nominal GDP? Is that a fair assumption? And also what is driving that growth there?

Sanjay Koul: So when you talk about aftermarket there are two kinds of aftermarket. One is the MRO business for the industry, say for example, a steel company needs to produce steel, cement needs to produce cement; energy needs to produce energy. So obviously, they have their life cycle for the bearings . So that market will keep on growing and your GDP itself and any good company wants to outgrow the market, so if you're GDP is growing 6% to 7%, and you want to outgrow let's say at 50%, so you grow double digits. Like MRO market is bound to grow and grow . The other market is the auto aftermarket. So when I mean new trucks are not built and auto aftermarket is obviously using more trips or ferrying more payload and is obviously consuming more bearing

ng but auto aftermarket in India is always going after -- especially believe in going after cheap bearings and differential -pinion doesn't get replaced so fast.

So, on the one side of industrial distribution, where we focus more is going to remain pretty solid. And the auto aftermarket is going to be commoditized to a large extent, which is happening in the market.

Ankur Sharma: Right. And just one last one on our utilization levels, both in Jamshedpur and in Bharuch. Fair to assume while exports are a little weak, the strong growth in rail and the other industrial aftermarkets should kind of keep us fairly busy and...

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Sanjay Koul: Jamshedpur is running 6 days full 3 shifts. Bharuch is also running more or less full. We don't see that going down. And Jamshedpur is running flat out. I would say our Bharuch plant might be a little bit 5 -odd-percent less loaded. But overall, both plants are running -- currently as we speak, are running full.

Ankur Sharma: And if you could also just give me the comparable -- the sales breakup for Q4 '23. I think you gave the number for '24. If you could just share the same for the last year.

Sanjay Koul: So Q4 -- if you want Q4 of '22 and '23, the rail was 23%, mobile other was 20% and 19% was distribution, 18% was process, export was 19%.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Sir, first on the margin side. If we look at it on a Y -o-Y basis, our margins have improved by 300 basis points. While operating leverage would have played its part, but at least in terms of mix, if you look at it, railway has done better and export has not -- has declined, which in terms of mix is inferior. So what explains the margin expansion ? And do you think these margins are sustainable?

Sanjay Koul: So, the margin performance largely is driven by volume and product mix. So utilization was better. So that helped the cause. When you can overleverage capacities, so that has an impact on the margins. And the second is that post -COVID, everybody in the industry has been relentlessly leveraging cost or cutting waste or making sure that the waste is out of the system.

And now because of the push on ESG, especially sustainability, so everybody is trying to see and make sure that supply chains are circular , they are shorter, smarter. So I would say that an answer to your question, strong margin performance in the quarter largely was driven by favorable volume and product mix and the better cost leverage we have been trying to do in the area of supply chain.

And on top of that, despite the fact that steel prices have come down. Labor, obviously, keeps on going up. So , we have been working very hard on price realization. And that has remained pretty much our continued effort on price realization despite softening of the metal prices. So

we are generally, the OEs would only look at steel.

Now we are trying to discuss and bring their focus on the other aspects of the pricing, not only steel pricing. And when you are a natural supplier, how much productivity increase can be done over a period of time and we're already supplying for 40 years. So that will also be a go-to-strategy, especially when the application is where you can harness value. I hope that answers your question.

Moderator: The next question is from the line of Rajesh Kothari from Alfa Advisors Private Limited.

Rajesh Kothari: Just a few questions from my side. The first question is on the railway side. Can you please share in terms of this growth? Because generally, the railway CapEx is yet to happen in a big way. So over next 2 to 3 years, do you expect this segment to continue to grow at 25% to 30%? And if

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yes, how much you think is primarily driven

by, say, Vande Bharat and metros compared to the freight-related railway segment?

Sanjay Koul: So I can't tell you whether it will grow 25% to 30%. But as I have been telling over the years that rail in India will always grow. The growth might not be like a huge hockey stick, but it is bound to grow year-on-year, year-on-year, it has to grow for the simple fact that we don't have enough track kilometers.

When you lay more tracks, you need more trains, you need more stuff and as you produce more steel, as you produce more cement, then you need those wagons to transport it, then we have an aging wagon population as well, despite the fact last 5, 6 years, we've been pushing these wagons, but still 300,000 population of these BOXN wagons need to be overhauled especially, replaced especially because of the fact that Dedicated Freight Corridor is slow and we cannot afford to have a bad wagon or a hot axle on a track where the passenger is coming every 2, 3 minutes.

So long story short on this is that Indian Railways will grow Y-o-Y, Y-o-Y, Y-o-Y, it will keep on growing. Some years it will be better, some years it will be a little bit less better, but it will keep on growing. The other question is that India on the mass rapid transportation is bound to invest more. Every state, every city needs metro because of the fact that the roads within the city are limited. So your metro population will keep on growing. But the metros don't use mass amount of cars and bearings. So -- but it is still a segment which will keep on growing.

On Vande Bharat and related area is that now the good old Schlieren passenger car, which was the workhorse of Indian Railways, needs to be replaced all over India because of the fact that it has a limitation on safety, et cetera.

So the modern coaches of Vande Bharat and speed enhancement, etc., etc., will keep on happening. And as we see in Europe, as we see in China, the speeds are much, much higher. We still have to catch on the average speed of say, 175 kilometers and then maybe beyond that. So this segment will also keep on growing. So whether it is 25% or 30% or 10%, but every year will be better than the previous year.

And the CapEx obviously has to happen. Now some years we might be able to buy like last mega tender of 90,000 wagons and then there was a little bit less, then again, they are working on a master plan. So the master plan on infrastructure certainly has a major play for Railways and electrification of 1,000 locos a year and all that stuff. So this sector in India will grow for many, many years. Now whether it will grow 20% or it will grow 5% but it will keep on growing.

Rajesh Kothari: So while I clearly understand the macro tailwind, what we are witnessing, but in terms of the visibility, so typically, how it works, you get a visibility for next 12 to 18 months because, say, companies like Texmaco or Jupiter, they might be -- you might be supplying to them. So they give advance orders to you, which is to be executed over 12 to 18 months? Or is it like every month, you get the orders and you have to supply to them?

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Sanjay Koul: Yes. Railways generally tend to be long-term orders. So then you win a bigger order, and then you keep on supplying. So it is not -- even in -- let's say, even in OE making truck, they will do an annual contract and then pick up based on his demand. And same goes for the wagon builders.

They will do a large -- say for example, so x building wagon gets a 20,000-wagon order and which means that his capacity, if he do 3,000 wagons a month and he has to complete these 20,000 wagons. So obviously, he needs 3,000 into 8 bearings every month, which is 24,000. He will be able to using take five, six months of order. And generally, rail -- because of the fact that they need to -- they need the wheelset ,

they need to mount the carriage and turn it out. So

they want to push it out, so that they get their money back quickly. So it is generally -- I would say it is an order for which lasts 24 months, but certainly between six months to 12 months, the order would last.

Rajesh Kothari: So basically it means that in terms of you would have certain visibility for the current year as well...

Sanjay Koul: Yes, we have -- yes, definitely, we have the visibility for this full year as we speak.

Rajesh Kothari: And that looks reasonably robust as you see the order book as on now in terms of -- that looks reasonably...

Sanjay Koul: Yes. It looks pretty robust touch wood. And then as we get into October, then our visibility will go into '25 mid till that time.

Rajesh Kothari: I see. So they would it be -- I'm not too sure, but is it possible for you to share some numbers in terms of the, say, order intake or something like that? Because macro tailwind, of course, is there for the next 10 years for India, correct? Amrit Kaal is going on. But that growth of 10, 20, 30, 40, there's a big difference between the two numbers, correct? And to that extent, of course, the profit variance is also very, very high. So would it be -- might be -- you might use in a different terminology or high -teen, low -teens, high -20s, low -20s. But some indicators definitely will be useful for us.

Sanjay Koul: Yes. So I can tell you that it is robust. We have order book, which is very strong. Beyond that, obviously, I don't want to share. But as we speak, the next 15 months are pretty robust.

Rajesh Kothari: Super. Sir, my second question is with reference to the automobile segment. Typically, the commercial vehicle segment is a very bulky segment for you. And C V industry is right now going through the, what I would say, consolidation or maybe a little bit downward kind of a trend. But despite that, our margins have improved because normally, this is considered with a little bit higher -margin segment. So how we should read that? And despite CV kind of a little bit slowing kind of a growth, you have still reported reasonably good number in the mobile segment. So how we should read this?

Sanjay Koul: So obviously, now we have reported margins as a whole, and not in mobile. We have obviously given the whole quarter consolidated margin. That is how it is. Now if you want to say that for the CVs were flattish and rest was whatever percentage. As I said earlier, I think Ankush was Timken India Limited

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asking the question that, margin performance in the quarter is obviously product and mix and leveraging the capacity always plays a role. And then our consistent work in the area of supply chain, steel optimization etcetera that plays a role.

So our endeavor obviously, always is to have a better margin. But sometimes, the mix is to your disadvantage and sometime, it is to your advantage. So, depending on the forecast and the buyers and things like that. So, this quarter, the margin performance is if I have to kind of say that three major points is volume -product mix, cost leverage which was there and then Timken India Limited, we are relentlessly working with our customers on price realization. And we've been kind of market leaders in asking for better pricing in the fraternity.

Rajesh Kothari: And inherently, the railways margins would be, compare to say company average margins, if you basically put this, which will be the highest in that order, say, between railway and mobile and process and exports. How do you basically rank this?

Sanjay Koul: No, I would not like to rank.

Rajesh Kothari: Okay. But at least railways will be higher than the company average? Would that be a safe assumption?

Sanjay Koul: No, I cannot give you my core competence since that, the point is generally, I would say that the aftermarket is

always around the globe -- any segment aftermarket is always the most profitable.

Rajesh Kothari: Sure. And last question from my side. In terms of the competition, how do you see the competitive landscape, particularly on both railways as well as in the process side? Because the competitors are also entering into a few segments, where Timken has a traditionally very stronghold. So would you like to comment on that?

Sanjay Koul: Yes, competitors always were very, the competitors and competition has been there and will remain there. And obviously, there are in this segment still today, there are only few companies which have the technology, there might be companies who have money to say buy a foreign nice, great grinding line. But then there is a lot of application engineering, customary engineering, product technology, manufacturing, which only a few companies have.

And I'm not saying that the competition will not have everybody in this market over the years. But and this is again where, the mobile we had in 1998, the mobile handset we have today, you can understand what is the technology change happening. The car which I drove first time when I joined Tata Timken back in 1990, the Premier Padmini, I used to carry all the spark plugs, panna, petrol bottle, everything.

Now, I don't need to keep it there. So, all that put together, I would say that, the parent is relentlessly innovating. And obviously, other few companies are relentlessly innovating and this market needs innovation. And then, new segments, sunrise segments are coming. For example, I'll give an example that the solar used to be fixed panel. Even in India, till last year, it was generally fixed panel.

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And then all of a sudden, people understood that, hey, you have to leverage solar to the maximum. And the sun direction to the panel is changing. Now, rotating panels, which means small gearboxes, bearings, etc. So, that is one new segment. And not everybody will have the technology to cater to that. Food and beverage, food and beverage is another segment. Very few people will have the technology to have that kind of bearings or solutions for these new industries which are coming up. And then, obviously, wind, very few companies will have the reliability to cater to, today it is in India 3 to 5 mega, but globally, even 15 megawatt windmills are installed. So, you need highly reliable, highly technologically advanced bearings. So, we will relentlessly work on innovation. We are working on innovation, optimizing supply chains and things like that. So, competition is welcome. And we will compete and everybody will compete. And winning is important.

Rajesh Kothari: What is your capex for FY '25 and FY '26?

Sanjay Koul: Okay. I think I am not sure. I am just asking Avishrant, our CFO, to check that.

Avishrant Keshava: Plus INR400 crores.

Sanjay Koul: More than INR400 crores.

Rajesh Kothari: So combined? You mean both combined?

Sanjay Koul: Both combined meaning?

Rajesh Kothari: Sorry, is it each year? Or is it '25 and '26 combined?

Sanjay Koul: '24-'25, INR400 -plus crores.

Avishrant Keshava: That includes Bharuch

Sanjay Koul: '24-'25.

Rajesh Kothari: Yes. You mean...

Sanjay Koul: These too in March 31st of '25

Rajesh Kothari: Okay. It means by 31 March '25, you will spend INR400 crores, correct?

Sanjay Koul: Yes.

Rajesh Kothari: Okay. And for '26?

Sanjay Koul: '26, I don't have the figures yet. But so this financial year will be INR400 plus spending -- INR400 crores.

Moderator: The next question is from the line of Rishabh from Premji.

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Rishabh: So my question is regarding the new capacity for the CRB and SRB. What would be the domestic versus export mix that we are planning?

Sanjay Koul:

ul: So the CRB and the SRB mix is going to be -- there are certain applications in the segment, which are both available in -- whereas consumption is in India and whereas consumption is outside. And these bearings largely in this size range is the market largely is India and also there is a nice market in ASEAN and a little bit in Australia as well. And obviously, it has a market in Europe and other places. But our focus on export would be little bit less, and it will be more domestic.

And we are open to exporting more and more, but our first go-to-market strategy on this definitely is domestic market. While we are already supplying tapers and we are well entrenched here with these customers, both whether it's metal handling or it is cement or it is power etc. So domestic is the priority. And there are markets in ASEAN and nearby countries, which will also be catered. I can't give you the exact percentage. Focus is domestic, for sure.

Rishabh: Okay. Sir, just a follow-up here. So if we were to sort of consider, let's say, 60-40 or anything more than 50 for India, our market share in SRB and CRB would grow a bit closer to double-digit versus low-single-digit, if I'm not wrong from recollecting from one of your calls. So if we were to sort of grow such a market share, what sort of competitive challenges that we might see any margin pressure that might come?

Sanjay Koul: So currently, we are selling SRB/CRB in India, and we are importing them from different parts of the world. So obviously, when we are domestically producing your structure of the cost would be different than when you are importing. So that is one fundamental. You can't produce

everything in one country. But whenever you are importing, obviously, the cost challenges are more than compared to domestic production.

And definitely, our penetration in CRB/SRB is less, you're absolutely right, and it got better in tapers. And the idea is that we grow into a double-digit penetration in this area in India. And that is the intent and that is the path we are taking. And we have already started testing certain part numbers, etc. So, so far so good, looks pretty okay. And now we have to obviously complete the plant and start PPAPing and start selling. But the general direction is that we want to take the penetration single-digit to double-digit with this margin in India.

Rishabh: So you're confident that the margins won't be impacted despite of growth?

Sanjay Koul: If everything remain same, it should have a nice impact positive.

Rishabh: Okay. Thank you sir.

Moderator: The next question is from the line of Abhishek from DSP. Please go ahead.

Abhishek: Hi, sir, thanks for the opportunity again. Two questions. First is, the parent has got into lot of M&A in terms of new products, which is coupling, chains, belts, pulleys. Any thoughts of actually starting the distribution of the same in this -- in the domestic market? Any thoughts to progress there?

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Sanjay Koul: So yes. So, the whole concept, if you see is that we want to be on the powertrain, which is right from motor upto to end. And then we have coupling shafts, chains, pulleys, lubrication system.

And Timken globally has acquired company, which would serve this dynamic powertrain and pretty much high-tech technological company like the Rollon is there, for example, one such company and Groeneveld-BEKA in lubrication and Lovejoy in couplings and Diamond in chain.

And definitely, India is a growing market and India is a great place to manufacture, great place to export, etc, etc. So currently, this is an area where there is a chance for us to grow definitely.

And it is not only importing and selling in India. It is like can we as a company create a supply chain model out of this place? And serve the Indian market, serve the glob

e. Saying is easy,

doing is tough. And we are looking at it, we are working on it. Say for example, on one of the metros, we installed a lubrication system first time and running very successfully already.

So we are looking at opportunities and seeing what is the best way to serve this market. And definitely, this is a market which we should cater in India. This is a combined nice market. The parent has the technology, and that technology is available to us. And now how to optimize the supply chain to cater to the domestic market and at the same time, see if we can also be part of the parent's global supply chain model.

Abhishek: Sir, but any thoughts on the time line?

Sanjay Koul: I cannot comment on the timeline as this creating supply chain is tricky in the sense that you have to either go and buy a company or build a company or have such capable companies in India, which can become your source partner. So we are working on it. We have a small team working on it currently. But no timeline, which I could provide. Though my intent is the time line should be faster and faster, but currently we do not have any such time lines in front of me.

Abhishek: Got it. Sir, the other question is on exports, which has seen - at one point in time, exports used to contribute to more than 30% -35% of your overall top line. In the current quarter, it has gone down to as much as 14%. And your - if you look at your overall EBITDA margin, still continues to be very robust.

So sir, in the next couple of years, given the overall thing which is happening around the globe in terms of wind and other things and China -PLUS -One strategy, do you believe on a sustainable basis, given the way your domestic market is also growing, exports should be more like 25% - 30% of your overall top -line contribution? Is that the way one should look at it? Any thoughts, sir?

Sanjay Koul: Yes. I will give you a short answer. Yes. 25% -30%, that is the correct range. But the long answer, definitely, Indian market is growing. And then there is definitely China -PLUS -One, which is going to and is benefitting India. Lot of manufacturing shift to India. And, then at some point of time, China -PLUS -One competing against Indian cost, quality, delivery also will be a challenge for other countries. So, 25 -30 is a safe range and a safe bet out of our total pie to be exporting, and we want to keep on serving our strategic domestic customers. So, we don't want to kind of drop any domestic customer for exports. Obviously, we want to serve all. And you know as the market moves, so shall our capacities.

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Abhishek: Got that. Thank you so much sir, and wish you all the best. Thanks.

Management: Thank you very much. And I think we are really close. I just want to also share before I take the last question that you already might be knowing that our CEO, Rich Kyle, which he has shepherded the company very well. He is one of the longest tenured CEOs in his peer group for the parent. Worked professionally for almost 35 years and 18 years with The Timken company. he led Timken, the parent to a remarkable strategic journey and has transferred the company into a very nice, high -performing diverse industry leader. And he has made up - I was about to say unfortunately, Rich made a very personal decision several months ago to retire and the company has already selected a successor. The board has selected the successor. And the on -boarding process is on.

And I'm happy to share Mr. Tarak Mehta is going to be parent's next CEO. And he comes from a very highly acclaimed company, ABB. And from September he would be taking over. And Mr. Kyle would work as advisor to him for some months. And that would be one more thing. And Mr. Mehta has been working in the industrial motion, which just now the question was asked about

his expertise and more than \$10 billion worth of business he has been driving at ABB in the industrial motion segment, which is same kind of you know, beyond bearings you know the power train piece of it . So that is another information. And with that, I can go to the last question.

Moderator: Thank you. The last question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Hi, Sir, congratulation and bouncing back, I mean, strongly. Sir, my only question is that within railway, the way it has grown. So can you give some color which segment is growing faster than - I mean we are supplying to everywhere. And within that, also a margin profile, which is, I mean, give you better for margin?

Sanjay Koul: So currently, if you see the last quarter, rail is the best -performing sector. And the - and if I can say the not -so-good or same is the heavy truck market. Heavy truck market has been flattish, sluggish, has not reached the peak of 2018. but Rail has been our star for the quarter. And I said previously also that rail will keep on doing well over the years . So though it might not be a hockey stick, but we will keep on doing well.

Now we have - we are waiting for a government change and - which might change policies or steady policy definitely. Heavy truck scrap policy might be a move which the industry might need as the new government steps in . And if that happens, all of a sudden heavy truck in India would be a hockey stick.

But currently, as I see the two areas, which are performing well and will perform pretty well this year is rail, distribution and processes, these three industries. And if the new government comes later in the year and decides to scrap the 15 year plus vehicles then the demand for the heavy truck will be certainly go really up.

On the margin, I've been telling that you know continuously that we'll not obviously segment - wise give you any indication on the margin. But as a company, our strong margin has been this

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quarter, because of the product mix and a nice leverage on the cost. And obviously, price realization has been strong despite challenges of the softening of the metal pricing.

Bharat Sheth: So, is it a fair assumption that the railway is highest base, so better product means rail generate a little better the margin than a company level? And within rail, if you can give some color, which is growing faster and which you expect to pass out like Vande Bharat wagon and other freight?

Sanjay Koul: So in rail, actually, obviously, we have to see the base. Freight has the largest base. So freight is growing. Metro has a very small base. It is growing but obviously, when you see the base is small even if it grows by 100%, the base is pretty small. Wagon base is big there even if 5% - 10% growth is pretty significant in terms of dollars or INR.

And certainly, electrification is pushing the locomotives and Vande Bharat and the passenger after wagon that has the second largest base, Vande Bharat is following . So, wagon consumption. I'm saying if you see the whole pot, wagon has the number one for the build side, I am not saying margin side, for the build side followed by passengers and then metro and locomotive. So that is how it's going to play out. And on margins, I am not authorized to tell you the margins in segment -wise. But our endeavor is to obviously is to kill the waste and work hard to make sure that we optimize cost wherever it's possible.

Bharat Sheth: Sir, do we believe the Q4 margin is sustainable for the full year FY '25 or maybe some softness?

Sanjay Koul: As I said that it is a volume and mix driven. So, some quarters go up, some quarters come down. So that up and down remains for every company. If your product mix that quarter was bad, so it can come down. But what is sustainable is how you

our supply chains are behaving. And if you have good demand, then how do you leverage that volume, which is very, very important in our industry. So, the endeavor is obviously a profitable growth and quarter -to-quarter mix and play , so.

Bharat Sheth: Okay. Thank you very much. And all the best

Sanjay Koul: Thank you so much, thank you very much. With that, thanks a lot for all the questions. I always learn more from the question. I hope you got the answers. And thanks a lot for Spark for coordinating. Thank you and Jaihind.

Moderator: Thank you. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Note: Transcript may contain transcription errors. Please refer audio recording for accurate details. Audio recording is available on website of the Company .

Call: Aug 2024

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14 August, 2024

The Secretary
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Mumbai – 400 051.
NSE Symbol: TIMKEN The Secretary
Bombay Stock Exchange Ltd.
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai - 400 001.

Scrip Code: 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 9 August, 2024. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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"Timken India Limited
Q1 FY '25 Earnings Conference Call"
August 09, 2024

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER AND WHOLE-TIME DIRECTOR – TIMKEN
INDIA LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ -- BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Timken India Limited Q1 FY '25 Earnings Conference Call, hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you, sir.

Annamalai Jayaraj: Thank you, [Mahitha]. Welcome to Timken India Limited 1Q FY '25 Post Result Conference Call. From Timken India Limited management, we have with us today Mr. Sanjay Koul, Chairman and Managing Director; and Mr. Avishrant Keshava, Whole-Time Director and CFO. I'll now hand over the call to the management for the opening remarks to be followed by the question-and-answer session. Over to you, sir.

Sanjay Koul: Okay. Thank you. Thank you and good morning one more time. So the -- opening remarks, as we concluded our meeting yesterday, we had the best-ever June quarter revenues of INR 784 crores, so best ever first quarter. It was driven by higher volume in most of the front-ends and better in rail. Intercompany sales which is exports, was flattish. And we still have those geopolitical situation around us.

PBT margins were at 16.6% compared to 17.1% in the previous year period. So that was a deterioration, while the sales were up, and energy cost and transportation because everything is going up. We have really a big free balance sheet, strong cash reserves and which are leading to strategic investments and which will secure the future growth.

As we are in the completion phase of building our new facility, greenfield project, which is on schedule in Bharuch. As we speak, our main shop flooring is complete; PEB, which is the building and the roof sheeting is complete. Our health and development and training center is complete. Our first set of machines are already on the shop floor. Our 66 KVA substation had secured, is about to get completed. And hopefully, by the end of this year, we'll start the PPAPs and things like that and then, next year, early January, we'll start producing.

Major activities during the quarter for noting is that Timken Singapore, the promoters, reduced their stakes by 6.6% in the company by selling 5 million equity shares. So the promoters are now at 51.05 percentage. And we -- apart from that, we have some Timken wins, which are soft wins in best organization, et cetera.

With that, I would like to now move directly to the Q&A session and try to answer the questions.

Moderator: The first question is from the line of Krupashankar from Avendus Spark.

Krupashanka: The first question is a bookkeeping question first off. Can you just share the revenue breakup for the quarter, sir?

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Avishrant Keshava: Yes, sure. So, Krupa, the breakup for the Q1 '24-'25 stands that rail is at 24%, which is translating to INR 185 crores. Mobile, as you know everything which is on-road, off-road with wheels, is 19%. Distribution is at 19%. Process is at 19% And the exports was 20%. That was a total breakup of INR 780 crores: rail, INR 185 crores; mobile and others, INR 145 crores; distribution, INR 148 crores; process industry, INR 149 crores; exports, INR 153.5 crores.

Krupashanka: Got it, sir. So first, taking up on exports piece of it. Was there any challenges relating to the Red Sea issues given that some of the orders were delayed and due to which export growth was relatively lower? Or any such one-offs to call out this time?

Sanjay Koul: Y

es, you are right. The Red Sea, certainly, is an issue which is adding to the cost, that is adding to the transportation cost and then also the containers. That challenge is also happening. So definitely, both in terms of inventory, because now the export is more containers on the sea, and the challenge of more days in transit and the cost going up.

So that has been certainly a challenge in terms of cost and delivery. So that is not going away. We don't see that going away. Recently, we see that even getting containers -- again, COVID, getting container was a challenge. Even today, now containers are becoming a little bit tight. And whoever is supplying to North America and South America, et cetera, has to take the longer route through the Cape of Good Hope, Horn et cetera, and that is adding cost and number of days as well. So that is definitely a challenge, and we don't see that going away in the near term.

Krupashanka: Sure, sir. So -- but when we were listening to the parent's commentary that the North American rail is quite optimistic, and with respect to growth prospects. And just wanted to get your sense

that do you see the export piece picking up in coming quarters, primarily led by the rail volumes. And how do you see the other mobility piece of exports from India?

Sanjay Koul: So definitely, both North America and South America Rail is in a better shape. So that is definitely an uptick, and Timken India Limited is dedicated -- almost a dedicated source for North America on the rail, both on freight and also on other areas. So that is going to be better than the heavy truck. Heavy truck is still not picking up that much. And hopefully, post-elections there is more uptick on that side. But rail, definitely, as I told previously also, in the last quarter, rail is definitely better, in a better shape, both in India, both -- India is better, even ASEAN is better. North America is better. Obviously, we cannot export to Russia, so Russia is out here. And China is not a market for Indian companies generally.

But North America, South America is going to remain strong. And as we see that the cargo movement is also strong in those regions, so we see that it would carry that into the -- even going beyond this financial year, we carry into the next financial year. Million dollar question is that - is the other markets in North America going to be coming back post-elections or not? So that is to be seen.

Moderator: The next question is from the line of Deepesh Agarwal from UTI Asset Management Company.

Deepesh Agarwal: Sir, my first question is if we look at the gross margin of 3, 4 years ago, you were doing gross margin in the range of 44%, 46%. Now, the gross margin has been gradually coming down. This Timken India Limited
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quarter, it was below 40%. Sir, how should we think about the gross margin going ahead? Would we be seeing a kind of a bounce back as the demand revives in the exports?

Sanjay Koul: So obviously, the margins are related to both selling price and the cost. So I will tackle the cost first and then the selling price. So on the cost side, we have gone through the cycle of the steel pricing going up and then down. But if you see in the last 3 years -- the steel price if you take 3-year back story where steel pricing in India had gone up by 35%, 40%. They have come down, but not to the level that what was available in, say, 2018-'19. So the steel prices are certainly a source of making alloy steel. So steel prices are important. So that is one topic.

While steel prices are coming down. I don't see them coming down to the levels that what was there in '17-'18 timeframe. Then, the cost of transportation, like earlier Krupashankarji was asking about the issue on exports, so that geopolitical situations, container etc. These costs are obviously going up and up.

On steel, we are mostly, pushing our customers

to accept like the industry is pushing the customers to accept that increase. But on general increases of energy, electricity costs throughout India have already gone up and transportation costs. And then we have to keep on paying the cost of the people. So these costs are there. And now how much productivity we are able to get and how much automation we are going to get is a question on which we are working. So while I would say that our endeavour is always to sell value, we do not at all do commodity business. We don't indulge in price wars. We try to give value to the customers, and we are successful so far and relentlessly selling value. Cost optimization is our mantra, not the entry cost. And our customers throughout the world and especially in India, be it rail, be it metal customers, energy customers, are always who understand the application, go for the Timken value.

The cost dynamics are there, the productivity there, the labor costs there and countering by robotics, process automation, and the endeavour is going to be -- to make more profitable growth. Last quarter, we had a mix. Obviously, there is always a mix issue. The mix always plays a role. Even within rail, the mix plays a role. I will not kind of divulge what kind of mix impacts what. But within rail also, there is a mix which impacts the margin, which is obviously on the pricing side. And then the cost parameter is there.

So for cost, we are making efficient supply chains. In Jamshedpur plant, from steel melt to finish is within 20 kilometers, but then we are growing, we are making more and more, and all steel cannot be procured from one source within Jamshedpur. So transporting steel from other parts of India has a cost attached to it. And then, we value add these steel at different forms. We make forging in one area. We make heat treatment in one area. So we are trying to make, what you may call, circular supply chains and efficient supply chains so that both in terms of sustainability and cost, we get the benefit.

So we have teams working on it. And this quarter, certainly mix was one of the -- certainly one of the bad guys. The mix was not very, very favorable. And the endeavour is to better the margins, which I see with all the work which will be put should give us some better results.

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Deepesh Agarwal: Sure. Sir, also, if you can share your comments on the railway and wind going ahead? In railway, last 2 years, we would have seen the wagon production going up, which would have helped us.

So what is the roadmap ahead? Do you see the growth rates sustaining?

And in wind, how much of the wind market, since it's reviving in India, Timken India is able to get that opportunity? Or how much is done through the unlisted entity?

Sanjay Koul: So, whatever we sell in India, be it wind or rail, is all through Timken India Limited. The other entity produces, but we buy from them and sell to the customer. So everything is from Timken India Limited. And we buy from China. We buy from that plant in Chennai. We buy from Romania, et cetera, etcetera.

So rail is sustainable. Rail growth definitely is sustainable. Government of India is serious about rail, and they have to get more serious. And from CII, American Chamber of Commerce and other related, we are continuously pushing from trade side as well because definitely with the density of the passenger traffic and the recent accidents, which are happening, it is very important that the dedicated freight corridor gather more speed, which government is agreeing and wants to do that.

Metro, every city wants a metro. Even now small towns want metro. So with transporting a lot of people through mass rapid transportation is going to become bigger and bigger and bigger. The recent Bangalore Metro, Timken was the chosen partner as well, which we have concluded recently.

So rail is going

to be sustainable for the next 20 to 30 years in India because we are not going at a very -- as I always say, it will be always better than the last year, but the growth will be steady. It won't be a hockey stick, but this is a sustainable growth for many, many years, not only in terms of just the freight or the passenger, but it is also going to be an area where automation, new-age bearings with sensors and then also some kind of robotics, then the repair facilities, all this is going to become better and better and bigger.

The pace might not be like the Chinese rail pace, but definitely, this area is going to be a growth area for India for many, many years to come. And technology is going to play a role, not only just the base bearings, but high-tech bearings, speeds going up, payloads going up. Then the service part of it is going to become very prevalent that these bearings need regular service, which in itself is going to be a big business in coming years for people which are connected to this line of business.

And then automation and then SENSOR-PACs and all this as the safety plays a big role now and Government of India is very serious about it. So you'll see this transformation -- growth and transformation and value are all coming into railway.

As far as wind is concerned, we only Timken India Limited sells in India. The wind, still, say, a couple of years back, most of the wind was actually for us and most of the guys was supplying to the gear manufacturers, who in turn were exporting it, et cetera, et cetera. So now with the push for wind energy locally, India was always sub-megawatt, which was hardly anything. Now it is becoming serious business, and you see big players now getting into it, manufacturing in Timken India Limited

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India for India. As we all know that the Gujarat's Kutch coast, et cetera, has been identified very well for growth of wind.

And Timken has the technology. We are serving globally all the major wind guys. And we have now -- even the Chinese players are making gearboxes here in India NGC, for example. And then the Indian companies, and one of the companies you see, they are hitting the circuit every other way. So you can see that this is going to be a pretty significant piece. We have the technology. We have luckily installed base in India, though not directly manufactured by TIL, but we have an easy control on buying, producing and servicing the market.

So both these markets are going to be, wind, domestic growth and still the export piece of it through the gearboxes, and domestic will be both gearboxes and main shaft bearings, which would require also larger bearings, which we don't yet produce in India, but that is an area to be explored; what can be done to service that market. We, myself and our Global President, are shortly in visiting the major Indian companies' headquarters meeting their proprietors, et cetera, et cetera, in this month itself. So this is getting serious.

And as I said, rail is definitely going to remain steady and solid and growing in India for many, many years. And also, we changed its nature and shape. It will become more sophisticated. More technology would be required and which means that the company which has the tech and the manufacturing capabilities would gain significantly.

Moderator: The next question is from the line of Abhishek Jain from AlfAccurate.

Abhishek Jain: Sir, in railway business, we have seen a very strong growth on a Y-on-Y basis, which is around 31%. But if we compare with the last quarter number, it has gone down significantly. So can we expect that going ahead that run rate will improve? And just let us know what is the order backlog right now, railway division.

Sanjay Koul: Yes, rail is down to the previous immediate quarter. But if you take an average of the whole year, you won't find it that bad. It is down to the last quar

ter. And you know that last quarter for

all companies in India is important. They want to maximize their order execution. So generally, rail in India, which is wagon build and et cetera is always pretty decent in the last quarter of the financial year. So that is pretty much always happening. And rail generally remains strong.

But if you see, our -- this first quarter, we did INR 85 crores -- INR 185 crores. And if you see the first quarter of the last year, it was only INR 144 crores. So you can understand that there is a significant jump in that. But yes, to your question, Mr. Jain, it is truly right because it -- immediate previous quarter, it is a decline. But we all know that the last quarter is generally a great quarter because everybody wants to push the limits there.

So as far as your question on the order book, I think we are working 6 days 3 shifts completely. And that remains our forecast for the whole year. As I said to the previous question of Deepesh that the outlook for rail in India, in North America remains okay. So this is going to remain strong, and it will not only remain strong, it will remain strong on for many, many years. Now, obviously, you will have to take -- you can't take rail is heavy infra, et cetera, et cetera, so you

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have to take the holistic view, giving a sizable timeframe. But this will remain strong over the years. And our current outlook of the forecast is pretty solid.

Abhishek Jain: So is there any impact on the last quarter because of this elections and all?

Sanjay Koul: North American elections will not have the impact on the production in India. I don't think Donald Trump...

Abhishek Jain: I'm talking about the domestic markets.

Sanjay Koul: That is what I am saying. Donald Trump will not tell Indian wagon builders not to build. I'm sure about that. He doesn't even know about them. So that impact is not here. The impact, obviously, is for companies which are exporting -- so obviously, it would be sluggish there, but not in rail. Rail, heavy infra is a little bit different to those spot buys.

But in domestic market, I don't see any impact whatsoever whether it is Democrats winning or the Republicans or the election per se. But what is important is obviously the geopolitics of our surrounding countries. God forbid India gets involved in some war, then there is a problem certainly, which I hope and pray it doesn't happen.

But the immediate geopolitical situation hopefully gets corrected, which is important for the nation and everybody involved in the manufacturing and selling business in India. But that election -- to your question, Mr. Jain, that election to the domestic market is not really impacting in the short term. Obviously, it can have a great -- different effect if somebody wins and wants to infuse lot of money in the infrastructure in North America.

Abhishek Jain: Okay. And sir, on other expenditure side, we have seen a sharp increase. Is it because of the increase in the export on a quarter-on-quarter basis and the freight cost has gone up significantly?

So what is the total contribution in other expenditure of freight, unlike the cost?

Sanjay Koul: It is -- my CFO, Mr. Avishrant, is saying it is 3%. Definitely, the cost has gone up compared to, say, last year with now -- with 6 days more on the water. So that cost has certainly gone up.

Overall, it is 3%. It isn't -- in the bucket of cost increases, it is one of the issues, but it is not like a big needle mover that in itself it is -- yes. And then also in exports, the customer has to pay a large, but -- booking of container, et cetera, is a cost. But the real cost -- freight cost is definitely to the end user.

Abhishek Jain: Okay. So what would be the normal other expenditure percentage on the sales in the coming quarter, sir, if the situation normalize?

Sanjay Koul: No, the expenditure for th

e next quarter?

Abhishek Jain: Yes, other expenditure.

Avishrant Keshava: I think it should be okay. It should be same or below.

Moderator: Next question is from the line of Mayank Bhandari from Asian Market.

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Mayank Bhandari: Sir, my first question is on the import from your Chinese subsidiaries. The number in your annual report is INR 359 crores, whereas it is INR 246 crores in FY '23. And you have also mentioned that FY '25, it could be 10% of total turnover. So I'm just trying to understand if the new capacity in the Bharuch is coming online, won't this proportion of the import from the Chinese subsidiary should go down?

Sanjay Koul: So, Mayank, yes, we -- obviously, the endeavour is to produce and sell locally or produce locally export. But unfortunately or fortunately, the bearings are made from 1 mm bore, which goes into the dental surgical things, to 3.5 meters bore. So the spectrum of bearing is huge and complex, millions and millions of sizes and parts. So we are making almost everything which is needed in India for truck business, for the tractor business, for the excavator business, for the dump trucks, for the backhoe loaders, for the rail and rail with different versions in it. And then one of the other unlisted entity, makes a lot of stuff for the wind.

But still, there is a consumption in India, which is large bore, which is not produced in India and you still get a very good cost for these bearings which are not tooled up in India from our Chinese counterparts. So that is there and will remain there. And over the years, when we localize more and more as the -- just to give you an example, Indian bearing market is only USD 2 billion currently. And the Chinese bearing market is USD 20 billion when it was at the peak, and now it has shrunk.

So with USD 20 billion, you can understand how many part numbers they have tooled over the years, et cetera, et cetera, and that goes from small to the ultra large size. So Indian bearing market is slowly getting mature. And as it gets mature and consumes more bearing, people will produce more sizes, including us.

And coming back to the question on the Bharuch, as we make the CRB and SRB up to 400 millimeters there, those obviously will make here and will not be imported. Rather they will be exported to different parts of world and consumed in India. But still, I see that we'll have to keep on importing certain part numbers from China, Romania, et cetera, as the market demands. And as that critical mass becomes bigger and bigger then there is a good business case to localize that as well.

Mayank Bhandari: Okay. So, basically, wind is yet to be localized. And...

Sanjay Koul: Yes. So wind is like -- wind consumes 1 meter bearing kind of -- it consumes 300 mm, 400 mm, but right up to 1 m. And as we start installing 5-megawatt windmills in India, it will need 1.5 meter or so, but the critical mass, and that will mandate everybody to invest locally more and more as that comes up.

Mayank Bhandari: And sir, wind is part of process segment.

Sanjay Koul: That is right.

Mayank Bhandari: It is part of process segment, is it?

Sanjay Koul: Yes. Yes, yes.

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Mayank Bhandari: Okay. And sir, another thing is mentioned in the annual report that we have made a JV with Cone Drive, and we have started slew drives in Bharuch. So any numbers you can give? How big is the market for slew drives in India?

Sanjay Koul: Yes. So, in India -- slew drives in China and in North America is a big market, a real big market because of the fact that they want -- they are a little bit advanced. They want to maximize the generation of this solar -- use of solar energy. So all their panels move as the sun moves. In India, because of the fact that initially we had only fixed panel, and these fixe

d panels were fixed

in one direction. And the sun would move, as the sun would start setting, then the rays or that direction was not suitable.

So now India -- as India wants to obviously burn less and less coal, which is polluting, which is not sustainable and want to go towards more green energy, which is solar and wind. So, Indian companies have started installing and thinking about using these trackers. So this market is very nascent in India. Tata Solar is among the -- there are 2, 3 companies, which have started doing that. So this would become more mature in coming years in India. But the big ticket item is that the US market is huge, real huge market.

Now, from China, they have obviously the duty effect on America. So India will be a very nice, natural choice. But on the side of America, they have a huge, beautiful supply chain, so their costs are better there in terms of manufacturing. But duty have become a little bit of a problem for them to export to America. So Timken India has partnered, and we are already supplying, though small quantities. I think we did a couple of crore rupees or less with Tata Solar.

And we are looking at partnering with more customers in India, but the big-ticket item would be exports, certainly, as our lending duty, et cetera, is favorable. But our cost is unfavorable because India's supply chain is not yet developed for that. And we are working very hard towards that

endeavour. And this market is going to be a sunrise market in coming times, but still very small in India.

Mayank Bhandari: That's fairly exhaustive and explanatory. Sir, another thing you mentioned, that 4 additional mill sites you have mentioned in FY '24, so any ballpark numbers for one mill site, what kind of revenue you realize?

Sanjay Koul: It depends on mill to mill, obviously, it is upstream, downstream, cold rolling mills, hot mills, hot rolling, et cetera. So they have obviously a different connotation to it. So it is a little bit different, and then, also depending on the customers, how much they want to offer. So our major thrust is here that we maintain the chokes, we maintain the gearing, so we de-choke, mount and dismount, grind and work around the clock in maximizing the value. So this is going to help the customer, obviously, in terms of maximizing their upkeep.

And for us, I would say that INR 3 crores to INR 4 crores – INR 3 crores to INR 5 crores, INR 3 crores to INR 6 crores, depending on the mill, would be from each mill depending on how much they want to outsource and what kind of mill it is, which is downstream or upstream. But anywhere between INR 2 crores to INR 6 crores is generally a yearly potential out of that. And this can increase as steel companies in India are becoming more mature, and they want to

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concentrate on their core competence and the area where they are not having the technology or needs to outsource it for better output, they are making their scope bigger and bigger.

Even Steel Authority of India has seen value in it. So we are running one of their sites. And this is going to progress more, though obviously this is slow and steady business. But this is a business where the value sell is pretty much being a name of the game.

Moderator: The next question is from the line of Bismith Nayak from RW Advisors.

Bismith Nayak: Sir, just to clarify, there was no impact of elections in the domestic business in Q1, and export is likely to be under pressure going forward for the rest of the year as well.

Sanjay Koul: So this quarter, April, May, June, was our best first quarter ever in the history of Timken India Limited. So that was what was -- sign that is, but it was our best ever quarter. And the U.S., elections in U.S. for -- if we are connecting you to the main market, I don't see there would be any direct connection. But obviously, the U.S. markets wit

h the new regime coming in, how they

invest and how much they do is to be seen. But in India, I don't see that having an impact is what I said.

Bismith Nayak: Understood, sir. And one more question on exports. So if you can talk a bit more about on how gross mix and its impact on gross margin, what happened this quarter? And how is it -- why do you feel that it will improve? How do you foresee that it improves in the coming quarters? I guess, was there any drastic change in mix or something like that?

Sanjay Koul: So, obviously, you have different customers, different playing field. Rail -- within rail, there is locomotive, there is passenger, there is metro and there is freight. All these 4 have different value-add, different technology play. And hence, the mix impact is different. For example, if you sell more to passenger then freight, it is better to the bottom line as tech is more involved there.

And similarly, if you are selling more to steel industries in, say, MRO versus cement, it might have a different impact. So these mix changes quarter-to-quarter will always be there. If you are selling more to 1 tonner, which is small bearing versus 25 tonner, which is a large truck. So the impact is different because of the fact that on a pinion or a differential of a 49-tonne truck has more value, hence has better price points, has better margins compared to a commoditized 1-ton truck, what they call, a Chota Hathi, et cetera, et cetera. So this mix will always be there. And we obviously don't play the low end of the market, which is like the 2-wheeler, 3-wheeler, passenger car unless it is a special SUV, et cetera, et cetera.

So that market would, but still within the heavy truck, it has its own combination of mix. Within the rail, it has its own combination of mix. Within distribution, it is more the MRO, is different impact on margin in terms of steel versus, say, aggregate, et cetera, et cetera. So this mix keep on changing. Sometimes we get a better mix, sometimes we get not so better mix, but it has to be seen. I think year-on-year is a better way to see it. And our endeavour always is to minimize our tail like any good company. We don't want to have a bad tail, so that work always keep on going on.

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Moderator: The next question is from the line of Deepesh Agarwal from UTI Asset Management Company.

Deepesh Agarwal: Yes. So in the last call, you highlighted that the Jamshedpur plant is operating 6 days, 3 shifts. The Bharuch plant is also nearly full. So what is the current utilization level? And what are your plans on TRB expansion?

Sanjay Koul: Deepesh, Jamshedpur, we have the rail. We make the rail bearings. We make the 0- to 8-inch bearings, and we make a lot of rollers for export. So the rail is running 6-day, 3 shifts. The tapers are running 6-day, 3 shifts. The roller lines, which are producing for the domestic consumption, which are the bearings we make and also for export, that is underloaded. Rest of the plant is, say, if the total capacity, just to simplify, it is 100%, our 40% is rail, is fully loaded, 40% is 0 to 8-inch tapers is fully loaded. The 20%, which is say rollers, is not fully loaded because of the export piece of it.

Bharuch is also pretty much fully loaded, which is a combination of export and domestic. So that is also fully running. Now, there itself, depending on which market is better, currently, for example, if the heavy truck makes more trucks, it becomes better in terms of mix. But if currently, in the hub and spoke, the spoke is doing better, which is the smaller vehicle, then obviously the smaller vehicle needs smaller bearing and smaller bearing are a little bit more commoditized. And they are a little bit smaller, and hence, their price is also lower. So they are running full. But heavy truck has to take off. As it takes off, so obviously it impacts, the

mix becomes better and better.

Deepesh Agarwal: So no plans of expansion in next 6 to 12 months of TRB.

Sanjay Koul: So on TRB, we are currently definitely looking at the capacity utilization and efficiency and incremental addition. So as we talk, I am looking at the blueprint what needs to be done to make sure that we don't lose either the sales. And obviously, we don't want to import too much because our currency is also weak. We want to export more. So we are working on that, but we don't have an announcement date on any expansion.

But we are working towards more automation, which means more productivity, better productivity of those lines, so that is our first endeavour. And the second is to invest. Obviously, we want to carefully invest so that we get the best bang for the buck. So currently, I don't have an announcement for the investment. But as I shared, we are continuously working on the blueprint and weighing it, But we are pushing very, very hard on producing more, which is productivity. We are obviously still little bit on robotics and automation and things like that.

Deepesh Agarwal: Sure. And sir, in the past, you have highlighted that Timken India may also look at nonbearing portfolio from parent in the future. So what is the progress or the plans out there on nonbearing portfolio, which you can bring into Timken India from the parent?

Sanjay Koul: So the endeavour is on. But, again, no announcement or no firm plan, which I can say that, hey, next we'll do that. But yes, this is certainly a possibility. The parent has changed. The parents have belts. The parents have couplings. The parent has lubrication system, all this is there. They have the technology.

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India is a great place to source. So that discussion is relentlessly on. But the parent would obviously look at all forms and which is the best country. Where there is less of tax terrorism and less of GST notices, et cetera, where they can have ease of doing business. So they are looking at all forms before they would like to do that. And we relentlessly make the business cases. But no announcement or no blueprint which I can share.

Deepesh Agarwal: Sure. And sir, one bookkeeping question. This quarter employee cost was quite low. Any one-offs here?

Sanjay Koul: Employee cost was low...

Avishrant Keshava: In the last quarter, there were some adjustments for gratuity...

Sanjay Koul: So there were some -- as my CFO is telling, there were some adjustments for the gratuity, et cetera.

Deepesh Agarwal: Sir, can you quantify it?

Avishrant Keshava: The overall you can see, but there are some increases. The increase is on the merit increase in the current quarter and offset by what we had issued for that.

Deepesh Agarwal: Sir, gratuity is -- has led to a lower employee cost in this quarter, right?

Avishrant Keshava: No, no, no. The gratuity, we had an additional charge...

Sanjay Koul: The question is that the lower -- employee cost is lower, what is the reason for that?

Avishrant Keshava: That is gratuity, but...

Sanjay Koul: Gratuity is the cost.

Avishrant Keshava: It has got 2 components, one is the gratuity, last quarter was there, this quarter it's not there, but in this quarter we would have...

Sanjay Koul: So gratuity, last quarter was there, this quarter was not there. That is the short answer.

Moderator: Thank you very much. Ladies and gentlemen, that was -- due to time constraint, that was the last

question for today's call. I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited for closing comments.

Annamalai Jayaraj: Thank you gentlemen for taking time out for the call and also providing us opportunity to host the call. Have a good day.

Sanjay Koul: Thank you very much. Thanks a lot. Thank you, everybody.

Moderator: On behalf of Batlivala & Karani Secu

rities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Nov 2024

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11 November, 2024

The National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1, NSE Symbol- TIMKEN
G-Block, Bandra- Kurla Complex,
Bandra (E),
Mumbai- 400 051.

BSE Limited
Phiroze Jeejeebhoy Towers, Scrip Code- 522113
Dalal Street, Fort,
Mumbai- 400 001.

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call – held on 6 November, 2024. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/#analyst>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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“Timken India Limited
Q2 FY '25 Conference Call”
November 06, 2024

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – CHIEF FINANCIAL
OFFICER – TIMKEN INDIA LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

Moderator: Ladies and gentlemen, good day, and welcome to Timken India Q2 FY '25 Earnings Conference Call hosted by Avendus Spark. This conference call may contain forward-looking statements about the company, which are based on the beliefs, opinions and expectation of the company as on date of this call. These statements are not the guarantees of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you, and over to you, sir.

Mukesh Saraf: Good evening. Mukesh here from Avendus Spark. I appreciate everybody logging in. I'm pleased to be hosting Mr. Sanjay Koul, Chairman and Managing Director, Timken India; and Mr. Avishrant Keshava, Whole-Time Director and CFO, Timken India. We'll start with a brief opening remarks from Mr. Koul, and then follow it up with the Q&A. Also, this will be a 45-minute call. Sir, over to you.

Sanjay Koul: Thank you, Mukesh, thank you very much. Thanks, everybody, for joining. So, I'll make my opening remarks quick so that we have enough time for questions. So generally, the Q2 '24-'25 performance highlights where we got the best September quarter with INR 753 crores, which was a 10% Y-o-Y growth comparing to the same quarter last year. Demand was largely driven by the domestic, so -- which was the plus and in exports were minus.

So that was the plus for the domestic and minus for the exports. They were subdued. But if you compare to the previous quarter, the domestic was less by 4%. And largely, that was rails -- because of, obviously, we had the monsoons and all the stuff cyclical. And then overall, I can say that obviously, there is geopolitical situations, and there are uncertainties across multiple end markets. US market has been subdued.

China is down, so which -- China is down, mining is down, Australia is down, we export to these markets -- America. Though October retail showed some positiveness in US. Hopefully, from today onwards, it shows better. But in the bygone quarter, it was not a great sales or revenue growth there. Our PBT margin was 16.4% compared to 18% in the prior year period, and last quarter was 16.6. Rigid margin performance in the quarter despite unfavourable product mix. Obviously, rail was down so that impacts the product mix a lot.

And overall, our balance sheet is debt free. Cash flow is robust. We are continuing strategic investments. And as we have spoken before, the Bharuch project is in full swing. And as we speak, the shop floor -- the building is up, shop floor utilities are up and under construction. The -- air conditioning, the whole plant will be, obviously air conditioned. HVAC is getting in place. LP is getting in place. All the coolant systems are getting in place. We are putting up a 66 kVA line, getting directly from the GETCO substation.

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Not 33 we're going for a 66 kVA, looking at future and everything. Still work is progressing STP, ETP. Solar work is in progress. Fabrication work is in swing. The machines are already -- the box machines we received from Italy, Switzerland, Japan, etcetera. So -- and more machines are coming in. So overall, Bharuch facility is in full swing. Though last 2, 3 months, we have had a big challenge. Heavy rains, Baroda was under water, crocodiles on the street. All that is now behind us. So that obviously had an impact on the construction. So that is the general

highlights. And with that, I would turn it over back to you guys so that we can directly go into the Q&A. And as it is only of 45 minutes and we are already gone 6 minutes, so 39 minutes left. So let us jump into the questions, please.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Abhishek Jain from Alfaccurate Advisors. Please go ahead.

Abhishek Jain: Sir, how was the revenue mix segment wise?

Sanjay Koul: So Mr. Jain, the revenue mix for the Q2 '24-'25, this quarter was out of the total pie, the rail was 22%, mobile was 18%, distribution was 19%, process was 21% and exports were 19%.

Abhishek Jain: And in the railway segment, how do you see the growth going ahead? Basically, in the fourth quarter, the number was very much strong. From there onwards, we see some sort of moderation in the revenue. So...

Sanjay Koul: Your voice cracked a little bit. Can you repeat, please?

Abhishek Jain: Sir, how is the outlook for this railway segment? Basically, in the fourth quarter, revenue was very much strong. And from there onwards, we have seen some moderation in the revenue. So how do you see the revenue growth in this railway segment for the next -- for FY '25 and '26? And what would be the growth figure?

Sanjay Koul: Generally, the rail, always the last quarter is generally best because the wagon industry pushes the wagon manufacturing, they have to complete their contracts. So if you see all years, in the last 5, 10 years, the last quarter of the fiscal year is always the best, and there will be no change to that, that will remain there. Overall, the wagon build is pretty healthy and also the rail passenger, Vande Bharat, all that is pretty okay. Metros are also chipping in.

And as I have been always saying, it will be always steady growth in rail, and it will keep on growing, and that is how it is happening and it will continue to grow, though not like a hockey stick, but that will keep on going. Obviously, the wagon production capacity is slowly enhancing. It is not enhancing at a very breakneck speed. And the buying is also going through its own challenge.

So the last quarter of every of fiscal year for people doing business in railway is always the strongest, so it will not change. I think it is a slow, steady, solid growth pattern. Last year's fiscal last quarter was very good. Again, I think, this fiscal last quarter will be good. And more and more wagons are obviously getting made. There is -- I don't think there is a -- it is not a hockey stick. There is no dearth of orders as well.

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Obviously, some quarters will be low, some quarters will be exceedingly well. But overall, year-on-year, there will be slow, steady growth. That is how it will remain. The metro push is there, but obviously, metros are a small number of cars, but that will also remain there. Vande Bharat is having traction. So, I would say that it's nice for rails, it is nice overall as an industry, nice steady growth. And that momentum will keep on happening.

Abhishek Jain: And exports side, how's the outlook ahead? From last 2 to 3 quarters, there was a weakness. And most probably that as you mentioned that there will be some recovery expected from the U.S. market. So, what is your outlook for the H2 and FY '26 in export terms?

Sanjay Koul: So US market, I would say, Americas, not only US, Americas, both North, South; obviously, North is important. So Americas overall, rail had its pluses this year. And I think that even next year, the rail in the Americas will be decent. --The class 8, the heavy truck segment has its weakness. And hopefully, with the election results -- October was a better month compared to the rest of the months, slightly better.

So I am expecting that there might be a possible recovery in the US markets, especially on the si

ngle TSL, which is the heavy-truck side. I am hoping that everybody is having their views there, but I think with the election getting over and steady political will coming back. And October was -- October is an early indication. It might be better than what everybody is expecting that might take. But the rail side of Americas will remain okay -- next year.

Moderator: The next question is from the line of Chandrakant from Ericsson. Please go ahead.

Chandrakant: Yes, my question was regarding the parent portfolio besides bearings. Will they be launching that portfolio in India through Timken India? Or is it not yet clear?

Sanjay Koul: No, it is very clear that anything which we are selling in India is through Timken India Limited. That is what we have been doing always. Now the major multibillion or multimillion dollar question is that the parent has taken over good companies, a lot of technology companies, which is part of the powertrain, whether it is belts, chains, pulleys, et cetera, and also in the area of robotics and linear motion, etcetera. So these are all European, American companies. So they are high on tech.

Now the question is that we are obviously, in bits and pieces, here and there importing and selling, like, for example, we recently did the Pune Metro lubrication system, which we got from one of our sister companies, TIL sold it to the Pune Metro guys. But the real essence is whether we have a solid business case to use the technology and do something in India, either in terms of M&A or a greenfield or something like that or supply chain. Those are the business evaluations we are continuously doing and looking at.

Definitely, the technology is available, some great companies have been acquired by the Timken. And how do we leverage them in India, both for the domestic market and for the export? So this is continuous evaluation and discussion also at TIL Board level and also within our company in the leadership here, how do we leverage that? But it is very clear it will be sold through TIL, so that is very clear. Now how do we procure it at the right cost using their technology, like, say,

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for example, in the case of Timken India Limited, we have the technology from there and we have the local sourcing and local manufacturing, and we have a good combination.

So on those which we call internally industrial motion components, whether it is belts, chains, lubrication, etcetera. So how do we leverage that technology and use India base and India cost to serve the Indian customers and also use it for export. So those discussions are on. There's an interesting company, which Timken has taken over some time back called H Fang, which is Cone Drive, which is into the solar market, and which is into slew drive.

So the slew drives are optimizing -- are very important, if you want to graduate from the fixed panel in solar to rotating panel so that you get the best of sun energy, get the best of the rays of the sun and produce optimum level of -- so we are looking at that.

We just won a small order from Tata Solar, and we did some assembly and TIL sold some -- just kind of pilot. So it is a great opportunity. We are looking at the best model, which will provide growth for Timken India Limited. But one thing is clear, it will be sold through TIL. Now how do we do it? Because if these -- both technology and a local manufacturing base or local cost base, so that we are evaluating.

Chandrakant: Okay. That's great to know, sir. My second question is regarding the holding of the parent in Timken India, that's reduced to 52%. Are there any plans to increase it so that the investor confidence is also increased?

Sanjay Koul: The parent is currently at 51.05%. And currently, we are at 51.05%. And that is it. I have no further information on that. Neither going down, neither going up. No information a

available with
us.

Moderator: The next question is from the line of Saurabh Patwa from Quest Investment. Please go ahead.

Saurabh Patwa: Sir, first question, sir, with the new plant commissioning possibly happening in sometime in FY '25. How do you see it impacting our revenue growth and margin? And also, the second question is on -- with the change in leadership at the global level, how do you see India -- are any discussions on for India gaining more share in exports with the new plant? And any more plans of incremental capex happening in India?

Sanjay Koul: Okay. Thanks, Saurabh, for asking one great question and one tough questions. So let me answer the first question in terms of the new project which we are doing in Bharuch. So just to put this question in context, Timken India currently has a plant in the Jamshedpur and has a plant in Bharuch, and we are manufacturing tapered roller bearings, generally on 0 to 8-inch, which largely go to heavy trucks, both pinion-differential and wheels and also goes into tractor, similar application, and goes into off-highway, the excavators, backhoes, things like that.

And then we also produce the rail bearings, which go into passenger trains, locomotive, etcetera, etcetera. So these are what we term largely as the mobile equipment, which in simple language is whatever has a wheel on it, is mobile and whether it's off-highway or on-highway, that is what we are producing largely in India at Bharuch and at Jamshedpur, whether it is rail or whether it is tractor or whether it is a truck.

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Now India also is a growing bearing market. Apart from the mobile, there is also a lot of stationary equipment. Stationary equipment means, the equipment which goes into steel making, which goes into cement making, goes into power generation, goes into aggregates, material handling systems. So, these are the area where you use bearings, which they use tapered roller bearings, of course, but they also use spherical roller bearings, they will use cylindrical roller bearings, they use different forms and sizes of the bearings.

And these have a large growing market in India. So that is what we are currently importing. And TIL buys it from its sister companies and sells in India. So, we looked at the market size, looked at all aspects and then obviously went to the Board and came to the conclusion that we should start producing cylindrical roller bearings and spherical roller bearings, which has a large demand in India.

And these bearings are also used in similar equipment in every part of the world. So for example, in Malaysia, in Indonesia, they are largely heavily used in the palm oil market, which is the growing market. They are used in cement and steel industry. So with that, we had the business case which got approved and we started investing in our project in Bharuch, which will start making the spherical roller bearings and cylindrical roller bearings, which are going to cater to the Indian market, that we were importing, and now we have a chance to localize it, and we have the chance to export it.

So obviously, it's going to be a revenue mover because of the fact that with the right cost, local supply chain, strategic customers. And these are the customers where we have been traditionally

importing tapered roller bearings and supplying them for years and they have been always asking that, hey, why not the other portfolio? The basket is available, why not try that? So we started it importing and testing the market, and finally we have started -- we will start making these bearings from next year and start supplying them.

So it is certainly going to be revenue positive as Timken has a heavy knowledge on supply chain. Our knowledge on material science, we have created a nice supply chain. So given our previous record, so I'm sure that this would create with Timken

technology world-class bearings with the

right cost and the market is growing in the stationary equipment, and that should fetch us not only our top line betterment, it will also do better addition to our bottom line.

So that is the whole idea of the business case, and we are committed to execute that. So it would be positive-positive. Now how much positive? Only time will say, but the business case is meant for positive top line and positive bottom line. So that was the good question.

Now the tough question is that with the new CEO, Mr. Tarak Mehta, how do you see the new growth? How does it impact India? So obviously, Timken Company -- now I'm speaking of Timken Company is a global company. Obviously, they are the large promoters for TIL, and we celebrate 125 years this year. So it's a large, old manufacturing company. Mr. Mehta comes with tons of experience, previously from ABB.

He has been on ABB India Board. He knows India pretty well, though he has not spent much time in India, I think he left India when he was 17 or 18, and has lived in America and Europe

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most of the time. He is a very, very great business leader, proved business leader in ABB. Has done many M&As in his time with ABB. And yesterday was his first investor call as well. And he has come on Board to lift Timken Company to the next level.

So obviously, our previous CEO, Richard Kyle as a CEO was for more than 10 years, and he's done a fantastic job of transforming the company from only bearings to a complete solution provider in the powertrain and now the next level obviously has been initiated. I think certainly, as he has been on the ABB India Board, has been working on ABB China, etcetera -- understands Asia very well. And Asia definitely has a strength. India has a super strength of cost, quality, delivery.

And our quality is -- in general in industry, mechanical industry, good company. Top quality and great cost and also quick delivery. So I'm pretty much hopeful that any great business leader will leverage India. And now there is China Plus One, and all those things on one side. But just looking at India where itself currently, your \$5 trillion economy has 12%, 13% manufacturing. Every day, the economy is increasing as it becomes 7 trillion, 8 trillion, and manufacturing becomes 25% of the pie, obviously you need a lot of manufacturing in India and then India can easily become the workshop for the world.

So Mr. Mehta is an astute business leader, understands Asia very well, understands America very well. And definitely, he has been hired to take the company to the next level. So obviously, markets are currently down. There is -- there has been America [inaudible 0:22:34] but they run in cycles, and I'm pretty much sure that he is bound to lead the company to the next level. And nobody can ignore India. It is a great home market and a great manufacturing base. So it is how do you leverage well, and when somebody knows that region very well, obviously, it will be leveraged very well.

Saurabh Patwa: Great, sir. Great, sir. Can I add 1 more question, if you allow, sir?

Sanjay Koul: Sorry?

Saurabh Patwa: Sorry, if you allow, can I add just 1 more question? Or...

Sanjay Koul: Yes, please.

Saurabh Patwa: So going by your comment on the previous question, would it be safe to assume that the second half would be much better than the first half? And in terms of both growth as well as mix improvement and should lead to a better EBITDA margin as well?

Sanjay Koul: So I cannot tell you about -- I can't give direction on the margins, obviously, whether it will be better or worse. So in general, I will tell you, in general -- there are 2, 3 things which I can tell you in general, as I told previously. Rail generally in the last quarter for the industry is good.

Rail as a mix is good. And with the American President electi

on getting over, I'm sure there is

going to be a direction there. And October was pretty giving some good kind of indication. India after Diwali is generally good. So I don't see any reason to be pessimistic as I look for the October to March, 2 quarters in general. I think people who run business should be optimistic.

And there is no cause of being pessimistic in approach. That would be my limited answer.

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Moderator: Thank you. The next question is from the line of Ankur Sharma from HDFC Life. Please go ahead.

Ankur Sharma: Just 3 questions. One was on the process industry, steel, cement, how are you seeing demand over there? Also, if you can talk about wind one of your peers talking of a reasonably good revival on the wind market as well. So -- yes.

Sanjay Koul: Thanks, Ankush. And so let us take wind first. So in general, you have now a lot of wind companies making gearboxes in India. So I'm first looking at the bucket, which is the export bucket. So look at ZF, Flender, Gamesa or even NGC, they are looking at India for the right reasons to do the job here to serve markets in and out. And that is pretty much optimistic in nature current -- so that is on one side. On the other side is that the Indian domestic use of wind is gathering momentum differently, especially with the Adanis especially, they have the solar plant. Even Suzlon is pretty much robust in nature.

The consumption -- India was always sub-megawatt. And now even 2 megawatt is very small. So, Adanis looking 3 and 5, so which is pretty significant good -- wind. I would say that with the push from the Government of India on wind, although we have strong solar shaping up as well, but with the vision where they wanted for strategic reasons as well, the Kutch and that area. So, wind for domestic use is picking up definitely. And we see Suzlon, Adani for Indian market doing a good job.

And then we see on export, though obviously, there has been the Chinese wind market definitely is down if you compare it to what it was, say, last year, it was definitely down. But the manufacturing of the gearboxes in India for the ZFs of the world or the Flenders of the world is okay. Even NGC has started doing okay here, and domestic is okay. So I would concur with the fact that wind is not going to be a pessimistic. It is definitely going to be a good guy, if I can use the term for the next year, but all these take time.

Wind is, again, a market when, say, for example, Adani is coming, they have to test a windmill and install a windmill. Then obviously, then they will go with a lot of strength to do the rest of the stuff. So it will be good and will take time. Like railways, it is heavy infra, so it will be nice and steady, if not slow and steady, but nice and steady. So definitely, wind is there. On the steel side, I would say that we currently, definitely are not using steel production in India to capacity utilization.

That is not happening. But as the export markets pick up, I think that will have a positive impact on the consumption of steel, especially alloy steel, which is more kind of near-growth -- but in general, steel currently is not full capacity, but it is not in a bad shape. But as exports out of India pick up, there was a bit -- but as they pick up, definitely more steel will be used. On infra, because of the election, there was a slowdown on infra a little bit.

You guys know it better than me. But now, however, the traction has started. So the traction has certainly started on that. And if Mr. Gadkari remains committed to use cement because he keeps on talking about alternate technology, , but as long as he uses a lot of cement in infra built and bridges and other related areas and as new steel gather more traction, which is still not gathering

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that traction. So cement is also going to remain, and you can see the stock price of all these steel companies. So overall, I would say that wind, steel -- wind followed by cement followed by steel that would be, if I have to say, number one, number two, number three.

Ankur Sharma: Okay. Got that. And then a related question, sir, on the CV market as well. What are you hearing from some of your key customers, given, as you said, elections are over. I know Q2 also some heavy rainfall, etcetera. The government spending too was a little weak. But are you seeing initial signs of a pickup on the overall government spends, and maybe that trickling down to better numbers on the CV making?

Sanjay Koul: obviously, if we see some good quarter-over-quarter, it will be the last quarter, the CV to be better. Obviously, last year for the excavators, though the number was great, then it went down because of the election and all that. So that has come up again and definitely will come up again.

That by 2030, the construction equipment market is going to be easily USD10 billion market. So that is going to have traction. On CV, particularly, I think, January, February, March might be a lot better than the previous 2, 3 quarters.

Ankur Sharma: Got it. Okay. And just a last question, sir, on the margins itself, when we look at gross margin/material margin, we used to do about 41%, 42% earlier, maybe last year, even before that. Now we are in that 39% range last two quarters. So is it more to do with the mix where we

have lower share of exports? Or is it also that we're not able to completely pass on, I don't know, maybe higher RM prices. So just trying to understand, when do you see gross margins going back into that range?

Sanjay Koul: Obviously, my boss is asking the same question. So it is sort of a mix of everything. It is a mix of inflation, it is partly because of the mix, partly because of inflation, energy cost, labour cost, and then steel is going up and down here and there. So it's a mix of everything. Our endeavour certainly is to make sure that whatever can be passed on, if not the price, the cost escalation has to be passed on.

So that battle, especially the automotive industry is legendary. It will always be fought and at the same time, customer is a customer. But overall, I would say, currently, there were combination of inflation, combination of mix, which included the export etcetera. So the endeavour is to have the right balance, optimize the supply chains and things like that. But on the passing the price in automotive stuff, I don't see that, though the endeavour is continuous, but it is huge resistance. And obviously, the industry is competitive.

So there, I see it not getting a lot of traction just on pricing, but we are trying to improve our mix, trying to further optimize wherever we can, as much as solar to bring down the electricity cost because of all those endeavours are on. But passing the cost in totality is battle which sometimes we win and sometimes we lose, but the battle is on.

Ankur Sharma: Got that, thank you.

Moderator: Thank you. The next question is from the line of Deepesh Agarwal from UTI Asset Management.

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Deepesh Agarwal: So, first question is, what would be the split of exports in terms of railway exports and auto? And how is the European railways doing right now?

Sanjay Koul: So generally, when everything in Americas goes well, it is generally 50-50. That is generally the mix which is the heavy truck and the rail. This time down, rail is more skewed, so it is almost 70-30 or 68-32. Generally, it is 55, but this time more rail and less TS from the heavy truck. On the rail side in Europe, Europe is not having much freight. Russia is generally out because of the various reasons they have there. But the European market is not a heavy freight market. So rail freight

in Europe is almost minimal. And their passenger is also very, very minimal and mostly running on spherical. And we are in India, mostly making tapers for the passenger. They are slowly converting to tapers and might be a market for us tomorrow. So rail market in Europe is a small market, is a niche market. We do export to the leading rail, but it is small. They have no large freight. So obviously, the large freight markets of the world is America, China, Russia, India and South Africa, followed by Australia. So these are the large freight markets in the rail segment.

Deepesh Agarwal: Currently, what would be geography-wise split for us in exports, U.S., Europe?

Sanjay Koul: Largely our exports are North America. We export to Australia. We export to even China. But largely it is US followed by Europe and followed by India and rest of...

Deepesh Agarwal: US would be more like 60%, 70%. Is that understanding correct?

Sanjay Koul: America would be, yes, 50%, 60% only. You're right.

Deepesh Agarwal: Okay, sure. Sir, on the CRB, SRB, I believe the capex was originally INR600 crores. If I look at your balance sheet, CWIP is INR290 crores. So it seems still a large chunk of the capex is pending. So is there any delays in terms of timelines for the Bharuch plant?

Sanjay Koul: So obviously we have INR600 crores approved, and we have obviously paid the advances. Then we have to run off the machine. Final payments will be done of the machines. These are imported into India. And then civil construction, you pay only after finishing. Then 10% still there and all that. So we will be obviously consuming the capex, every order is placed, machines are coming. You don't pay them until you don't run off them all. Then our 66 KVA is to be energized in next 10 days. After that, we pay the electricity guys, which is a tiny sum. So all that is in motion. I can't show you the picture, but building is up. Machines, major machine boxes are inside the plant, we are waiting for the final lap on the 66 KVA. Coolant systems and all air conditioning is getting fitted by but obviously, all payments will be done after complete installation, testing, etcetera. But we are not delaying as such the project. But there would be natural delays because this time Bharuch was lot of rains, etcetera.

Deepesh Agarwal: So this should be commissioned by January, right?

Sanjay Koul: So we are working towards as fast as possible, some months here and there, but endeavour is first quarter-ish, somewhere like that.

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Deepesh Agarwal: Sir, lastly, if you can share what is the quantum of CRB, SRB you are currently buying from the group company?

Sanjay Koul: So, we are not buying a large. It might be INR60 crores, INR70 crores. So obviously, we are importing that from Romania, we are importing them from US, but it is not a huge sum, but as our competitors are making them mostly in India. So we have the chance to take it up. But generally, it would be currently if my math says INR70 crores, INR80 crores, not more than that in the total pie. And it is all obviously we imported into India, it is part of our distribution sales.

Deepesh Agarwal: Thank you and all the best.

Moderator: The next question is from the line of Bharat Sheth from Quest Investment.

Bharat Sheth: Thanks for the opportunity. My question is related to this new plant, which we are building. And since we don't have much, I mean, presence on the CRB and energy side in the India, so how much time will it take really to ramp up our production, and getting the client confidence on our bearings of CRB and SRB? Really, if you can give, I mean, 2, 3 years' time kind of, I mean visibly, reasonably okay?

Sanjay Koul: So I would say that Timken has been selling CRBs and SRBs for the last 20-plus years. So as you know that most of the equipment, which is either in the paper industry or in th

e cement

industry, or it is in the steelmaking industry or mostly having their own, for example, Danieli, you know Italian company. So, they are all already exposed to the Timken sphericals & cylindricals and so it is not that something is going to be completely new.

We could have sold a lot more if I was not margin centric, but we have to balance everything. So the clients, say, for example, if I can name middle-handing, Metsos of the world or similarly in steelmaking, John Cockerill or steelmakers like Tata Steel, they all know Timken SRBs and CRBs. And for us, globally, quality is the same. Our material specs are same, steelmaking technologies are same. So if we don't sell, it will be our sales failure. It won't be failure because the customer doesn't know Timken, or the technology is not there, or the product quality is not there.

We are using the best of the best equipment for this. So, obviously, it is always when there is a new plant, first of all, Timken will do a brand approval on it. That is a process which goes through rig testing and things like that. Then the customers will start doing the PPAP and they will also have their own paperwork. So that is the time which is mandatory to be taken. Let me also add this little thing, we started assembling these bearings by getting the components from our sister companies, have already started testing and selling and all that stuff. So we are on the job.

And I think that it should be between the first month of production to, say, 18 months of production, during that period we should be established with most of our customers supplying from this plant.

Bharat Sheth: Fair, sir. Is it possible to get the quantity, how much are we assembling and selling it.

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Sanjay Koul: So we are currently, I think assembling and selling value is not huge, but maybe a 1,000 bearings, so it is just to kind of starter, first movers and all that. So that is more of testing rather than the revenue. But as we start producing out of the Bharuch plant and start shipping. Already, as any business would do, our customers are aware. We are keeping them fully aware of what is happening, what kind of machines we are getting in, what kind of process will be taking place. So I don't think the flow of order would be a challenge. Challenge will be to do the paperwork, management of change, PPAPs and things like that. And obviously, we have to compete and win more and more orders. And all these major customers are already exposed to our SRB, CRB, which we have imported and are supplying to them. Now the quantities and the customer base would increase.

Bharat Sheth: Great, sir. On railway, how do we see our market share? And you said that there is some kind of a delay in procurement of wagon and all, which you expect that to start picking up from Q4 and Vande Bharat. If you can give some colour, is there any delay?

Sanjay Koul: Yes. So obviously, the last quarter of every fiscal year is always the best for the railway companies, all the railway companies do very well. That is because they have to complete their order book. And monsoons are over and all Diwalis and the Dussheras, those things are over. So, obviously those are the best lap of the race. So no-brainer, industry of rail, last quarter of the fiscal year is very good.

As far as our market share is concerned, it's a competitive market and we compete. We have created a world-class supply chain, and we got depreciated a good asset base in Jamshedpur. On freight, we are the market leaders in India. On passengers, we are the market leaders, and we intend not to lose any ground to anybody. So we are as lean as the market goes. We are

committed to serve our customers in rail, and not give a push. But at the same time, we continuously work on technology.

We continuously work on enhancing the product features. And th

at is the way we have been

ahead in India. When we have time now, I can explain how we have brought newer technology every 3, 4 years into India, and railway has benefited, and we have always been ahead. And when the first Train 18 was flagged by Mr. Narendra Modi ji, it had Timken bearings on it. So we are always with RDSO on the drawing board. We've been working closely with railways for last 30, 40 years on design aspects, improving the safety aspects.

And it is not only supply chain or optimization, it is also enhancing the futures of the bearing and getting let us say, for example, Class K for the DFC. And then as they also want more safety features and Timken will play its role there. So all that in together, we will work hard. And we know everybody else in the market working hard to keep our position intact on railways. And railways in India for the next 15, 20 years is going to be a market. It will be slow and steady, better every year, but not a hockey stick, as I always say. So that would be my answer Bharat bhai.

Moderator: The last question is from the line of Priya Ranjan from HDFC Management.

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Priya Ranjan: Thank you Sir. Happy Diwali and Happy New Year. So just one thing, how much bearing-wise we are selling to the sensorized bearing, etcetera and what is the status of the rolling mill contract we used to get? I mean last year; I think we have been around 12 or 14 sites we were operating. So if you can throw some light on that.

Sanjay Koul: So, you're really asking a really tough technical question. Did you visit my office today morning or what? So you are asking about sensorized bearing. So obviously, let me take it out of this question, the easy part one. We are operating 28 MILLTEC sites in India. So, we are winning more sites in India, and we intend to promote that model not only in steel, we want to take it from MILLTEC to Caster-Tech to Power-Tech to Cement-Tech. So it is a tough journey, but we are on that path. So that is the path we are walking.

And to get better experience for our customers, better residual life out of our world-class bearings, which are produced with a lot of care. And we want to make sure they are mounted right, they are run right, and we are increasing our sites. So as I said, we have already 26, 27 sites there, and we're increasing by the day. And this last month, we have won the caster maintenance site at Bellary, and Vijayanagara here in Karnataka.

And now on the sensorized bearing, Timken supplies sensors bearing to Ford for many, many years. We produce a railway sensorized bearing. I gave a presentation to Railways 30 years back or 25 years back. So Timken has the technology of how we do you use sensors in the bearings, which are largely used for calculating or measuring the heat, temperature and the vibration. And this is meant to be as a safety device, temperature is high, that means there is some problem so that you can stop the bearing, so that the derailment does not happen. And vibration again, the same call, safety.

So obviously, we have the technology. We obviously can do that. Now the question is that, is the customer ready for it? Does he ask for it? So Priya Ranjan when you were driving a Fiat car 15 years back, you had no technology in the car. Now when you are buying a new car, you will not buy a car without the technology. Now Priyan Ranjan sir is ready to pay money for the technology in his car. Similarly, now railways is ready to explore and pay for extra safety in the rail. And we have the technology both on sensorized, wireless, wired and we've been doing it in North America for many, many, many years for Ford and for other aspects.

I remember back in the day; we had a bearing which could generate electricity. Who knows the freight market, there used to be a guard train called Caboose. In the Caboose, there was a lantern. Th

e lantern was not for that film song. It was because there was no electricity in the last car which was in the Caboose. So, Timken had a bearing called generator which would cause electricity generation through the bearing and can light tool lamps for the guard. So long story short, we have the tech. We want to make sure that the railway and the industry is ready to accept it and pay. And then we are ready to introduce that to the market. But obviously, the customer should say yes to it. So by the way, I was discussing this with my technology team today morning only.

Priya Ranjan: Great to hear that. So just lastly, if I can squeeze one. So if I'm not wrong, you said around 18 months to ramp-up of the production of the new Bharuch facility. So in 18 months' timeline, I

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mean what kind of capacity utilization we can think of? Like, typically, we have always operated at 80-plus capacity.

Sanjay Koul: I would say that in order to reach 80%, in 18 months, every asset, every machine has to be ramped up and all that should take me 18 months. But for your question which goes beyond the ramp-up of this capacity utilization, I would say, it will take us at least 3 years to reach the mark of use at least 80%, 85%, which is our intent. Sooner the better, but I would say that new plant, new technology, PPAPs, certifications, ISOs, everything, we would ramp up nicely by 18 months and capacity utilization by 24 to 30 months would be my take.

Priya Ranjan: Ok sir, all the best.

Sanjay Koul: Thank you very much. You all have a good evening. Thank you very much. Back to you guys.

Moderator: On behalf of Avendus Spark, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Feb 2025

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14 February, 2025

National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G-Block, Bandra- Kurla Complex,
Bandra (E),
Mumbai- 400 051. NSE Symbol- TIMKEN

BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai- 400 001. Scrip Code- 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Q3 FY '25 Post Results Conference Call – held on 10 February, 2025. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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"Timken India Limited
Q3 FY '25 Post-Results Conference Call"
February 10, 2025

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – BUSINESS CONTROLLER -
INDIA & CHIEF FINANCIAL OFFICER – TIMKEN INDIA
LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Timken India Limited Q3 FY '25 Post-Results Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Lisa. Welcome to Timken India Limited 3Q FY '25 Post-Results Conference Call. From Timken India Limited management, we have with us today, Mr. Sanjay Koul, Chairman and Managing Director; and Mr. Avishrant Keshava, CFO and Whole-Time Director. I'll now hand over the call to the management for the opening remarks to be followed by question-and-answer session. Over to you, sir.

Sanjay Koul: Thank you, Mr. Annamalai. Thank you, everybody, for joining the call. And I will not take too much in my own opening remarks, we'll jump into the question and answers quickly. But just to give a little bit of a pointer, the December quarter of Q3 '24-'25, we had the best-ever December quarter ever in the history of Timken India Limited. So that was equal to INR671 crores, which was 9.7% Y-o-Y growth to that quarter.

And this quarter was our best-ever quarter in terms of the third quarter. And so that was the highlight of it driven by a moderate domestic demand, a little bit of intercompany uptick, which is the export part of it. Subsequent sequential if you take the previous quarter, we were down because of the cyclicity of the nature of the business. PBT margins of 14.6% compared to 14.9% in the prior year period.

A resilient margin performance in the quarter despite a very unfavourable product mix. So that was offset a little bit by cost leverage. Compared to the last quarter, margin was down due to adverse deleveraging cost, maintaining a debt-free balance sheet with strong cash results which obviously are enabling us to continue with strategic investment to drive the future growth. Short story on the Bharuch greenfield project. The building is complete. Utility areas are complete, DG sets, power backups, 66 kVA line, everything is ready. And even building is currently, as we talk, is work in progress. All the machines are inside the building. And we are waiting for the HVAC to get connected, work is in full swing on that.

As soon as it gets connected, we'll start unboxing, should be any day this week. So, we have all most of the assets are in place, supply chains are in place. So hopefully, that should be now ready for production. So that is the short Q3 '24-'25 performance highlights. And now I would be open for questions and try to answer them.

Moderator: We'll take the first question from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

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Abhishek Jain: My first question on the segment-wise contribution in the third quarter, if you can give them.

Sanjay Koul: Yes, absolutely. So, the segment-wise do you want in percentage or in figures?

Abhishek Jain: Yes, if you can give in figure, that will be great, sir.

Sanjay Koul: Okay. Figures, we can certainly give. And our rail, in this Q3 '24-'25, was INR116 crores; mobile others was INR139 crores; distribution was at INR127 crores; process, which is stationary equipment was INR132 crores; export was at INR152-point-something crores; and there was a little bit of export incentives. But in terms of percentage also, total will be INR671.4 crores. And in terms of percen

tage, rail was 17%, of the pie; mobile was 21% of the pie; distribution was 19% of the pie; process stationary cumulative was 20% of the pie; and exports was 23%; and 1% was export incentives. That was the total summation of the breakup.

Abhishek Jain: So, sir, in this quarter, in the rail segment, we have seen a quarter-on-quarter improvement, and now the has gone up to the INR160 crores. And in fourth quarter, in last year, it was very high. So, it was around INR274 crores. So how can we see - this growth may see a significant jump and we can see some sort of the growth in the fourth quarter? Or will we see some impact because

of the high base?

Sanjay Koul: So, all I can say is, this question, I could not hear it very clearly. This is about pertaining to the rail third quarter and subsequent what is the rail situation like, is that right?

Abhishek Jain: Yes, sir. Basically, in the third quarter, we have seen a quarter-on-quarter improvement on the rail segment numbers, and even a Y-on-Y, there is a significant jump. But in the fourth quarter, there was a very high base of around INR274 crores. So how do you see the fourth quarter number? And what is the outlook for the FY '26 in railway segment?

Sanjay Koul: Okay. Okay. I got it now completely. Thank you very much. So, rail, as you rightly said, it was better than the slightly better than the previous quarter. YTD, you should see the YTD '23-'24 to current year YTD also, it is better. Last year, the last quarter, - last fiscal last quarter - was certainly very good. And as you know better than me that the last quarter, January, February, March, many times is very, very good because people want to complete their orders. It is end of their own fiscal. They have to achieve their own targets. The order book for rail is okay now depending on the customers, how much they want to inward. And generally, as you know, in India last quarter would be always in the mode of completion of everything, not only rail, in general. So, order book is okay. We are running rail, all shifts currently, and it is in full steam on production side.

Now how much customers would like to inward, their own order book is pretty decent, our order book is pretty good. So, depending on all that, how much they would like to inward because it's not only railways, they have to get the wheels, they have to take everything. If all comes together, I think it would be pretty good as well.

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Abhishek Jain: Okay, sir. And in export numbers in last 3 quarters, we are stagnant around INR150 crore to INR152 crores kind of the revenue on every quarter. So just wanted to understand how the export outlook in the near to medium terms because we are hearing a lot of the challenge on the export market?

Sanjay Koul: Yes. If you see our export was 23% of the pie in our -- this last third quarter, which was at INR152 crores. And in the previous quarter, it was 20% of the pie at INR124 crores. So again, a small uptick in the export. As you know that there are -- Europe is struggling. America, there has been change in the leadership there, and they might be looking to get their whole economy act in shape.

Overall, it is not going to go back for sure that I can tell you. It could be flattish, uppish. Now how uppish it can go, another 2, 3 months, we'll get more clear. But certainly, it is -- there is a slight uptick, which I can see happening. In previous quarter to this quarter, our export grew by quarter-on-quarter, INR24 crores, INR25 crores approx, which tells you that it is not going the other way, it is going the right way.

Now how much big it can go as the economical policies start getting unleashed there. As you know that there is this Mexico thing happening. If there is tariffs -- harsh tariffs on Mexico, tough tariffs on China, only time will say. Initially, it was 25, and they went into neg

ative. China

is only going to be 10-ish.

But all this and hopefully, nothing on India could be a great chance for India. But everything will be clear in the next couple of months' time, for sure. Market for export is not going down.

It is flattish, uppish. Now how uppish, only time will say.

Moderator: The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: My question is on the exports business itself. You did allude to a change in leadership, change in government...

Moderator: Sorry to interrupt Mr. Saraf. Can you speak a little away from the mic, your voice is echoing.

Mukesh Saraf: Okay. So, question on exports. Obviously, we are setting up this new plant, INR600 crore capex, but if you could kind of give us a sense on how the parent is now looking at new investments outside of the US, setting up new plants, such as this because obviously, tariffs is something that you can't really predict, but is there a change in thought process at the parent level with respect to sourcing from low-cost geographies?

Sanjay Koul: So, for sure, as you are aware, Mukesh, about the change of leadership at Timken, and we have a very seasoned leader on Board from ABB, where he was handling more than \$10 billion worth of business. And in his time at leadership, I think he has done more than 2 dozen of M&As as well. His knowledge of business in Asia is very good. I had many chances to speak to him. We visited our new plant recently as well, so a lot of what we call the windshield time when we are in the car discussing and all that.

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So, for sure, from a seasoned business leader who comes with tons of experience sourcing from best cost country is pretty much on top of his agenda. Now we want to be -- at the same time, I'm talking -- the Timken Company wants to be sure that they are near their customers, they do what their customers want. At the end of the day, they have to be cognizant of the fact that we have to be best in class in terms of cost, quality, delivery. So that plays a big role, especially in the passenger car, heavy truck, mobile.

It is a world where every day cost improvement is the name of the game. He comes with a lot of great experience, a lot of great knowledge. And I think that the strategy to keep on sourcing from best-cost country is only going to become better and better. Having said that, we are not adverse to the fact that how to serve the local market locally as well. And on top of that, this thought of doing a lot of work locally in order to grow locally what -- if it needs investments or if it needs some of the form of integration.

So, it is very much going to have more speed now. That is my two cents that the engine of local for local, and local for local plus global and then integration on the drivetrain, which is what we do, will gather more momentum.

Mukesh Saraf: Got that. Got that. And secondly, obviously, you mentioned that the new plant in Bharuch is very close to starting operations. If you could give a sense that in the first year or, say, the coming year FY '26, what kind of revenues we could target to achieve from this facility, obviously, given the fact that export is also one of the areas of targeting there -- that we are targeting there?

Sanjay Koul: Yes. So more or less at a high level, factory is almost ready. I'm planning to make another dash on Wednesday, we have to just see when can we really inaugurate the plant to get the field there.

We should be able to start doing some kind of initial PPAPs by the end of the March, hopefully.

That is the target.

Now coming to what kind of revenues we will get for next year, that is April to March of '26, I think that export definitely on this area is certainly going to be important and then the Indian market is also part of the deal. We make SRB, CRB first time now we India. Now exactly how

much more sales we can do, the intent is that we should at least fill up the plant in the first year to 50% to 60% of the capacity.

That will be a great win if we can utilize 60% of the capacity in the first year. 70% to 75% next year. And by third year, we are fully capacity utilized. That would be the target. Market is very much there. We make great bearings. So, the problem is not with the market, probably would be how fast we can deliver to the market and you have to go to the management of change, as soon as you change the plant and all that takes time, the PPAPs take time and all that.

Though we started assembling a little bit early in the day, so that we can overcome the hump a little bit. But yes, Mukesh, we want to at least utilize 50% to 60% of the capacity of this new plant next year, next fiscal.

Mukesh Saraf: Great. Great. That's great. And just lastly, sir, what's your outlook on the CV industry, commercial vehicle industry in India this coming year?

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Sanjay Koul: I think you need to tell me. Your take is better than my take. You please tell us; we will get ready accordingly.

Mukesh Saraf: It'd be good to hear your thoughts, sir.

Sanjay Koul: So, my thoughts on that, now as you saw the budget, there is announcement of reduction of the spending. Though we did not spend what we should have -- Government of India could not spend what they should have spent. So, if I say that we stay put on the infrastructure side of it, , so the CE market, construction equip market would remain very buoyant. If we get a good monsoon, the tractor market is going to remain buoyant and the tipper market is going to remain buoyant.

And we also see now there is a lot of activity, though small, in the kind of a defense arena. Now whether our heavy truck is going to be having the traction which we want that to happen, 18 kind of stuff, I don't think it will be better, it's going to be definitely better than the last year, but if it's going to be boom, I cannot see that yet happening. But certainly, I think rest of the things will make it slightly better than the previous year.

New things are happening on the bus side of it. So, I will not discuss that, but overall, I think between construction equipment, off-highway, tractor and the heavy truck with the tippers taking a lead, et cetera, , we should be okay. But it wouldn't be the commercial vehicle going to 500,000 units on its own this fiscal year -- I mean to say '25-'26.

Moderator: The next question is from the line of Viraj from SIMPL.

Viraj: Sir, just a couple of questions. First is on the railway part of the business. Can you just give some

perspective, how is the demand environment or where are you seeing traction? And also, some color on the competitive landscape in each of the segments?

Sanjay Koul: Yes. So, I think the -- overall, I would say that if we -- rail is going to be -- it won't be a hockey stick, but it's going to be better previous -- compared to the previous CY. So, rail will be better. For us, we are metro, passenger, and freight. We have started supplying to the local market, which we are not supplying on the electrical. So that is going to be small, but for us, that is a pretty good outlook.

The wind is doing very well in Indian side of it, that is the Indian wind market, local not gearboxes which are the ZF, Flender, Siemens, Nanjing high are producing and exporting, and that is also kind of okay. And the Indian market where you have the Adanis of the world installing now, that is catching pretty good traction. So, 3-megawatt, 5-megawatt, those wind mills, especially in the area of Kutch, et cetera, in Gujarat, that is having a very beautiful traction for sure.

And the market of the gearboxes is also -- though it is changing its profile, they are going to bigger and bigger megawatt, that is also okay. So, this is on the up side. F

ood and beverage is a

small thing for us, very small emerging that is going to be pretty good. Marine is a small segment for many of us. It is going to be good. It is going to be a focus area. What is not going to be great as we sit today, and talk is the heavy truck.

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I don't think it -- where I can start saying that, hey, we need to start investing to get more capacity or something like that. So that is not happening yet. Construction and cement would be okay.

Depending on monsoon, tractor would be okay. But overall, I think with the GDP growing at 6% and we have demonstrated a company that we have always grown more than the GDP, so that should be okay.

My personal feel is that the '25-'26 exports would be better than '24-'25. Now how much better, another 2, 3 months, next call, we can give you more meat on that, but it is going to be better.

How much better? I think by the next quarter, it will be very clear.

Viraj: Okay. Second question is the capex which we announced, and we are looking to commercialize and scale up from '26, if you were to compare the portfolio of the parent and for us in industrial entity in India, what further gaps or what further opportunities there could be in terms of localization either from imports substitution or also from export.

Sanjay Koul: Yes. So, I think that in India, the parent has many companies which have a lot of market in India.

And those companies definitely have the supply chain potential out of India. To name, lubrication is one area. Coupling is another area. Coupling is again same like steel, forging, turning, heat treat, finishing, etcetera. So it is very similar to varying income, you know, if I generalize it.

So, the parent has the technology on the chains, on the couplings, on the lubrication system, I'm keeping belt out of my description. But in general, these industrial applications have great market in India and greater supply chain potential out of India. So, it is obviously always on the discussion. I can say that every day, every other day, we think about it. There are discussions globally on it. So that area is very much available there. So that is one part of it, which is not what we call industrial motion.

Now coming to the bearings, we make tapered roller bearings up to 24-inch in India. So, there is very much a possibility that the market is there, especially the wind market, which goes up to 36-inch up to 48 inch. That means larger bearings can be made in India very easily. And now you have the market and the critical mass. So that is on the bearings side.

On SRB, CRB, our current investment is up to 400 millimeter on SRB, 300 on CRB, but the market has potential to buy localized bearing up to 1 meter. So, it will be easy up to 1.2 on spherical, especially in the cement market. And also, some market on energy, the pulveriser also take larger bearing. So that we still import and sell in India. So, they have a greater chance to be localized and also become part of a global supply chain to ship out of India.

So those are the areas where we've been looking at the market, seeing how it is behaving. And now we see that the electrical -- the wind -- I'm sorry, the wind is getting bigger and bigger for those guys who are exporting the gearboxes. So those are the areas. Apart from that there is another company which Timken has taken called GGB. This is a very specialized bearing company, which does plain bearings. GGB already is in India.

So, they are not producing anything in India, but they are selling, not a whole lot of sales, but I think INR30 crores, INR40 crores, INR50-odd crores they are doing. So, they have the chance

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to produce in future. These are not only steel, these are FRP and other materials. And these are used in all kinds of appli

cations in automotive, in construction equipment, in aircraft industry and industrial applications.

So, these are what we simplify call as self-lubricated plain bearings, pretty high-tech stuff. And that is already -- they have a wing in India. So, we are looking at it, how do we take -- but that is a low-hanging fruit. How do we take advantage, customers are same. They are already established in India and how do we do that? So, a lot of brainstorming and discussions happening on that.

So, if I have to say, largely, there are three buckets where integration in future will happen. Now when it will happen? Only time will say, but industrial motion, which is all these couplings, chains and lubrication systems, plain bearings and extension on the size ranges, which we are already producing in India.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Just a follow-up on CRB, SRB where you talked about reaching a 50% utilization levels in the first year. So roughly, you're saying -- if I assume a 2x asset, as you're roughly guiding for INR600 crores of top line from year 1. So, can you talk us or help us understand like with which customers we have already engaged? Is there an order book over there, which end consumer segments you will be targeting? And the first year is only going to be domestic or we are also going to export?

Sanjay Koul: So, first of all, let me clarify, INR600 crores is the investment, so not the same. So, we are going to utilize -- try to utilize the capacity to the tune of 50% first year, which would be a great achievement. In the bearing, this generally takes 6 to 7 years to reach 85% of capacity utilization. So that is one. Second is that we are already importing and selling bearings in India of this range. So that is a localization target. But our major focus is actually new customers, both exports and domestic, more exports than domestic.

So that is the endeavour. The whole drawing board is to put up this size range. The major is to export out of India. And obviously, not only export, then what I'm importing into India would get replaced and get tooled up. And then new customers in India, new part numbers in India, similarly, globally, what can be rationalized, not only rationalized, what can be taken as new customers.

For example, we Timken does not supply anything to the palm oil industry in Indonesia and Malaysia. It is a virgin market for us, has been downgraded by our competitors. I'm not saying we'll go after them, but just an example, that is a market. There is a huge crusher market where we don't supply much in India, but we've got the best technology, and that is another area which is pretty much significant in India.

So, our target is going to be first year capacity utilization, whatever we can get for exports, whatever I can convert from exports to localization and any new customers on it. So, coming back to order book, yes, what I'm already selling in India that I can convert to localization. And b, is that we are already starting to work with our end customers, all of them, you name the Timken India Limited

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customer, we are already there, whether it is cement, whether it is steel aggregates or it is material handling.

So, we are working with them. We are in touch with them. We are telling us -- telling them about our capability on this SRB, CRB. Everybody is excited. And similarly, globally, the salespeople have been announced about the Bharuch plant, and they should get ready and start working on that. As you know, we are on SAP and many things needs to be done so that the demand flows towards this plant.

So, all that work is happening, and I hope that we hit 50% capacity utilization by the end of the year. It won't be day 1. So, it will go gradually step by step by step by step. And then 50% to 60%, 70% and then on to 80%, 85%.

Ris

hi Vora: Understood, sir. And just in the previous, I think if I recall it correctly, the imports of this kind of bearing was around INR50 crores to INR100 crores, right? Is that number correct or...

Sanjay Koul: No, no, not more than that. We were doing that much.

Rishi Vora: Sorry, you'll be doing that much?

Sanjay Koul: Yes, yes. Market is big.

Moderator: The next question is from the line of Sabyasachi Mukerji from Bajaj Finserv AMC.

Sabyasachi Mukerji: Am I audible?

Sanjay Koul: Yes, very much, Sabyasachi, I'm thinking of dresses, not bearings. Go ahead, please.

Sabyasachi Mukerji: Sir, a couple of questions. First, a clarification on the capacity utilization level that you are trying to achieve 50%, 60%. Is it the exit rate for FY '26? Or is it the average utilization level for the entire year?

Sanjay Koul: No. As we start doing the PPAPs by the end of -- there are different lines. So, it will be step-by-step. So, it won't be average. So, I would be very happy if it is average. So, it will be step-by-step, averaging it will be less than 50%, 60% if you take the whole year...

Sabyasachi Mukerji: So basically, by -- let's say, by Q4 of FY '26, next financial year, you are trying to achieve a capacity utilization of 50%, 60%. Is that understanding, correct?

Sanjay Koul: Absolutely correct. Yes.

Sabyasachi Mukerji: Okay. And secondly, on the railway side of things, this budget, we have seen that the allocation to railway budget has been flattish year-on-year. Any concerns you foresee in this segment as far as demand is concerned?

Sanjay Koul: I have been telling this for many, many years and many, many quarters that rail will be always better than the previous year, but it would be step by step, step by step. So, I think even if it is flattish, it is not a bad news at all, especially for the wagon passenger car side of it. So, it is not
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bad news. It is always going to be step by step, step by step because you need to have more tracks getting running, you need to phase out the old rolling stock.

There is already high density, if you see from Delhi to Kanpur, every 2 minutes one train passes. And then you have the fast train going on it and then you have goods train going on it. So, the average speed will be what is the speed of the goods train. So, all that put together, I don't think it is a cause of concern. I think the order book is pretty okay in the wagon industry. It is pretty okay-ish in the rail-passenger segment.

Metro is a small piece of it. It is -- that one is pretty good. And connected to metro is also a tunnel boring machine that is another good bearing consuming area, not a huge room still, but still nice. So, to Sabyasachi, to your direct question, not a cause of concern. We'll be very happy if they double it. But still, I prefer it this way rather than going up and down and up and down, which is not great for the industry.

Slow and steady rail is better for the industry, and it is going that way.

Sabyasachi Mukerji: Got it. That's very clear...

Sanjay Koul: Because Sabyasachi on -- if you see, there is not -- even if they give more money to the budget, there is no wheel capacity in India. Now you know that people are putting the wheel plants, extra at site, that all will take time. So, it would be like allocated unshipped. You give money, but it does not get consumed, there's no fun. So, the INR1 lakh crores which is been cut, in that cut this also a bit. But I think it is good. We need to consume this what has been allocated.

And people are putting -- one of the bottlenecks is certainly from the back-end side of it is the wheel, which is getting. There is no fun in exporting from China other places. So that is getting corrected. People are putting up wheel plants. I think three companies are already on to the job. So that is good news on the forged wheel side of it. And th

en on the track side of it, so that is also moving slowly.

So yes, not a cause of concern as long as they keep on maintaining and moving up, maintaining and moving up.

Sabyasachi Mukerji: Understood. That's very clear, sir. Lastly, on exports environment, given the trade wars and tariffs at play, what has been your experience since the last 1 or 2 months in your interaction with different clients as well as your parent? How should one think of the exports piece of our business going ahead?

Sanjay Koul: So, this is obviously seasoned companies like Timken do not take a knee-jerk action on anything. So, our parents are watching the situation pretty well, and they are looking at it. And you can see the first reaction, 25%, then negotiation, all that. So that is -- we'll get a better feel in another 2, 3 months' time, which way it is going the tariff war. But as you can see that Mr. Modi is in now -- en route to US or must be already in the US and the balancing act is already being done. I think India has given signals like bringing down the duty on the Harleys and they are sending positive signals because of the fact that if eventually there is going to be, say, 10-ish percent on
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Mexico, 10 extra percent on China, which in -- for the automotive world means a lot. So, it is good news for companies in India. And we need to leverage that as a country. I think we have

to wait another 2 months.

No knee-jerk reaction from our parent as well. And we are also watching carefully. Let us see what happens after Mr. Modi comes back, what does he deliver or not deliver on this very, very crucial visit. I think overall, my gut feel is as I am also involved with American Chamber of Commerce, it is going to be positive for India. So, I think that would be good news.

And then this aero show is on here in Bangalore, and this defense industry is going to be significantly big industry in 10 years' time. I think we can all see that the seeds are getting sown. Things have started happening, though small, small, but they are all coming together slowly.

Sabyasachi Mukerji: Understood. Sir, lastly, if you can also share the segment-wise 9-month numbers, absolute value numbers for the 9 months?

Sanjay Koul: So, you want current year YTD?

Sabyasachi Mukerji: Yes. Yes, sir.

Sanjay Koul: So current year YTD let me ask the CFO to get me percentage of the numbers. So, my CFO is taking the preview of the percentage. So here is the percentage. Rail is 21% of that. Mobile is 19%. Distribution is 19%. Process stationery gives 20%. And then intercompany is 20%. And 1% is being totalling something. And YTD current year, we have done total INR2,208 crores.

Moderator: The next question is from the line of Harish Bihani from Kotak AMC.

Harish Bihani: Yes, sir. Sir, can you please help share what sales number will the new capacity do at full capacity?

Sanjay Koul: So, it is a beautiful question, Bihani sir, but it is very tough to answer because of the fact that I have no idea what is the product mix going to be. Bearing, which is 100 millimetre versus the bearing, which is 400 millimetre. So there is this big mix question. So give us another 3 months, then we can predict this better.

Today, it would be shooting in the dark. We got different ranges. There are different price points in the market, and we've got two different kind of bearings. So we will have to wait a little bit for us to understand and digest the demand, and then we can be better qualified to answer this question.

Harish Bihani: But the range should be somewhere between INR900 crores to INR1,200 crores. That should be fine, or too early to say?

Sanjay Koul: So you know, at this stage, if you take the capex and multiply it by 1.5 or 2 might not be the right way to look at it. I have to capitalize each line, PPAP; each line, MOC; each line, customer inspection; each I

ine, all this takes time and every customer will go through the move. These are big customers, international customers.

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So they want to check every piece of it despite the fact that Timken is 125-year-old company.

So you can do this mathematics only 3 years down the line, but not immediately.

Harish Bihani: Understood. And a follow-up on that is that the overall capitalization will happen through the year. So this 50% average utilization that you spoke about will not be at the full capacity.

Sanjay Koul: Not, the average. 50% utilization, hopefully, by the last quarter, 50% to 60%, not average, as I said earlier as well.

Harish Bihani: Okay. So by full year, the entire capitalization should happen. And then hopefully, by then, at least 50% on average, we should be able to reach by the end of the year?

Sanjay Koul: Correct. That is right.

Moderator: The next question is from the line of Shishir Saha from Saha Securities.

Shishir Saha: Sir, my question is, while taking up the expansion work in the new bearing plant, I mean to say, you had indicated the capex to incur. Normally, the top line will be around 3x of the capex, that is INR1,800 crores. So -- sir -- now you have told that you will be achieving almost 60% of the capacity next year. So can we safely assume that 60% of INR1,800 crores will be achieved next year?

Sanjay Koul: I will try to explain one more time. And we want to be at a capacity utilization of 50%, 60% by the end of the next fiscal year. So it will go through step-by-step process to reach that capacity utilization by the end of the next fiscal year.

Shishir Saha: So can I assume sir, that next year -- by the end of the next year, we'll be around 60% of INR1,800 crores?

Sanjay Koul: I'm not saying anything. I'm saying that our capacity utilization will start happening from April of '25. And by the March of '26, our capacity utilization should be around 50%, 60%. 60% would be great, 50% would be wonderful. So between 50% to 60%. So how much time it will take to bring the average? Obviously, would be less than 50%. Now how less, depending on how fast we can have the PPAPs, audits, MOCs done and then that can translate.

Whether we can make smaller bearings where the value is less, whether we are able to first launch the larger bearing where the value is more. So you'll have to give us another 3 months to

understand this a little bit better as we unleash this product line out of the Bharuch plant to the Indian market and export as well.

Shishir Saha: Okay. So we can assume that another 2 years down the line, we'll be achieving this at least?

Sanjay Koul: So our endeavour is generally a bearing company will take 5, 6, 7 years to reach capacity utilization time. Now that we are an established player, we have a supply chain, which is already available. We know the customers. I would say that 50%, 60% by the end of next year, 70-ish percent 1 year down the line after that and 85% by the end of 3 years would be a great achievement for us, and we are known to hit the targets.

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Shishir Saha: Actually, I am an investor. I have invested in your company since last 20 years. I have heavily invested in Timken from personal capacity...

Sanjay Koul: I must tell you Saha Da that you invested very well. If you are an investor for last 20 years, so then you have made good money out of Timken India Limited.

Shishir Saha: Yes, I have made good money, sir.

Sanjay Koul: This company is a debt-free company. It is highly technology driven. It is working more and more, and you'll see a lot of good things happening in the next 2, 3 years. So stay connected, please.

Shishir Saha: I was in Tata Steel, I got share at INR15.

Sanjay Koul: You were working with Tata Steel.

Shishir Saha: I was working with Tata Steel

when I got Timken share, that was at INR10 face value.

Sanjay Koul: INR10, opened at INR150.

Shishir Saha: I have made it almost 1,500 shares now.

Sanjay Koul: Do we have any last questions?

Moderator: Sure, sir. We take the last question that is from the line of Shaikat Ali from Monarch PMS.

Shaikat Ali: Just one question left to be answered. So I wanted some color from the process segment, how different industries have fared during the quarter? If you can give some color about different industry segments faring during the quarter, sir?

Sanjay Koul: I would say that the process industry for us, if you see, is comprising of all the stationary equipment in the project side. If I talk about processes steelmaking, cement making, they buy bearings in MRO, that is distribution for us. When I talk process, this is going into the OE fit that means somebody is making steel mill, somebody is making -- putting up a new cement plant, somebody is making stacker reclaimer and somebody is doing some machine -- pre-welding machine and things like that. And obviously, wheel gearboxes as well there.

So if you see Shaikat, quarter-over-quarter, we were INR130 crores previous quarter and currently quarter INR132 crores. So that tells you the story that we have not lost penetration. So the traction is okay, but it is not -- nobody is making a lot of steel. There is nobody -- there is some expansion happening here and there, but all these mills, if they are coming from generally (inaudible) from abroad.

So obviously, somebody else is getting the sales somewhere else in Europe, et cetera. But this is going to be better in coming quarters for sure as we see that there is a lot of traction out of East Africa, West Africa for getting more steel mills out of Indian smaller companies. So that is happening.

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Some of the other expansions, which were done 2, 3 years back, they are getting further as you must be connected to the steel industry. So that is happening. So it was nothing which was very wonderful great, and we are very buoyant about it, but it was not bad. We are not comparing.

And this is going to be better in this next fiscal for sure.

Shaikat Ali: And how the wind segment is faring, of late sir? What is your view in the near-term outlook about the wind sector?

Sanjay Koul: Wind is sometimes a gust of wind came and sometimes it went away. That is exactly this way saying that -- for example, China was down last year on wind. And then all of a sudden, January, they had a nice wind traction on it. Now in India, I see a wonderful emerging trend that is the Indian companies putting up wind farms, which are 3 megawatt and 5 -- India had some own wind, they were sub-megawatt thing. So now the Adani's of the world and Suzlon's of the world and similar companies are putting wind mills in India.

So that is going to be pretty good. And then we see Nanjing High is making gearboxes or assembling gearboxes in India. They are moving up -- they are making bigger and bigger

gearboxes. So wind is a dicey. It is a dicey market. It goes up, it comes down, it goes up. But I think for us, at Timken in India, wind market would be stable or better.

Thank you very much. Thanks a lot, everybody. Thank you, everybody. And if you have any good news about commercial vehicle, please give me a call. We want to learn more about what is happening in the CV world as you get connected to everybody. It will be good to get -- Mukesh bhai, if you get anything special insight, give me a call.

We want to know what are the trends happening in commercial vehicles, which we are not aware. So thank you. Good day. Bye-bye.

Moderator: Thank you. Ladies and gentlemen, on behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference call. We thank you for joining us, and you may now disconnect your lines. Thank you

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Call: Jun 2025

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Mandar Vasmatkar

Company Secretary & Chief - Compliance

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2 June, 2025

The Secretary

The National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

G-Block, Bandra- Kurla Complex,

Bandra (E),

Mumbai- 400051. NSE Symbol - TIMKEN

The Secretary

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai- 400 001. Scrip Code- 522113

Dear Sir/Madam,

Sub: Transcript of Conference Call

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call for the quarter ended Q4 FY'25 – held on 27 May, 2025. A copy of the same is also available on the website of the Company at below link:

<https://www.timken.com/en-in/investors/statutory-compliances/>

Thanking you,

Yours faithfully,

For TIMKEN INDIA LIMITED

Mandar Vasmatkar

Company Secretary

& Chief - Compliance

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"Timken India Limited

Q4 FY '25 Post Results Conference Call"

May 27, 2025

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED

MR. AVISHRANT KESHAHA – WHOLE-TIME DIRECTOR
– TIMKEN INDIA LIMITED

MR. SUJIT KUMAR PATTANAIK – CHIEF FINANCIAL
OFFICER – TIMKEN INDIA LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

Timken India Limited

May 27, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Timken India Q4 FY '25 Post Results Conference Call hosted by Avendus Spark. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mukesh Saraf. Thank you, and over to you, sir.

Mukesh Saraf: Thank you, Sasha. Good evening, everyone. Mukesh Saraf here from Avendus Spark.

Appreciate everybody logging in. From the management team, I'm pleased to host Mr. Sanjay Koul, Chairman and Managing Director; Mr. Avishrant Keshava, Whole-Time Director; Mr.

Sujit Kumar Pattanaik, Chief Financial Officer.

I'll now hand over the call to Mr. Koul for his opening remark, post which we'll begin with the

Q&A. Over to you, sir.

Sanjay Koul: Thank you, Mukesh. Thank you very much. Thanks, everybody for joining so first is that, obviously, today, we have both Avishrant and Sujit Pattanaik is our new CFO, and Avishrant has moved to some other senior responsibilities, and he remains our Whole-Time Director.

And I'm pleased to say that the sales for the Q4 was INR940 crores, which was almost 4.7% more versus the same period last year. And the previous quarter was a little bit sluggish. So it was 40% over the last quarter so we regained our piece there. And the profit before tax grew 8% Y-o-Y and almost doubled versus the last quarter. And margin also improved almost 70 basis points Y-o-Y. And they were almost 7% favorable to the last quarter.

So overall, our January, February, March of 2025 was pretty good. I should say we can always do more. But overall, it was pretty good. Also I'm happy to announce that we've been discussing about it. We have discussed the GGB, which the Timken Company took over, and we have started the TIL will start investing in the first line for the plain bearings in the composite material, which is alternate material called FRP.

So that line will start investing in that. And previously, also, you must have seen that we are expanding our way as well. So very happy with these due diligences to cater to more global and local markets and depending on the success of this plain bearing, which is of composite material, one step at a time will lead to further steps.

So with that, I would start directly for the questions and catch up with some more remarks later on.

Moderator: The first question is from the line of Abhishek Jain from AlfAccurate Advisors Private Limited.

Abhishek Jain: Thanks for opportunity and congrats Congrats for strong set of numbers. Sir, my first question on the segment-wise revenue in FY '25, if you can give the numbers of the mobile distribution and process and export numbers in FY '25.

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Sanjay Koul: So Mr. Jain, you want for the quarter or you want for the whole year?

Abhishek Jain: Full year.

Sanjay Koul: So full year. So full year, as you must have seen the results, we did INR3,147 crores, and rail was 24.5% of that. And the mobile was 18.5% of That, distribution was 18.7% of that. Process stationary equipment 19.3%. And then the exports were 18.6%, and there was a little bit of export incentives, small portion, less than 1% there.

So that comprised of the INR3,148 crore for FY '24-'25. Now the compare to '23-'24, it was almost 8.2% Y-o-Y growth. And rail grew by 17%, mobile, almost 1%, distribution by 11%, process by 8% and intercompany, which is exports by almost 3%. So that was a jump of 8% over the previous financial year '23-24. And from INR2,909 crores, we went to INR3,148 crores.

Mukesh Saraf: Okay, sir. And in the area seg

ment, basically in this quarter, we have also seen a growth despite the higher deals. So just wanted to understand how is the order book right now? And how do you see the growth in FY '26 in the rail segment.

Sanjay Koul: So rail, we always think that there is going to be a steady, solid growth. It won't be like the hockey stick. But if you keep on growing. As you know that the rolling stock is also introducing heavy haul a little bit more. So that is going on. And the order book, generally, the market order book, I'm not talking about Timken, the market order book in this segment of freight, locomotive, metro passenger is pretty decent.

So -- and obviously, we are the leaders in the rail and is okay. So obviously, we are pretty much happy and on the front foot for the rail. So we are running 6-days, 3 shifts on our rail lines. And as I previously also announced, we are expanding with some state-of-art, high-tech European machines for further enhancing the capacity for our rail for both Indian Railway and exports.

Abhishek Jain: So sir, growth was around 17%. So can you expect the double-digit growth going ahead in the rail in FY '26?

Sanjay Koul: So we always aspire and work hard to the best possible growth. The market is not giving us any bad signal here. Exactly what could be the growth quarter-on-quarter, we'll see. But currently, it is not a hockey stick, and we are obviously providing solutions and further technology

enhancements in this area. So overall, I think we are not worried about rails.

Abhishek Jain: Okay. And in export, there was a slowdown in the last couple of quarters. How is the progress right now? And how will be the outlook in FY '26?

Sanjay Koul: In general, if you look at the global market, Europe is sluggish. U.S. market is also -- the North American market is okay on rail, but not on the other areas. South America market is okay.

Australian market is a little bit better. South African market is good. Mining is picking up there.

China, we saw that in April, it bounced back, and we'll see how they go.

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So there is pretty much a good wave to reap fruits in China market. ASEAN is down. So overall, exports will remain still not very, very buoyant. Some markets, small markets are good, large markets are sluggish. So we'll have to wait and see. But the -- but those large markets are not very buoyant currently.

We'll have to see. And we don't need to discuss the (inaudible), but there is obviously everybody -- Apple guys are shipping 4x what they could keep in these 90 days. Others have a different story. So we'll have to wait and see, but I would say the mix bag, small markets are showing promise. Large market is not still showing a lot of promise.

Moderator: The next question is from the line of Viraj from SIMPL Innovative Brands Private Limited.

Viraj: First is, can you just repeat -- sorry for the repetition, but if you can just repeat the percentage of revenue mix for segment and the growth rates.

Sanjay Koul: So yes, no problem. So this is '24, '25 -- FY '24, '25 over FY '23, '24. We did a rail of INR770 crores. And mobile we did INR584 crores, distribution INR587 crores. Process -- I'm talking crores, process INR606 crores and exports of INR585 crores. This is the whole year.

And in terms of growth over the previous year, rail grew by 17%. Mobile was flattish.

Distribution grew well at 11%. Process grew by 8-point-something, and exports grew by 2.8%.

And export incentives in minor, which went down. So overall from INR2,909 crores, we went up to INR3,147.8 which was 8.2% growth Y-o-Y.

Viraj: And in terms of rail, can you probably give some more color in terms of the tendering activity, what you're seeing in India and exports? And similarly, on granularity in terms of the competitive landscape, any color on that?

Sanjay Koul: Rail is never going to be hockey stick. So slow and

steady growth will be there. So passenger,

obviously, with Vande Bharat introduction, getting rid of all Schlieren bogeys, so that will remain there. Classe Es are getting more and more into the dedicated freight corridors. Old rolling stock is getting changed. And the metro is obviously not a big ticket item, but many cities are introducing metros, including now the Bangalore, Indore, Bombay, all that is happening.

Locomotives, we are also starting to produce locomotive bearings for electric locomotives for their suspension unit. So I would say that rail is on a nice path, but it is not a hockey stick. So - - and then spending has to... it is also government driven. So, it is all about how much government wants to spend more and more in this.

And it is -- the current trends are pretty much okay. The tendering from the railway board is also happening. And similarly, from the private wagon builders is also happening. So rail is pretty much okay.

On export, as I said earlier that there are -- big markets are sluggish, I would say America is a little bit up is now up-ish. Europe is down. South America is up-ish. Australia is a little bit up-

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ish. South Africa is up-ish. ASEAN is down. China overall was down until March, April was showing some good signs.

So export for us, I would say, that is not going to be for anybody, and everybody is not going to be that buoyant. Manufacturing PMI last month, you saw that it went down a little bit. And for exports are going to be a little bit of a challenge until the world settles down a little bit.

So these geo-politic activities settle down, and the business is ready to invest money. The tariff wars settle down. So all that is there. So export, I'm not buoyant about export. But domestic is pretty much okay, and there are good pockets of real exports happening. So they are okay.

So overall, the Indian market, I would say, we need to grow at 6%, everybody knows. And then this rail export, which is a little bit better than the small bearings, but exports overall would be sluggish for sure.

Viraj: Just two questions. On the competitive intensity part for -- can you elaborate -- we talked about leadership position for us. But if you can just give some colour on what kind of market share we

have in different segments? And whether any new player has entered the space?

Sanjay Koul: The competition is always there. They were already there. And we have all the three large players, international players. One domestic player is very much there. They were always there, and they will be always there.

And we have been -- we have devised the supply chain now 30 years back. And we have invested in time for expansion. I think last year as we have further expanded in the rail, and we are very careful with our investments, and we make sure that there is return on investment.

So competition is there, and we have both the technology and the sunk cost and the depreciated and the world-class supply chain, and we are introducing further tech products into the system.

And with the plain bearings, there are a lot of application in railways, which will look very closely. So good competition is always good. It will keep on pushing you to further enhance your technology capability. So I'm not losing any sleep on rail competition currently.

Viraj: Just last question. On this renewable, please, a couple of years back, the parent had acquired Cone Drive and even GGB Bearing technology. What we hear a lot of other players getting orders for solutions for, in addition to rail. Any color you can give for Timken, is there any place for us?

Sanjay Koul: GGB is the plain bearings, who do plain bearing with both alternate materials and other steel. It is a high-tech -- high technology company. And these plain bearings go in very varied applications, both automotive, electrical, EV and industrial as

well.

So we are investing as approved in this Board meeting, we started the first step -- the first line of plain bearing in alternative material composite material. We'll be installing hopefully by the end of this year or maybe early next year. So we have started doing that.

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And on the Cone Drive side, the technology is available for us. We started assembling product in our Bharuch. And we have started supplying to Tata Solar, for example. So we are testing those markets. And we are working closely on that, how to leverage that technology.

And I think we did some sale of 300, 400 units. It's not a big number, but a small number. But to your point, yes, it is a market where now India also needs to make sure that the solar, the sun is harnessed properly, that means you cannot use the fixed panels. They need to be little bit rotating that where the Cone Drive comes into picture.

And we have the technology, and it is similar to making engineered products. And as I said, that we already assembled 300, 400 sets and sold to a Tata Solar Power, and we are looking at that.

So yes, so we are moving ahead in both these roll-on technology implementation and the first line for the plain bearings with composite materials in India.

Viraj: How large is our market in India and globally? And just last question, I'll come back in queue.

Sanjay Koul: The plain bearing market is more than US\$100 million market. So it is a pretty decent market. It also has application in wind. It has an application in some of the first stage gear can use plain bearings. It has application in railways. It has application in automotive, EV.

So, it's a 100 million market in the whole kind of set-up. Now it is a technology product where a lot of people use simple bushing currently, which is obviously not the right solution. So it's a nice market, but it's a diverse and a very fragmented market. So it needs a lot of value sales.

Moderator: The next question is from the line of Vimal Gohil from Alchemy Capital Management.

Vimal Gohil: So just wanted to check on if you can just give us some update on the Bharuch, how is the ramp up? What is the -- what kind of utilization levels have we reached in this quarter?

Sanjay Koul: Yes. So we are going to capitalize these lines by the end of the the first quarter of this financial year. So by the end of June, we'll start really producing. Currently, we have installed the CRB lines. We have installed the small SRB lines, large SRB lines and still on the sea. And hopefully, we are there by July.

So PPAPs are happening. In fact, today, we shipped the first (inaudible) to the customer. So utilization, the demand is there. I think at the end of this year, we should -- at the end of this year, ramp up, PPAPs, all that, we should be able -- at the end of this year, we should be able to reach around 45-odd percent of capacity utilization. And then from next year calendar year, it would become -- every month will become better than the previous month.

Vimal Gohil: Fair enough. Sir, just in terms of demand for commercial vehicles, what are you seeing? I think OEMs are indicating and various agencies are indicating a mid-single-digit kind of growth. So if you can give your outlook on the pure automotive business domestic.

Sanjay Koul: Yes. So on the commercial vehicle, it is going to be 4-odd percent growth. Commercial vehicles will go at that. And there is a diverse, there is a little bit of these Big Bosses, and all that might

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go -- the spoke might go a little bit more. And there is some heavy vehicle demand, also tipper looks okay. But it will be -- the commercial vehicle would grow at the same 4%, 5%. On the off-highway, tractor had a good sale in April. Actually, tractor had a nice sale in April in India. So let us see, b

ut it is not going to be 2018 on commercial vehicle yet.

Vimal Gohil: Understood. And sir, just coming back to Bharuch, you mentioned 45% utilization levels for FY '26 end. Could you help me -- give me some sense on this incremental utilization or the incremental sales from this plant, how much of it will be domestic and how much will be used for exports? Do we have a visibility of 100% domestic?

Sanjay Koul: So no, we are going to cater to both export and domestic currently. My sense is that it would be 50-50 by the end of the -- this financial year. But exports, as you know, the markets, some of them are sluggish. Some of the markets are going to be where we have not played, for example, in ASEAN market. We have some application where we have not played before, and we'll like to play with this investment, those markets of ASEAN.

So my feel and target is that we should be doing 50-50, but now with export being so tight of Dice, with trade wars, we don't know what is going to happen. All of a sudden, there's a 50%. Then it is paused. There is something else. So for some time, that clarity as it comes in.

But overall, our target is going to be both domestic, and this -- and there are a lot of domestic applications, which demand these bearing. So we are working pretty much to mitigate if there is an export risk, how to push more domestic, which will be good either ways.

Vimal Gohil: Domestic, which applications are we talking about majorly for CRB and SRB?

Sanjay Koul: So these go to -- from the, say, lift to material handling to auxiliary equipment to railway applications like CRB, motor suspension unit, the motor itself has a bearing. So SRB, CRBs are used in many varied applications. So material handling is a large piece of it. Sugar mills use it a lot. Paper mills use it a lot. As they said, railways also use it all out. So, there is no shortage of applications.

Vimal Gohil: But we'll be able to supply to most of them. I mean, we are not targeting any specific segments so to say?

Sanjay Koul: We wanted anti-friction bearing solutions. Wherever there is a rolling element to be put in, we'll be standing there.

Moderator: The next question is from the line of Abhas Verma from East Green Advisors.

Abhas Verma: I just have one question. So assuming your existing manufacturing facilities are currently operating at or near full capacity. So is there any headroom for incremental volume growth from these plants? Like is there a need for debottlenecking? Can you just guide on that?

Sanjay Koul: So obviously, this is a question which everyday manufacturing managers and plant managers look at the tat times and then look at the bottlenecks and see how we can improve it. As I said

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that we are working six days three shifts. And we want to make sure that the maintenance is taken care and not preventive now -- we have all moved to predictive and all that.

So coming back to the headroom, obviously, there are many ways to do that. One is obviously put more capex in, which for rail we are doing. But otherwise, there are other ways to utilize, say, for example, rough grind to do at a vendor place. So we are looking at all those possibilities. And we have a good plan in order to boost the productivity with the same set-up by outsourcing some critical roughing elements.

So we are looking at that. And then also, if we feel that there's a need to invest quickly, we have grind lines available across the globe, and we can always buy them and install them quickly. So that is also there.

But yes, the risk mitigation to ride the wave, we look at that. And there is no direct question to the headroom. These are all different solutions and different cost factors to manufacturing, which we are looking at, which we discuss every week, actually. So this is our bread and butter to produce more business.

Abhas Verma: Yes, absolut

ely. I appreciate that. But I just wanted to have a sense that incrementally, could we see any sort of nominal growth rates coming from the...

Sanjay Koul: The current setup, I can -- when I'm working six days three shifts, you have to whip it and produce the 10%, 15% more out of those assets is possible. Beyond that, we'll have to invest.

Abhas Verma: Sorry, could you please repeat the numbers again?

Sanjay Koul: I said that if we have to whip these assets currently running at six days three shifts, we have to whip them further, we can -- with further solutions produce another 15-odd percent. Beyond

that, we'll have...

Abhas Verma: Understood, understood. 15-odd percent you can do more.

Sanjay Koul: Thank you. We can take one more question.

Moderator: The next question is from the line of Rajakumar Vaidyanathan from RK Investments.

Rajakumar Vaidyanathan: Sir, my question is on the financials. So if I just see the notes that you have given in the financial statement, there is a note in the, note number 5 where it dictates 275 million is on account of bilateral APA that was signed. So if -- I mean that kind of gaining upside here this quarter because your revenue and bottom line has gone up to the same number, right? And to see the real profitability, we need to just kind of back that out. So if a back that out, then when I compare your current Q4 vis-a-vis the previous Q4, the numbers are actually coming down. So your PBT margin drops from 21% to 19%?

Sanjay Koul: That is absolutely right, Rajakumar.

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Rajakumar Vaidyanathan: Yes. And just one more minute, sir. So I also read through you are parent companies con-call transcript, where they are talking about the EBITDA bridge. They mentioned \$10 million have been incurred towards ramp-related costs for Mexico and India entities. So I just want to know whether this 2% drop is representing the ramp-related cost. Or is there anything more to it?

Sanjay Koul: I'm not aware of this. The statement you are making, I'm not aware of this.

Rajakumar Vaidyanathan: No, it is there in the public domain, Sir, you can go through that, it is there. So basically, my question is why the margin has dropped from 21% to 19%. So the question is why -- the reason for the drop. And are there any ramp-related costs you included?

Sanjay Koul: No, it is not there. So that what I say that it is not there, that is not very much there. And our depreciation also not started for the new plant. So it is not there. Mexico versus parent, I'm not aware. I obviously don't look after that territory why I'm not aware what is there.

And regarding this 19% with this is absolutely right. And you have to see what was the last quarter, even if you take that out, and that is the fact. Last was 14.6%. So 14.6% to 19-point something, plus this base. So look at it in a positive manner, Rajakumarji.

Rajakumar Vaidyanathan: Yes, yes. I understand, sir, but you have a substantial turnover. So you'll have the operating leverage, right? So it's not correct. It's not the right comparison?

Sanjay Koul: That is right.

Rajakumar Vaidyanathan: I'm sorry. Sorry to be blunt here.

Sanjay Koul: Industries are really -- I always learn more from these question-answer sessions every time. So, I'm indebted to these questions because they teach you a lot. So the next time I look at my notes, even more well to be prepared because you guys look at -- for many companies, the depth of knowledge you bring to the table is immense. We are so much blinked. We are like horses only looking at one piece. And you guys are like open ocean. So there is always so much to learn.

Rajakumar Vaidyanathan: Sir, just one more question, sir, if you permit, please. Yes. And that is a tax-related reversal also in this quarter. So I [inaudible 0:29:22]

Sanjay Koul: So this is tax-related very much there. I think this is related to the M&A. Th

is is the old M&A

reversal, which we have provided for.

Rajakumar Vaidyanathan: Okay. Okay, sir. Thanks a lot, sir.

Sanjay Koul: Okay. Thank you very much. Thanks a lot. Thank you.

Moderator: Thank you very much. Ladies and gentlemen, that was the last question. On behalf of Avendus Spark, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Call: Aug 2025

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7 August, 2025
The National Stock Exchange of India Limited
Exchange Plaza, Plot No. C/1,
G-Block, Bandra- Kurla Complex,
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BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Fort,
Mumbai- 400 001. Scrip Code- 522113

Dear Sir/Madam,
Sub: Transcript of Conference Call
Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Conference Call for the quarter ended Call Q1 FY 2025-26 held on Friday, 1 August 2025. A copy of the same is also available on the website of the Company at below link:
<https://www.timken.com/en-in/investors/statutory-compliances/>
Thanking you,
Yours faithfully,
For TIMKEN INDIA LIMITED

Mandar Vasmatkar
Company Secretary
& Chief - Compliance

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"Timken India Limited
Q1 FY26 Post Results Earnings Conference Call"
August 01, 2025

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. AVISHRANT KESHAVA – WHOLE-TIME DIRECTOR
– TIMKEN INDIA LIMITED
MR. SUJIT KUMAR PATTANAIK – CHIEF FINANCIAL
OFFICER – TIMKEN INDIA LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Timken India Limited
August 01, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Timken India Limited Q1 FY '26 Post Results Earnings Conference Call hosted by Batlivala and Karani Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask

questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj. Thank you, and over to you, sir.

Annamalai Jayaraj: Thanks, Huda. Welcome to Timken India Limited 1Q FY '26 Post Results Conference Call.

From Timken India Limited management, we have with us today Mr. Sanjay Koul, Chairman and Managing Director; Mr. Avishrant Keshava, Whole-Time Director and Mr. Sujit Kumar Pattanaik, Chief Financial Officer. I will now hand over the call to Mr. Sanjay Koul for the opening remarks to be followed by question-and-answer session. Over to you, sir.

Sanjay Koul: Thank you very much. Thanks a lot. Okay, good afternoon formally. Good afternoon to everyone, and thank you for joining today. So it is obviously our pleasure to welcome you to this investor call for Timken India. And obviously, we are here to discuss the financial results for the first quarter of the financial year '26.

Obviously, our last quarter in FY '25, which was, as you all know, was historically, generally our last quarter is the best performing quarter. And as we enter the new financial year on a steady and a pretty disciplined note, our Q1 performance reflects the resilience we have in the demand and continued momentum in our core industrial segments and a pretty nice strong focus on the operational efficiency and execution as well.

So the update generally for the Q1 FY '26 is revenue from operations stood at INR808.8 crores, which was a 3.2% increase over the same period last year. So while it was lower due to seasonality after Q4, this remains our best ever first quarter till date. PBT came in at INR130.4 crores, broadly flat on a Y-o-Y basis and lower sequentially as expected. PBT margin was healthy at 16.1% compared to 16.6% in Q1 of the previous year, same period, supported by cost control efforts.

Amid as we know, there is some softness in volumes, and there are obviously always the cost fluctuations. Bharuch plant continues to stabilize well. We have successfully capitalized 1 CRB line, and we have commenced the commercial production in late June there. And obviously, we have started invoicing from July. We remain committed to building capacity for growth and improving efficiency across the supply chain.

Investment in rail expansion in Jamshedpur and some plain bearings in Bharuch is progressing as per plan. Overall, the macroeconomic uncertainty continues. We are cautious, optimistic about the demand environment across our key industrial sectors. Our focus remains on execution excellence, operational disciplines and delivering value. With that, I would now stop here and throw the lines open for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Mukesh Saraf from Avendus Spark.

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Mukesh Saraf: My first question is on the revenue mix. If you could give us the mix in the first quarter? How much was from railways and the other segments that you usually give the breakup for?

Sanjay Koul: Sure, Mukesh. Thanks for the question and our mix in the Q1 FY '26. Rail was INR196.5 crores which is 24% of the total pie. Mobile was INR156 crores, 19%; distribution was INR146 crores, 18% of the pie. Process was INR142 crores, which was 18% of the pie. Exports stood at INR164 crores, which was 20% of

the pie and a little bit of an export incentive. So overall, it was INR808.8 crores.

Mukesh Saraf: Sure, sure. And secondly, on the new plant, you said that you have capitalized 1 line. Could you -- now that it has started operations, could you kind of give an update? I think last time you had mentioned that by end of this year, you're expecting to hit a utilization of 45% for this new facility. So how do we kind of look at it now? Does that stay the same or is there some change to that estimate?

Sanjay Koul: I think more or less, we will be there. We would be staying course. The first line is capitalized. And the other lines of spherical roller bearing etc., hopefully, will shortly get capitalized. And we should be able to deliver almost same. A couple of percentage here or there. But yes, we would be there. The factory, people, training, new lines, qualifications, PPAP, so a lot of busy time there.

And yes, to direct to your question, Mukesh, we should stay course for the kind of that target, what we spoke earlier as well.

Mukesh Saraf: Right. In relation to this, you had also mentioned that about half of this would be exports. And with all the noise around tariffs and the fact that there is expected weakness in the Class 8 trucks industry in North America. We still think exports -- we're still confident that exports can kind of grow from here?

Sanjay Koul: I think obviously, this is a CRB, SRB. So Class 8, this could be sold. So that is out. It is not great

news on the tariff side. So obviously, U.S. is a pretty big market. Though for CRB, SRB, our target market of exports are rest of the world, Australia, South Africa, Europe, ASEAN, et cetera. And obviously, some would have gone to U.S. as well.

Now how does this tariff? Obviously, nobody knew about it previously, and nobody knows even as we speak, how it will happen by the end of the August. So nobody can predict it. Experts say that they might fall down to 15 eventually, but we will see. But overall, I don't think -- it is not great news. Obviously, U.S. is a great market. This is a market, which everybody loves and everybody wants. We are not connected to class -- so that is disconnected here.

Mukesh Saraf: But the overall exports, still there will be a Class 8 impact?

Sanjay Koul: Yes. I think, obviously, we are looking at all the markets closely, and we are looking at tooling up and things like that. And obviously, U.S. -- derisking U.S. on this is part of the whole plan.

So I don't think it is a showstopper, but it is certainly a speed breaker a little bit here and there.

So we will risk mitigate that.

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Mukesh Saraf: Got that. Got it. And just last one clarification, sir, now that we have capitalized the lines, we have still not seen the depreciation or any fixed overheads?

Sanjay Koul: capitalised in last week of June, so you'll see in next quarter.

Moderator: The next question is from the line of Ankur from HDFC Life.

Ankur: If you could just talk a little on the rail and the process market, how are these doing? What are your growth expectations from these markets? Would it be led more by industry growth? Would it be led by more market share growth? Just some more color that will be helpful?

Sanjay Koul: Sure. So on rail, as I always say, the growth will be there. It will be slow and steady overall. And generally, the wagon builders have their own targets to complete. So the last quarter is always a quarter which is always busy so that people complete the orders and things like that. So that remains there.

This railway business and many of the businesses are cyclical in nature. So overall, rail as a segment is not -- never going to be hockey stick. It's going to be decent growth, and there would be some quarters of weakness, some quarters of strength. But overall, Indian Railways is committed.

So I don't see there is any such change in the

policy. So that is happening. And then the DFC is

slowly becoming better and better and better, which means that freight goes to dedicated, you can put more passenger trains on these tracks, which means that now the passenger trains are not going to be the old Schlieren.

They are all going to be Vande Bharat platforms and which means that the tapers and connected bearings have that. So there is two aspects to the rail. It is passenger, it is locomotive, it is the metro, and it is freight. So apart some segments, there is growth in the market and some segments, especially in the locomotive segment, for us, it would be also market and penetration. Freight, we are generally leader.

So market growth and maintaining our leadership would be there. And rail will keep on growing in India. When you see it has to be seen on a 5-year horizon rather than a quarter-to-quarter. And then on the process side, I think you people know that process -- the major process is stationary equipment, which is metal, which is energy and which is infra, which is cement, et cetera. So these are -- these three, four core sectors.

So mining is weak. It's not great. But -- you certainly has -- solar is booming. We don't do much solar yet in India, but we have started doing a little bit, but wind is doing very well in India and will keep on growing. On steel, it is a mixed kind of thing. More investments are needed to be done by the steel industry in India.

There is -- obviously, they need to be -- they need to see the demand out there. And I think last quarter, the demand was a little bit less, and you see the melt has also gone down a little bit. So process industries a little bit of a mixed bag there. While wind is doing okay, steelmaking is a little bit sluggish and cement is also a mixed bag a little bit there. And that obviously is

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connecting to more spending on the infrastructure and then people investing in this steel, et cetera.

So overall story is going to be okay. And quarter-on-quarter, there will be these changes. And then geopolitics has this own emotional impact, both on the market and on the industrial people, who have to invest. But I am kind of very optimistic that the overall story on process and rail, I

always believe, knowing rail a little bit well that it is going to be slow and steady growth because of many, many factors in there.

Ankur: So reasonable to assume that rail probably grows in double digits and process maybe in high single, mid-single. Is that how we should look at the market at this point?

Sanjay Koul: I don't think rail can be double digit. I don't think rail can be double digit. And though next -- this -- if you go into '26, '27, we are still saying that the overall GDP is going to be 6.1% or 3, 4, 5. But both rail and process would be high single.

Ankur: Fair. And also your view on the CV industry as well, if you would. I remember you said more like a 3%, 4% growth was what you were expecting at least maybe a quarter back, but...

Sanjay Koul: Yes. So it would be -- see, this is -- there are three ways to look at this. One is average, one is poor, one is optimistic. So now it is your call, what you want to look at it. So it is between 0 to 9, you have to take your call, whether it is going to be optimistic, average or poor.

Ankur: Okay. Fair. And just lastly, if I may, on your gross margins, we did see a dip this quarter by about 50 basis points. And even overall EBITDA is about 18%. We used to be in that 20% plus range maybe a year, 2 years back. Do you believe we can get back to that 20% plus kind of range anytime soon or is it going to be more -- still we get faster revenues and leverage, we don't get back to that 20% plus range?

Sanjay Koul: So Ankur, you have -- your question has the answer. You know the business very well. So when you have the volumes, your leverage is better. When your leve

rage is better, your cost is better.

So it is a simple game. In the game of manufacturing bearings, Volume leverage is a big play.

Moderator: The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management.

Vimal Gohil: Just one follow-up on Bharuch ramp-up. You mentioned the billing started from July. Would it be fair to assume that whatever is being billed as of now is mostly for export markets this quarter?

Sanjay Koul: I am sorry Mr. Vimal you had started asking the question and unfortunately technology failed us and we got disconnected.

Vimal Gohil: Sure. No issue, sir. I will repeat my question. Sir this was a follow up for the Bharuch ramp up that we saw this quarter. You mentioned that we started billing from July onwards. I just wanted to check if most of the revenues or whatever that they we have build this quarter is mostly for the export market, would that be a fair assumption or is it fairly spread out between exports and domestic?

Sanjay Koul: No, we did not billed anything in the April, May, June.

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Vimal Gohil: No, I'm talking from July onwards. Whatever we are billing...

Sanjay Koul: July, it was export.

Vimal Gohil: Okay. Fair enough. And sir, while you mentioned the mix, is it -- if my calculation serves me right?

Sanjay Koul: No, rail was down, so volume was down. So obviously, rail was -- generally, last quarter is good. And our last quarter in rail last time was the best ever in 30 years, INR303 crores. So rail was the major mix, which was down.

Vimal Gohil: Right. And sir, if I were to look at the overall mix, it does seem that there is a fair bit of export incentive this year, about INR90-odd crores. Is that calculation correct?.

Sanjay Koul: No. We don't have any export -- 36 million it is. Actually, it is for the quarter is 36 million, which is about INR3.6 crore. Wish we had INR90 crores, I would have been happy.

Moderator: The next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: My first question is around exports. Can you just give us what would be our geographical mix at, let's say, in FY '25 or 1Q of FY '26? And secondly, if the tariff situation persists, which is at 25% today, how will the pass-through happen with our parent? Any color on that, that will we be able to pass on all the impact or will we need to share the cost with the parent? Just any color on that?

Sanjay Koul: Yes. So the verdict is not yet out on the tariff. So obviously, in this game of negotiation, putting pressure, all that is there. So you guys know it better than me. So I think even if it is whatever, 15%, 20%, 25%, that is the import tariff, which has to be paid by the buyer. So I'm a seller. So somebody has to buy it and clear it and sell it onwards.

So now if there is 35% on China, on tapers for China, it was more than 75% for 30 years. So that remains there. So where are the product going to come for? That is also a large question. And the cost of energy and cost of labor in Europe and the problems in Europe, even if there -- this is only 15% still would weigh towards this.

So I would say that while America is a great market, and this is a market, which has obviously a huge base, close to \$30 trillion. And then the consumption is pretty significantly high. So that market is important for everybody. But at the end of the day, if the duties -- the way we see it between the cost of manufacturing in Mexico and their duties, cost of manufacturing in China,

their duties, cost of manufacturing and the base in India and then compared to Europe, I would say that I can only assume and guess.

Obviously, we have to wait and watch how it pans out. But at the end of the day, the cost of manufacturing in U.S. is going to go up or consumption is going to go up because putting up if the intent of the U.S. is that this will bring manufacturing in, then the i

nfra has to be there.

steelmaking has to be there, forging has to be there and casting has to be there, that infra has to be there.

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And the biggest thing is that is power available in the U.S.? Is the enough energy available there? et cetera. So I think certainly an important market, U.S. and there would be -- there are tariffs going to be. India has, say, on steel, which is whatever 12%, 13%, 14%. We are importing, things like that. And if it is 15% there, they are importing. So I'm not worried, though it is to be seen how it pans out, but it is not a worry.

And then it also gives us a good chance to make sure that you don't go after an easy market. If you have the product, you have the technology, you have the cost, quality etc., then U.S. becomes a pretty easy market, if I can use that word. So we don't have to take it in literal sense, compared to other markets where the currency challenges or the other related challenges are there, but it kind of forces you to excel in those markets.

And when we exported our first bearing from the new Bharuch plant was to North America, was to another new customer in a new territory. So overall, I'm not worried. It is a cause of how do you position yourself and how it pans out. But overall should not be really that -- as the -- more worrisome is the U.S. economy.

That is more worrisome. My worry is more on the U.S. economy. How does the U.S. economy has they bottomed out or it is a soft landing and is '26 going to be coming up strongly. I think that is more important than -- this is important, of course. But this has to be seen how it happens. But more important is U.S. market going to revive quickly or not.

Rishi Vora: Understood. And sir, what would be our geographical mix of exports?

Sanjay Koul: So generally, I think it is 50-50, roughly, we have 5% here and there, generally 50-50. And in that geography, North America, we have between the heavy truck and rail is 50-50, America.

Rishi Vora: Okay. And in the rest of the 50, what would be our end market?

Sanjay Koul: This is the same mix, tractor, off-highway, trucks, trains, rail freight.

Rishi Vora: Understood. And sir, my second question is on the CRB, SRB, which we have exported in the month of July. Again, over here, what would be our end markets which we are targeting at this point in time? And I think we are guiding for 40%, 50% exit utilization at the end of this financial year.

So as we go into second half, I am assuming that even in the domestic market, we'll start supplying. So again, have we seen any order visibility over there or any color you could give on that would be helpful?

Sanjay Koul: Yes. So we have -- obviously, when you start a plant, you have to first -- all the potential customers will approve those lines, PPAPs and things like that. So those processes are on. And -- and we certainly have a domestic market, rather a very strong domestic. So just for the sake of application, it goes into cement industry, it goes into material handling equipment.

It goes even into railway, which we are not supplying till date. Say, for example, in Indonesia and Malaysia, the palm oil crushing uses spherical bearings, thrust spherical and spherical. So

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there are diverse areas, but largely cement, energy, palm oil crushing and other related areas. So it is even including railway. So wherever you see in auxiliary equipment in the steel plant, auxiliary equipment in any other plant, you'll see SRB.

Generally, the difference between SRB, it is generally used where it can align itself. If there is a misalignment a little bit, spherical have a good role to play. And this is across, say, for example, if there is a large material handling, somebody is being a stackers, reclaimers, crushers, it will use SRB, CRBs.

Rishi Vora: Understood.

And sir, which -- like in the domestic market, have we -- do we have any order visibility at this point in time?

Sanjay Koul: Yes, we are doing the PPAPs, so we are getting qualified. We sure have. And as we start getting

qualified, we will start pitching in for more like for railways, there would be qualifications required. And I can tell you that one of the locomotives, we have won the first order from Indian Railways as well on a locomotive application.

Rishi Vora: Understood. And sir, lastly, any order book which you can share for the CRB, SRB, which you have both domestic, export combined?

Sanjay Koul: No, I cannot share the order book yet because obviously, for the right reason. But as I said that we are racing towards filling up the plant. And as I said, the 50% utilization by the end of the year, and that is the endeavor.

Moderator: The next question is from the line of Mayank Bhandari from Asian Market Securities.

Mayank Bhandari: Just wanted to highlight one point, which you have mentioned in your annual report, there is additional that you are investing INR120 crores for the capacity of cup and cones in railway facility in Jamshedpur. So is this part of something new which you announced or you already announced it before?

Sanjay Koul: Mayank, we announced it before.

It is already announced and...

Mayank Bhandari: Okay. So what kind of asset turnover and all you put project from this INR120 crores?

Sanjay Koul: So this is -- as our factory in Jamshedpur is catering to obviously India, Indian subcontinent also exports and then the growing need of heavy-duty bearings in South Africa and U.S., et cetera.

So it is aimed towards that. And on asset terms, more than two for every dollar invested, that is the endeavor.

Mayank Bhandari: Okay. So this is basically, we are getting into component manufacturing through this...

Sanjay Koul: This is capacity enhancement of what we have.

Mayank Bhandari: For the TRB only?

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Sanjay Koul: Yes. These are all tapers. These are all tapers for rail lines for railway business. These are the tapers, which we call as CTRB. These are sealed bearings, sealed tapered roller bearings.

Mayank Bhandari: And sir, just in terms of the export thing, you mentioned that you are more worried about the demand from the U.S. If you could just highlight?

Sanjay Koul: In general, I said, yes. So the question was -- the answer was in general to Rishi's question was, in general, is tariff from a best cost country like India, China, et cetera. The worry -- tariff obviously is a little worry. Larger worry is always the -- just imagine if the American market is booming and they need bearings, do you think that tariff will be a worry?

When the offtake of demand takes and consumption needs, then the -- say, for example, the gems -- from India, the gems to America is USD10 billion. Even if the tariff is 50%, do you think it will stop? It will not stop. The buyers are the guys who buy gems don't care. It is even further investments.

So when the demand picks up, that is the time -- for example, in India, demand picks up, there is a time you get better pricing. So it is to be seen. Tariff is obviously is a challenge. And especially when the world had enjoyed lower tariffs into America and people had got accustomed to whatever, 5.6% as tariff there.

So now that all of a sudden, that 10%, 15%, 20% delta, somebody has to absorb. So that is there.

But bigger worry for the general economy is when America picks up. So that, I would say, would be more important, more worrisome than rest, if in general, I'd say.

Mayank Bhandari: But then like which geography becomes much more attractive in terms of importing U.S.?

Sanjay Koul: So for example, Indonesia is picking up. Vietnam is picking up. South Africa is picking up.

Australia is also not that bad. So other geographies are also picking up. And North Am

erica,

obviously, has it -- the question is, has it already touched the bottom and the soft landing has happened or it will further fall in the next 2, 3 months, 6 months, we'll get to know. A lot of people are saying that next year '26 might be the start of the revival of America, but that is what the economy, some of the guys say' So yes.

Moderator: The next question is from the line of Alka Chandrakant Kanase who is an Individual Investor.

Alka Kanase: My question is regarding the portfolio, parent's non-bearing portfolio. Do you have any plans finalized yet for India rollout?

Sanjay Koul: So this is obviously a very nice low-hanging fruit, if I can use that term, that the parent has the technology on lubrication on chains and belts and other related areas as well on linear motion bearings, on plain bearings, et cetera. So plain bearings, we announced last time, we have started the first step of investing the first line on plain bearings, which is getting -- hopefully, next year, we'll start producing in Bharuch.

So that is happening. But if you ask on the industrial motion big ticket item like couplings, et cetera, et cetera -- so we are -- we have the technology. Now how do we do a greenfield,

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brownfield, M&A, all that stuff. It is a continuous discussion and continuous looking around. So that is where we are.

It is definitely a low-hanging fruit, if I can use that term once again, I'm saying that because of the technology which is available with the parent of Groeneveld-BEKA on lubrication and then Diamond, obviously, on the chains and Carlisle is on the belt and Lovejoy on the coupling side. So yes, it is a continuous discussion, and we have to be careful investing, looking at the markets, et cetera, et cetera. And we are continuously looking at all aspects so that we can harness the growth in India in industrial motion.

Alka Kanase: Okay. My next question is regarding the services income. In process industry, we were talking of monitoring the bearings and repairing them and all that stuff. So do we report services income separately?

Sanjay Koul: No, we don't. We don't. And we don't do that separately, but we are continuously, I can tell you that the endeavor is on. We maintain almost more than two dozen sites within the steel companies where we do choking, de-choking, grinding, et cetera. And similarly, on bearings, we do thousands of bearings for repair, which is not actually repair, which is a refurbishment is the right word for that. And that business is bound to grow in India.

After some time, the big bearings for the wind will also need that. So we are on that, but we are not reporting it separately.

Moderator: The next question is from the line of Ankur from HDFC Life.

Ankur: Just a quick follow-on on the Bharuch factory. And as you said, you touched about 45%, 50% utilization in the next one, two quarters. So fair to assume this adds about INR200 crores, INR250-odd crores to your top line on a quarterly basis, assuming about INR800,000 crores annualized. Is that how we should think of it?

Sanjay Koul: I think we will need one more quarter. Obviously, smaller bearing are small value, large bearing are large value, we'll see the mix. Same question we are looking ourselves currently, looking at the demand, which is flowing in.

As you can see that we have just started PPAPs and every customer has to qualify us, that is happening. So it would be fair on my part to answer this maybe 1 quarter down the line. Thanks. I think we can get the last question. I have a stop at 5:15. So any last question, we can take that. I think more or less, we have covered everything.

Moderator: The next question is from the line of Rahul Kumar from Nuvama Wealth.

Rahul Kumar: Just one question on capex. What is the expectation for FY '26 for capex?

Sanjay Koul: So for the rail expansion, which will happen that

is INR120 crores and then the first plain bearing is roughly INR35-odd crores. So that is on this immediate expansion capex is around INR150-plus crores that is going to happen between now and next year.

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Rahul Kumar: And on maintenance?

Sanjay Koul: Maintenance is the usual, that remains the usual. So we don't. We don't short charge. So we go as per the norm on maintenance, so that will flow as it is flowing.

Rahul Kumar: Okay. Thank you. That's all. Thank you very much.

Sanjay Koul: Okay. Thank you, Rahul. Thanks a lot. Thanks for your time today. I'm sorry in between the line got disconnected. I think we had answered most of the questions. And with that, I wish everybody a very good evening. Thank you very much.

Moderator: On behalf of Batlivala and Karani Securities India Private Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2026

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13 February , 2026

The National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

G-Block, Bandra - Kurla Complex,

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Mumbai - 400051. NSE Symbol - TIMKEN

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai - 400 001. Scrip Code - 522113

Dear Sir /Madam ,

Sub: Transcript of Post Results Conference Call Q3 FY 2025- 26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Post Results Conference Call Q3 FY 2025- 26 held on Monday , 9 February 2026. A copy of the same is also available on the website of the Company at below link:

<https://www.timken.com/en-in/investors/statutory-compliances/>

Thanking you,

Yours faithfully,

For TIMKEN INDIA LIMITED

Mandar Vasmatkar

Company Secretary

& Chief - Compliance

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"Timken India Limited

Q3 FY '26 Post Results Earnings Call "

February 09, 2026

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING

DIRECTOR – TIMKEN INDIA LIMITED

MR. SUJIT PATTANAIK – BUSINESS CONTROLLER

INDIA , CHIEF FINANCIAL OFFICER AND WHOLE -TIME

DIRECTOR – TIMKEN INDIA LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI

SECURITIES INDIA PRIVATE LIMITED

Timken India Limited

February 09, 2026

Moderator: Ladies and gentlemen, good day, and welcome to Timken India Limited Q3 FY '26 Post Results Earnings Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj. Thank you, and over to you.

Annamalai Jayaraj: Thanks, Hina. Welcome all of the participants to Timken India Limited 3Q FY '26 Post Results Conference Call. From Timken India management, we have with us today, Mr. Sanjay Koul, Chairman and Managing Director; and Mr. Sujit Kumar Pattanaik, Business Controller India, CFO and Whole-Time Director.

I'll now hand over the call to the management for opening remarks to be followed by question-and-answer session. Over to you, sir.

Sanjay Koul: Thank you, Mr. Annamalai. As stated, I'm in a car. My schedule of flight was changed, so I'm asking my CFO to carry on and do the opening remarks. A lot of data is in the opening remarks. Go ahead, Sujit, please?

Sujit Pattanaik: Yes. Thank you, sir. Once again, good evening, and thank you for joining us today. We appreciate your continued interest and support in Timken India. During the period -- before I go to the numbers, during the period, we continue to focus on executing our strategic priorities, including the capacity expansion and strengthening our operational capabilities to support the long-term growth. I will briefly walk you through about the quarter and 9 months performance, after which, we will open up the floor for the questions.

So quickly on the quarter 3 of the financial year '25-'26, the revenue from the operations was INR764 crores, INR7,644 million, which is a 13.8% increase over the same period last year. While sequentially, we were down very close to a percentage primarily driven by the seasonality of the rail business. The profit before tax, there's a lot of onetime transitional impact that came in during the quarter. So the profit before tax during the quarter was INR719 million, it was lower year-over-year and sequentially as well on account of Q1 transitional impacts. One was the Labor Code related impact, which came in during the quarter.

The second is the other income reduced during the quarter because of reduction in the investable surplus. The third is the new plant, Bharuch ramp-up cost. If I take out these exceptional items, this onetime transitional impact, we would have ended the profit before tax very close to 13%, which is primarily because of unfavorable mix versus last year's same quarter.

So now moving on to the 9 months ended quarter 3 of financial year 2026. So the revenue stood at INR2,346 crores, reflecting almost close to 6% year-over-year growth. And across all the Timken India Limited
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individual segments, we grew our revenues. Profit before tax stands at 13.8% versus last year of 15.9%. Again, the similar impact for this YTD, primarily driven by the Labor Code impact, the transitional impact on account of the ramp-up cost and of course, the lower other income. So without that, the profit would have been flattish to 30 basis points lower compared to the same period of last year.

So now as we know, the recent global trade developments, particularly the ongoing trade engagements between India and the United States and the European Union are expected to create favorable opportunities for the Indian manufacturing, in general. So progress towards deeper trade partnerships, supplies and diversification and global OEMs and increasing localization requirements are supporting India's

position as a preferred manufacturing destination.

So these developments, which have come in over the last couple of weeks, are expected to strengthen the export opportunities for engineering and industrial product companies, which includes the bearing and the related components as well over the medium to long term.

So as the new capacities and stabilization and utilization improves for our new manufacturing plant, ramp-up costs are expected to moderate, so which is going to support the gradual margin normalization. So we remain focused on disciplined capital allocations, operational productivity and capturing growth opportunities across various end user segments.

Now I will move to the front-end wise -- segment-wise sales, after which we will open up the floor for the questions. So during the quarter, the rail front-end, we did INR 128.6 crores. Mobile, others is INR 157.1 crores. The distribution business, we did INR 138 crores. Process, INR 167 crores. Export intercompany, we did close to INR 159 crores and the small amount that came in, in the export incentives of INR 4.4 crores. Total revenue is INR 764.4 crores, 13.8% favorable

compared to last year's same period, 1% down sequentially compared to the last quarter of this financial year.

So that's a quick summary of the opening remarks from our side. So with that, we'll open up for questions.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question comes from the line of Nikhil Rao, an Individual Investor.

Nikhil Rao: Could you help us understand how demand from the commercial vehicle segment is shaping up, both OEM and aftermarket. Roughly, how much of CV offtake is driven by replacement demand versus the OEM production?

Sanjay Koul: So Sujit, you can compare the quarter-to-quarter numbers of mobile.

Sujit Pattanaik: Yes. So as we talked about, so the commercial vehicles, primarily which includes both on-highway and off-highway, put together, we did for the quarter is INR 157 crores, which is almost 9% quarter-over-quarter and almost 20% year-over-year. So as we have discussed in the last quarter. So we see a little acceleration in the commercial vehicle segments. And that's something which is reflecting in our revenue as well.

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From distribution standpoint, if you look at it, which, of course, we report the numbers, both auto distribution as well as the industrial distribution piece of it. So we did INR 138 crores for the quarter, which is again very flattish compared to the sequential quarter of last quarter, 1.5% up. But year-over-year, we have grown by 8.5%. So in both the segments you talked about, we have seen a steady growth and we expect probably the momentum to continue, given that it is the last quarter of the financial year, and most of the OEMs are going to kind of build up the stock and do the record sales.

Nikhil Rao: Okay. Okay. And is this purely volume increase? Or are you also seeing an increase in kit value or content per vehicle contribution with this?

Sujit Pattanaik: I would say, it would be more of the volume increase at this stage, not in terms of the content values from a bearing industry perspective, I would say it's more of a volume increase.

Sanjay Koul: Also, adding to what Sujit said, as we speak, as we all know, commercial vehicles are picking up. And whether it is now a long-term demand, or it is just the last financial year, the last quarter of the financial year, but the CV market is currently, for sure drawing, pulling more bearings.

So volumes are -- we see steady growth in volumes.

Moderator: The next question comes from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf: My first question is regarding the Bharuch facility. So could you kind of give an update on the SRB line commissioning and also our targets in

terms of revenues from this plant, say, this year and probably next year based on the utilization rates you want to hit?

Sujit Pattanaik: Yes. So as far as the Bharuch facility is concerned, all our lines are capitalized, as we speak. So that is why we would have taken all the depreciation impact in this quarter. So both the SRB lines, both the small and large as well as the CRB lines are capitalized. So as the Chairman explained in the previous meetings, of course, in a manufacturing of bearings, it goes through multiple steps before we do the commercial sales. So starting with the customer PPAPs, the approval from the customers, so on and so forth.

So we are currently in the process of ramping up for doing the PPAPs, doing the pulling up of the PPAPs as quickly as possible. So now as we speak for the quarter, we had a moderated sales figure of very close to INR 12 crores to INR 15 crores, but as we are ramping up significantly, and we are pulling up parts as much as possible. So we would expect, in the near future, we are going to ramp it up quickly. And with the recent developments of the trade deals, which got signed off between Europe and U.S., So we expect some kind of favorability in terms of loading of the plant. But again, we need to wait and watch for the fine prints of those print out. So we are yet to look at it the overall impact. But again, that may accelerate a little bit in terms of the loading of the plants. But again, it comes back to the executions, how quickly we are pulling up parts. The entire team is working to kind of ramping it up as fast as possible in terms of PPAPs and pulling of the parts.

Mukesh Saraf: Right, right. So I mean, we have a target of, say, exiting the year at 45% utilization. I mean, in conjunction to that, I mean, where will we stand?

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Sujit Pattanaik: It's difficult to tell the exact percentage in terms of capacity utilization, if you look at it at a high level, I would say we are not definitely 45%, I would say at some 30% level. But our expectation

is to ramp it up as quickly as possible during the first quarter -- sorry, the last quarter of this financial year and this first quarter of the next financial year. So that at least we had in a sizable percentage more than -- a little more than 50% utilization by then.

Mukesh Saraf: Sure, sure. Understood. And you did allude to the fact that even the European trade deal now kind of opens up new opportunities. I think when you initially announced the investment into this plant, I think you had said that the opportunity size for SRB was say, around INR 17 billion, and for CRB is INR 20 billion based on the current import, et cetera. Any update, any change to that number? Do you see a higher opportunity now for localized SRB, CRB, obviously, import substitution plus exports, anything that you could share there?

Sujit Pattanaik: Again, as I said, that the -- though the trade deals have been announced with both European Union and the U.S., but I think the fine prints are getting evaluated. So we are in a continuous evaluation. So as we speak, we do not have a ready made numbers to talk about. But to answer your question, I think the Chairman also explained in the last meeting as well, our whole objective is to find out the overall capacities, expansion as much quickly as possible to utilize for the plant. And definitely, the trade activities, which have happened over the last 2 weeks, that's going to accelerate that process.

Mukesh Saraf: Got it. Got it. And just lastly, the GGB, the plane bearings line that we are kind of setting up. Could you give some more color on that in terms of the immediate opportunity because I understand that I think it's entirely imports right now into the country? So now that you're setting up a line here, when would that be ready in terms of commercial manufacturing and

what kind of opportunity could that give us?

Sujit Pattanaik: Yes. So if you are referring to the FRC line, which we talked about in the last call. So that project is at timeline, so the original plan was to install all the equipment by quarter 1 -- end of quarter 1 and beginning of quarter 2 of this financial year -- next financial year, '26-'27. And we are on track. And that's an investment of, for FRC line, very close to INR 35 crores. So we are on track in terms of that investment, in terms of that project. And I'm sure once that is executed, we will give the appropriate payback, which was considered in the assumptions.

Moderator: The next question comes from the line of Shubham Bhatra from Ambit AMC.

Shubham Bhatra: Firstly, wanted to understand largely, our top line was strong this quarter. However, we saw a 400 bps margin compression Q-o-Q. So what was the reason for the same?

Sujit Pattanaik: Yes. So again, as I explained, broadly, that's driven by 3 major items. One is the onetime Labor Code impact. As all of you know, the Labor Codes came into effective of November 21, which has got an impact the way your actual values in terms of the gratuity, in terms of...

Shubham Bhatra: Sir, I'm talking about the gross margin, the gross margin impact.

Sujit Pattanaik: Yes. So gross margin is primarily, if you're excluding the Labor Code, you are taking only the material margin piece of it. So that's primarily because of the unfavorable mix and the

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incremental cost that we got on our Bharuch plant. So these are primarily two drivers. As, I was just referring to, so since December is a typical quarter where our product mix are unfavorable, as you know, the sales number I have given, the rail sales were lower compared to the earlier quarters. So as the other profitable segments, I would say. So the unfavorable mix played a role in terms of that margin.

Shubham Bhatra: Got it. Sir, secondly, we indicated a INR 120 crores capex coming up in Jamshedpur, I wanted to understand what kind of asset turns are we looking at in that plant and when do we see that ramping up?

Sujit Pattanaik: Again, we do not refer to asset turns. But if you look at it, the asset turn, what we have given to our existing portfolios in the past, we follow the similar kind of asset turns. So as the Chairman explained in the previous meeting as well. So rail business cannot be like hockey stick. It's a slow and steady business, but it will give you a clear capacity utilization as far as that capacity is concerned. So in terms of the asset turn, so if you look at the overall company, the asset turn, that is given, it's going to give for the new investment as well in a similar way.

Shubham Bhatra: And how do we expect...

Sujit Pattanaik: Yes. So that project, we are expecting to go live towards the end of this calendar year, which will be Q3 of financial year '26-'27.

Shubham Bhatra: Okay. Got it. So we can aim at around 30% utilization by end run rate of FY '27?

Sujit Pattanaik: Yes, that's a fair assumption, I would say, at this stage. As I talked about, so this recent trade deal announcements are going to have some acceleration in a few of these projects. So yes, so that's a fair assumption, I would say, at this stage. But again, we need to wait and watch what's the fine print about those trade deals.

Shubham Bhatra: Got it, sir. If I can squeeze in one last question. Can you also share the revenue breakup for the last quarter?

Sujit Pattanaik: Yes. So I'll just repeat what I explained, the rail was INR 128.6 crores. Mobile, others was INR 167.1 crores.

Shubham Bhatra : Sir, last quarter , Q2.

Sujit Pattanaik: You mean Q2, okay. So rail was INR178.2 crores. Mobile, others was INR153.2 crores. The distribution business was INR135.9 crores. Process was INR141.5 crores. Export was INR161.2 crores, and we had

a small export incentive, which was INR3.2 crores, total INR773 crores.

Moderator: The next question comes from the line of Rakesh from Axis AMC.

Rakesh : So I have 2 questions pertaining to margins. Firstly, if you can quantify what was the absolute impact of Bharuch plant versus the INR 12 crores to INR13 crores revenue impact which we had.

And second one is a little, if you can give some color as to how we see the margin from the perspective of, let's say, auto versus non-auto? And on top of that, the Bharuch plant ramp-up

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taking its own time. So where should we -- I can understand the Labor Code impact, if we exclude that. And if you see how should the mix play out for us in terms of margin and whether we can look at 17%, 18% margin. Is it some time away from now or it can come back very quickly?

Sujit Pattanaik: Yes. So I think there are multiple questions. So let me give an attempt one-by-one. So the first - am I audible? There are a lot of background noise I'm hearing. Yes. So the first one is in terms of the Bharuch. So as I said, the roughly sales was very close to INR 15 crores for the quarter, but we had the depreciation full impact because we have capitalized all the lines. And as we know, INR750 crores of investment, the depreciation will be anywhere between INR 9 crores to INR10 crores a quarter, approximately.

So that has impacted in terms of the basis point very close to 170 basis point impact because of the ramp-up cost for the quarter. Then on top of that, we had the Labor Code impact, which was very close to 60-odd basis points. Then if you're taking other income as part of your PBT calculation, so that has got another impact of 120 basis points, given that we did a significant capital allocation in terms of the dividend payment and the GGB acquisitions in the last 2 quarters. So these 3 put together, if you look at it, that's primarily the transitional impact for this quarter in our PBT.

Now if I exclude these 3 aspects of it. So we had a little bit of unfavorable mix, which has impacted the gross margin per se. But again, to a great extent, that got offset with the improved operating leverage. So the net impact of the gross margin because of the unfavorable mix and the improved leverage is very close to 1.5%. So that's the broad answer to your margin questions.

Now coming to the Bharuch's auto versus non-auto margin, of course, we don't provide auto vs non auto we have just one segment overall. But again, we don't give the segment-wise margin per se or the front-end wise margin. But generally, as you know, probably from the OE side of it. So you'll always see the margin portfolios are different from an auto and non-auto. So the same thing, you can take it from here. We don't give any specific margin percentage for auto and non-autos.

Now coming to your margin expansion. So are we in the range of 17%, 18% or that's going to probably take a little bit more time. So as we said, so everything is dependent on how quickly

we are ramping up the Bharuch plant. And historically, we have seen, given the fixed cost categories for the manufacturing plants here in India, so the moment we start ramping it up, so our leverage that comes to the bottom line is significantly higher compared to many other industries.

So that is what our expectation is. So our expectations and the work what we are currently doing by the entire team is the execution in the fast mode, ramping up the parts, doing the quick PPAPs and these external factors like the trade agreements, that's going to accelerate a bit in terms of the loading of the plants. So that's going to help us.

And once these 3 things happen, so we will definitely see the margin at a very close to what the numbers you are referring to. And that's what historically we have been doing that over the last Timken India

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several quarters, several years, even pre-COVID as well. So that's all I would say at this stage.

Did I answer all your questions or anything I left out?

Rakesh : Yes. So just one last thing. Is the GGB part consolidated and under which head of the subsegment is it consolidated right now?

Sujit Pattanaik: Yes. So GGB, if you look at it, of course. So for the first time, we have published 2 results, consolidated financials and the stand-alone financials. Again, GGB has got -- they're more into

the plain bearings, the bush bearings. So they are into multiple segments, but I would say most of their sales would be in Distribution and the Process industries and some components goes to Mobile, Others, but most of them would be in Distribution and Process.

Moderator: The next question comes from the line of Sabyasachi Mukerji from Bajaj Finserv AMC.

Sabyasachi Mukerji: Two questions from my side. First is, I see a good, strong growth in both mobile and process. Mobile, as I understand, CV outlook, CV growth is strong. My question is what is the outlook on rail and the export segment now that the India, U.S. BTA is done. So what is the kind of outlook for Q4 as well as FY '27?

Sujit Pattanaik: Yes. So again, formally, we don't give any future guidance per se. But since you have asked the questions on rail. So again, we keep repeating this every quarter. So rail business per se is not going to be a hockey stick. It will have a slow and steady. So if you would have seen this recent budget, so the allocation of the capital from the government is going to be a slight improvement compared to last year. So which effectively means the infrastructure around the rail are going to come up exactly in the similar range what we have seen in the past.

Now if we look at the rail per se for this quarter, was the lowest quarter, so INR 128 crores, we did. And historically, if we look at it, the rail per se, the quarter 4 of the financial year is always going to be a strong quarter. So that's what historically we see. And year-over-year, if we look at it, there is a growth of rail of very close to 10.5%. That is INR128 crores of this quarter versus the last year, same quarter, we did INR 116 crores.

So from your perspective, we will always see rail business is a steady growth. Definitely, there won't be any decline unless and until we see a significant impact of government spending, diversification to other segments. So as of now, we don't see. And with the recent budget, what the Finance -- Honourable Finance Minister has announced. So we see the capital allocation to the rail, of course, growing for the next year as well. So that with respect to the rail.

Coming to the export piece of it, as I said, we are still evaluating detailed fine prints, how the trade agreements are yet to come out soon. And our expectation is the European Trade Agreement, what we saw. So again, by the time it gets signed up by the European Union with all the members of the European Union, so that may happen any time towards the end of the year.

So that's why I would see probably that will be effective sometime beginning of next year. And the U.S. trade deal with the recent announcement that came out with the interim press release.

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So that, of course, we need to look at it, the details of the chapter ID and the code, all those stuff, but that's definitely going to be helpful in some way to our industry per se.

So again, we need to wait and watch. So there is no kind of concrete answers, whether that's something which is going to have a direct impact on our exports, but these are all the directions in the positive way. We definitely can expect to the industry like us will have beneficial out of those agreements.

Sabyasachi Mukerji: But just a follow-up here. With tariffs,

U.S. tariffs going down from 50% to 18%. I mean, what happens to the shipments? I mean, is there anything material that is happening because our parent is U.S. parent, right? So anything on that front in terms of shipments, in terms of orders, are we seeing any pickup? Anything on that?

Sujit Pattanaik: So even before the tariff announcement, if you look at it, our exports, okay, so technically, it has not gone down significantly because we closed the quarter, exports with INR159 crores, and it was INR152 crores same year, same quarter, and INR161 crores sequentially. So it was almost flatish.

Now to your question, again, as I said, so still the fine prints are being looked at it. So that 50% to 18% is a headline tariff reduction. But we need to go into the details of the engineered growth, so on and so forth, which is most likely going to be reduced from 50% to 18%. And as it reduce, of course, the movement of the supply chain, the other piece, it's not only for Timken Company, we need to look at it other aspects as well, what's going to happen.

So again, we need to wait and watch. It's very early to come to a conclusion that's going to significantly improve the numbers. We need to wait and watch. I'm sure in coming days, we will have a better visibility to give numbers on that aspect.

Sabyasachi Mukerji: Got it. My second question on GGB. Effectively, we saw just 1 month of revenue in this quarter.

And probably, the cost, fixed cost was, I mean, full, the absorption. And just correct if my understanding is right here?

Sujit Pattanaik: So there is a slight comment there. So we have also given the notes, Note number 5 in our consolidated financials. It is not just 1 month revenue. So since it's a group company acquisition, so as per the Indian Accounting Standard, we need to do the pooling of interest. So which effectively means the consolidation will look like as if it has happened from April 1, 2024,

So for this quarter, what you are seeing, the revenue numbers are 3 months revenue for GGB, it is not 1 month revenue. And you would have seen, if you reduce the consolidated financials minus the stand-alone financials, that's very close to INR 15 crores revenue for 3 months.

Sabyasachi Mukerji: Okay. So the annual run rate for this entity is close to that INR60 crores mark, I mean, that is -- that's how you would say?

Sujit Pattanaik: I would say somewhat close to INR50 crores, INR55 crores. They will also have their seasonality. So I would say somewhere close to INR 50 crores, INR 55 crores range.

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Moderator: The next question comes from the line of Viraj from SiMPL.

Viraj: Just a couple of questions. First is on the railway. Can you give some more granular color in terms of the tendering activity in different subsegments, freight, passengers, metros? And a related question is how are you seeing the pricing? So this question is also in relation to the competition inventory, do you see any changing in terms of the competitive intensity in railways?

Sujit Pattanaik: Yes. So again, subsegment-wise, the numbers I have already spoken about. So rail, if you start with those 5 broad end users segment we talked about. So rail, again, it's a typical lower quarter for the rail business per se. And we always see historically the quarter 4 of the financial year always picks up, given the wagon builds, the government spend allocation and so on and so forth. So for this quarter, it was down sequentially for rail. But if you look at it year-over-year, still we had a best December quarter. So that's rail.

And as a future prospect, as we discussed, again, we don't give the future guidance for this per se for the company. But overall, if you look at it with the recent budget announcement, so we have not seen a significant reallocation of the capital as far as the rail segment is concerned. So i

t effectively means the infrastructure around the rail ecosystem are going to probably sustain. And that's going to happen for any developing countries like India, at least for the medium to long term.

So now on the mobile, others piece of it, as the Chairman explained, the commercial vehicles, both on-highway and off-highway and we see a slight acceleration than the earlier years. So that's something which we closed at INR167 crores. And again, traditionally, we have seen the quarter 4 of the financial year is always a great year for the majority of OEs. And since we supply the majority of the OEs, so we also foresee probably this quarter 4 of the financial year will accelerate to a great extent.

Now is it a sustainable increase in the demand or it is more of a stock correction. So that's something which we need to wait and watch. But as we speak for this quarter and what we see as we speak in January, we see probably an acceleration in terms of numbers.

Now distribution, again, both auto and industrial distribution. So there also, we see a year-over-year growth, what we have seen for this quarter is 8.5%, and we see a steady momentum for most of the stationary equipment OEs and steel plants. So same thing is for the process as well, and the export we talked about.

So despite those tariff issues, what we had, the geopolitical dynamics, what we had, we have not seen a significant drop in our export if we look at the numbers. We closed to INR 159 crores, which was 4% year-over-year growth, a slight decline sequential. But with that said I know that's been happening over the last 2 weeks, so we see probably that's something which is going to be favorable for most of the industrial manufacturers. So that broadly...

Viraj: Sorry to interrupt. My question was on competitive intensity in railway. If you can give any color, is there any change in market share number of...?

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Sanjay Koul: So competition is always there, be it rail or be it any other segment. So competition is always there. And then obviously, Timken has the ability to innovate relentlessly. So we are not afraid of the competition. What we are really looking at the market with more innovation. So that is what -- why we are the leaders in rail for the last so many decades, not only in India, but globally also the parent as well.

Viraj: Perfect. Second question was on the distribution side. Post-GST cut, do you see any material change? So it used to be a very large market for counterfeits and spurious in bearing per se in distribution. So post the GST cuts, do you think there's a trend of unorganized, organized. Has that seen any acceleration or any color you can give on that?

Sujit Pattanaik: You are talking about GST on distribution business?

Viraj: Yes, distribution, yes.

Sujit Pattanaik: You mean you are referring to there is a change in GST recently?

Viraj: Yes. And the impact in terms of the unorganized to organized? I mean, especially the large counterfeit and spurious market, which was there in bearing.

Sujit Pattanaik: Yes. So again, so if you look at it per se, there is no change apart from the administrative changes, which has been brought in the GST council meeting of the quarter 4 of last calendar year, plus the current project. So now from a rate perspective, if you look at it, so still majority of our product falls under that 18% categories. And of course, GST has got its own facilities in terms of the invoicing, the cascading impact of credit, so on and so forth, it was there since the inception of GSTs.

So now the changes, which you are talking about for our unstructured business to structured and unorganized business to organized business, so that's, again, that's an evolving step. That's something which is not going to have a significant impact in terms of our sales, the way we were doing it.

Now if you look at it, our distribution business per se. So majority of our distributors were tax compliant from the beginning of the GST implementation, and Timken being a good governed company. So we always do business with any of those distributors or the OEs who have a good governance system in them. So per se, the changes, what you are referring to in the GST that has come in, so that's primarily the administrative piece of it, whether it is invoicing, whether it is investment -- sorry, invoice management system, so on and so forth. So which is going to help probably many other unorganized sectors to come into the organized sector per se. But majority of the profiles, what we are looking at, we do the business. They were all compliant much before these changes that came in.

Sanjay Koul: Just to add to that, in railways, unless and until you are not certified by the certifying body where the norms are pretty tough because it is a safety item. So just by changing a little bit of a norm here and there cannot lead to a lot of people -- obviously, people can try and should try. But the entry bar is very high because of this criteria of the safety, especially for rail.

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Moderator: The next question comes from the line of Nikhil Chintamani Kale from Invesco.

Nikhil Chintamani Kale : Just had a couple of questions. Firstly, just on the SRB, the new plant at Bharuch, you talked about the kind of revenues that you had in this quarter. What were the fixed costs? So I'm talking about at the EBITDA level, you would have probably seen a loss . So if you could maybe just highlight that number to help us understand what is the core profitability or the business profitability?

Sujit Pattanaik: Yes. So again, we do not monitor profitability at the plant level. But as I said in the previous questions as well, so overall, from a PBT perspective, if you look at it because of this planned ramp -up cost, which is nothing where the fixed cost over the revenue that we have generated are impacted very close to 1.7% approximately for the quarter.

Nikhil Chintamani Kale : Okay, understood. And just to double click on the unfavorable mix part of it. So yes, I think, Y - o-Y, if you look at it, the segmental mix is not too different. So just wanted to understand, I mean, is the gross margin reduction also a function of traded goods kind of higher mix of traded goods in the revenues?

Sujit Pattanaik: It's again, when we use the word mix, it is also trading versus manufacturing. It is also mix between the content of the front end units per se. So this is combination of both.

Moderator: The next question comes from the line of Rishi Vora from Kotak Securities.

Rishi Vora: I just have a follow -up again on this gross margins, right? Even if I look at it from a sequential basis, the cost of credit goods has gone up significantly. So is there any change in the traded goods agreement with the parent, some tariff impact, which we are bearing? Anything of that sort has happened on a sequential basis or on a Y -o-Y basis, which explains such a sharp drop in gross margins?

Sujit Pattanaik: No. So again, to answer your question, of course, so any transaction that happens to the group companies. So we follow the transfer pricing policies. And we all know probably the regulations that surround the transfer pricing. So to answer your question, there was no changes done during the quarter when it comes to the pricing mechanisms of the group company. So it follows exactly the same pricing mechanism, which is being followed in the previous quarters.

So the gross margin impact, what we see, as I explained before. So this is 2 mix, one is, of course, the content -wise sales and the profitability mix. The second is also for your product source , import from multiple countries. So every country will have the transfer pricing

mechanisms. So

the pricing methodologies between that country and the mix of that will have an impact as well.

So to answer your question, there was no change, which was done during the quarter in terms of

the pricing mechanism. It followed exactly the same pricing mechanism, what it was followed in the earlier years. So it's primarily the unfavorable mix, which I would say, a transitional impact, which has impacted for this quarter.

Rishi Vora: Understood. And my second question is just pertaining to when we are importing the finished goods from USA, do we pay any duty at this point in time? And if U.S. and India deal happens

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and if that duty comes down to 0%, then is there something -- some benefit which we could accrue once that happens?

Sujit Pattanaik: Yes. So answer to your first question, do we pay any duty as of now, answer to that is yes. So most of our products that falls under the industrial bearings, which is 84 chapter ID, I think the duty, it is applicable very close to 8% plus certain cess, so on and so forth.

Now with the trade deal that is happening. So, so far, again, we have not seen a detailed fine prints of the trade deal. So we need to wait and watch for the HS code. So now if I take hypothetically, if that's going down from the existing rate, definitely, that's going to be beneficial from a profitability standpoint. But again, as we speak, there are no details, HS code wise, released in terms of the duty. We need to wait and watch what that percentage is going to be.

Rishi Vora: Understood. But this 8% currently is borne by us, right? It's not shared between us and the parent?

Sujit Pattanaik: It's part of the landing cost, right? So the same thing is applicable for our export as well because when we export bearings, there is a cost and the importing country always takes the cost. So that means parent takes that cost for our export side. The same thing is applicable for import side as well.

Rishi Vora: Understood. And just last question on the -- you said that India deal also would be, at least over the medium term, beneficial to us. And just wanted to understand, like my understanding was the import duty today from India of any auto anc part, including the industrial bearings is anywhere between 2% to 5%, right? Then that essentially goes down to 0%, right? So do you think that the 3% price cuts is good enough for us to be competitive in that market?

Sujit Pattanaik: Answer to that, again, whether it is competitive or not, that future will say. But again, at the end of the day, if you look at it, the economic piece of it. So if today, you have a market share of X and that cost is going down, let's say, 3%, 4%, whatever that number be. So definitely, you will be in an advantaged position to gain some market share, right? So that's how the economics will work. Now to your point, whether that is today, 2% to 5%, that's going to come to 0% all of a sudden or gradually, that's going to 0% that we need to wait and watch. But to your point, if there is a reduction and what the trade deal headlines talk about. So eventually, that's coming to to very close to 0% at least 98%, 99% of the products. So we need to wait what is the timeline of that Is it something is going to happen from day 1 or probably gradually they're going to bring it down? We need to wait and watch. But anything that's getting reduced from your existing base, that's how the economics works. So we will always have the advantage position in that particular market.

Rishi Vora: And sir, just last question, if I may squeeze in. Just on the SRB, CRB, is there any order book number, at least in terms of domestic export, where are we seeing incremental direction, which end segments? If you could share some details around it, that would be helpful.

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Sujit Pattanaik: Maybe the order book, we don't give per se. But as I said, so there are 2, 3 aspects, which to be considered as far as this new plant is concerned, and that is true for any greenfield investment that happens. One, specifically in industry like us, which is, some period will be slightly higher in the sense that it has to go through the PPAPs, the customer approvals, then the plant loading.

So our whole objective, the entire team is working to do that as quickly as possible. Now having said that, with the last 2 weeks, the favorable comments that's coming in, both for India, U.S.

and the European deal, that's going to bring in some kind of acceleration to this entire program.

So again, as we speak, there is no order in mind. We don't disclose the open order numbers per se. But I can tell that definitely, we are in a much better position in terms of the visibility of what we are seeing now versus what we saw probably 3 months down the line.

Rishi Vora: And sir, this INR 15 crores, how is it split between domestic and exports?

Sujit Pattanaik: Which INR 15 crores?

Rishi Vora: The quarterly revenue which we did for SRB, CRB. How -- what is the split within domestic and exports?

Sujit Pattanaik: So that's roughly around INR 12 crores. I would say maybe 20%, 25% is domestic and 75% would be export at this stage. But again, that should not be taken as an indication of the future business.

Moderator: The next question comes from the line of Vipulkumar Anopchand Shah from Sumangal Investment.

Vipulkumar Shah: So what was the profitability for this GGB Technology Private Limited, which we have acquired for the last financial year in terms of EBITDA?

Sujit Pattanaik: Yes. So again, this is there in the consolidated financials. If we look at it the last financial year, they had a revenue of INR 50 crores with a profit before tax of very close to INR 19.5 crores.

Vipulkumar Shah: Profit before tax of INR 19.5 crores?

Sujit Pattanaik: Yes.

Moderator: The next question comes from the line of Sisir Saha from Saha Security.]

Sisir Saha : Pardon, sir. When you took up these capital expenses towards the CRB and SRB plant, it was envisaged that the top line growth will be around 3x of the capex . So which is around INR 1,800 crores.

In the last conference call, Sanjay told that we would be achieving this turn a little earlier because we are already established there, generally a bearing company would take 4 to 5 years to achieve this. But Timken India will achieve this within maybe 2 to 3 years. So my first question is that how much will be there in the top line for the next year?

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And second thing, why you are depending so much on the trade deal because there was no question of any trade deal and all these bearings so that the -- actually imports are scheduled. And there was nothing of trade deals sort of thing when this plant goes complete. So will you kindly tell me that whether we are depending on the trade deal to a great extent for this plant?

Sujit Pattanaik: Yes. So 2 aspects to it. As you explained, the Chairman explained about 3 years versus the industry average of 5 years. I think still that holds good in a way that the way acceleration of demand we are seeing and the way team is working and putting their efforts in speeding up the PPAPs and all those pulling up, I think that is still achievable as we speak.

So now to the second part of your question, we are definitely not dependent -- because trade deal is something where we do not have control to. So we are not dependent on trade deal per se. So the comments that I gave is with this favorable geopolitical situation s, whenever that happens, that's going to only be an advantage and favorable to us.

So to your point, when the assumptions were taken, the tariff was not 50% during

those days,

like when we took the approval about this plant, to your point, it was not 50%, it was below 50%. This tariff of 50% came in over last 3 to 4 quarters.

But to answer your question, definitely, we are not dependent on the trade deal because that's something where the government has to negotiate and close to. We have very limited controls on that. We control -- we focus on where we can control, which is the execution piece of it, and the team has done a good job to execute it as fast as possible in terms of the pulling of the parts, the PPAPs, interacting with the customers and getting the plant loaded.

So I would say the assumptions what Chairman told in the earlier meeting still holds good, and we are in a better position as we speak, I would say the visibility is slightly better than we had 2, 3 months before.

Sisir Saha : Sir, on the lighter side, I will just ask one question. When can we expect it after seeing the result s? Because every quarter, we very excitingly wait for your publishing the results? And when the results come out, we really -- it was [inaudible 0:49:17] thing. This time, when can we be, once again, excited with Timken's results?

Sanjay Koul: On this, Sujit, the answer is that hope sustains life on the lighter side.

Sisir Saha : So next year again, we can expect some good things there out of the new plant and the new acquisition and all that?

Sanjay Koul: I can only tell you one thing, sir, and Sujit can quantify in terms of numbers and everything. I have worked in this company for 30 years, and I know the bearing market, I can say, among the best in India. So this certainly -- I mean, the best companies where one can grow business and see better results for all the stakeholders. That much, I can tell you. Over to Sujit for more number -- numerical answer.

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Sujit Pattanaik: No, I think you have covered it well. But just to give a perspective, if you do the historical

analysis of Timken India Limited since from 2010 to today, so you would have seen a marked improvement in the profitability.

Now all those things were possible because we look at it long term, whether the investment which we have made in Bharuch, whether the acquisitions and the merger, which we're talking about on the GGB, whether the investment that's happening in FRC product of GGB, whether the expansion of rail portfolio that's happening in Jamshedpur, all those things by keeping an eye in the long term.

And historically, if you look at it, we used to be the operating margin somewhere close to 10%, 12% range in 2014, 2013. Now that has moved to 18%, 19% range. And all those things were possible because the investments, which were being made by keeping an eye of the long term at which we are getting the return now.

So the same thing, you can take it. Of course, we don't give the future guidance. So the investment which we have made in the Bharuch, these are not bad investments. These are good investments. The world-class plant that's coming up, so that's going to compete with a lot of our competitors in India in terms of the product quality, in terms of the cost positioning, in terms of the price positioning.

So the rail expansion going to happen in Jamshedpur. So that's going to help in a big way. So all those things are good investments, which are definitely going to pay back us at some point in time.

Now when is that time, the team is working on flawless execution to see that the time comes as soon as possible.

Sanjay Koul: Can we take the last question?

Moderator: The next question comes from the line of Chandrakant Kanse, an Individual Investor .

Chandrakant Kanse : Sir, I have got 2 small questions. One is regarding the ceramic line coming at Bharuch. What is happening on ceramic part of bearings for electrical vehicles? That is one. And second question is regarding, do we

have plans for linear motion products to be manufactured in India?

Sanjay Koul: So the line which is coming in Bharuch is not ceramic per se. It is a different alternate material called FRC. It is not ceramic. And so we are not producing yet ceramic in India. This is a little bit different, and obviously, can be used in EVs and other applications in process industry, etcetera. So that is not actually pure ceramic, if you're referring to ceramic ball bearings. And what was the other question, Sujit?

Chandrakant Kanse : Yes. Regarding linear motion products.

Sanjay Koul: Yes, linear motion certainly is a low -hanging fruit for the -- for both Timken India Limited in this year and for the parent company as well. So debates and discussions are very actively going on. As you know, our global CEO also -- recently new CEO has taken over. He is very bullish on Industrial Motion Products. So hopefully, some good things would come up shortly.

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Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to management for closing remarks.

Sanjay Koul: So thank you very much for your support, and we relentlessly work hard to improve shareholders' return. That is the karma for us. And obviously, last quarter, we know the challenges, both in terms of labor, taking those provisions and also the mix and things like that.

But as I see, future of this year looks to be pretty good. So we should be all happy in coming days. Sujit, any comments?

Sujit Pattanaik: No, I think you have covered it well. Again, we work on the long -term value creation, and I'm sure the investments which have been made, which we had the transitional impact during the quarter are going come up at some point in time. So once again, thank you, everyone, for joining us today and all your interest in Timken India Limited. Thank you.

Moderator: Thank you. On behalf of B&K Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

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Mandar Vasmatkar

Company Secretary & Chief - Compliance

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22 May, 2026

The National Stock Exchange of India Limited

Exchange Plaza, Plot No. C/1,

G-Block, Bandra- Kurla Complex,

Bandra (E),

Mumbai- 400051. NSE Symbol - TIMKEN

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort,

Mumbai- 400 001. Scrip Code- 522113

Dear Sir/Madam,

Sub: Transcript of Post Results Conference Call Q4 FY 2025-26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, we attach herewith transcript of Post Results Conference Call Q4 FY 2025-26 held on Tuesday, 19 May, 2026. A copy of the same will also be available on the website of the Company at below link:

<https://www.timken.com/en-in/investors/statutory-compliances/>

Thanking you,

Yours faithfully,

For TIMKEN INDIA LIMITED

Mandar Vasmatkar

Company Secretary

& Chief - Compliance

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"Timken India Limited

Q4 FY26 Earnings Conference Call"

May 19, 2026

MANAGEMENT : MR. SANJAY KOUL – CHAIRMAN AND MANAGING
DIRECTOR – TIMKEN INDIA LIMITED
MR. SUJIT PATTANAIK – BUSINESS CONTROLLER
INDIA, CHIEF FINANCIAL OFFICER AND WHOLE-TIME
DIRECTOR – TIMKEN INDIA LIMITED

MODERATOR : MR. MUKESH SARAF – AVENDUS SPARK

Moderator: Ladies and gentlemen, good day, and welcome to Timken India Limited Q4 FY26 Earnings Conference Call hosted by Avendus Spark. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mukesh Saraf from Avendus Spark. Thank you, and over to you, sir.

Mukesh Saraf: Thank you, Yusuf. Good evening, everyone. Mukesh Saraf here from Avendus Spark. Appreciate everybody logging into this 4Q FY26 Earnings Conference Call of Timken India. From the management team, I'm pleased to host Mr. Sanjay Koul, Chairman and Managing Director; Mr. Sujit Kumar Pattanaik, Business Controller, India, CFO and Whole-Time Director. I'll now hand over the call to Mr. Koul for his opening remarks, post which we'll begin with the Q&A. Over to you, sir.

Sanjay Koul: Thank you very much. Thanks a lot. So, hello all, and good evening. Thanks for joining today. So obviously, it is always a pleasure and a privilege to welcome you all to the quarterly call so that we can discuss the results of the last quarter of the previous financial year and also the whole year a little bit as well.

So, I'm pleased to report that FY26 has been another year of consistent and a little bit, if I can use the word, broad-based performance for Timken India. We have delivered good healthy revenue growth, which was obviously driven by the strong demand in core industrial segments, supported by good execution on our projects and also some momentum we see in both domestic and the exports.

Our fourth quarter performance remained very resilient despite the issues of uncertainty in the macroeconomics and cost pressures are pretty significant. And then obviously, we are doing investments. So that also hand-in-hand. So, update on Q4 FY26. First time we crossed INR1,000 crores in a quarter revenue.

So that is a milestone, a first time for us. And then revenue from operations stood at INR10,731 million, reflecting a 14.2% growth over the same period last year. PBT for the quarter stood at 2,074 million, INR207 crores. PBT margin was at 19.3% compared to a little bit less in Q3 FY26 and 21% in Q4 '25. So, we had excluded a onetime BAPA adjustment impact in the previous year and a labor code-related impact in the current year. So PBT margin improved by around 10 basis points over the same period last year.

And the consolidated numbers, consolidated revenue from operations stood at INR10,898 million for the quarter ended March 31, '26 and INR34,780 million for the whole year ended on March 31. Consolidated PBT stood at INR2,120 million for the quarter and INR5,526 million for the whole year. And the full financial numbers closed the year with all-time highest stand-alone revenue of INR31,478 million, representing an 8.6% growth over last year, driven by growth -- a little bit of good growth in domestic and export markets. PBT stood at INR5,304

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million, almost a 3% increase over last year, with PBT margin at 15.5%, EBITDA at 18.7%.

Cash generated from operation at INR4,374 million improved from last year.

Capital advance for the year at INR2,972 million, which was 8.7% of the revenue. And very important operation and strategic updates, the Board has approved the merger of Timken GGB with Timken India Limited. This will help drive operational synergies, improve effectiveness and reduce, obviously, overall cost.

We have completed the investment towards the renewable energy initiatives, which we'll continue to do across all our plants that would obviously support long-term power

security,

energy security and cost optimization. All lines at our new Bharuch plant have now been capitalized and the plant continues to ramp up progressively, massive PPAP work being done.

And obviously, we have started shipping and selling out of that plant. Investment towards rail expansion in Jamshedpur and plain bearing expansion in Bharuch continue to remain broadly on track. On the geopolitical front, the Middle East conflict did not have any significant financial impact on that quarter, just finished quarter.

However, as we enter the new financial year, we are beginning to see some inflation trends, as you must be fully aware, input costs are going up. So we are actively working on mitigation incentive, both in terms of cost reduction activities, efficiencies and customer engagement, which is where we will recover the increases.

On the market outlook, global condition continue to remain uncertain, as we all know, and slower growth trends, geopolitical developments are changing every day. Trade tensions are very much there. Supply chain realignments are happening. So that sentiment is very much there. Despite the backdrop, our demand across most of the key segments continues to remain relatively stable.

Focus remains on obviously, execution and efficiency, but the demand is pretty stable. So that is the opening remarks, and I'm sure let us jump into the Q&A. With me is Sujit Pattanaik, our CFO as well, so that between us, we can handle the questions, if you may, please.

Moderator: First question is from the line of Ankur Sharma from HDFC Life.

Ankur Sharma: Three questions. One, you did talk about RM inflation and obviously costs going up. So I'm just trying to understand in terms of price hike, how much have you already tried to kind of take? How much more needs to be taken in the context, which I would understand is that passing on price hikes would be relatively easier in the aftermarket channel and maybe more difficult with your OEM customers.

So just some color in terms of how much price hikes have we taken -- need to be taken? And could there be some margin impact maybe in the next 1 or 2 quarters till all of that gets passed on.

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Sanjay Koul: Yes. So, the cost increases are happening on many fronts. So, our steel has started showing the signs of cost changes. So, the knocks on the doors are happening. So that is going to come and obviously, that gets passed on. It has not come up yet in volume.

And second is that any input, which is generally our grinding wheel, coolants, everything has gone up. So, this quarter, we are trying to pass it on. And I should say that we have only begun passing it on, we are at 10% currently. So, the massive work is underway. And then the currency also, there's an impact on currency as well.

So, currency deterioration is there, though we import finished bearings for trading. So -- but otherwise, raw material also, there is indirect a little bit of impact because for making grinding wheels in India, something is coming from China or VCI packaging is coming from outside. So, on our cost passing, the exercise, both in terms of giving cost and taking the price, the job has started from middle of April in a very serious note, both of giving and collecting.

So, we are at 10% as we talk. So, 90% has to be achieved on realizing this price. So, it will happen over next 2 quarters, this quarter and next quarter. And in case still there is volatility, then it might continue a little bit. As I speak, our sales head was at Pune at one of the large companies who we supply bearings.

And obviously, everybody resists giving change -- change of price. So, we are in that super mode of passing it on. But to your question, both in terms of giving and taking, we have obviously started giving. On taking, we have still not achieved more than 10%, but we are on an overdrive on t

hat.

And we hope between this quarter and next quarter, we should be able to pass it on. So obviously, there is always this lag, which happens with negotiations and the automotive world, they will keep on dragging as much as they can, but it is going to be retrospective hopefully. So from April 15, really the whole thing of giving and also passing it on has begun.

Ankur Sharma: That's fair. Second question, sir, on the domestic rail and the CV market, how are you seeing in terms of an outlook of growth, growth out of there? And also on the export front, especially in the U.S. geography, which is I think, 50% of our exports. So are we seeing any pickup there? Of course, the trade deal is still pending, but as and when that happens I'm assuming it will help, but before that in the interim how are you seeing exports overall?

Sanjay Koul: Yes. So Ankush, on the export side, the last quarter of the last financial year, we did INR222 crores, which was 21% of our pie which was INR222 crores compared to quarter 3, the previous quarter, it was INR160, INR159.2 crores exactly. So you can see there is definitely a quarter-over-quarter 40% jump.

And I think year-on-year, that jump is also -- if you take the whole year, the jump is almost 66%.

So despite the trade deal not happening, there is definitely a pull from the North American market. So there is -- we see that pull from the exports. So we had a good quarter on exports. I would say, if you see Q3 was INR159 crores and Q4 FY25 was INR133 crores, we did INR222 crores. So that is a plus, a good guy there. On the rail, definitely this market, as I always say is

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going to be slow and steady. There are always ups and downs. Sometimes there are delay from the railway board and sometimes the wagon builder has a delay. So all that and then the cash in circulation between the wagon builders and the railways.

So that would remain -- it would be slow and steady growth. So -- and that is where we are. Rail for us in Q4 '26 was INR278 crores and if you compare it to Q3 of FY26 was INR128 crores.

So that was obviously a jump on Q-over-Q, but Y-o-Y if you see overall, there was a degrowth -- slight degrowth there.

Ankur Sharma: And on the CV front, sir?

Sanjay Koul: On CV, robust. So, CV is the markets we play in commercial vehicles, that is pretty good so far.

I think the mobile others for us, which CV and tractors are both put together, was INR205 crores, which was actually a jump of quarter-over-quarter, 22%. So CV market is going to remain, I think, robust. There would be, obviously, we have some cyclicity there.

So there might be a little bit of dampening, but then catching up again. So CV has remained in that condition in the last few years, a little bit not robust. So CV is okay and we see it okay. Rail, we see steady, slow growth. So that also is very much there. And overall the sentiment is -- domestic consumption is not bad despite the inflationary market situation, inflation and cost pressures are there, but the local demand is okay. The export demand is also okay. And then the cost pressures are there. So I think that all is in one bag.

Ankur Sharma: Thank you. Just one last question, if I may, on the Bharuch factory. Where are we in terms of utilization? Where do we target to reach, say over the next 1 year, say, say, end of FY27? Also, if you could talk about your market strategy, how are you trying to gain market share here in the SRB, CRB? Just some color there would be very helpful?

Sanjay Koul: Yes. So, on SRB, CRB, so all our lines have been capitalized. So that is all done. And we are running the smaller lines, which we call up to -- up to 250 mm. So that we are running pretty full actually and we have already done. Sujit, how much revenue we have generated till date now?

Sujit Pattanaik: So for the full year, it was almost INR80 crores revenue coming out of the new plant.

Sanjay Koul: INR80 crores coming out of the new plant for the full year. And now April onwards, it would be as we generate -- so we have a robust PPAP going on as we talk. We have almost more than 100 new part introductions underway in that plant. As you know that we have to go through each part has to go through a proper PPAP.

And we have to have Timken approvals and then it has to go through the customer approvals.

So all our smaller lines and sphericals are running full on large line, PPAPs are happening. I

think we are running more than a shift. So we have to do more PPAPs which they are doing.

And on CRBs, again, PPAPs are happening and we are running more than I think one shift there, closer to two shifts.

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As Sujit just said, whole year last year, we did INR80 crores and then April onwards. So on the general strategy, we are selling anyway to the metal industry aggregate, material handling, our tapers and imported stuff now with this -- in fact, today morning, only a cement customer was telling me that they see more life out of Timken bearing.

So we sell value and engineering. So we are pitching to all the customers which -- where we are anyway selling tapers, whether it's cement, steel or it is material handling equipment or the construction equipment. So that is the target segment and then obviously, exports as well. I think out of that INR80 crores some exports is there.

Ankur Sharma: Got it. Okay. Great. Thank you so much and all the best.

Moderator: Thank you. Next question is from the line of Varun Jain from Dolat Capital. Please go ahead.

Varun Jain: Hi, sir. Good evening. My first question is that I just wanted to know the segmental breakup for Q4 and FY26?

Sanjay Koul: Yes, sure. So Varun, Q4 FY26, rail was INR278 crores, which was 26% of the pie. Mobile, which is for us CV and tractors was INR205 crores, which was 19% of the pie, distribution which was both industrial and aftermarket and more industrial is INR162 crores was 15% of the pie.

Process industry, which is the heavy industry stuff, that was INR200 crores, which was 19% of the pie and intercompany was INR222.5 crores, which was 21% of the pie. So in total for the quarter was INR1,073 crores. And for the FY26 in totality, rail, we did INR781 crores. Mobile others, we did INR681 crores.

So rail was 23% of the total pie and mobile others, which is CV, tractors etcetera was INR681 crores, which is 20% of the pie, distribution was INR582 crores, which is 17% of the pie. Process was INR651 crores, 19% of the pie, intercomp, which is exports is INR707 crores, which was 21% of the pie. So, in total was INR3,419 crores.

Varun Jain: Okay. Thanks. That's very helpful. And sir, for this Jamshedpur capex, are we online to go live with it in the December '26 quarter and what is the revenue potential for it like what is the asset turn? I think you're investing INR120 crores there and what is the total overall capex guidance for '27?

Sanjay Koul: So yes, we are roughly at INR120-plus crores for capex. Last week I was in Jamshedpur. So we should be able to produce by November this year, so by November this year. And then obviously, new line PPAPs and all that. So December, we should start producing. On terms of total asset turns, we are looking at 2 -- so 2 to start with, and then we'll see because these are all state-of-the-art robotics imported assets.

And highly precise, great for super precision high-speed railways for future as they come. And obviously, you can make slower rail bearings as well, but are capable to do the ultra-high speed for rail as well. So that we should be able to produce the first rail bearing by -- hopefully by

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November and December. That is the target. The machines are all getting shipped from Europe and the building is getting read

y and all the assests regarding phosphating, etcetera, etcetera.

And we are in Jharkhand getting all these approvals. All those are in place. We have all the approvals now in place. And to your direct question, should be by December producing the bearings. And then the global rail markets.

So South Africa looks -- in fact, Africa rail looks pretty strong in coming months. So that is good. America is also okay. And India is slow and steady growth. So hopefully, it is timed very right as we start producing.

Varun Jain: Okay, sir. And sir, of the total FY26 sales we have, sir, what percentage of our sales have been produced locally in India as of now? And what is the localization target hence forth?

Sanjay Koul: So out of that INR3,413 crores I think 60-odd percent would be domestic, 65% would be domestic, 35% would be imported. As you know that you can't produce everything in India.

There are not thousands, lakhs of different part numbers. So, this 65%, 70% would be a good mix between -- and we are also exporting almost similar, so similar stuff.

So, it generally remains a very good balance. But we are looking at different things. If the market remains growing, BIS gathers momentum, all that stuff is on our plate, but it was 65%, 35% if you take FY26, 1% here or there.

Varun Jain: Sir, just last one from me. So, any revenue growth and margin guidance for FY27, if you'd like to share?

Sanjay Koul: So, margins and revenue both, we want to be more than the market growth. So, on the top line, we want to be more than the market growth. And on the bottom line, obviously, there are pressures on the cost. We are definitely going to pass them on. And then we are very good at continuous improvement in manufacturing. So that is there. So, it should be healthy. We aspire for doing it better than before, but depending on what happens around us.

Varun Jain: Sir, like would it be like a 10% revenue growth, that is the base case? Can I take that? Would that be a fair assumption?

Sanjay Koul: I don't think we can give you a percentage guidance either on the bottom line or the top line. I can tell you we will outgrow the market. So that is the maths you have to see.

Moderator: Next question is from the line of Rishi Vora from Kotak Securities.

Rishi Vora: Just on the CRB, SRB plant, right? Now incrementally going into FY27, how should we think about the ramp-up of this plant, like we ended at INR80 crores. Our target was to exit at 40%, 45% utilization levels. So, which would not have happened, but how should we look at going into FY27? Are we seeing good traction in that facility?

Sanjay Koul: Yes. So, I think with the PPAPs going on, we should be July, August, we should start seeing utilization of about 70%. And then with every passing month, it will get better and better. It is a long cycle, especially when you are supplying to the OEs.

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Not only will they PPAP, they might even ask for testing and things like that. And some of that parts might also go to the rail application. There again, there is a huge process which we are already underway. But I think we would cross the 70% by July time frame.

Rishi Vora: And sir, the peak revenue would be INR1,000 crores?

Sanjay Koul: Revenue would be INR1,000 crores. I wish it would be that much, but now it won't be that much. So, as we do the next quarter, the picture will be more clear.

Rishi Vora: No, I think the peak revenue potential of...

Sanjay Koul: No, no. The mix is different. Obviously, the mix plays a big role. And as I said, asset turns of 2-ish. So that would be the math. But generally, with the whole year, depending on mix, we'll have to do the calculation, but won't be INR1,000 crores.

Rishi Vora: Sir, you did a capex of INR700 crores. If you're saying 2x, then the peak revenue potential, not I'm saying that you reach in '27, but then it is north of INR1,000 crores is

how we should think about...

Sanjay Koul: Sujit, you want to say something you have to take the building right out of that.

Sujit Pattanaik: No. I think in the last meeting, we have explained that as well. The peak revenue would be very similar to what the Chairman explained in terms of the asset turns, right? So that's very close to it, which he told in the past as well.

But if you are specifically asking for financial year 2027, it's very difficult to estimate at this stage because there are multiple things that's happening in part ramp-up and the manufacturing space ramp up, the customer approval, so on and so forth. It may not be exactly possible to estimate at this stage. But yes, the peak revenue would be very close to the asset turn which the Chairman explained.

Rishi Vora: So, what should be the capex for this plant of buildings and land, like out of INR700 crores, what would be the capex for just machinery and all that where on which we should count the asset turns?

Sujit Pattanaik: Yes. So, if you take out, I think we explained in one of the earlier calls as well. So total investment is roughly around INR720-odd crores including the forex and all the stuff. So I think the building is almost -- I think it was very close to -- it's not on top of my head. I missed and we corrected, but building was very close to I think INR300 crores, INR350 crores...

Sanjay Koul: It was certainly INR350 crores.

Sujit Pattanaik: So you can take...

Sanjay Koul: You can just for rough calculation, the assets purely, obviously, it is not only the building. There is also air conditioning, all that stuff. So maybe 50%, so you can take INR310 crores, INR320 crores.

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Rishi Vora: And in this facility, sir, is there a scope to further expand the capacity if required in the future years?

Sanjay Koul: Yes. The building has been built for tomorrow.

Rishi Vora: Understood. And the second question, just a clarification, the capex number, which you guided for '27 is INR150-odd crores. Is that right?

Sujit Pattanaik: No. I think he explained about INR120 crores rail expansion.

Sanjay Koul: INR120 crores for rail.

Rishi Vora: So, what would be for '27?

Sujit Pattanaik: Yes. So, we don't give the guidance for capex. But if you look at it historically for last year '25, '26, we spent roughly around 8.5% of our revenue. That's very close to the capex spend. And it will be almost in the vicinity of the same range because there are multiple expansion that's happening Jamshedpur rail, then we are bringing in the GGB with plain bearings in our Bharuch factory, then there will be a little bit of heat treatment investment in the new plant. So put together, it will be very close to that number.

Sanjay Koul: Similar lines 8%, 9%, 10%.

Moderator: Next question is from the line of Raghunandhan NL from Nuvama Research.

Raghunandhan NL: Congratulations on the strong numbers. Sir, firstly, for FY27, how is the traction and inquiries on the industrial bearings business in domestic and overseas markets? And which geographies are driving this in export?

Sanjay Koul: From the industrial side, so when you say industrial, so there is -- one is the OE pool and the other is the MRO pool. So, steel MRO is a little bit slow, and you must have seen that the overall melt of last quarter was also a little bit lower than the previous quarters.

But cement the -- cement MRO is pretty much good. And overall, the sentiment in the OE side, which is because of the geopolitics is a little bit wait and watch. But general statement is okay.

It is not showing any signs of despair if I can use that word. And on exports, despite that, the U.S. treaty is not fully signed, dusted, but the flow is pretty okay.

North America, if we say our exports, North America is gaining momentum. Rest are also there, but it is the main driver is North America. And the order book is health

y. So, core domestic and

export commercial vehicle is pretty much bullish. Tractor is okay. Rail is slow and steady is okay. MRO is also -- MRO means the aftermarket is also okay.

So overall, for me, the current top three worries, demand is not a worry. Cost escalation and

passing it on, obviously, is our top priority, ramping up Bharuch new plant, PPAP is second. And third is further projects of expansion. So, demand is not currently an issue. Obviously, we want more and more, but it is not on the top 3.

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Raghunandhan NL: Well, noted, sir. That was helpful. Any change in the time line for Bharuch ramp up.

Sanjay Koul: No, we are -- I think we are a little bit delayed. Obviously, we had massive rains last year in Bharuch -- that inundated the whole city there. So, there were some issues because of that. And then there were some approvals. But overall, I said there was a slight delay, but we are on a path -- a pretty good path.

As I said earlier, we have capitalized all our lines, which means they are all functional. Now we have to complete all the PPAP. So, the demand is now to the capacity utilization. As we speak, we are hiring more operatives for the plant, which tells you that we need more people to run more shifts.

And by July onwards, I think we should be 70% of the utilization, then every month, it will become better and better. PPAP because for every PPAP, you have to get all the toolings and then all the approvals. So that is massive work underway currently.

Raghunandhan NL: Noted, sir. Very clear. And do you anticipate any revision in capex guidance for next 3 years with more products coming in?

Sanjay Koul: There could be -- we are always looking at -- as earlier, I think Rishi from Kotak asked that is this plant capable of handling more? The answer space is available. And we are only doing in the new plant a certain range of sizes, which are not adequate for the whole market. So further range has to be brought in. So, when we decide time is right, so that would happen. Similarly, if there is a chance to do any M&A, definitely, we always are on the lookout.

And then, if there is a need to do anything more in our 0 to 8-inch, which is the traditional commercial vehicle, tractor etcetera. So those things are also currently actually under discussion.

So, there might be a chance, but as Sujit just said that we would do 8%, 9% of our sales figure.

And then if there is -- we are a debt-free company. We have the resources at hand. If there's a good project, we'll not shy away from investing.

Raghunandhan NL: On the Bharuch revenue, in Q3, the revenue was about INR12 crores to INR15 crores. How much was the revenue in Q4? And also ramp-up cost had impacted 170 bps in Q3. Was there any cost impact in Q4?

Sujit Pattanaik: No significant impact from a revenue perspective, of course, Q3 was lower one. We were just ramping up roughly around INR12 crores of revenue. Q4, we had a step-up revenue. So total revenue for Q4 was very close to INR60 crores. So that is how it made INR80 crores for the full financial year.

Yes, we are still very close to the breakeven. If you look at it the ramp-up cost impact what we had in the last quarter of 170 basis points definitely that has gone down a bit. We are still very close to the breakeven and the impact is not significantly higher specific to this quarter.

Raghunandhan NL: Just the last question on GGB. Can you indicate how is the profitability for this entity?

Sanjay Koul: GGB.

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Sujit Pattanaik: Yes. So GGB if you look at the results which we have announced for the quarter, the revenue was INR16.6 crores and the profit before tax was INR4.6 crores. Very strong PBT at close to 30%, 32%.

Moderator: Next question is from the line of Sisir Saha from Saha Securities.

Sisir Saha: Sanjay, actually

I'm not going to ask anything on the technical work because you people are expanding the business and there in business. I'll only ask that your dividend last time you paid a good dividend last time INR36 this year. This year you have drastically reduced. We retired people depend on this type of dividend. So if you pay more, we'll be very happy.

Sanjay Koul: So, we paid last time -- we paid how much Sujit?

Sujit Pattanaik: 36.

Sanjay Koul: So did we announce this dividend of this year, which is 2.5. So obviously, it is slight less than before. But once in a while, we pay better dividend as well.

Sisir Saha: 2.5. Is your...

Sanjay Koul: No, no I said -- it is 2.5 for the face value of 10 and before that was 36. But every 3, 4 years, we do 50 in big range. So, Saha sir, I thought your question will be for -- don't give a dividend, invest and grow it more. So, we want to make sure that we leverage our cash to invest more

rather than pay it to the banks and the interest...

Sisir Saha: As you have not been investing in capex now very much, so I request you to consider more dividends in future, little more dividends...

Sanjay Koul: Yes, sure, absolutely. We -- if you see our last 5 years in that once we paid a mega dividend, but your consideration and your suggestion is well taken.

Sisir Saha: Yes, yes. There is no problem you have been paying good amount, but single digit (Inaudible). that would be better.

Sanjay Koul: Okay.

Moderator: Next question is from the line of Sabyasachi Mukerji from Bajaj FinServ AMC.

Sabyasachi Mukerji: Just one question. On this manufactured versus traded mix of 65%, 35%, where do you see this number going in next 2 to 3 years, given the thought process behind setting up this Bharuch facility was to replace the traded products that we used to import to Make in India and manufacture here in India. So, what this number should be in 2, 3 years?

Sanjay Koul: Yes. So obviously, we are producing more and more, but then you see the overall pie is also increasing. So, the pie is becoming bigger and bigger. If we were making -- selling only INR500 crores a quarter, then this would have been different percentage.

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But as the Indian pie is also the bearing buy of India is increasing. And then also, there is a new application coming up. Say, for example, on wind, it used to be sub-megawatt, then 2 megawatts, then 3 now, a lot of 5 megawatt is coming up. So, I think this 65%, 35% or maybe some years 60%, 40%, some year, 70%, 30%, depending on the pie and depending on the market, depending on the mix.

But as I said earlier, Sabyasachi, that we cannot produce everything in India, though our desire will be to do 100% in India, but there are thousands and thousands and lakhs of different part numbers. application keep on changing. So, unless there is a critical volume, we do not want to invest unnecessarily.

So currently, as I said, that all of a sudden, 5 megawatt is becoming very popular, which a lot of wind companies want to use. And putting up a plant for 5 megawatt is massive. But then we have other sister plants from which we can buy at competitive rates and sell in India.

So, I would say to your question, though the desire is always that we want to make more and more, but given the market dynamics, business opportunities, diversion and new growth in India, and India is obviously changing very fast. So, I would say that 65%-35% might be there for next 2, 3 years, easy, but the pie will keep on increasing.

Sabyasachi Mukerji: Got it. Understood. Just another question on the segments that we cater to, railways, mobile, process and automotive, industrial aftermarket and of course, exports, which are the segments that you think would grow faster in the next 1, 2 years? And rail, you mentioned, I mean, it will be slow and steady, but how about the other segments where you see faster growth in the ne

xt...

Sanjay Koul: I think definitely, given the fact that process industry would grow faster. India just for the sake of a general, India is still \$2 billion, \$2.5 billion bearing market. So, it is not a massive market like China, which is \$20 billion.

So it is a \$2.5 billion market. And out of that, 65% is actually mobile, which means washing machines, refrigerators, 2-wheelers, 3-wheelers, passenger cars and all that the JCB's of the world and the excavators and backhoe loaders of the world. But 35% is only stationary equipment. Generally, in a mature market, it will be 50-50. So, process will definitely grow in India as people start investing more in steel, expansion of steel and as they start putting up more cement in India, more power generation, whether it is wind, solar and then if there is a need of massive material handling and things like that.

And very soon, I am sure that West Bengal will see a big revision on industrialization. Heavy industries, it is East India, heavy industries can easily come there, which are connected to the mining and all that stuff. So, process is one area which is going to grow. When the process will grow, distribution will also grow because as you produce more steel, more mining, more cement, etcetera, you will consume more bearings.

And rail would be slow and steady growth. Mobile truck is always and same thing goes with tractors, monsoon, policies. So last 2, 4 years, commercial vehicles down, all of a sudden, we saw a nice uptick and that would have this cyclicity connected to different policies and the

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market condition. But to your direct answer, definitely process distribution, these are going to

be strong growth followed by rail and -- followed by mobile and rail.

Sabyasachi Mukerji: Thanks a lot.

Sanjay Koul: I think the time is over. With that, I definitely want to say thanks, and we will look forward to the next quarterly call and hope we are again meeting on a good note next quarter. Thank you very much. Thanks a lot.

Moderator: Thank you, sir. On behalf of Avendus Spark, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.